

Aditya AMC (ABSLAMC)

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BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street Mumbai-400 001

Scrip Code: 543374

Dear Sir/Ma'am, August2,2022

National Stock Exchange of India Limited

Exchange Plaza, 5th Floor,

Plot No. C/1, G Block,

Sandra Kurla Complex

Sandra (East), Mumbai -400 051

Scrip Code: ABSLAMC

Sub: Transcript of the Analyst/Investor Conference call on Unaudited Financial Results for the quarter ended June 30, 2022

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Analyst/Investor Conference call for the quarter ended June 30, 2022, held on July 27, 2022. The above information Will also be available on the website of Company at <https://mutualfund.adityabirlacapital.com>.

This is for your information & record. -

Thanking you.

Yours faithfully,

For Aditya Birla Sun Life AMC Limited

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~U~anti Wadhwa

Company Secretary and Compliance Officer

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Aditya Birla Sun Life AMC Limited

Q1 FY'23 Earnings Conference Call

July 27, 2022

Moderator: Ladies and gentlemen, good day and welcome to the Aditya Birla Sun Life Asset Management Company Limited Q1 FY'23 Earnings Conference Call. We have with us today from the management, Mr. A Balasubramanian, Managing Director and Chief Executive Officer; Mr. Parag Joglekar, Chief Financial Officer; and Mr. Prakash Bhogale, Head, Investor Relations. I now hand the conference over to Mr. A Balasubramanian for his opening remarks. Thank you and over to you, sir.

Mr. A Balasubramanian : Thank you for the introduction and good evening to everyone for attending today's investors call. And I'm sure you all would have had an opportunity to go through the Earnings Presentation which is available in the stock exchange and also on our website.

Let me just give you an overview on the broader economy very briefly and the mutual fund industry in general and I'll come to the ABSLAMC performance. The macroeconomic landscape as is known to all of us has been marred by fears of recession, as well as geopolitical conflict. Economies all over the world have been witnessing inflationary pressures, which led to the monetary authorities turning hawkish and rising policy rates across global markets. On the other side, supply constraint, rising raw material prices, along with increased cost of borrowing, has resulted in uncertain economic/business environment across the globe. Against this backdrop, it is comforting to see the resilience shown in the Indian economy. Our PMI continues to expand, GST collections have been robust, capacity utilization is marginally increasing, there's also positive momentum in terms of new project announcements. However, the economic uncertainty as reflected by the volatile market, which is what we have seen in the first quarter of this year. The last few months have been challenging for investors globally, both on the equity and fixed income market. Indian equity witnessed a sharp drawdown, but Indian markets have been relatively outperforming the global markets on account of the economic resilience and the policy reforms continuation. And tightening liquidity conditions have forced

foreign portfolio investors to be net sellers consistently since October 2021. The outflows in Q1 of FY'23 have also been highest ever outflow we have witnessed from FPIs. However, the domestic institutional retail investors participation in both the markets directly as well as through the institutional has shown confidence and also being a major

buyer during the same time as DIIs

Page 2 of 20 From the broad debt market perspective, yields across the curve have moved up significantly in the start of the calendar year 2022 in anticipation of this successive rate hikes, both in Fed as well as in India.

In this kind of scenario, in this kind of uncertain period, with respect to the mutual fund industry, during the quarter, the average assets under management for the quarter for the Indian mutual fund industry was 37.7 lakh crores as on 30th June 2022 as against 38.36 lakh crores as of March 2022. Though it grew by about 14% from the last year, it also de-grew on a quarter-on-quarter basis on the basis of certain market fluctuation in equity, second certain withdrawal that was witnessed in the fixed income market.

In FY'23, the mutual fund industry witnessed reasonable net inflows in equity on a year-on-year basis continued. Significant proportion of inflows came mainly in the some of the sectoral funds, large and mid-cap funds, flexi cap funds and balanced advantage funds. These are the existing categories in which money was flowing in. And owing to market volatility, retail average assets under management saw a slight dip from both T30 and B30 market during this period.

As on June 30, 2022, the total number of mutual fund investors stood at 13.6 crores versus 10.4 crores investors from June 30, 2021, an increase of 31%. In fact, our customer addition continue to remain somewhat robust during those period. There is continuous promotion of SIPs, has maintained the status quo in a monthly SIP contribution. In fact, we have seen a flat growth in SIP in the last two months. The overall monthly SIP book was about Rs.12,000-crores in June 2022 and quarter-on-quarter new SIP registrations has seen a marginal dip to close to about 59.5 lakh investors as on Q1 FY'23. The total number of SIP accounts for the whole industry was about 5.55 crores.

The industry witnessed net equity sales of around Rs.59,000 crores excluding index funds in Q1 FY'23. However, there was a reduction in net inflows compared to the previous quarter.

Broadly, the inflows came through the existing funds as I mentioned earlier, using the large cap funds and other funds. Given the fact the first quarter of this financial year, there is no NFO due to the regulated restrictions. Therefore, all the money that came in, they came through the existing funds, including our selves.

Retail investors concentration in the industry continue to remain in excess of 50%. At the same time, the overall reduction in fixed income assets due to the withdrawals in fixed income, interest rate volatile period, also led to a higher dominance of individual asset mix which is now close to about 55% of the total industry, is represented as individuals. We can't say there is an increase in individual contribution, but is largely on account of the drop in the AUM in the fixed income side due to withdrawal. Therefore, the individual contribution has gone up by 1% or 2% compared to the previous quarter.

Page 3 of 20 Coming to the A BSLAMC performance, our total quarterly average AUM for the quarter ending June 2022 stood at Rs. 2.93 lakh crores with the yearly growth of about 2%. Our equity AUM grew by about 14% year-on-year toward Rs. 1,17,000 crores size for the quarter ending June 2022. Our equity mix in the overall assets under management touched 41% which again for us is one of the highest ever contribution we are getting from equity in the overall asset mix. Again, one has to just keep in mind, the marginal outflow in fixed income also led to a marginal increase in the contribution coming from equity as well. As we have stated, the customer acquisition continue to remain integral part of our strategy. We have added close to about 2 lakh new folios despite the uncertainty that we have witnessed during this period from a customer sentiment point of view, especially added about 2 lakh fo

lios which is now taking the total tally of our folios above 80 lakhs.

Our short term equity performance has seen good turnaround in performance across all categories. In fact, in our flexi cap fund and small cap fund, we have seen net equity inflows on the basis of renewed interest on the back of performance as well as the focus that we are bringing in.

We're constantly working towards leveraging the bouquet of existing products while launching new products to build size and scale. The increase in the product per customer also has been one of the key agenda for us. We have been growing our retail franchise over the last few years with a special focus on building our market share in the B30 market.

Building SIP book size is our constant endeavor to ensure the customer stickiness as well as create long-term value for investors. As part of this drive, what we have launched in the last few quarters, such as 'Har Ghar SIP', such as 'Win With SIP', or Multi-SIP, all over we are seeing

some kind of traction on the ground level from the sales overall productivity point of view, also helping investors to make more investment vis-a-vis goal-based investing. As I speak, we've also been now spending some money in terms of brand building, as well as creating more awareness about investing in equity portfolios, on which I'll give an update in the next quarter results, given the fact we just launched in the last few weeks.

All these efforts in terms of building our SIP have resulted in SIP book size moving from Rs.816 crores in the month of June 2021 to about Rs. 898 crores as of June 2022. We also had about 2.8 lakh new SIP registrations during the quarter. Currently, we have about 32 lakh SIPs with us in terms of number of folios.

Our multi-channel market activities to deepen our presence and market share has been showing positive result. Under the Virtual Relationship Manager model present, we have about 16 touch points across India. We also activated close to about 900 distributors through this virtual RM model. Through our "Sampark" which is again meant for activating more distributors and onboard new distributors as a first time for the mutual fund industry. There has been a Page 4 of 20 success of adding close to about 1,900 distributors to our overall kitty to help us building our business to next level.

Customer loyalty and deeper engagement and service differentiation remains the cornerstone of our service to sales model, that we have built in the last few years, now it has increased the mind share of the customers. Currently, we have about 100 dedicated trained personnel to get investors and service their needs in order to create a good mind recall, which ultimately result in market share improvement.

With respect to overall mix between retail and institutional customers, we continue to have 48% of our assets contributed from retail investors as on June 2022. In the same manner, the contribution of B30 cities also have remained at 16%. Our focus remain in building retail, both in B30 and T30 which is again have been integral part of our overall retail strategy in building our size.

In addition to some of the initiatives we are now focusing on executing, we also introduced a theme called 'Sahyog' initiative to further the cause of financial inclusion in the last mile person. We have been extending our support to our people, especially for low income groups by making them financially aware and setting them on the path of creating value through investments. That's something which is initiated as new initiative for serving the growing needs of bottom of the pyramid people, and I'll give more updates on this as we get more and more robust in terms of offering this product.

As it is known on alternate business, we have created a separate team of people about a few quarters back to drive the alternate business as well as the passive segment.

I'm happy to

share with you that this segment has been progressing quite well and yielding gradual results in terms of showing good progress.

Our passive product offering grew by about 6 times to about Rs12,695 crores in June 2022. Our emphasis on building passive strategy also have gained momentum by way of launch of new products through ETF, fund-of-fund and multiple index fund including the passive maturity fund on the fixed income side. Our existing passive bouquet have grown to 28 schemes and about 20-plus more schemes getting added in the pipeline in the next few months. And overall customer base in this category also now grown to about 4, 28,000, just short about 72,000 to 5 lakh number which is half a million customer folios in the passive side, which is also something I see as a good progress in terms of building our customer base in the passive side.

On the offshore front, as we have updated last time, we had created a separate focus on creating Greater India ESG engagement fund with the help of global managers managing fund. While we have been busy of course reaching out to more customers globally, we also received our seed funding from our Sun Life as a partner, they have given us seed funding of about \$25 million. On the basis of this success, we will take it to the next level of growth on this fund and Page 5 of 20 getting more investor on base. We also have plans to launch under the GIFT City for NRIs and LRS investors. In fact, we are opening our office, is already ready, and once the inauguration is done, and the products are launched, we will actually go and launch some of the products for LRS investors to invest in overseas market, that is something is there in the pipeline.

On the PMS and AIF front, in order to build our size, we have recently announced appointment of a senior person coming with 25-years of experience to drive the alternate business who is also now on board. With his help, I think we will launch series of AIF in the PMS front. While doing that, we also launched PMS product which is the market-linked debenture product and also credit opportunities fund, we have already launched, we are in the process of engaging with the distribution community, and hopefully we'll see some kind of success. While building success on some of the new pipeline of AIF product, we also created some success on our real estate fund that we have launched India Opportunities Real Estate fund that we launched. We received our first tranche of fund of close to about Rs. 190 crores. We are in the second tranche launch closing, and upon doing this, we will take this to the overseas market with the help of the BentallGreenOak for offering this product to the global investors.

Now coming to the financial performance for the quarter, our focus continues to remain achieving a robust asset mix of high margin equity assets along with long term debt. We like to reiterate our equity mix is an all-time of about 41% for the last quarter. We have maintained our operating revenue and PBT during the volatile market conditions. During Q1 FY'23, despite market volatility during the quarter, our revenue from operations remain close to about Rs. 303 crores as compared to Rs. 305 crores for the similar quarter last year Q1 FY'22. However, due to market volatility in the fixed income and equity market, the AMC treasury portfolio has seen a mark-to-market impact leading to a decline in other income compared to the previous year. For Q1 FY'23, our overall investment book as it is disclosed is close to about Rs. 2,217 crores. This money of course is invested in across mutual fund schemes, including the form of seed capital, also the defined capital as SEBI has given, and this investment had mark-to-market, therefore, they tend to fluctuate and depending upon the market conditions, that is what we have seen in the current quarter, therefore, the other income

was lower compared

to the last year of the same period. As a result of this our profit after tax stood at Rs. 103 crores in Q1 despite our operating performance is pretty good, because of the other income being lower, the overall profit after tax stood at Rs. 103 crores, and that's something I did want to highlight.

With this, I would like to conclude and open the floor for any questions. I'll be joined by Prakash as well as Parag to take any questions that you may have. Thank you.

Moderator: Ladies and gentlemen, we will now begin the question-and-answer session. We have the first question from the line of Anuj Singla from Bank of America. Please go ahead.

Page 6 of 20 Mr. Anuj Singla

Bank of America: Sir, first question is on the market share trend on the active equity side. You did talk about improved performance in some of the schemes leading to inflows. But when we look at the market share on a QoQ basis on the active equity side, it still is on a declining trend. Can you talk about what is your outlook on this side, and if there is any product launches on the active equity side as well which can help stem this? The second is the data-keeping question. Normally, you provide the SIP AUM, which was around 520 billion as of March 2022. Can you share the value as of June '22 as well?

Mr. A Balasubramanian: Thanks, Anuj, for your question. On the market share both on equity and overall, Of course, our endeavor has been as you know, for quite some time to build the overall market share, while of course the initial the efforts was to ensure that we don't lose market share, at the same time building our market share in the existing product is one of the key focus areas. On the base of this, this quarter of course we couldn't launch NFOs given the fact that NFOs were generally not permitted by regulatory framework in the first quarter of this year. While doing that, we stepped up our engagement in promoting some of our products on the existing side, such as leaders in the respective category, such as large cap fund or flexi cap fund or even the mid cap funds and balanced advantage fund where we have seen significant improvement in terms of performance and the product now is coming in terms of the recommendation list of some of these banking channel as well. That's something again we are pushing it. Given the initiative that we have taken to promote this as category to be part of the overall core portfolio of every investor in order to track investments from the existing funds, that's something which we are doing. There we have of course a target for our team to drive our existing schemes both in the form of SIPs and in the lump sum that we need to actually increase the overall gross volume improvement, therefore, leading to a net inflows and also leading to a market share stability and improvement marginally. With respect to the new fund offerings, we are looking at launching multi-asset fund, and we already filed offer documents to SEBI and hopefully that should come in very soon. Then once it is done, we will actually launch this fund sometime in the month of either August or September. August will be too early, sometime in the month of September we launch this fund once we get the approval. But otherwise, as I mentioned, it will be a good mix of promoting an existing product and few NFOs. Also, on the overall momentum creation, we see a great opportunity in the fixed income as seen, we have been quite successful in offering products in the last two quarters, taking advantage of interest rates movement that we have seen. We became the number one fund other than government mandates that industry has got. In the target maturity fund you can call it or you can call it as a rundown kind of fund in the fixed income space. Today, we have a leadership position of about close to Rs. 10,000 cr size. We see a greater opportunity to activate both HNIs and re

tail and building that

fixed income asset class. Therefore, we are launching some of our existing products, which are a flagship product in the respective category, such as dynamic bond fund and medium term plan. That's something again, we have now put some kind of plan in place. In order to drive two things, one, increase the participation in the fixed income space from both the HNIs and retail, given the fact rates are attractive, at the same time, encourage people actually to do STP

Page 7 of 20 and SIP from these schemes in order to build their equity portfolio from longer term wealth

creation point of view. That is how we have planned and hopefully we should see some success on this space on these initiatives.

Mr. Prakash Bhogale : Anuj, regarding your second question on the SIP AUM, it's around Rs. 46,000 crore for June 2022.

Mr. Anuj Singla

Bank of America: On the distribution side, obviously distribution commissions last year were not very accretive for the AMCs. Have you seen some normalization happening there? And when you talk about the Multi Asset Fund waiting approval, should we be seeing the improvement versus what we saw last year on the distribution side or the scenario still remains the same?

Mr. Parag Joglekar: Anuj, generally, for all NFOs we see a slightly higher brokerage in the first year as current year due to the embargo on various NFO, the current year, the commission are basically in the normal rate, which we generally keep on sharing with our partners around 60% to 65% of our total DTER.

Mr. Anuj Singla

Bank of America: This has declined from 85%, which we saw last year, right, that's a correct understanding?

Mr. Parag Joglekar: Lot of NFOs last year. NFOs are at a slightly higher cost.

Moderator: We have the next question from the line of Pranav Tendulkar from Rare Enterprises. Please go ahead.

Mr. Pranav Tendulkar

Rare Enterprises: If I wanted to calculate just quickly active Equity AUM, then it is right to subtract... there is a slide where you have actually given passive AUM that you have. So it is right to subtract that amount from Rs. 1168 billion, right. So I think that amount is around 1,068 billion in active equity, is that right?

Mr. Prakash Bhogale: Actually, in that slide, there will be a debt index fund also. It will not be correct to deduct the entire amount.

Mr. Pranav Tendulkar

Rare Enterprises: So how to look at this like, so I wanted to understand the discretionary equity portfolio, how to calculate that?

Mr. Prakash Bhogale: For active, you have to reduce from whatever AUM we have, arbitrage and the Equity index fund.

Mr. Pranav Tendulkar

Rare Enterprises: Not the ETF?

Mr. Prakash Bhogale: ETF is not part of the Equity AUM which we have given.

Page 8 of 20 Mr. Pranav Tendulkar

Rare Enterprises: Second thing is that in terms of the passive AUM, how profitable that line is going to be, whenever it reaches a certain size, can you just share the economics of that vertical?

A Balasubramanian: Broadly, the approach that we are taking on passive, Pranav, is one, the top tier ETFs basically NIFTY, SENSEX, all of them would be contributing anywhere around 10 to 20 basis points kind of expenses and AMC fees at best it can be about 10 to 15 basis points kind of thing. If we have to take little, I think what we also intend to do, such as even last time I have shared which is the NIFTY 50 equal weight index fund. There is a larger contribution, where I'm able to charge expenses anywhere around 80 basis points, and therefore, it is about 40 basis points kind of management fees we will get. Of course, we don't have much choice but to have presence in most of the key indices in the market with lower profitability. Our intention is to launch quant based kind of ETF, which can give us slightly higher margins. But in any case, no ETF products, however good they are, it would be unfair to take

more than 40 basis points contribution to the overall AMC given the fact that ETF is generally supposed to be cheaper than actively managed funds. That's the way we are looking at building. Right now, the ETF should not be seen from a profitability point of view. ETF should be seen from the point of view of customer acquisition, and giving back to the customer to give alternate investment opportunities or may be what we call co-existing kind of product, along with active funds, therefore it can be seen as the onboarding of customers as well. But as the size becomes little larger as we move forward, and also we keep increasing offering our product, therefore, the contribution coming from ETF as a basket will show an improvement.

Mr. Pranav Tendulkar

Rare Enterprises: I missed a query about that. So there are a lot of me-too ETFs which is like you have like NIFTY 50 like the five other players who have that. But if you see Western Hemisphere, where US and Europe, the ETFs have actually a large amount of stylized portfolios. Why you can't do that in India? So for example, something like there are many technical ETFs as well. For example, sector-specific ETFs. Why can't we do that because not many people are doing that rather than having just me-too ETFs, which it doesn't matter which is a treadmill, and everybody has to keep running on it?

Mr. A Balasubramanian: Basically, what you are saying is right, Pranav. I think the one of the efforts we're putting in a

customized ETF that we can create right now like the way extended arm of Bank NIFTY ETF is there. At the same time, the customized index that can be created on the basis of a certain model or we may be taking into account the style of investing. That's something has been part of our process. At the same time, on the basis of our own assessment, or some of the international product given the fact ETFs can be now even today, I can fit into the ETF product overseas, though there's no limit available for actively managed funds, because of the restrictions of 7 billion dollar, that we as the fund house also have launched some of the ETFs that feed into the global market. That's something is there. I think what you're saying is right. Page 9 of 20 Our ideas actually to use our expertise that we have internally offer differentiated product using the customized index, which can be created with some kind of style bias or factor -based investing, that is our whole idea. But at the same time, in general, the flow that comes in into the industry largely is coming into the traditional, conventional ETF product. If one counts, ETF as a category say let us assuming passive and ETF category is close to about 3, 50,000 crores. Large component of this flows have come in the SENSEX, NIFTY and to some extent banking ETF, nothing more than that. So therefore in our case, while we have to have me-too product, as you pointed out, our intention is to build capability and offer these kind of products.

Mr. Pranav Tendulkar

Rare Enterprises: When we say that we are focused on consumer experience, there can be once in a year provision in your funds where you can stop taking money if you think that market is extremely overvalued, because that will add ultimately to the consumer experience. So, are you thinking from consumers point of view holistically, like can you stop AUM, that is maybe one of the parts, and obviously there'll be many other factors of consumer experience and consumer lifestyle cycle experience will be improved. So I just wanted to understand how holistically you're thinking about this?

Mr. A Balasubramanian: I think we have done in the past, Pranav, when we saw about three years back, the credit opportunity in the industry is not going to be as big as what is being thought about, more than an opportunity, risk in the system would increase quite significantly. In fact, we stop taking inflows of hi

gh-ticket and for investors, we restricted inflows. In the same way, we have done in the case of equity as well in Birla Dividend Yield Fund in the past. Therefore, it is part of our strategy. As and when we feel there is merit in doing that, even if it means it's going to come at the cost of not able to increase our size and as long as going to benefit investors, and gives right messaging, we will be open of course to do that.

Mr. Pranav Tendulkar

Rare Enterprises: Perfect Sir. If that perception gets created, then you'll have an edge in the distribution channel.

Mr. A Balasubramanian: Yes.

Moderator: We have the next question from the line of the Dipanjan Ghosh from Citi. Please go ahead.

Mr. Dipanjan Ghosh

Citi: Just a few questions from my side. The first is, if I just look at your distribution channels, and split it between the banks, MFDs and national distributors, and more thinking in terms of the equity flows that you're seeing through these channels, if you can give some color on the wallet share, is there across the channels or the contribution from the top 10, 20 players in those channels, how they're staging up and how it has changed let's say over the past one or two years? Second, more on the new FinTech channels or the digital channels. If you can give some color on the flows for the industry? It was increasing. Has there been any trend changes? And Page 10 of 20 how is ABSLAMC really positioned in that channel? And third a data-keeping question, if you can give a number of unique investor accounts as of June, and how it has changed YoY/QoQ?

Mr. A Balasubramanian: Thanks, Dipanjan. As far as the channel is concerned. I will give you first overall basis, then I'll give you the broad sense that we have from the distribution channel point of view. As it stands today, in case of our overall 31% of our assets including fixed income coming from MFDs and roughly 10% is coming from bank and 15% coming from national distributors and 45% is coming from direct channels. Of course, number looks larger because most of the institutional customers come directly. If we have to look at the same number for our equity, 17% comes from direct and 51% comes from IFAs /MFDs and 18% comes from national distributors and 13% comes from the bank. In fact, in the last one year, our contribution is coming from banking have gone up from 12% to 13%. We have seen improved contribution coming from the banking channel. One, thanks to the NFO that we did last year and in general, our products are being part of the recommendation list both on fixed income and equity. Therefore, we have started seeing contribution coming from the banking channel as well as national distributors channel. As you know that the top five contributors, the banking channels, I'm making an exception of SBI, because anyway they don't deal with us, they don't sell any mutual fund other than SBI, therefore I'm not taking them. And the same case with ICICI, does not sell in retail other than their own funds. If you have to knock off these two from the top, left with HDFC Bank, Axis Bank and the foreign banks, these are the names which comes in. In fact, we generally have anywhere between 9% to 10% from Banks like HDFC bank and Axis will be somewhere around 5.5%. That is a broad range in which we get, but otherwise, leaving aside these two, some of

the other foreign banks we would have anywhere between 10% to 11% kind of market share. Of course, as we go down, the size also will be lower though we will have higher market share. That's the broad trend that we have. In fact, the trend has been a little better compared to what we've seen in 2021. There're two national distributors. We have seen an improved contribution coming from the largest national distributors in the country, which is N J as well as Prudent, we have seen increased contribution both in SIPs as well as in equity AUM and rest of

the places, we have been maintaining somewhere around 8% to 9% kind of market share. That's the broad trend. With respect to the number of unique investors, I just give you the number is that 52.5 lakh unique customers and this number compared to the last year would have gone up marginally, I think it was about 47, it has gone to about 52.5 as unique customer base.

Mr. Dipanjan Ghosh

Citi: Just one follow up on your first answer and thanks for the detailed clarification. So, one issue that you mentioned are on outstanding AUM basis or on flow basis?

Mr. A Balasubramanian: Both.

Mr. Dipanjan Ghosh

Citi: And this will only be for the equity portion, right, or this is like for the overall business?

Page 11 of 20 Mr. A Balasubramanian: Generally I give it to the equity only, but if we have to add fixed income, a little bit higher in

channels who sells fixed income. Because not all distribution does fixed income quite aggressively. Given the fact last year, there's not much of opportunities, but however some of our products, which are part of recommendation list, let us say I am taking the HDFC Bank as the large distribution in the country as an example, three of our products is part of their list. We get almost about 15% contribution from them if we have to look only the fixed income. In fixed income, my contribution will be higher given the fact that the product that we offer have got a longer term standing in terms of acceptance, and in general, the fixed income contribution from these channels will be at least 3% -4% higher than the equity, except the volume on the fixed income will be lower than equity as these distribution houses focus more on equity rather than debt.

Mr. Dipanjan Ghosh

Citi: If I can just kind of close the loop based on whatever you mentioned, it looks like across the top banking partners, across the top national distributors, your market share on the flow side seems to be definitely higher than your outstanding market share on the equity business today. So, if that possibly boils down to the fact that on the flow basis, either the market share on the MFDs or through the direct channel, probably has been on the lower side. So, that kind of also brings me back to my last question which is on this new FinTech channels or digital channels, how things are stacking up and if you can kind of close this loop for me?

Mr. A Balasubramanian: Just to correct you on this, as far as the banking channel is concerned, the market that they have with us, what you said is right, will be marginally higher in terms of flows coming in. I will just give an example of Axis. The market share what they have is an outstanding assets and what they give will be more than that. More than that whether it will have a significant impact in terms of the volume, would be marginal. That's one. Again, IFA channel in general has been flat for the industry. That's also something I think what you summed up is right. But as far as the FinTech channel is concerned, I think the whole industry AUM coming from the top 80 FinTech partners we track, right from Zerodha to Groww to everyone, the total industry size, the number is roughly about Rs. 75,000 crores. And we have roughly 7.5% market share from this channel. But if I go into individual channels, my market share in some places could be lower, some players will be higher, depending upon what kind of tie-up that we have, for example, PhonePe as a channel is also equally a powerful channel, but may not be as big to Zerodha or Groww. But however, we do get close to 30% market share on PhonePe. I think it can vary from partner-to-partner.

Moderator: We have the next question from the line of Lalit Deo from Equirus Securities. Please go ahead

Mr. Lalit Deo

Equirus Securities: Just wanted to understand something on the yields side, during the quarter, so our share of equity AUM has increased marginally. And you also

mentioned that there were no low yielding

Page 12 of 20 NFO. So despite that our revenue yields have declined on a sequential basis. Could you highlight the reasons for the same?

Mr. Parag Joglekar: Lalit, if you look at it, it's a really marginal drop from last quarter to this quarter on the yield, even the YoY basis also, there is a marginal drop. Even though the equity size as a percentage gone up, the yield over the compared to last year has gone down because of most of the NFOs has come at a later part of the year over the first quarter. Second part is the movement of asset within the debt scheme, as from various schemes which are slightly higher yielding to a lower yielding scheme. And the debt mix has slightly gone down compared to the last year which has

resulted some impact on the yield side.

Mr. Lalit Deo

Equirus Securities: On the index fund, like 90% -92% of it is contributed from the debt index fund. So could you highlight the yield difference between the debt index fund and the equity index fund if there is any? Unlike going ahead, if we have any products in the pipeline so how do we expect the share between the index funds between debt and equity?

Mr. Parag Joglekar: Yields will be on the debt side in the range of 10 to 12 basis and on equity it will be on 15 to 20 basis range.

Mr. A Balasubramanian: What we have done, Lalit, as far as the fixed income, target maturity fund is concerned, we started off with at 20 basis on expenses with about 10 basis points contribution coming to us. But as we started seeing more acceptance in the market and as we started seeing this product is more relevant, even for HNIs and retail customers, we also launched one or two products with the higher expense of about 40 basis points with the intention to have 20 basis points contribution coming from that segment, so that it becomes win-win for everyone as interest rates moved up. For example, we are launching our dynamic bond fund. While we may reduce the expenses, but expected increase in volume would actually lead to an increase in revenue. That's why we are building that space. But as the interest rates move up, definitely, our ability to charge on few basis points relatively higher, that is a model in which we are just looking at building.

Mr. Lalit Deo

Equirus Securities: So what are the ESOP expenses during the quarter?

Mr. Parag Joglekar: Rs. 8.5 odd cr.

Moderator: We have the next question from the line of Madhukar Ladha from Elara Capital. Please go ahead.

Mr. Madhukar Ladha

Elara Capital: I just wanted to understand what is happening on the fixed income side? We're seeing a consistent drop in market share even over there. And the other thing, this monthly SIP book Page 13 of 20 that we get from the industry, this I believe is the gross number. I wanted to understand from you, what is the real net inflow that we are seeing and what have been the trends on this?

Mr. A Balasubramanian: With respect to your first question on the fixed income side, one, the first quarter was pretty volatile from the fixed income point of view. In general, we saw behavior from institutional customers to redeem from mutual funds and either go for fixed coupon bond or fixed deposit or repay loan or move into the target maturity fund. That's how we have seen. We normally enjoy high market share in the fixed income space from institutional customers and due to that withdrawal in a volatile period, you would have seen a margin dip. We still have about 10.9% market share which is a pretty decent market share. But having said that, that is not something which is generally a worrying factor. We as a fund house, we do have reasonably good confidence and engagement with customers in order to get our due market share, which is historically we have maintained. But having again said that, this space, also is a competitive landscape, some of didn't have much presence in

this space, but they also deserve to get some kind of contribution coming from the customers, also gaining some strength in this space. Therefore, that's something was a phenomena that we have witnessed in the first quarter. But I think once we launch some of our open ended debt fund from HNIs point of view, we will see incremental additions coming from Retail as well in this space. And your second question is on the SIP. I will ask Prakash to give an answer.

Mr. Prakash Bhogale: This second question on the SIP, the amount is the same means that's the inflow what we receive from the SIP book Size.

Mr. Madhukar Ladha

Elara Capital: So that is 9 billion, right. But is the industry number gross or net?

Mr. Prakash Bhogale: Industry numbers are the same. These are the comparable numbers with the industry.

Moderator: We have the next question from the line of Jignesh Shial from InCred Capital. Please go ahead.

Mr. Jignesh Shial

InCred Capital: So most of the questions have been answered. We have seen a bit of a dip from the contribution from B30 cities. Forgive me if I have missed it earlier, but any specific reason for it that there is a bit of a dip that we're witnessing this time?

Mr. A Balasubramanian: I think B30 AUM is actually very stagnated. It's not dipping I see. It's about 15.9%, some of the numbers, we are stuck up at 16%. The reason is the some of the NFO that we did last year if you recall, most of the equity money that came in last year from NFOs for the industry largely has come from equity and fixed income contribution generally has been very, very negligible. Therefore, that has resulted in B30 AUM remaining somewhat stagnant for some of the incumbent players. At the same time, those who had the NFO launches, they would add increment contribution coming from the B30 market. That's one. Second is one fact remains which anyway that Axis as I mentioned, even the distribution update when I gave, I knocked Page 14 of 20 off SBI for my consideration. But if you have to look at their own presence in B30 market, still much higher than what the competition is doing. Therefore to the extent, I can say the numbers

getting stagnated. Otherwise if I knock off that naturally our number look little better. Of course, I can't knock it off as they are a part of the industry itself.

Mr. Jignesh Shial

InCred Capital: Are we facing competition even in B30 or ex-SBI even is competition getting tougher, because most of the AMC's right now is focusing on deepening the penetration and all? I agree that more or less it is coming on equity and not on debt. But are we facing a competition getting built up already or do you think there is enough scope still left for everybody to grow in this particular space?

Mr. A Balasubramanian: In general, of course, competition landscape is getting better, no doubt. At the same time, given the fact that we as the fund house have been creating presence to the emerging market channels, looking at new market on a continuous basis. A level of engagement that we have in the deeper parts of the country which can contribute to the equity AUM, at the same time the persistency of these assets could be longer. That's something as the fund house, we have been quite successful in building this market. Despite competitive landscape is changing, I think we will remain extremely committed to build this business. That's something I'm not worried about that.

Mr. Jignesh Shial

InCred Capital: My second question is I believe that we had been doing pretty good on the direct side even now roughly around sourcing comes out roughly 42% if I see it up now, but it has been declining. Is it because of the debt fund which is seeing a bit of an adversity due to the external factors or the focus has been reduced, any specific reason for overall share of direct reducing or the contribution coming from the others is the reason why one should see that

the direct

has been declining?

Mr. A Balasubramanian: I think largely due to the debt. You rightly pointed out largely due to the debt. Of course, my present number is Rs. 38.5 lakh crores for the industry is dropped over to 37.2 or 37.3. That is largely on account of fixed income outflow. We did also see outflows of about Rs.16,000 crores. That's actually tilted the direct exposure to some extent.

Mr. Jignesh Shial

InCred Capital: Third question from my side on not specifically on Aditya Birla. Being a veteran in the industry, just getting a sense over here. We're seeing that overall not for one, but across, Yield has been compressing across, whether it is equity or debt or even the liquid and obviously the surge of passive has also been one of the reasons. But now the yields remaining stagnant more or less at the lower end right now and limited scope for a further consolidation or further cut on the Opex side, do you think we are almost going to see the similar kind of tightening for the AMC's in general for at least a couple of years till the time we don't see the competition allowing the yields to move up? In the overall sense, I wanted from your side, not commenting specific on Page 15 of 20 ABSL as such. But what's your view that how we can see that the profitability will be improving, the PAT yields will be improving from here on for the industry in general, just if you can give some sense over there?

Mr. A Balasubramanian: I will put it in a simple manner on this. I think last few years if you see the industry have seen declining margins, declining expense ratio which is linked to the size as well, at the same time in general the profitability has been improving because of volume improvement. I think industry dynamics will continue to remain the same way even going forward. For a scale player like us, large profit pool is coming because of efficiency as well as the cost benefit one will get on basis of increased volume. That continue to remain a big part of the strategy. Well, of course, even the new fund offering will come from smaller size funds. And as the size becomes larger for everybody, I think everyone will go through the same situation when it comes to the question of reduction in the margins so on so forth. But my own belief is from a bigger perspective, I think we are more or less getting consolidated and therefore there will not be significant pressures go to the industry except the differential advantage one will have between the smaller size funds versus the bigger size funds, that advantage will remain, that's created by the regulatory environment, it's not created by the competitive landscape.

Moderator: We have the next question from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Mr. Prayesh Jain

Motilal Oswal: Sir, firstly, in the last few months, the incremental SIP accounts have kind of slowed down. Any thoughts as to structural slow down or it's just the market, or what's the factors that are impacting this?

Mr. A Balasubramanian: It's a function of market and a function of the past return generally works. I think even for the industry as well for us, now having reached certain size and the last quarter with a marginal dip in SIP's. Sometimes what happens is during the volatile market period, generally, there's a tendency for people to stop the SIPs and that's something historically we have seen. Again, they come back. While we see marginal dip, we as a fund house having now built SIP to close to about Rs.900 crores, now getting stabilized from last year it was Rs.816 crores same quarter, today it is Rs.900 crores. In fact, we have been aiming this number how it can actually cross a four digit number and for which what we need to be done, that's something remains. Given

the fact that SIP we are investing now, we are investing in mutual fund for most of the investors and that's why I think we as a fund house

e is also doing it. Even industry also has seen a marginal dip, That's something I've always seen historically linked to the market volatility, but at the same time, there is a higher acceptance for SIP investing by the investors, therefore that's something I am not seeing as a trend reversal, it's more of temporary.

Mr. Prayesh Jain

Motilal Oswal: Secondly, on the overall expenses for Aditya Birla AMC, is there any lever to cut absolute costs where you have been talking about scale benefits, but is there a scope to cut costs anywhere Page 16 of 20 which can help improve the profitability or another P&T margins because it seems would continue to decline at least in the near term, any cost that can be controlled or can be reduced in absolute terms?

Mr. Parag Joglekar: Prayesh, on the cost, as you know, we have currently some hit on ESOP which we keep on getting every year. As it is a dropping trend of 40, 30, 20, 10 over the four years, that cost will keep on going down over the period and after four years that cost will go away unless we issue some new ESOP to employees. So that is one cost plus wherever like we have been experimenting on a lot of our digital way of engaging with people, so once that gets stabilized over the period, some cost benefits we may get it. On 'One ABC', as we mentioned on the consolidation of branches, we are doing at ABC level will help us to save cost as that is a smaller space compared to the current branches we are holding. So those are the areas currently we can see that there may be some cost reduction over the period, but it may not be very significant on the overall cost basis, but those kind of small, small things which we will keep on doing and trying to explore.

Mr. Prayesh Jain

Motilal Oswal: Last question on Other Income, is over the last couple of quarters when the yields were rising, we had seen your other income kind of relatively stable, but in Q4 and in Q1 we've seen a negative other income, what changed in the quarter that caused such a shock in the reversal in the other income and what kind of trajectory should we see out there?

Mr. Parag Joglekar: On Other Income side, generally, we were investing most of the funds in debt portfolio, but post the regulatory changes of the "skin in the game" we have started investing in the equity schemes of our fund and currently as equity has declined in the last quarter we have seen a hit on that side, plus on the debt long duration fund or the target maturity fund where we have invested our funds to get higher returns over a longer duration period because the investment horizon is much longer, we have seen a dip because the interest rate has gone up. So that has created some negative impact on the overall other income for the company.

Mr. A Balasubramanian: Just to add to that, Prayesh, the investments that we have made in the fixed income, target majority fund, here intent is to hold till maturity, therefore you get the desired return on the basis of the yield that's prevailing at the time of investing. While that's the intent, but unfortunately, we have to mark-to-market during the interim period. So that's one which had an impact in this quarter. As Parag mentioned, in addition to regulatory-led limit investment that you have to make, we also have been of course seen some of the funds in building our ETF and passive, innovation that we are doing in the product. We do of course seed funds and to the extent of say Rs.25 crores or Rs.30 crores or Rs.50 crores kind of seed funds, but also sometimes go through this kind of volatility, which again I would say is more of a quarter-on-quarter kind of thing but I don't think any other thing that one should worry about it.

Page 17 of 20 Moderator: We have the next question from the line of Bhuvnesh Garg from Investec Capital. Please go ahead.

Mr. Bhuvnesh Garg

Investec Capital: I have two questions. Sir, firstly

just want to know your thoughts from competition in the smart beta platform, like to offer Small Case and even broking companies are launching their own funds and then some distributors are launching their own funds. So how do you see competition coming from that side and what is your company doing to mitigate that competition? And secondly, I just want to understand the revenue from ETF funds, for example, how would that revenue be, for example, for a normal fund, the revenue will grow as the fund size grows, but how does in case of ETF your revenue will grow?

Mr. A Balasubramanian: As far as the FinTech platform is concerned, we are not in that space actually from the competition point of view. At the same time, we do evaluate options that we have in front of us in doing a proper tie-up with say SmallCase in offering the back-end solution as well as ETF kind of a product that we can do jointly. That's something we keep evaluating. Therefore, any broking platform provides a portfolio using some of this platform, I think we do evaluate such platform from the point of view of offering ETF product. All the FinTech platform that is where we want to use it. Second, we also want to use the broking platform to promote our ETF from the point of view of giving to the customers either from trading point of view or from

investment point of view. That's something has been a part of our agenda to evaluate and make it quite agile, dynamic when it comes to the question of selection of products from investors portfolio point of view. There's are two areas I see it. I don't see the competition, but definitely is one of the areas where we can look at some association with some of this platform for us to build size. In fact, we do have a tie-up with say PayTM, Kuvera, ETMoney for the purpose of building customer acquisition in this model. When it comes to the question of ETF, I think the contribution is something I would assume or one has to start counting from a contribution angle after say one, one and a half years given the fact that initial push would be more to create your presence visible and at the same time it is made available in the platform for people to buy, therefore we actually made some investment assumptions rather in the form of expenses to ensure that ETF gain some kind of traction. So that's how we are building it. Therefore, the real contribution is coming from the segment, as it stands, as I explained to you before on the index fund, on the debt index fund, we started off with low expenses, increased expenses as the size started getting accepted, when the size coming in, started getting acceptance from the investors from even HNIs, we felt that maybe margins can improve. So that is the model in which we'll build as far as the passive is concerned.

Moderator: We have the next question from the line of Swarnabha Mukherjee from B&K Securities. Please go ahead.

Page 18 of 20 Mr. Swarnabha Mukherjee

B&K Securities: A couple of book keeping kind of questions. First of all, the SIP AUM, if you could share that number at the end of Q1? Second is on the tax rate. How to think about it? It was a tad bit higher this quarter. What would be the reason and how do we see going ahead from the rest of the financial year? And thirdly, in terms of other expense, given that this quarter there was no NFO and there was less marketing expenditure possibly and going forward would variable cost then come back into the cost structure, if you could give color?

Mr. Prakash Bhogale: SIP AUM is Rs 46,000 cr for Q1.

Mr. Parag Joglekar: On the tax, it's mainly due to the deferred tax reversal on the impact of the other income on the losses which has happened in the current quarter, we are hopeful that it will come back to the same rate which we have been tracking for last couple of years over the rest of the year. And on the other expenses side, other expenses if you

look at it compared to last year it's

slightly higher whereas on quarter-on-quarter it is more or less flattish. Other expenses have mainly gone up due to a lot of activities which have started happening post opening of the economy post -COVID, which has increased the travelling expenses, which has increased the event expenses, plus we had some event during this quarter on our investment voyage which we used to do two years back before the COVID which we have done in the current quarter, which has some expenses around that. And there are some impact on this rupee-dollar having impact on some of the foreign exchange expenses which has slight impact on that. So those are the main reasons for expenses slightly going up compared to last year.

Mr. Swarnabha Mukherjee

B&K Securities: So you expect that way to sustain slightly elevated into such thing, would that be a fair assessment?

Mr. Parag Joglekar: This will be more of a BAU because if you see last couple of quarters, the range is in the similar expense range.

Mr. Swarnabha Mukherjee

B&K Securities: A follow up again on tax side. So the deferred tax credit that you have given had ideally kind of reduced your tax rate on a headline basis. So like kind of if you do not factor in that, then your tax rate would be somewhere close to 33%. Normally, it is close to 25%, right?

Mr. Parag Joglekar: Over the year it will come back to the similar rate, that is what our expectation is.

Moderator: We have the next question from the line of Dhruvish Pujara from Mirabilis Investments. Please go ahead.

Mr. Dhruvish Pujara

Mirabilis Investments: So, just a couple of questions. So on the Rs.2,200 crores prop investment book, what percentage would be invested in our in-house funds and out of the total what would be in the equity?

Page 19 of 20 Mr. Parag Joglekar: On the overall investment, whatever mutual fund investment which we do, we do in our own

funds only and there are some exposure to some of the direct debt investments which we have done earlier and equity will be in the range of around 11% to 12%.

Mr. Dhruvish Pujara

Mirabilis Investments: Wanted to understand like when we invest in our own funds like so the expense ratio which we earn on the prop book, how does that get accounted? Does it flow through the revenue or we don't charge, how does it work?

Mr. Parag Joglekar: On our own investment, we can't charge the fees.

Mr. Dhruvish Pujara

Mirabilis Investments: So there's no question of flowing through the revenue, right?

Mr. Parag Joglekar: Yes.

Mr. Dhruvish Pujara

Mirabilis Investments: When I look at the TER so let's say a scheme is worth Rs.1,000 crores, out of that let's say Rs.100 crores is invested by our own prop book, so how does the TER calculation, does that factor in that or how does it work, would you bring down the TER because we are not charging on that Rs.100 crores, that's the question?

Mr. Parag Joglekar: So the fees will get reversed to that extent.

Mr. Dhruvish Pujara

Mirabilis Investments: I wanted to understand how does the investment decision -making work on the prop book. So like do we have a committee or the investment team takes care of it or like who are the people who are involved in the committee, so if you can give some thoughts on that? How do we like determine the equity and debt mix in that?

Mr. A Balasubramanian: Basically, we have a team of internal people comprising of investments both in equity and fixed income and asset allocation fund. We do asset allocation fund which again deserves purely driven by the committee approach and while CFO will also be there. I know they'll have a constant review and a holding period and how much is assets we need to invest as per the regulatory requirement and how much we can go beyond that and how much should be in the fixed income investment keeping in mind the safety and so on and so forth. So that co

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drives that decision. We have proper internal policy.

Moderator: Ladies and gentlemen, that was the last question. I would like to hand the conference over to

Mr. A. Balasubramanian, Managing Director and Chief Executive Officer for closing comments.

Please go ahead.

Mr. A Balasubramanian: Thanks all of you very much for tuning in and with this we conclude our Q1 FY'23 earnings call. Do feel free to reach out to our IR, Prakash B hogale for any queries if at all you may have.

Page 20 of 20 Moderator: Thank you members of the management. Ladies and gentlemen, on behalf of Aditya Birla Sun Life Asset Management Company Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

This is a transcriptio n and may contain transcription errors. The transcript has been edited for clarity.

The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy

Call: Nov 2022

ABSLAMCL/ PS/90/22-23 November 2 , 2022

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor
Dalal Street Mumbai -400 001 Plot No. C/1, G Block ,
Scrip Code: 543374 Bandra Kurla Complex
Bandra (East), Mumbai - 400 051
Scrip Code: ABSLAMC

Dear Sir/Ma'am,

Sub: Transcript of the Analyst/Investor Conference call on Unaudited Financial Results for the quarter and half year ended September 30, 2022

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Analyst/Investor Conference call on Unaudited Financial Result for the quarter ended and half year ended September 30, 2022, held on October 28, 2022. The above information will also be available on the website of Company at <https://mutualfund.adityabirlacapital.com> .

We request you to kindly take the aforesaid information on record and disseminate the same on your website.

Thanking you.

Yours faithfully,

For Aditya Birla Sun Life AMC Limited

Hemanti Wadhwa
Company Secretary & Compliance Officer
FCS No. 6477

Encl: As above

Page 1 of 18

Aditya Birla Sun Life AMC Ltd
Q2 & H1 FY23 Earnings Conference Call

October 28, 2022

MANAGEMENT : MR. A. BALASUBRAMANIAN – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER
MR. PARAG JOGLEKAR – CHIEF FINANCIAL OFFICER
MR. PRAKASH BHOGALE – HEAD, INVESTOR RELATIONS

Page 2 of 18 Moderator : Good day ladies and gentlemen, and welcome to the Q2 and H1 FY23 earnings conference call of Aditya Birla Sun Life Asset Management hosted by InCred Equities . As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to

Mr. Jignesh Shial from InCred Equities. Thank you and over to you Sir!

Jignesh Shial : Hi everyone . Good evening and on behalf of InCred Equities , I thank you all for the participation . We have along with us Mr. A Balasubramanian , Managing Director , and CEO of Aditya Birla Sunlife Asset Management. Over to you Sir for the opening remarks and you can go ahead ! Thank you.

A. Balasubramanian: Thank you Jignesh and thank s for the introduction . I am joined by our CFO , Mr. Parag Joglekar and Prakash Bhogale who is incharge of the Investor Relations .

Good evening to everyone for today's investors' call. I hope you all had the opportunity to go through the earnings presentation which is available on the stock exchange and our website. Let me first begin by wishing you all a Happy Diwali and a prosperous New Year. Let me also start the update on the economy and mutual fund industry first and then I will give you a briefing about our Aditya Birla Sunlife AMC performance for the quarter ending September 30, 2022 . Indian economy has been on a steady recovery path with an expected growth between 6.5% to 7% for FY 23. This is mainly on account of the timely policy measures taken by the government of India and the Reserve Bank of India. We have been managing to deliver little better performance compared to the global market which is going through a lot of uncertainty. CPI inflation remains at an elevated level above the RBI target of 4 plus 2% in terms of expectations, as a result of that RBI may continue to remain hawkish for the near future in terms of

policy rates. Policies given by the policymakers, in my own belief , will continue to remain strong force for India's growth to come back. The current uncertainty on the global market continues, global economic activity is cooling off with a number of growth forecast downgrades . Inflation remains elevated despite improving supply chain and the central bank continued to front-load their tightening cycles

Page 3 of 18 by delivering outsized rate hikes. The more synchronized monetary tightening indicates will weigh on growth further. As I speak many policymakers will come with more policy rate hikes . Developed economy rate hikes have made emerging market equities less preferable . FIIs has been net sellers which again is known to all of us but with increased retail and institutional participation Indian stock market has remained buoyant. Higher interest rates have brought back investors' attention to the bond market on account of higher yields that give opportunities being generated for investors for our fixed-income product. The next few weeks will be filled with long Indian festive seasons where domestic spending will be higher this will result in higher earnings expectations with limited downside to earnings during the second half of FY2023. Hence the equity market , in our own belief , it will continue to remain strong and buoyancy will continue on the expectation of earnings recovery.

With respect to the mutual fund industry during the quarter, quarterly average assets under management for the Indian mutual fund industry touched ₹39.04 lakh Crores as on September 30, 2022 , as against ₹37.72 lakh Crores as on June 30, 2022 , and grew by 8% from ₹36.19 lakh Crores as on September 30, 2021. In Q2 FY23, the mutual fund industry witnessed some fall in inflows across various equity schemes on a quarter-on-quarter basis. A significant proportion of inflows came from the Flexi cap fund, mid-cap and small -cap fund, and sectoral fund, and same time retail average asset s under management increased on account of higher MAAUM from both T30 and B30 cities during this period. As on September 30, 2022 , the total number of mutual fund investors stood at ₹14 Crores versus ₹11.32 Crores on September 30, 2021 , an increase of 24% on a year-on-year basis. Continuous awareness initiatives are being undertaken by the whole industry on SIPs. We have seen improved monthly SIP contributions . The overall monthly SIP book was the highest ever ₹12,976 Crores on September 30, 2022. The new SIP registrations have increased marginally as compared to last quarter . The total number of SIP now accounts for about ₹5.84 Crores account . The industry witnessed net equity sales of ₹14500 Crores excluding index funds in Q2 FY2023. However , there was a reduction in the net inflows as compared to the previous quarter where the net inflows are around ₹59,000 Crores. SEBI's relaxation on the NFO s embargo in Q2 FY23 has resulted in NFO sales of around ₹17,800 Crores of which a round ₹10,500 Crores was in equity. The retail investor concentration industry continues to remain in excess of 55% at the same time overall reduction

Page 4 of 18 in fixed income assets is leading to higher dominance of individual mix to the

overall industry AUM .

Coming to the ABSL AMC performance , ABSL AMC has been of course a market leader and continues to remain so , working towards financial inclusion, deepening of financial market , and development of the mutual fund industry as the industry's thought leader. We are well positioned due to our strong parentage and brand and multi-diverse distribution network and experienced investment , and management team. In order to remain future -ready and ensure th

e best of our customers and

shareholders, our area of focus has been delivering sustained investment performance and portfolio differentiation is something we keep emphasizing given the fact that strong investment performance will lead to incremental sales coming in the future that remains one of our pillars and remains one of the high focus areas. Building retail franchise as we have done in the past increasing the geographical footprint, strengthening the multi -channel distribution network , and third growing our passive and alternate assets having created a separate team of people, building the size to the next level remains one of the key area focus and fourth is leveraging digital platforms for customer acquisition by having our product on board on the basis of the performance as well as engagement that we have to create and create a customer experience in the digital platform and finally driving a strong global risk management practices, especially at the time where regulatory frameworks are becoming more and more tighter and therefore increase the governance framework and risk management practices remains the fifth key area of focus for us in building our AMC to the next level. We at ABSLAMC are focused on growing our overall assets under management across different asset categories and our total quarterly average AUM for the quarter ending September 30, 2022 , stood at ₹2.94 lakh Crores, our total mutual fund quarterly average AUM was about ₹2.83 lakh Crores with a market share about 8.2% ex -ETF. Our equity AUM for September 2022 quarter was about ₹1.19 lakh Crores . Our equity mix is at an all-time high of about 42.1% of the overall assets under management that we have today. As stated , customer acquisitions remain an integral part of our strategy. While we have added significant folios in the last number of years to touch 8.1 million folios. In fact, in the last quarter we added about 2 lakh folios in the Q2 FY2023, with that we have an overall folio count of about 8.1 million folios count that we have. Our short -term equity performance which has , of course, gone through its own challenges for a brief period in fact has been now showing an

Page 5 of 18 improvement across all categories. As a result of that , we started seeing some inflows in our mid-cap fund and small -cap fund as well as multi -cap fund. We have seen some positive inflows during the quarter driven by the improved performance and the push that has been given as some of the focused products as the industry also has seen some inflows in this category. We are constantly working towards leveraging the bouquet of existing products while launching new products to build size and scale and increase the product per customer. We have been growing our retail franchise over the last few years with a special focus on increasing our footprint in the B30 market therefore we can improve the market share in the B30 market beyond what we currently have . Building SIP book size we always have a great track record of having a higher market share in SIP that continues to remain a big focus area in order to build in the sticky assets and create long-term value for the investors. We are also creating awareness about multi -SIP features that ease the process of investing in multiple schemes as well as promoting "Har Ghar" kind of SIPs in order to grow our SIP book. As a result of these efforts , we have seen a significant improvement in the current quarter to our overall SIP book outstanding to about ₹931 Crores as against ₹867 Crores as of September 2021. We also added about 2.6 lakh new SIP registration during the quarter. Currently , we have about 33 lakh SIP live accounts with us which again is the highest -ever SIP account that we have today as an AMC. Last quarter in order to incr

ease our brand building as well as create awareness about the mutual fund industry and way of investing and constructing a portfolio we launched the "Pro Portfolio" investor education initiative, which focused on the need to diversify investments across and within the asset class for wealth creation across market cycles. We believe in "Mutual fund Sahi Hai, par Ek Kaafi Nahi Hai" so that is the model in which we are building it in order to encourage more scale to be brought within the equity portfolios in order to have a presence across different

market cap from the portfolio longer term wealth creation point of view. Our multi-channel market initiatives deepen our presence and our market share has yielded a positive result. The virtual relationship manager model which was instituted about few years back has activated over 1,600 distributors and through our "Sampark" again another initiative that we have been undertaking for onboarding new distributors we empanelled 4,400 new distributors we added during the quarter. Customer loyalty, deeper engagement, and service differentiation remain the corner stone of our service-to-sales model which once

Page 6 of 18 again we have created a separate 200 dedicated client personnel from the existing customer service team to take care of the service to sales requirement of the customers as a single point guiding and servicing investor's needs. This in fact has now started giving a little higher mind recall which therefore should actually help in bringing in more participation with these customers as we move forward. With respect to the overall mix between retail and institutional customers, 50% of our asset contribution comes from retail investors as of September 2022. In the same manner, the contribution from B30 cities also has grown to about 16.3%. Our focus on building retail both in the B30 and T30 market remain an integral part of our overall strategy.

On the digital front, we continue to collaborate with early-stage startups to remain ahead of the curve like what we did a few years back in PhonePe where we used to get a reasonably good market share of about 35% and enhanced our process efficiency working with them closely to improve our market share coming from the segment. We onboarded 75% of new customers digitally and currently, 82% of overall transactions are done digitally and 88% of the customers are now serviced via digital platforms. We also empanelled 92% of our new MFDs digitally in the first half of FY2023. Again, coming on the back of the emphasis that we are giving on how digital and technology capability that we are building can help in building the business for our overall AMC. With respect to building the alternate business, our passive product offering has gained momentum in the last two quarters which has grown by about six times compared to the last year about **₹16,922 Crores**. Our existing passive bouquet has grown to over 28 products and we have around 10 products in the pipeline. The customer base in this category has also grown to around 4,53,000 folios. On the PMS and AIF front, we have launched a suite of products like India Equity Service Fund and Asset-Linked PMS which is gaining some traction. In fact, the alternate investment fund that we have launched as a service-oriented fund we have been doing roadshows across the country and hopefully, this should help in having the first big success in the AIF product under ABSLAMC in the last few years. Upon completion of the product of course we intend to launch a few more products in the AIF segment as part of our overall strategy to build AIF as well as build our future profitability. On the offshore front, we have not seen significant momentum. We have maintained of course an overall asset under management

so we have been having

some hopeful expectations that some of my existing clients will add to more

Page 7 of 18 contributions. The expectation has been there for quite some time given the fact that investor experience has been good but yet to see some kind of incremental money coming in from some of our existing customers in the offshore business. On the real estate front, I am happy to share that we have completed the second close of the Aditya Birla Real Estate Credit Opportunities Fund. In fact, upon completion of this in the next month or so we will take this product to the overseas market with Bentall GreenOak to raise money from overseas investors and invest in the real estate market that is also something we will see some momentum coming in the current few quarters.

I will now move on to the financials for the quarter. Our focus continues to remain on achieving a robust asset mix between high-margin equity and debt asset. We would also like to reiterate that our equity mix is an all-time high of 42.1% for the last quarter. In Q2 FY 23, our total revenue (that is revenue from operations and other income) stood at **₹387 Crores** up by 42% on a quarter-on-quarter basis. Our profit after tax stood at **₹192 Crores** up by 86% on quarter-on-quarter basis compared to last year. For H1 FY2023, our total revenue is at **₹661 Crores** as compared to **₹708 Crores** in the first half of FY2022. The profit after tax in the H1 FY2023 stood at **₹295 Crores** as compared to **₹328 Crores** in the H1 FY2022.

With this , I will conclude my initial opening remark. I will open the floor for any questions that you may have . I will be joined by Mr. Parag Joglekar our CFO and Mr. Prakash Bhogale for taking any questions that may have to be answered by both of them . Thank you .

Moderator : Thank you very much. We will now begin the question and answer session . The first question is from the line Swarnabh Mukherjee from B&K Securities. Please go ahead.

Swarnabh Mukherjee: Good afternoon Sir and thank you for the opportunity. Sir , I have three questions first one is on the yields so just wanted to know that slightly higher revenue yield for the quarter sequentially so was this a function of you able to push some increase in yields from the debt side , or is this purely because of a slightly higher mix of equity oriented schemes that is the first question ?

Parag Joglekar : Good evening Swarnabh . The yields are a little bit higher compared to the earlier quarters is mainly due to the mix of assets on the equity slightly gone up compared

Page 8 of 18 to earlier quarters and debt also the mix in between various categories has slightly improved , it is more of a flattish yield on the debt side, not great increase but it is mainly on the equity which has seen slight improvement on the overall mix.

Swarnabh Mukherjee : Ok Sir. In the near future if yields remain at this level on the fixed income side and the interest rates go high up slightly would we be able to push in any kind of expense ratio increase in that segment?

Parag Joglekar : We have been continuously focusing as we mentioned earlier also on strengthening the overall size of our AUM plus improve the equity mix in the overall AUM plus on the debt side we are trying to build long-duration assets which will fetch us slightly higher yields on the debt side also . So that is the overall broader thought process that we have and I think so it will help us to strengthen the yield over the longer duration.

A. Balasubramanian: Just to add to that Swarnabh , in the fixed income space last two quarters we have been trying to build some momentum on fixed income though we have seen momentum coming in fixed income space to a target maturity fund which is a keen to

FMP which does not give you big margin but definitely helps in building market share, at the same time if the likely further hike in interest rates and in all probability once we get a visibility that now we are more or less close to the peak , we have kept two products ready to be pushed among our retail and HNIs to build asset the way we used to have in the past as a dynamic bond fund or medium term plan. These are some of the products which are more mix of HNI and retail oriented products with the reasonably good expenses which can take into account interest of investors first and second of course good margin that will have both for ourselves and for the distribution channels that is something we have already kept in the plan already. The launch of the product of course we are yet to see the momentum given the fact that currently , the interest rate hike cycle continues .

Swarnabh Mukherjee : Ok Sir got it, that is very helpful. My second question is on the employee benefits expense side so I see a slightly sequentially higher trend in the employee expense this quarter and I also noticed that it is similar in the second quarter last year so is there a variable component here or what is the underlying reason for this and also if you could let me know what would be the ESOP cost for this quarter ?

Page 9 of 18 Parag Joglekar : Swarnabh the cost for employees has increased in this quarter mainly due to the increments which have happened during the current quarter which happens in July month for us so that is the main reason for an increase in the cost of the employee side and there were some couple of one-time expenses on staff welfare which we generally do in the second quarter of the year for the staff meetings. Compared to last year it is more or less similar or slightly lower because last year we launched the ESOP plan where by in the first year generally you have larger expenses and structurally it keeps on dropping as the year passes so that is the slight reduction in the expenses on that account so that is why slight drop compared to the last September quarter to this September quarter.

Swarnabh Mukherjee : For the next two quarters take this ₹70 Crores as a run rate for employee expense?

Parag Joglekar : This should be flattish but as we may be beefing up the team on various alternate assets or any other strategy we may want to run , there may be slight increase if we beef up the team on those products.

A. Balasubramanian: Just to add that Swarnabh while we have been quite conscious about keeping the employee cost under control. As Parag explained there is a marginal increase again

due to the increment that has been given plus any new recruit that comes at a little higher cost while that will be the case of course once the output starts coming in as part of productivity which has been one of our big area focus, therefore, the cost will come under check. While that is our endeavor of course we also know how to build the business to the next level we may want of course beef up the talent pool further, if at all we do that then it may probably see a marginal increase in cost at the same time I am only of the belief that as the individual productivity starts getting better that incremental cost may become a very small component of the overall incremental growth that we can expect.

Swarnabh Mukherjee: The last question from my side regarding the alternate assets the AUM has been hovering around ₹11,000 to ₹12,000 Crores mark for the last three quarters wanted to know from your side how to think about this number over the next couple of years and how can we think about also the yields coming from this segment. Thank you.

Page 10 of 18 A. Balasubramanian: One as a need for

building alternate business – one set up a separate vertical with few quarter backs which at the beginning of this year only we did that and now they have put things in place including the product, second is the new leadership team that we have beefed up to head our PMS who has got about 25 years of experience he came on board about the month of July. Since he has come on Board, we have launched our first AIF product which we are hopeful of closing this product first. Once it is done we can have a series of launch in line with what we believe as a team that we can offer to the HNI customers that is something we do have a plan, these are as far as AIF is concerned. As for the real estate concern after almost 10 years of break after launching the first product we never launched any product now we have seen the first success of the real estate product where we intend to take you to the next level and third which we believe that interest rates having gone to where we are today and we also believe that the corporate bond spread will widen therefore it will provide an opportunity to launch credit opportunity fund in the AIF space. There is also something we have now kept in place a product where in we have taken approval and that will also be launched as part of the product offering exercise and lastly I would refer to the offshore as I mentioned has remained flat close to about ₹10,000 Crores size. We have not done incremental contribution coming, though the business itself fund its own it but has not been highly productive from the business growth point of view which we believe is a function of interest rate differential, the function of FII flows in the country, and function of leverage benefits that overseas investors will get invested in India. Once we see some change in that I think probably we will push through some success as far as offshore business is concerned, therefore bringing in some incremental profitability and lastly some of our existing customers offshore who have been adding to the profitability we have been making appraised given the fact that we have delivered our best performance for the last 15 years for these customers and they are supposed to give incremental money and hopefully we are able to get that without increasing additional cost that can add to the overall AUM growth as well as profitability. These are some of the expectations that we have kept and putting things in place to ensure at least we have a push that we are able to give for this asset class given the fact it can keep the cost under control and at the same time add to our overall profitability.

Swarnabh Mukherjee: Sure Sir very helpful just in terms of yields would this be more profitable than our equity segment or at a single level?

Page 11 of 18 A. Balasubramanian: For alternate assets, the aim is to have higher profitability compared to the mutual fund I think that is what we would aim except the only difference that comes in AIF is you pay an upfront commission which again over a period of time it gets recovered. That's the only difference that we are able to see between the mutual fund & AIF but that is the way AIF is also being sold otherwise our endeavor would be to have a higher contribution of margins coming from the AIF space.

Swarnabh Mukherjee: Sure, got it. Thank you so much. That is all from my side.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal Financial Services. Please go ahead.

Prayesh Jain: Good evening, everyone. Sir firstly now a much broader level question probably from an industry perspective more than particularly from the Aditya Birla AMC perspective so we have seen the industry going through a period where the core

profit except other income has been very

muted or declining in the last few

quarters, this quarter possibly we have seen some uptick coming in because the yields have improved for most of the AMCs, but from a medium term perspective say two-to-three-year perspective do you think that the industry can actually report a strong profit growth mainly given the fact that yields will be under pressure going ahead or it will improve, or I understand most of them to have a lot of scale benefits but primarily from a yield perspective do you think that the profitability of the AMCs can see some improvement going ahead?

A. Balasubramanian: Thanks Prayesh for this question. The way I see like three to four years one as you rightly put it the scale benefits will continue to be one of the major contributor to the profitability it may not increase in margins it may actually increase in absolute profit that I think will remain. Second is in terms of profit contribution well of course in the equity side there has been quite discipline being maintained in terms of the payout ratio and so on and so forth that is something we are now seeing the discipline coming in. To the extent we can probably see a marginal improvement on the margin, not a significant improvement that could be expected given the facts they are all mostly streamlined in terms of payout ratio and so on and so forth and third which I see in the last three years, especially in the fixed income has been not a so great year given the fact interest rates were low, high margin products in the fixed income were also very low and we as a fund house have had

Page 12 of 18 a huge success in terms of increasing the contribution when the rates were high, yields were high, portfolio returns were high in order to get higher participation from investors as well as the margins coming in, in terms of incremental profit, which my own belief is in the next three years you will see some contribution coming in the fixed income product. While one can argue within the fixed income space the target maturity fund which is nothing but an index fund is also growing, therefore, the margin could be under pressure one can probably argue in that space. At the same time, I believe that this segment will be largely suitable for institutional customers and HNI customers but medium to retail customers would largely participate in the open-ended debt funds which will have a little higher margin at the same time not so high expenses so to speak at the same time give a satisfying experience that to the investors can get it. That is the way I see this coming in from the mutual fund contribution to the overall assets under management profitability.

Prayesh Jain: Just on the equity yields do you think that we are kind of close to bottoming out in terms of yields or there is still some headroom wherein we just continue to see equity yields falling by another say two or three bps every year for the next few years?

Parag Joglekar: So Prayesh as you know that as the increase in the size of the TER goes down so there will be some impact of that calculation but as the size goes up the absolute amount will increase on the equity contribution on the fee side. There may be a slight drop on the overall bps basis because the size will grow up and the TER may drop, may have some impact maybe another couple of years on the yields as the bps to an AUM.

A. Balasubramanian: Prayesh that is a good problem to have actually in the fact that size is growing and increase in absolute profitability. Any logical pressure coming in on the margins as generally is being perceived. See more than a margin pressure on the existing schemes the shift of assets from active to the passive if it happens then you will see that margin coming in but my own belief

is at least for the next three to four

years active will continue to have a dominant presence and ETF will, of course, have faster growth, therefore, the convergence should happen maybe in the next three to four years in terms of margin drop because of ETF has grown not because of the active fund's margins have come down.

Page 13 of 18 Prayesh Jain: Sir another element of this has been the transition of or transfer of legacy assets to the new assets where possibly at what level would the industry be at possibly now closer to 75% to 80% would have been converted from legacy to new assets or we are still at around like 50% to 60% mark?

Parag Joglekar: Prayesh it is difficult to comment on that but as it is almost three years time period has gone up from upfront to trail model, I think so over maybe another couple of

years it should be replaced because generally industry see around three to four years of retention aging and that should be the case.

A. Balasubramanian: The expectation is we should build around three to five-year kind of holding period but in fact, in the time we move to the trail model, in general, the holding period only has gone up. Normally the turn happens either for moving from even today one may take credit that NFOs are adding more assets I think we must note that 50% of the money in the NFOs come from either switch or moving from one fund to another fund that is the only assumption we have to make which is basically the number as well. In terms of holding period, I think since the SIP has become a large component of the assets we will probably see the holding period getting tilted more in favor of the longer term because SIP book contribution in overall assets under management now keeps rising.

Prayesh Jain: Interesting. Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: Good afternoon, Sir. Sir, I have two questions. Firstly, on your distribution side in the distribution mix we are saying that there is a decline in the AUM which is coming from the banking channel so could you share some light over there also could you talk about the market share and the incremental flows which we are getting from the banking channel?

A. Balasubramanian: Banking channel contributions largely were on account of withdrawal of fixed income space where we saw some withdrawals in the STP or corporate bond fund category, but that is something that resulted in a marginal dip, the absolute number has not fallen but there is a drop in the market share as a result of this. Second, we

Page 14 of 18 have also seen an improvement in contribution coming from the ND Channel, especially in SIP we have seen an improvement of contribution coming from the ND channel, the lead ND channels that we have in the country and we have seen some improvement contribution coming on the SIP side therefore the contribution in overall assets under management has gone up and third is because of the outflow on the fixed income space even the institutional side, therefore, that contribution also gets a little higher because of some outflow that has happened on the fixed income space. It is a combination of these two things, the absolute number, if you have to take there, has not been any kind of significant drop in the absolute number.

Lalit Deo: Sure, Sir and Sir one data-keeping question could you tell us about the SIP AUM size as of September 2022?

Prakash Bhogale: It is ₹51,000 Crores.

Lalit Deo: Sure Sir. Thank you, Sir. That is all from my side.

Moderator: Thank you. The next question is from the line of Dipanjan Ghosh from Citigroup. Please go ahead.

ease go ahead.

Dipanjan Ghosh: Sir there are two to three questions from my side. First, you have highlighted your SIP contribution including from the ND channels if you can also break up your incremental SIP flows across channels that will be helpful, second if I look at your SIP registration market share that seems to be on the lower side so just wanted to get some sense of is it some particular channel where your SIP registration market share is on the lower side and lastly one data keeping question if you can mention the number of employees that you had as of September 30, 2022?

A. Balasubramanian: As far as the SIP contribution is concerned one of course the dominant share is coming from IFA, second dominant is coming from ND channels and third we are part of the drive with some of the banking channels SIPs such as a large bank like HDFC Bank and few others. Our SIP contribution has been coming from these three channels and fourth of course there is a marginal dip in the digital channel in terms of incremental contribution. I think if you look at the SIP registration. For your second question SIP registration in general for the industry has dropped about

Page 15 of 18 to 6.22 million which used to be in the range of close to about 7.55 million last year. In general, we have seen a dip in the SIP registration but however, for us the SIP registration normally we count per month is about 1 lakh SIP registration we normally account for 1 to 1.2 this quarter was about marginally lower in line with the overall drop in the SIP but something while the registration was relatively lower compared to the previous quarter but we have increased the absolute amount to ₹930 Crores. That has again come on basis of a special focus that we have

brought in, in order to add more S IPs with high-value ticket items which could come in the form of three to five years kind of registration that they can do to the STP combination as well as pushing through the target for absolute number is also equally important while you are focusing on SIP registration. That is something our sales team has been successful in, in fact, we keep pushing the team for retail across the country in order to increase the monthly contribution from ₹930 Crores to a higher number the peak number that we used to have about ₹980 Crores so one question of course often comes is SIP market share dropping I must mention the current S IP run rate that we have was built on the back of having 14% market share for an almost conservative period of four to five years till 2019 and given the fact that increased participation coming from more and more players and everybody is focusing only on S IP that something has dropped to some bit of market share on registration but otherwise our focus has been on building what we call absolute S IP contribution on a month-on-month basis. With respect to the digital channel I just mentioned, the digital channel is purely on a basis of whatever algorithm they build it can keep moving from one point to the other fund, even a smaller fund will get the algorithm so we have roughly about 7.5% kind of market share in the digital channel which is about 78 channels that we track anywhere between 6% to 7% but as we start we are taking some efforts to make sure some of the products are coming as part of recommendation list I think that something can gain momentum as well, but broadly if we have to see the focus on building S IP is back on track that is what you will see the number coming in reflecting on the ₹930 Crores contribution as against ₹898 Crores of last quarter.

Dipanjan Ghosh: On the number of employees?

Prakash Bhogal e: It is 1,351.

Page 16 of 18 Dipanjan Ghosh: You mentioned on

the yield trajectory over the next two to three years but can you quantify the difference between your current yields on fresh flows on the equity side versus your extreme blended yields on the equity basis?

Parag Joglekar : Our yields as we mentioned always that generally the sharing with our distributor is in the similar range of around 60% to 65% of our DT ER and the company makes in the range of around 30% to 35% odd percent of the overall DT ER so that remains for us on the new flows.

Dipanjan Ghosh: Got it. Thanks, and all the best.

Moderator : Thank you. The next question is from the line of Ravin Kurwa from ICICI Securities Limited . Please go ahead.

Ravin Kurwa: Sir I just wanted to get back to the question where you mentioned that there are two products in the fixed income category which are ready to be launched so have they been launched in this Q3 or they are just ready to be launched?

A. Balasubramanian: We already rolled out the presentation of a dynamic bond fund with the renewed strategy that we used to have in the past and medium-term plan which again one of the largest funds for us using a mix of good credit and high-quality papers, there is also something we are now repositioning the product, we were not doing it earlier in the past given the fact that we had a few assets which were yet to be rectified in the portfolio from a recovery point of view which got done in the last quarter. With that now, we are seeing an opportunity for the fund also can be renewed from the point of your promotion to the retail and medium HNI investors.

Dynamic bond fund we have already launched it we had multiple round of calls and as I mentioned earlier given the current interest rate volatility we will, of course, give a push once we believe that now it is time to build size in this and we have chosen these two products for two reasons, one the portfolio yields are now getting better so that expectations from investment can be met those who come into these funds as an alternative to bank fixed deposit, second is as far as asset allocations compared to equity versus fixed income and third is we used to have great success significant contribution coming from these two segments of product offering in the past that is something we believe that a similar success story can be created for the future, therefore those two funds we are positioning on that.

Page 17 of 18 Ravin Kurwa: Sir can you guide me on the yields on these two products?

A. Balasubramanian: In terms of current expenses versus expectations ?

Ravin Kurwa: Yes.

Parag Joglekar : Ravin I do not have the number handy. It is there on our website on the TER side

but it is more than around 1% to 1.25% type

Ravin Kurwa: Okay that is really helpful. Thank you.

Moderator : Thank you. There is a follow-up question from the line of Dipanjan Ghosh from Citigroup. Please go ahead.

Dipanjan Ghosh: Sir one data-keeping question you can quantify your ESOP expense for the quarter and how do you see that trajectory for FY 24 and FY 25?

Parag Joglekar : Dipanjan it is more similar in the range of around ₹8 odd Crores for the quarter .

Dipanjan Ghosh: Any guidance for FY 24?

Parag Joglekar : As I mentioned earlier that it is generally a 40:30 : 20:10 sort of a drop in this thing so over the period it should drop so this is currently the second year first half so it may continue in the similar range for the next couple of quarters and then it will drop further.

Dipanjan Ghosh: Thank you.

Moderator : Thank you. As that was the last question for today that the management could answer . I would now like to hand the conference over to Mr. A. Balasubramanian, Managing Director and Chief Executive Officer for closing comments.

A. Balasubramanian : Thank you very much ladies and gentlemen

for tuning in and with this , we

conclude our Q2 and H 1 FY2023 earnings call. Do feel free to reach out to us to

Mr. Prakash Bhogale who is our IR in charge for any queries that you may have.

Thank you and have a nice weekend.

Page 18 of 18 Moderator : Thank you. On behalf of Incred Equities that concludes this conference. Thank you for joining us. You may now disconnect your lines.

This is a transcript and may contain transcription errors. The transcript has been edited for clarity .

The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy .

Call: Feb 2023

ABSLAMCL/ PS/108/22-23 February 3 , 202 3

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor
Dalal Street Mumbai -400 001 Plot No. C/1, G Block ,
Scrip Code: 543374 Bandra Kurla Complex
Bandra (East), Mumbai - 400 051
Symbol : ABSLAMC

Dear Sir / Ma'am,

Sub: Transcript of the Analyst/ Investor Conference call on Unaudited Financial Results for the quarter and nine months ended December 31 , 2022

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Analyst/ Investor Conference call on Unaudited Financial Result for the quarter and nine months ended December 31 , 2022, held on Saturday, January 28, 2023. The above information will also be available on the website of Company at <https://mutualfund.adityabirlacapital.com> .

We request you to kindly take the aforesaid information on record and disseminate the same on your website.

Thanking you.

Yours faithfully,

For Aditya Birla Sun Life AMC Limited

Hemanti Wadhwa
Company Secretary & Compliance Officer
FCS No. 6477

Encl: As above

Page 1 of 15

Aditya Birla Sun Life AMC Limited
Q3 & 9M FY 23 Earnings Conference Call

January 28, 2023

MANAGEMENT : MR. A BALASUBRAMANIAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICE
MR. PARAG JOGLEKAR – CHIEF FINANCIAL OFFICER
MR. PRAKASH BHOGALE – HEAD, INVESTOR RELATIONS

Aditya Birla Sun Life AMC Limited
January 28, 2023

Page 2 of 15

Moderator: Ladies and gentlemen, good morning, and welcome to the Q3 FY '23 Earnings Conference Call of Aditya Birla Sun Life Asset Management Company Limited, hosted by InCred Equities. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jignesh Shial from InCred Equities. Thank you, and over to you, Mr. Shial.

Jignesh Shial: Yes. Thank you, Michelle, and good morning, everyone. On behalf of InCred Equities, I welcome all to this Aditya Birla Sun Life Asset Management Q3 FY '23 Earnings Conference Call. We have along with us Mr. A. Balasubramanian, our Managing Director and CEO; Mr. Parag Joglekar, Chief Financial Officer; and Mr. Prakash Bhogale, Head, Investor Relations. We are thankful to the management for allowing us this opportunity.

I would now like to hand over to Mr. A. Balasubramanian, Managing Director, and CEO of Aditya Birla Sun Life Asset Management for his opening remarks. Over to you, sir.

A. Balasubramanian: Yes. Thank you. Thank you for the introduction, and good morning to everyone. I hope you all had the opportunity to go through the earnings presentation, which is available on the stock exchanges and our website. Let me, first begin by wishing all of you a happy and prosperous New Year, as we begin 2023. And let me start with the updates on the economy and mutual fund industry.

On the economic front, 2022 was the year of re-setting and recalibrating. From the old theme of easy liquidity and extremely low-interest rates, 2022 saw one of the fastest and highest interest rate hike cycles. The highest rise in global inflation was accompanied by the highest fall in NASDAQ stocks. Erosion in equity value and an increase in bond yields resulted in one of the largest mark-to-market losses in the world economy. The US government bond represents an inverted yield curve with a 10-2 year inversion at more than 50 basis points indicating risk-off sentiment as a result of concerns fuelled by recessionary pressures in the US.

We recently came out with our Annual Investment Outlook for the year 2023 and as per our research and analysis, we expect inflationary pressures in India to ease based on expectation of normalization of high food inflation and supply chain. Moreover, the moderation in global inflation will also aid in domestic inflation management and also mean that the pace of rate hikes is normalising. We expect the terminal rate to settle at 6.5% for India in FY23.

We expect credit growth to pick up big time. And while urban consumption will continue to drive growth, one can expect a revival of rural consumption from the slowdown seen in 2022.

While global headwinds will continue to pose challenges in 2023, India is in a relatively better

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position with a more domestic demand-driven economy, political stability, increased government spending, supported by robust tax collection and an uptick in private capex boosting investment going ahead. And over a longer term, positive levers in the form of strong political leadership driving the pace of reforms, demographic dividend and China +1 strategy, domestic manufacturing, and digital push should drive India to become the third largest economy by 2030. With respect to the mutual fund industry, during the quarter, quarterly average assets under management for the Indian mutual fund industry touched ₹40.25 lakh crores as on December 31, 2022, as against ₹39.04 lakh crores as on September 30, 2022. The industry

grew by 5% to

₹38.19 lakh crores from December 31, 2021.

In Q3 FY23, the mutual fund industry witnessed some fall in inflows across various equity and ETF schemes on a quarter-on-quarter basis. A significant proportion of the inflows came from small-cap, mid-cap, sectoral funds, and larger and mid-cap funds. As on December 2022, the total number of mutual fund investors stood at 14.29 crores versus 13.99 crores on September 2022, an increase of 2% on a quarter-on-quarter basis.

Continuous awareness initiatives in SIPs have improved monthly SIP contributions. The overall monthly SIP book was the highest ever at ₹13,573 crores in December 2022. The total number of SIP accounts was about 6.12 crores.

The industry witnessed net equity sales of around ₹12,100 crores, excluding index funds in Q3 FY23. However, there was a reduction in net inflows as compared to the previous quarter, where the net flows were around ₹14,500 crores. NFO contributed around ₹21,000 crores, of which around ₹8,700 crores had come in equity and rest of it came in fixed income schemes. In general, equity flows have been coming down mainly on account of the prevailing interest rate scenario.

On account of continuous awareness compliance by the mutual fund industry, the overall retail concentration in the industry has increased in excess of 57%. However, an overall reduction in

fixed income assets is also leading to a higher dominance of individual mix to the overall industry AUM.

Coming to ABSLAMC's performance. ABSLAMC has always been a leading investment manager that has committed to working towards financial inclusion, deepening of the financial market, and development of the mutual fund industry.

Therefore, in order to build business scale and ensure long-term value for our customers and shareholders, our areas of focus are - scaling retail franchises and diversifying product offerings, expanding geographic reach and strengthening multi-channel distribution network, and leveraging digital platforms to deliver best-in-class service. And all of this is driven by strong and robust risk management and governance framework.

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Our total quarterly average AUM for the quarter ending December 2022 stood at ₹2.93 lakh crores. Our total mutual fund quarterly average AUM was ₹2.82 lakh crores with a market share of about 7.9% ex ETF.

Our equity mutual fund AUM for the December 2022 quarter was at ₹1.20 lakh crores. Our overall equity mix stands at 43%.

Customer acquisition remains an integral part of our strategy. We added about 0.1 million new folios in Q3 FY23 and with this, our overall folio stood at 8 million customer base.

Our investment performance has been steadily improving under the pro-investing concept where we are currently promoting such as Large Cap, Flexi Cap, and Balanced Advantage Funds would remain the core portfolio of every investor. In addition to this, we also have a good performance track record of thematic funds. At the same time, we still have some distance to cover some of the other key funds, which hopefully should help in improving the flows in the coming period. And fixed-income dominance continued to remain a focused area in the current interest rate environment and we have launched products in the fixed-income category to provide solutions to the customers. In fact, we have an early mover advantage of launching the Target Maturity Fund during the year. Our continuous efforts are in leveraging a bouquet of existing products while launching new products to build size and scale. We have been growing our retail franchise over the last few years with a special focus on increasing market share in B30 cities. We have seen a marginal improvement in our B30 market share in this quarter.

Building the SIP book is our current constant endeavour to ensure c

ustomers stickiness and long-

term value for investors. We are also creating awareness about the multiple SIP feature that eases the process of investing in multiple schemes as well as acts as an effective tool for goal-based investing. In order to further increase our SIP book, we have launched Turbo SIP linked to the market valuation, perquisite SIP that will target mid-sized corporate employees, Sahyog SIP will target employer to employee, and Sampoorna SIP on the lines of Freedom SIP.

As a consequence of this, our monthly SIP book increased from ₹892 crores on December -21 to about ₹942 crores as of December -22. Currently, we have around 32.6 lakh live SIP accounts with us.

Our multi-channel market initiatives to deepen our presence and market share have yielded positive results. The virtual Relationship Manager model has activated 2,200 distributors and through Sampark, our distributor onboarding initiatives, we empanelled over 6,500 + distributors.

Customer loyalty, deeper engagement, and service differentiation remain the cornerstone of our service-to-sales model. Currently, around 230 dedicated trained professionals have been deployed to act as a single point contact for guiding and servicing investors' needs.

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With respect to our overall mix between retail and institutional customers, 51% of our asset contribution comes from retail investors as of December 2022. In the same manner, the contribution from B30 Cities also has grown to 17%. Our focus on building retail both in B30 cities and the T30 market remain an integral part of our overall strategy.

On the digital front, we continue to collaborate with the fintech partners to increase overall digital engagement and also its contributions. We have onboarded 75% of our new customers digitally. Currently, 84% of the overall transactions are done digitally and 89% of customers are now serviced by the digital platform. We also empanelled 91% of our new MFDs digitally in the last 9 months ending December 2022.

Passive and alternate asset business. Our passive products offering grew by 4 times to ₹21,619

crores as of December 2022. Our existing passive bouquet has grown to over 35 products and we have around five products in the pipeline to be launched. The customer base in this category also has grown to around 4,75,000 folios. Also, we are an industry leader in a Debt Index fund, which grew by about 24% quarter-on-quarter and around 5 times on a year-on-year basis. On the PMS and AIF front, we have raised a commitment of about ₹350 crores in India Equity Service Oriented funds in Q3 FY23. And likely to close this fund by end of March this year. And we also have four products in the pipeline under AIF to be launched in the next few quarters. On the Offshore front, we have been granted approval by the International Financial Services Centres Authority (IFSCA) which is GIFT City to act as a Registered Fund Management Entity in the non-retail side at GIFT IFSC. The prospectus for the ESG engagement fund has also been filed and we got the approval also for launching this fund very soon. On the Real Estate side, we are collaborating with Bentall Green Oak, which is Sun Life's arm based out of New York to conduct roadshows for Offshore Real Estate Fund, and soon we'll start seeing the impact of this coming in as we start the engagement at the ground level for raising funds.

Now moving on to the financial numbers, in Q3 FY23, the revenue from operations is at ₹314 crores versus ₹311 crores in Q2 FY23. In Q3 FY23, operating profit before tax is at ₹174 crores versus ₹173 crores in Q2 FY23. For the 9M ending December 2022, revenue from the operation is at ₹930 crores as compared to ₹969 crores in the 9M FY22. Operating profit before tax, excluding extraordinary items, for 9M ending Decemb

er 2022 is at ₹518 crores as compared to ₹566 crores for the 9M FY22.

With this, I would like to conclude and open the floor for any questions that you may have.

Moderator: We have the first question from the line of Swarnabha Mukherjee from B&K Securities, please go ahead

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Swarnabha Mukherjee: So, I have three-four questions. First one, if you could let us know whether like we had - there was a comment during last quarter's call that because interest rates are hardening, and we'll get a higher rate on the debt products. So, are we able to now garner higher yields on the debt side? Or is the fact that our overall revenue level yields are holding up is primarily a change in the asset mix? So, I wanted your comment on that.

A. Balasubramanian: We'll have Parag to answer this question.

Parag Joglekar: So, on the yields are holding up, as you rightly said, one of the reasons is our asset base is slightly getting better towards equity and long duration fund. But it's just a starting, it will take a little time, a couple of quarters to see a big impact, which we are thinking that once the interest rate gets hardened, the duration product will see flows in those schemes.

Swarnabha Mukherjee: Sure Sir.

A. Balasubramanian: Just to add to this Swarnabha, we have positioned some of our fixed-income products. The three products we already positioned both for retail as well as for institutional customers. And while we have been promoting it quite continuously, citing the opportunity to build fixed income as asset class this financial year, the real flow is yet to start coming in. Given the fact -- only now we believe that rate cycle -- a big rate cycle will come in soon and portfolio yield will start reflecting the real outcome that can add to the customers. And also, we see flow coming in from now onwards. Probably we have kept ourselves positioned to have those products readily available. So that, the readiness will ensure that flows come in. That's the way we are positioned right now.

Swarnabha Mukherjee: Ok Sir, that's great. So, a follow-up on this. So, does this mean that say, for example, the general -- I mean, a general stance that we see, is that we expect in the industry because of the increase in assets as well as you know what had played out in terms of the commission for the newer flows on the growth-oriented side also that there will be a dilution in the yields also going ahead, more a secular trend. But in the near term, so maybe over the next three, four quarters as this -- what you said it plays out, then should we see some stability in yields for the next three, four quarters? Would that be a right assumption?

Parag Joglekar: Yes. So currently, as you rightly said, equity, we may see some dip due to the new asset coming at slightly higher costs compared to the stock, but if the composition of equity goes up and the long-duration product goes up in the overall AUM, then we may see stability in the yields depending on the what mix it plays out over the period.

Swarnabha Mukherjee: Sure. So, I mean, just to harp on that point a little bit. So, if equity also increases in the mix where it is much higher, even at a slightly lower rate than what we have seen earlier, but it is much higher than the blended yield that we have. And also, we are able to push in a slightly higher yield on the debt side. Then I mean, ideally, it should stabilize, right? So, that's what I wanted to confirm, because both these levers will move on

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A. Balasubramanian: Yes. I think your assumption is right. I think that should stabilize for the reason I already just explained. Even the fixed income, the active managed fund also starts growing, that the incremental contribution could also come from there

. So, therefore, these two combinations put together and with the growth of Index Funds, which is lower margin assets. But still, overall, we'll be to maintain at least the near immediate future.

Swarnabh a Mukherjee: Bala sir, could you name the products that you mentioned that you have positioned for both retail and institution to capture this higher yield cycle?

A. Balasubramanian: Yes. One is the low duration fund on the 9–10-month kind of category. Dynamic Bond Fund is about two to three years duration period and medium-term plan, again with about two to three years duration and Credit Risk Fund, which, of course, goes down in terms of credit curve to AA, AA-. These are the four funds we have positioned as retail concerns.

As for institutional customer concerns, at this point of time, most of the inflows have been coming from the target Maturity Fund. At the same time, we have positioned ourselves with the elevated yield on the one-year rate as well as about two years rates, right from money market funds to the corporate bond fund we have positioned, including floating rate funds also we have positioned as far as the corporate concerns. And these are the funds that are identified clearly for both HNIs and retail and corporate. Sufficient push is being given around the positioning point of view.

Swarnabh a Mukherjee: Okay Sir, very helpful. Sir, now a question on the channel side. So, what I see over the last two quarters, of course one queue in terms of AUM if we look, it will anyways look like a blip because the market was down significantly, so there is an MTM impact. But if I look at Q2 and Q3, what I can see is that a higher share of growth is being borne by the MFDs and the national distributors, while in the bank and the direct channel, there the numbers have been tepid. So, I wanted to understand, so banks I believe that there are also a lot of variables at play, but in direct why it has particularly in this quarter, AUM gone down slightly. So, if you could comment on what is happening on this side?

A. Balasubramanian: Since direct is a combination of one, the reduction in the fixed income assets. I think we have seen net outflows as far as the actively managed debt funds are concerned. I think most of the money has moved to the liquid fund, and some money, of course, which has moved out, I would assume would have gone to the deposits, the deposits during the last quarter, priced by banks are also pretty high. I think mainly this is on account of that. But the channel contribution from IFAs is also looking up.

I wouldn't think we can attribute this to the real incremental growth income. It's more of a mix of assets, it would have also did that contribution coming from IFAs. But the direction is mainly the reason why I just mentioned it.

Swarnabh a Mukherjee: So, even in the equity sourcing numbers that you provide in the presentation, I think there is a slight dip in direct this quarter. So that was my question?

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Parag Joglekar: So, it is not major. It's a slight dip in direct compared to MFD because there may be some movement that has happened in the direct AUM and institutional customers. And there may be some movement on the MFD side of a higher share of the sales, which has happened. But there is a very small movement that has happened.

Swarnabh a Mukherjee: Just two bookkeeping questions. One is if you could tell me the reason why the fees and commission expenses were slightly higher this quarter. And second, if you could share the SIP AUM number at the end of the quarter, sir? Thank you.

Prakash Bhogale: Swarnabha, it's ₹53,000 crore.

Swarnabh a Mukherjee: Okay. And on the fee and commission, sir.

Parag Joglekar: Swarnabh a, the fees, and the commission has gone up slightly because we have launched a new AIF product in the current

quarter for which we collected ₹350-odd crores of commitment on which the brokerage, which we have given or commission, which we have paid out, that has been sitting in that line.

Swarnabh a Mukherjee: Okay, sir. So, this won't be a recurring number, right? So, this is a one-off?

Parag Joglekar: No. It will be recurring because it's more of a trail which gets paid.

Swarnabh a Mukherjee: Thank you so much Sir for the detailed explanation.

Moderator: We have the next question from the line of Lalit Deo from Equirus Securities.

Lalit Deo: So, I had a question on the SIP inflow. So, while there has been an increase in the absolute inflows, it seems like we have lost some market share also in the inflows as well as in the new registrations also. So, just wanted to understand like how are we positioning ourselves to recoup some of this lost market share. I wanted your comments on the same.

A. Balasubramanian: Yes. Thanks, Lalit, for this question. For the SIP flows, what we have understood on the basis of the analysis, the large SIPs incremental subscriptions have gone into the funds, which are outside the Nifty and the Nifty 50. Basically, gone more towards small and mid-cap and to some extent on the large and mid-cap, which is what I think has seen net inflows. In our case, of course, these three funds generally do not receive as much flow that we shall receive.

But most of the flows for us, the registration has come into our existing flagship fund. But from an industry point of view, the large flows have whatever the incremental flows have come on to this. That's the primary reason because which our registration rates were marginally low. Though industry also have seen a reduction in the registration on compared to the overall basis.

In our case, this was the primary attribution. That's something which I just mentioned in my speech as well that there are a few funds where we have to catch up with respect to the

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performance, we have to cover some distance. I think once we are done, then the positioning could also happen.

And second, we also launched a few of the SIPs to like Turbo SIP I just mentioned about. We also launched a few other newer SIPs as a product. And again, it's being driven the distribution community as well as the sales team to bring in some kind of traction. Some of newly launched features in the SIP side.

Lalit Deo: And sir, like in your earlier comment, you mentioned that there have been some outflows in the fixed income funds where the funds are being slightly moving towards the deposit sides due to the higher rates being offered by the bank. So, how long do you think that this trend could continue in the future? And like since when do we expect that we can get a high good share of inflows in the debt side?

A. Balasubramanian: I think the way we see is while it will be difficult to actually predict how far the banks will be aggressive in terms of raising deposits. Given the high credit deposit ratio, which is more in the range of about - growth is about 130%. That being the case and our own belief is this may at least carry on for at least this year till March ending. At the same time, we also believe that as the credit demand continues to rise, we will probably see marginal uptick in the yields, especially for spreads widening and that's the time the risk-reward ratio, including adjusted for tax benefit, where mutual fund would become more attractive. Once the rate stabilizes, which is what we believe that once the rate stabilizes, I think there will be stability both in the deposit rates which is being offered by banks as well as lending rate and the market rate stabilizes, then mutual fund will become more attractive compared to the other fixed income instruments. So, that we believe that could happen in the 2023 second quarter onwards.

Lalit D

eo: Thank you sir.

Moderator: We have the next question from the line of Prayesh Jain from Motilal Oswal Financial Services.

Prayesh Jain: Sir, just a few questions. Firstly, in December, the SEBI had come out with a press release with regards to reconsideration or the restructure and all the other expenses that the AMC charge. And I think additionally, yesterday, there were some media articles which have kind of outlined some contours, which the SEBI is kind of considering wherein they're talking about capping the TERs at the scheme category level and also subsuming the GST and the brokerages, which are out of the TER currently into the TER. So, your thoughts there as to whether what kind of, what kind of things the SEBI is considering or how this could pan out and how could really this impact the yield for you guys if such things are being brought across? That would be my first question.

A. Balasubramanian: Yes, sure. Thanks, Prayesh for this question. Of course, there is a deliberation within SEBI and SEBI always drives this decision through with MF Advisory Council, which is setup for the development of the mutual fund industry. In fact, I'm also part of a member of this MF Advisory Council. The deliberation has been how the investors can benefit as a form of reduction

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expenses, which basically are coming from the fact that the industry has been growing steadily each year.

Now it has reached about ₹40 lakh crores size. Some bit of scale benefit should come to the

investors and at the same time, the overall AMC growth should continue to be the driver of the Indian economy. And these two aspects, they have of course in their mind. There is a deliberation in order to relook at the current infrastructure and look at the merit of whether it can be further reduced. At the same time, the industry continues to add more customer base and go to the next level of growth.

The way I see is and as it is basis assuming the scenario that they go by what they are saying, then of course, there will be a need to look at the cost structure on one side and an operating model on another side. At the same time, focused on volume. The way so far, we have built in the last almost seven eight years despite the fall in the expenses as you would have seen the glide path given in the year 2018, higher the AUM lowered the expenses. And despite living in that kind of scenario, AMCs have been able to adjust and continue to build a scale, continue to build expansion. At the same time, generate absolute profit, which is a free cash flow generation that they do and also bring in absolute profit bringing in which is largely coming on the back of the scale benefit. So, that's the way I will see it.

To what extent the reduction in margins could come at this point in time, is very difficult to gauge. Given the fact that whatever is being discussed, is just deliberation and the industry has been making a representation, the need for industry growth over the next level, the need for distribution expansion, and an increase in further growth in equity AUM, in order to give more stability to the capital market, given the fact the FPIs continue to remain a seller in the market, all these representations are being done.

And till such time, the debate happens, the discussion happens, very difficult to come to any conclusion at this one point in time, how it could impact. Anyway, that comes, of course, the operating model also needs to be suitably looked at to ensure that they remain profitable in terms of absolute growth and absolute profit increase. Maybe the time will come we may have to actually measure the factor on the basis of the absolute profit that is on the table rather than the basis point contribution.

Prayesh Jain: Bala sir, in this context, would we look at so this is something of the sort is implemented, this

would mean two things. One is a reduction in distribution and commissions. Secondly, this could also impact the AMC yield. So, in a way, doesn't this kind of go against the philosophy of expanding the reach, especially in the current scenario where we want to enhance the reach in the B30 and deeper penetration of financial products? If distributor commissions are kind of impacted further, then why would the distributor be keen to distribute these products further? And like especially on the competitive product, if you look at the insurance sector, we've seen that the expense of management ratio has kind of been completely getting deregulated wherein Aditya Birla Sun Life AMC Limited
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they just capping the 30% expense of management and the commissions could go higher as well going ahead. So, in that sense, the competitive products will get better commissions. So, what incentivizes the distributor to sell mutual fund products over other products?

A. Balasubramanian: Sure. That is the representation, there's the discussion is on Prayesh. As I rightly pointed out, the industry still needs to grow bigger and mutual funds gained significant prominence and under which we have now grown to where are we today in terms of size, ₹40 lakh crores size, the ₹20 lakh crore in equity size. We still have a long way to go with respect to penetration. I think the point that you exactly mentioned basis for which the discussion is also happening.

That's why it's too early to make an assumption that I think the regulation also would definitely respect the need for growth and need for expansion of the B30 market or maybe deeper penetration in the country. The need for distribution expansion has happened given the fact we as an industry body have gone and encouraged more and more people to join the distribution community. And we also encouraged them under the guidance of the regulator.

So, keeping all this in mind, I'm sure the representation or the viewpoint that is coming from people would also be taken into account before they come to any conclusion. So, that's why too early to right now say that it will get pushed through. I'm only hoping that whatever the points that the distributor mentioned which we also have echoed as industry players, hopefully, get listened and then they take suitable action accordingly.

Prayesh Jain: And sir, if you can help us with some understanding as to segment-wise, what could be the EBITDA bps for us as an AMC, say broadly, it's not very specific, but equity, what kind of EBITDA in terms of bps you will be earning and debt and liquid and others, that would be helpful.

A. Balasubramanian: Sure. Parag will address this question.

Parag Joglekar: Yes. So, Prayesh the contribution, we monitor and overall and at the asset class level. So, equity is more or less in the range of 70 basis, the liquid is in around 11-12 basis, and debt is in the range of around 25-28 basis.

Prayesh Jain: Yes, that's helpful. So, if we look at the salary expenses and the cost, what would be the EBIT with the respect to EBITDA bps in the segment?

Parag Joglekar: So, we don't disclose these numbers, but basically, equity is more of a retail-oriented product. So, it will have a lot of sales push, which will be allocated to that. But there is no specific number, which we disclose on this.

Prayesh Jain: Yes, I understand. But then honestly, while most of the expenses will be sitting on the scheme. So, on the AMC books, it will be ideally the fund manager and the research team charges, right?

So, can you just, even for the equity segment, what kind of EBITDA spread, EBITDA could you be making, could you give sir, that indicatively

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Parag Joglekar: It will be more or less in the similar range for EBITDA, which we are currently generating in

the proportion. So, it will be similar. I don't have the numbers currently handy. It is more in the same range should be.

Moderator: We have the next question from the line of Dipanjan Ghosh from Citigroup.

Dipanjan Ghosh: Just two – three questions from my side. One, if you can just, is a data-keeping question – if you can just give your employee count for the quarter. Second, you can split your revenues into domestic mutual fund revenues and PMS and others for the quarter and nine months. And third, in terms of your alternatives, now you have a strong product lined up, and product pipeline. Just wanted to get some sense of the medium-term targets in terms of contribution in revenues or EBITDA level. And also, what kind of incremental cost will be incurred in getting this part of the business up and going?

A. Balasubramanian: Yes. I'll just take the last question first, Number of employees, 1,450 total employee count. And I think with respect to the AIF pipeline, as we mentioned, Service Opportunity Fund, we have been running for the last almost six months, rather than four months. We'll be closing in the month of March ending this year, 2023. We've already done about ₹350 crores and incremental collections are still awaited. Once this is closed, we have kept three more products on the pipeline. Again, on the equity-oriented funds and we think we'll launch those funds immediately after that. We also kept one AIF on the fixed income space, mainly taking into account the opportunity that we see on the credit side on a customized product that also we intend to do. And then third, AIF is around real estate. Having now raised about, current size about ₹550 crores in real estate funds. We have been seeing the deployment of money leading to a better result from an experience point of view. At the same time, we are also filling a pipeline for launching one more product on the real estate side. So, this is the pipeline that we have and put together, we'll be launching it as we see an opportune time for each of these segments that we are identifying. What's your second question?

Dipanjan Ghosh: No, sir, just -- so one was if you can split your revenues into PMS and mutual funds. And just a follow-up on this part. Would you like to give some colour on your medium-term targets in terms of revenue and profitability coming from the alternatives, I mean, on the non-mutual side of the business?

A. Balasubramanian: Sure. Revenue contribution. Yes.

Prakash Bhogale: So Dipanjan, our revenue contribution from the PMS and other alternate assets is in the range of around ₹50-55 crores, for nine months.

A. Balasubramanian: Yes. In terms of outlook on this segment, right now, having had the team and having now launched, our idea would be to launch continuously to ensure the size that gets built. As you know, in the AIF space, the money is paid upfront, but the revenue comes as the time progresses. So, that is we will do it. Therefore, as Parag mentioned earlier this thing to the extent, we have to spend the money to build the future profitability. That's the model in which we will be running

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it. Though, I don't have right now number to give, but clear plan that we have is our product pipeline and the experience that we have created in existing product that has been launched, would help us in increasing our share and for which including fixed income schemes for which we have already getting our products in pipeline.

Dipanjan Ghosh: Sure. Just one point, Sir, if I had the employee number correctly, it was around 1450, which seems almost an addition of net ratio of around 100 employees' quarter-on-quarter. So, where are these employees really getting deployed? Is it on the MF side or just building up on the alternative side of the business?

A. Balasubramanian: In fact, two

, or three areas. One is the direct HNIs model we are building. We have an almost about 20-member team. They built it only for Mumbai and Delhi, and we'll expand this as we start seeing the success in this model. Second, we also added more people on the service side, customer service side, especially in the service-to-sales RM. And third is the VRM, we have set up a separate VRM cell to increase the number of connections to the people.

And last, of course, is on the retail sales side, an increased number of customers. As for the investment concerns, we added our analysts, about 2 or 3 more analysts we have added, especially, the mid-cap, and small-cap analysts. But these are, of course, one- or two-member addition both in the AIF side as well as on the mutual fund side.

Moderator: We have the next question from the line of Abhijeet Sakhare from Kotak Securities.

Abhijeet Sakhare: Bala sir, just going back to the question on regulation again. So, the last round we had the revision was in 2019 itself, right? And the regulator is now wanting to have a relook at it again. And going by what we currently have, it's already like the current framework itself builds some scale benefits to be passed on to the customer, right? So, what is the regulator worried about that they have to kind of have a relook at it again? And secondly, from an industry point of view, like is there a way to sort of have a, let's say, more fair distribution between the AMCs as well as the distributors going ahead? Is there a more permanent model that can be worked out, that kind of protects your margins as well on an ongoing basis?

A. Balasubramanian: Yes. Sure, Abhijeet. I think the first assumption that, under which the normal review, I think when I go back in the history, to 2012 the first circulars then they revisited in 2015, then they revisited in 2018 and 2019, both the times they revisited. After every five years, or three years, I mean they seem to be thinking that there is a merit for them to revisit if there is a merit for them to consider any reduction expenses with respect to giving investors benefit. That's the primary objective assumption from which they are coming.

Second, I think the last few years as is known for a variety of reasons, the actively managed funds, would not have beaten the benchmark, which is of course not just the India scenario, but even the global scenario. And we also know, of course, for a variety of reasons, the money managers could not have beaten the benchmark more from the point of view of the risk of warning certain stocks which are heavily overweighted in the index and so on and so forth from Aditya Birla Sun Life AMC Limited

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risk management perspectives and that's something also is making them think is there any merit for that to be cut down. So, this is coming from these assumptions only.

As I mentioned earlier, these are deliberations and not necessarily what is being currently assumed would come. Of course, we also cannot rule out any marginal changes also coming in after multiple rounds of discussion. That's what normally they do more of the evaluation process that they have, evolving decisions in a consultation with the industry. So, let us wait for that. As far as the cost concerns, naturally, if this is going to be continuous affairs in terms of reduction of expenses, in terms of TER, then naturally, the cost structure also needs to be re-looked at both at the distribution level as well as the other cost is involved also need to be revisited. Alternatives are to be revisited and that's something my own belief is that will evolve as we move ahead gradually. At the same time, keeping in mind the real need for distribution expansion to happen, more and more people should join the mutual fund industry to distribute mutual fund products, therefore, helping the industry to grow

on one side. At the same time, build other alternates, such as the direct in order to reach out to the customers also on the other side. So, I think all will have to go hand in hand and then keep in mind the growth needs. At the same time, be conscious of the cost element that all of us at AMC have to also pay attention to it. That's I think that's something that my own belief will evolve.

Moderator: We have the next follow-up question from the line of Prayesh Jain from Motilal Oswal Financial Services.

Prayesh Jain: Sir, just on this regulation bit again. So, what is the current brokerage roughly being paid on the equity and the debt side and also the GST rates?

A. Balasubramanian: Talking about the market transaction?

Prayesh Jain: Yes, for the transaction, what would be the brokerage that would be paying to the broking companies?

A. Balasubramanian: Roughly in the range of about 8 basis points.

Parag Joglekar: So, 8 basis points on the equity side and derivative in the range of 4 or 5 basis points.

A. Balasubramanian: Yes.

Prayesh Jain: And what will be that cost on the debt side?

A. Balasubramanian: Debt is very minimal Prayesh. Debt is insignificant actually. It will not be going to come into the fourth decimal of basis points.

Prayesh Jain: And what about the GST rate?

A. Balasubramanian: GST is as applicable, right? It's not GST, STT is here.

Parag Joglekar: You're talking about STT or GST?

Prayesh Jain: GST.

Parag Joglekar: So, GST will be depending on the scheme. So, 18% of the fee. So, if it's 71 basis for this thing, it will be in the 18% of it.

Prayesh Jain: 18% of the fees. And secondly, sir if you think about the debt schemes, there has been a significant increase in close towards the passive category as well over the normal duration side, right? So, how do you see this? Eventually, even when the cycle picks up, do you think that the flows will be towards the passive categories only? Or do you think that the active can see further improvement in flows?

A. Balasubramanian: No, the way we see is there will be a switch from Target Maturity Funds, of course, Target Maturity will continue to grow given the fact it has the element of certainty on return expectations. In fact, even Target Maturity Fund also, we all are aligned to the minimum expenses that we're also charging. Therefore, it is not something non-profitable per se, like a liquid fund where you get about 20 basis points. The same thing has been being followed in the Target Maturity Fund as well in order to be fair to both investors and even from AMC's point of view. While that's been the case, we believe that some bit of more acceptance will come for the duration funds, one, in the duration funds we don't have any restriction in terms of we'll buy only in G-sec, SDL or AAA whereas, Target Maturity Fund large there will be a restriction in terms of, we'll invest only in the AAA names or PSUs and SDLs and G-Sec. But that is not the case as far as the open ended funds are concerned. Also keep in mind, as we go down the credit curve, even to AA, AA+, the pickup in yields has been ranging about 30-40 basis points, which nobody would like to ignore given the fact a basis point adds to the overall return as on fixed income concerns. That is why we believe that more participation could come from the HNIs and retail and in the actively managed duration funds in the range of about two to three years or two to four years.

Moderator: Thank you. As that was the last question for today, I would now like to hand the conference over to Mr. A. Balasubramanian for closing comments. Over to you, sir.

A. Balasubramanian: And thank you very much, ladies and gentlemen, for tuning in and with this, we conclude our Q3 & 9M FY 23 earnings call. Do feel free to reach out to our IR,

Mr. Prakash Bhogale for any queries that you may have. And thank you and have a nice weekend.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of InCred Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure a high level of accuracy.

Call: May 2023

ABSLAMCL/ PS/25/23-24 May 5, 202 3

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor
Dalal Street Mumbai -400 001 Plot No. C/1, G Block ,
Scrip Code: 543374 Bandra Kurla Complex
Bandra (East), Mumbai - 400 051
Symbol : ABSLAMC

Dear Sir / Ma'am,

Sub: Transcript of the Analyst/ Investor Conference call on Audited Financial Results
for the quarter and year ended March 31, 202 3

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed the transcript of the Analyst/ Investor Conference call
on Audited Financial Result for the quarter and year ended March 31, 2023, held on
Friday , April 28, 202 3. The above information will also be available on the website of Company
at <https://mutualfund.adityabirlacapital.com> .

We request you to kindly take the aforesaid information on record and disseminate the same
on your website.

Thanking you.

Yours faithfully,

For Aditya Birla Sun Life AMC Limited

Hemanti Wadhwa
Company Secretary & Compliance Officer
FCS No. 6477

Encl.: As above

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Aditya Birla Sun Life AMC Limited
Q4 FY23 & FY23 Earnings Conference Call

April 28, 2023

MANAGEMENT : MR. A. BALASUBRAMANIAN – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICE
MR. PARAG JOGLEKAR – CHIEF FINANCIAL OFFICER
MR. PRAKASH BHOGALE – HEAD, INVESTOR
RELATIONS

Aditya Birla Sun Life AM C Limited
April 28, 2023

Page 2 of 10 Moderator: Ladies and gentlemen, good day and welcome to Aditya Birla Sun Life Asset Management Company Limited, Q4 FY 23 Earnings Conference Call hosted by InCred Equities .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call , please signal an operator by pressing “*” then “0” on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jignesh Shial from InCred Equities. Thank you, and over to you sir.

Jignesh Shial: Thank you, Neerav. And good afternoon everyone. On behalf of InCred Equities , I welcome all to Aditya Birla Sun Life Asset Management Company Limited Conference Call to discuss the Financial Results of Q4 & FY23.

We have along with us Mr. A. Balasubramanian – Managing Director and CEO; Mr. Parag Joglekar – Chief Financial Officer; and Mr. Prakash Bhogale – Head, Investor Relations.

On behalf of InCred Equities , we are thankful to the management for allowing us this opportunity. I would now like to hand it over to Mr. A. Balasubramanian – Managing Director, and CEO of Aditya Birla Sun Life Asset Management Company. Over to you, sir.

A. Balasubramanian: Thank you for the introduction and good evening to everyone. I hope you all had the opportunity to go through the earnings presentation, which is available on the stock exchange and our website.

Let me quickly begin by giving the outlook on the economy and the mutual fund industry and then give an update on Aditya Birla Sun Life AMC's performance for the quarter ending Q4 . The global economy in our own belief continues to remain uncertain and the recent development in the financial markets of advanced economies have not helped to ease the sentiment . High inflation , financial tightening , and hawkish monetary policy is expected to limit global growth . Central banks worldwide led by the Federal Reserve have shifted away from dovish to accommodative monetary policy and have raised interest rates to curb inflation level and this move has prompted investors and businesses , and markets to re -evaluate and adjust their expectations accordingly . The collapse of a couple of banks has led to turmoil in the banking systems of some advanced economies , with fears of financial contagion , but effective measures by respective policymakers have largely helped containing its impact .

The Indian economy, as you know has remained resilient , surpassing global uncertainty and headwinds. India 's real GDP is expected to grow at about 7% and India 's growth impulse have also been supportive by way of easing of supply chain and rebound in economic activities. Easing inflationary pressures in March 2023 is a positive sign , this is also driven by the softening of food and core inflation , which fell to a 16th-month low.

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Page 3 of 10 India's financial system has remained strong , led by a robust banking industry adding further stability to the domestic economy. We have also seen robust tax collections in the GST touching about ₹1.6 lakh Cr. As a result of that and the annual collection for the full year and including direct tax collections hovering at about 17.63% definitely, of course putting India 's tax collection at a robust level .

As a result of the higher tax collection the Government of India's borrowing program is also being helped going by, the next year's borrowing program which has been already announced and is well within the target limits and putting less pressure on the interest rate further movement . RBI's forex reserves have gradually started increasing. Now it 's back to about US \$578 billion as of March 31st, 2023

, which is again a good sign. And the current account deficit also narrowed to 2.2% from 3.7% in Q2 on account of lower merchandise trade deficit , and robust growth in services exports which is another positive development.

The development in factors such as oil prices , global financial sector uncertainties , and the Indian monsoon season need to be considered to ascertain the future trajectory of the domestic economy as we speak. Our economy is intrinsically better placed , mainly because of its reliance on domestic demand and drivers .

The consumer sentiment index points to a continued recovery . Going ahead the key growth drivers are likely to be a continuous uptick on consumer sentiments , green shoots in rural recovery , and commodity prices relaxing of their previous highs . In the near term , we believe that most of the risks are priced in and there is not much downside in the market that is expected . With valuations having got normalized, the market now should start tracking the earnings growth as we move forward .

With respect to the mutual fund industry , during the quarter the Indian mutual fund industry witnessed flattish growth , with the quarterly average asset under management staying close to about ₹40.49 lakh Cr. as of 31st March 2023.

In FY 23, the mutual fund industry witnessed muted growth , with inflows across various equity

and index schemes . The industry 's SIP book grew from ₹12,328 Cr. as of March 2022 to ₹14,275 Cr. in March 2023 , indicating a growth of about 16% . During the year , the total 253 NFOs were launched and raising a total of about ₹62,000 Cr. between the fixed income and equity NFOs.

As of 31st March 2023, the total number of mutual fund investors stood at 14.75 Cr., an increase of 12% year-on-year compared to 13.12 Cr. as of 31st March 2022. The industry witnessed net equity sales of around ₹41,000 Cr. in Q4 FY23 through new fund offerings and existing funds . And within the existing funds , broadly the inflows have been seen in the thematic category , small and mid -cap, and mid -cap and large -cap categories , and a little bit on the large and mid -cap categories have seen inflows during the quarter.

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Page 4 of 10 The increase in the number of retail investors is also reflected in higher individual average AUM , which grew by about 12% year-on-year, contributed 58% of the total monthly average AUM. The mutual fund average AUM for March 2023 from B30 cities also accounted for 17% of the total AUM which again remains constant . At the same time , 58% of contributions have been coming from individuals and retail need to be taken into account , the fall in institutional AUM during the same period.

The new SIP registrations were around 65 lakhs in Q4 FY23 and the total number of SIP accounts as of March 31st, 2023, rose to 6.36 Cr.

Over the past few months, the tax amendment in fixed -income schemes and the anticipated regulatory changes has had its own impact on the mutual fund industry. Despite this, we believe that this asset class , especially the fixed income asset class will continue to remain relevant as an one of the alternative to fixed deposit for most of the investors who are looking for asset allocation between equity and fixed income and that we believe that will remain even going forward .

Coming to Aditya Birla AMC 's performance : Our total average assets under management including alternate assets for Q4 FY 23 stood at ₹2.86 lakh Cr. For the quarter ending March 2023, our mutual fund AUM was at ₹2.75 lakh Cr., remained flattish compared to Q3 of ₹2.81 lakh Cr. size. Our equity mutual fund AUM again remains more or less flat at about ₹1.16 lakh Cr. for the quarter ending March 2023 with the overall equity mix at about 42%.

As a part of our strategy for customer acquisition , we added about 6.7 lakh new folios

s in FY23 ,

resulting in an overall folio count increasing to about 80.3 lakh folios as of March 2023.

Throughout the year , we launched several initiatives aimed at increasing the size of our SIP book , including Turbo STP, Pro-portfolio investing , and Perquisite SIP targeting mid -size corporate employees. And these efforts have resulted in a marginal improvement in making our SIP book to cross 1,000 Cr. which again fell little short of our own expectations however it has crossed the milestone of about 1,000 Cr.

Our multi -channel market initiatives aimed at deepening our presence have yielded positive results . The Virtual Relationship Manager model has activated over 2,900 distributors and through "Sampark" , our distributor onboarding initiative , we have empaneled close to about 9,000 distributors during the period .

Regarding our overall asset mix between retail and institutional customers , retail investors as of today account for about 52% of our assets as of March 2023. As part of our overall strategy, we are also focusing on building the retail portion in both the B30 and T30 markets , with increased contribution coming from B30, which today stands at 17%.

Our passive product offering grew by ~3 times to about ₹28,223 Cr. as on March 2023. Our existing passive bouquet has also grown to over 41 products and we have around 7 products in

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Page 5 of 10 the pipeline . The overall customer base that has got added in a passive category is close to about 4,96,000 folios we added through the passive category , which we believe can be used for the purpose of cross -selling of the other products as well.

On the PMS and AIF front , we have raised a commitment to the extent of about ₹734 Cr., is the first-ever AIF that we launched in the equity space under the name of India Equity Service Fund under Category -III, leveraging our multi -channel distribution footprint . We are currently at about ₹734 Cr., which is again the beginning of our building AIF success story. We also received a SEBI clearance for another three more schemes which we hope to launch in the current financial year.

Regarding our offshore business, though the overall assets under management in offshore remain flat, we have also received in -principal approval from the International Financial Services Centers Authority which is GIFT City for launching the " India ESG Engagement Fund "

domiciled in GIFT City. Additionally, we are also currently in the process of launching two global funds in the GIFT City for raising money in India investing global market. As well as move some of our overseas assets to Gift City soon to cut our cost and offer some management services from GIFT City itself.

On the real estate front, we have successfully deployed the first investment for the Aditya Birla Real Estate Credit Opportunities fund and we are in the process of doing more such deals. Our initial focus now is to create a performance track record to raise more funds in the coming years. Now just quickly move on to the financial numbers before opening up

for Q & A sessions :

In Q4 FY23 revenue from operations is at ₹297 Cr. Vs ₹314 Cr. in Q3 of FY23. Q4 FY23 operating profit before tax had stood at ₹149 Cr. Vs ₹174 Cr. in Q3 FY23. For the year ending March 2023, revenue from operations is at ₹1,227 Cr. as compared to ₹1,293 Cr. And operating profit before tax in FY23 is ₹667 Cr. as compared to ₹753 Cr. in FY22.

We are also happy to announce that the board has proposed ₹5.25 per share dividend as a final dividend for FY 23. With this total dividend declared this year per share is about ₹10.25 per share.

With this, I would like to conclude and open the floor for any questions that you may have.

Moderator: Thank you very much. We now begin the question-and-answer session. The first question is from

the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal: My first question is, in the equity segment although you did share multiple things that you are doing to get the market share and increase AUM but still we've been losing market share. So, if you can give us some sense, which are the segments or particularly which investor category we are losing market share?

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Page 6 of 10 A. Balasubramanian : Devesh thanks for this question. As far as the equity is concerned of course our endeavor has

been to one, stop the leakages, at the same time improve the overall momentum in the equity in terms of improving the market share. You have seen we have collected close to about ₹1572 crores in the last quarter through the launch of a multi-asset allocation fund, which again reflects our ability to raise funds and improve overall market share. And second, SIP is another route through which we continuously put effort to increase the overall market share in equity, but the segment in which where we have seen, somewhat lower participation is in the HNIs category where we have seen lower participation in the last one and a half, two years, especially in the equity space which we believe that we need to catch up. Second, the category in which we are losing assets are those assets where we have seen the performance-related issue which we have witnessed from last one and a half, two years in two, or three categories which are ELSS and a few of the categories in the equity space where we have seen some bit of outflow with the change of fund management responsibility in the last six months to one year, we are seeing those funds now getting stabilized and coming closer to the benchmark as well as coming closer to the peer group on the near term basis, as we see that improvement coming in, we should see those asset classes which remained relevant and we should see the flows coming back. But as I speak today, more than losing the lack of participation in whatever the growth that is coming in the industry, which has been for the whole year would have been somewhere in the range of about 79,000 to 80,000 Cr. then will be the participation being missing is one which was leading to the market share lag rather than absolute redemptions coming and losing market share.

Devesh Agarwal: Understood sir. And sir if you see at the distribution side, again I am talking about the equity asset, we see that the share of the banking channel has been going down and in the last year, it has come down by 200 basis points. So, is this a decline that we are seeing across banks or there are selected banks where our sales have slowed down?

A. Balasubramanian: No, in the case of banking channels because we have all the banking channels whether it is the leading bank, private sector bank, whether HDFC, Axis, we have only seen a marginal improvement in terms of our participation, especially a channel like Axis we have seen increased participation coming in SIPs including HDFC Bank and these assets are largely in the some of these foreign banks used to get a significant market share such as the Citi Bank with the general reduction in the mutual fund flows. And we used to enjoy a very high market share from them, anywhere between 15% - 16% market share. We have seen a marginal dip, which again, I don't see as a big challenge. Of course, some of the banking channels goes by the product recommendation. In fact, some of our products which are not part of the recommendations temporarily would have seen lesser participation coming from that channel compared to their own selling would have happened, but otherwise if you look at historically our market share is about 48% to 50% from IFAs roughly about 2-3% from banking channels, and roughly about 24% - 25% coming from NDs. The direct channel is one of

the channel where general flow is also coming in, where we have seen flat growth under the direct channel as well. These are a combination of things I would say is the dynamics rather than the single channel not giving inflows or something.

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Page 7 of 10 Devesh Agarwal: Okay. And lastly, sir if we see that over the last two years, although the share of equity has gone

up in the overall mix, our yield has remained under pressure. Now there would be some generic reasons for those. But other than that, specifically I wanted to understand how the distributor's payout intensity changed for you between say FY 21 and 23.

A. Balasubramanian: I will ask Parag to answer that once again.

Parag Joglekar: So, Devesh the distributor payout on an overall basis as a general principle remains that we share in the range of around 65% of our overall DTR, that continues, but as you know and we have been mentioning earlier also wherever there are NFOs generally in the first year of NFO the payout is slightly higher than the 65% due to two reasons - one is that there is a B30 brokerage which is there and there is some additional payout which happens in the first year which has the impact of a slightly higher sharing against the normal thing. So that is the only change otherwise some of the NFOs which have happened have just elevated the cost a little bit but otherwise on the normal BAU sales it remains in the range of around 65%.

Moderator: Thank you. The next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: So, the first question is again on the market share, so in this quarter we have seen some improvement in our SIP flow market share now, but in terms of AUM market share, we have been losing market share. So, just wanted to understand in the lump sum flows, we have seen some major dip. So, what could be the reasons for the same as you alluded to that part? And also given that we are looking to launch funds in the PM S and AIF categories in FY24, how is the OPEX trajectory for us in the coming two years?

A. Balasubramanian: Market share loss is largely on account of one or two categories in which flows have come, which I mentioned in my speech as well, which is essentially small and mid-cap space and ELSS category and large & mid-cap space. These are the three spaces that predominantly big flows have come for the industry, in fact our flows in these three categories, except we have got money in the small and mid-cap fund during the same period, whereas other schemes we did not get as much as flows which normally get every year. So, to the extent our market share loss was on account of flow coming in, we saw an outflow in a few of those schemes and whatever the flow that came in the big category like small and mid cap, our flow was relatively lower than the industry. These are the primary reason but these flows in industry also come through the combination of lumpsum and SIPs. And then SIP flows in these small and mid-caps are also relatively higher than what we historically have seen. Therefore, to the extent our deserving participation was less, which again I would attribute to the reason I just mentioned earlier which is what currently we have only reversing it, which I think should help us in the next few quarters to get back on track.

As for your AIF thing concerns, is that we have planned to line up AIF products there is one which we will be closing in the month of April, and we planned two more AIF this financial year both in equity and fixed income. In terms of team strength, we already have, if at all we
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Page 8 of 10 have to add one person, we will add one with the long-short kind of capability, as far as the equity is concerned, we may add one person on the credit side for

the launch of our credit fund.

Otherwise, you don't see a significant addition in terms of adding people that's the only main part that we have and that will be opex with respect to the AIF would not be anything significant except people may have to just go for a travel to promote this product, which I call it as a business as usual.

Lalit Deo: Sure sir. On the yield side, could you highlight the difference between the stock, yields on the stock basis and the flows which we are getting as an overall segment wise particularly in equities?

Parag Joglekar: Lalit, basically as you know the stock wise little lower on the sharing basis, and the new money which comes in has slightly higher which is in the range of around 65%. So, the yield on the stock is higher than the yield on the new flows, which is coming. I don't have a handy number on the differentiation but that is the case and over maybe the next couple of years that get merged. The differentiation between both of them is not very significantly high there will be some differentiation, but that will merge over maybe the next two or three years period of time.

Lalit Deo: Sure, sir. And sir just last one data keeping question, can you share the SIP AUM as of March 23, the overall SIP AUM?

PrakashBhogale : It's 51,203 Rs Cr

Moderator: Thank you . The next question is from the line of Prayesh Jain from Motilal Oswal . Please go ahead.

Prayesh Jain: Firstly, could you give us the yields that you would have made in FY 23 on equity , debt, liquid , and ETF, some ballpark numbers ?

A. Balasubramanian: Yes, I will ask Parag to give you the numbers.

Parag Joglekar: So, equity more or less is in the range of around 70-74 odd basis absolute . On debt, debt is in the range of around 25 -26 basis, 25 odd basis and on liquid is in the range of around 12 basis.

Prayesh Jain: Okay, that 's helpful. Apart from that, if I look at your expenses in this quarter, other expenses in particular, they were higher both on a sequential basis as well as on a Y -o-Y basis, what was the reason for that?

Parag Joglekar: So, the main reason which has contributed to the higher expenses for this quarter is NFO which we launched in the current quarter, the multi -asset allocation fund, on which we spend some of the amounts on marketing and sales promotion on that NFO which is contributed mainly for that, other than that, there are some of the other infrastructure expenses like we opened some of the new branches and all, so that has slightly gone up. Other than that, there are normal regular expenses generally in the last quarter which are slightly higher than the other quarter on

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Page 9 of 10 traveling , business promotion or any other spend on marketing. So, those are the expenses that have come up

Prayesh Jain: And how should we think about the expenses from next year's perspective ? What kind of growth do you envisage in expenses both on employees and employee costs and other expenses also, if you could throw some light as to, how much of the cost is on the ESOP front and how you see it in FY 24?

Parag Joglekar: So, generally we are looking at the expenses to be in-line, growing maybe below the overall AUM growth, which we will have in the next year , that is the intention . Generally , it will be in the range of inflation plus some uptake on employee cost, which we will look at it even on the administration side , similarly on the rentals or any other expenses, which we may have . If there is any depreciation on the rupee -dollar that may have an impact and escalation especially on the technology side, that may have a little bit of impact on the overall expenses because we are highly dependent on these technology platforms and technology service providers. So that is on the expense side we are looking at .

Prayesh Jain: On the ESOP front employee

cost ?

Parag Joglekar: So, the ESOP plan generally is going down because there are 40, 30, 20, 10 that are generally hit which we get on the ESOP plan. Currently , this year it was around 30 plus odd crore so we can see some drop in the next year on the ESOP side.

A. Balasubramanian: With respect to the employee things , while we have more or less fully in place with respect to our employee goes, a few additions could come in terms of employee addition, most strengthening the team , especially on the investment side, as well as on the sales and alternate investment side which again I guess that there will be of course some compensation will also come in the form of realigning the responsibility of people and so on and so forth, but I don 't see a significant increase as far as employees cost is a concern, but of course annual increment that we normally count anyway around 7% to 8% to the extent one can expect .

Prayesh Jain: And Bala sir , while there are no regulations that are out yet, at some point in time SEBI is going to give some clarity on what the TERs are going to be , what costs are going to be subsumed in the TER, what are your thoughts in the sense , how are you guys preparing for this and what could be kind of sharing mechanism this time around, that would kind of and also on this is case of broking is kind of subsumed into the TER, what could be the strategy of Aditya Birla Sunlife AMC , how that kind of payout?

A. Balasubramanian: Yes. Prayesh the way we see it, it is still under discussion stage with SEBI while most of the expected announcements have already been appearing in the newspaper in some form or other, I presume 40%-50% of those expectations would come , and from a business point of view, our overall vision to be scale players, that remains and is not going to be taken away as a result of this. And second is ensuring our product positioning, the investment performance is the key for us, while we are seeing improvement but we still have more work to do which we are currently

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Page 10 of 10 driving that. And third is in order to increase our retail penetration while we have been predominantly working with the B2B model, at the same time we are stepping up our engagement in terms of direct customer connect, both through the sales as well as service. And that's something we are putting in place to ensure that direct customers connect and at least the top 10 markets improve quite significantly the efforts help in building our AUM . And fourth,

we also identified a few more areas that could support the retail sales, which we call it a VR M model. So far VRM model used to be used only for the activation of IFA. They are moving away from activation to converting into sales so that every activated IFA contributes to the success. That's something we are doing . we are going granular in order to ensure that , that we bring up the overall contribution to us. And an emerging market where we are seeing significant growth created for us for about two, three years back . Once again, we are stepping up our focus in terms of increasing the penetration on the geographical footprint . As far as the distribution -led economic model, I 'm sure that will evolve depending on how the entire new TER structure are going to evolve. Again, I would assume the way we currently have a 65-35 kind of model that we have, I would assume we 'll have to stick to a similar kind of model to ensure we can maintain somewhat discipline. At the same time, ensure growth comes and at the same time we 're able to maintain the profitability . May not be necessary in terms of absolute numbers at least on the basis point level , that's something we will work on it. But again, Prayesh we have to play it as it comes , it's too early to at this p oint to jump the gun . At the same time , we broadly know what a

ll things would come and we start preparing ourselves as I just mentioned like for example, we have been really good active players on the DMA side which gives us the experience to be prepared for some portion of the trades could go through the market but at the same time , we also believe that intermediation cannot be completely removed even from an equity trading point of view . Therefore, we have to look at that , mix and mix both models, but that's something that will play it as we come closer.

Moderator: Thank you very much. As there are no further questions, I will now hand the conference over to the management for closing comments.

A. Balasubramanian: Thank you. Thank s very much , ladies and gentlemen, for tuning in . With this, we conclude our Q4 FY23 Earnings Call. And do feel free to reach out to Mr. Prakash Bhogale for any query that you may have. And all of you have a nice long weekend and thank you.

Moderator: Thank you very much. On behalf of InCred Equities that concludes this conference. Thank you for joining us, you may now disconnect your lines. Thank you .

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes n o responsibility

for such errors, although an effort has been made to ensure a high level of accuracy.

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Call: Aug 2023

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Ref. No.: ABSLAMCL/ PS/62/23-24 August 1, 2023

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor
Dalal Street Mumbai -400 001 Plot No. C/1, G Block ,
Scrip Code: 543374 Bandra Kurla Complex
Bandra (East), Mumbai - 400 051
Symbol : ABSLAMC

Dear Sir / Ma'am,

Sub: Transcript of the Earnings Conference call on Unaudited Financial Results for the quarter ended June 30 , 2023

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call on Unaudited Financial Result for the quarter ended June 30 , 2023, held on Thursday , July 27 , 2023. The above information will also be available on the website of Company at <https://mutualfund.adityabirlacapital.com> .

We request you to kindly take the aforesaid information on record and disseminate the same on your website.

Thanking you.

Yours faithfully,

For Aditya Birla Sun Life AMC Limited

Hemanti Wadhwa
Company Secretary & Compliance Officer
FCS No. 6477

Encl.: As above

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Q1 FY24 Earnings Conference Call

July 27, 2023

MANAGEMENT: MR. A BALASUBRAMANIAN – MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER, MR.
PARAG JOGLEKAR – CHIEF FINANCIAL OFFICER,
MR. PRAKASH BHOGALE – HEAD, INVESTOR
RELATIONS

Moderator: Ladies and gentlemen , good day, and welcome to Aditya Birla Sun Life Asset Management Q1 FY24 Earnings Conference Call, hosted by InCred Equities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Jignesh Shial from InCred Equities. Thank you and over to you, sir.

Jignesh Shial: Yes. Thank you, Zico, and good evening, everyone. On behalf of InCred Equities, I welcome all to Aditya Birla Sun Life Asset Management 1Q FY24 Earnings Conference Call. We have along with us Mr. A. Balasubramanian - Managing Director and CEO , Mr. Parag Joglekar - Chief Financial Officer and Mr. Prakash Bhogale - Head of Investor Relations. We are thankful to the management for allowing us this opportunity. It would now like to hand it over to Mr. A. Balasubramanian, Managing Director and CEO of Aditya Birla Sun Life Asset Management for his opening remarks. Over to you, sir.

A. Balasubramanian: Thanks, Jignesh , and thank you for the introduction , and good evening to everyone attending today's investor call. I hope you all had the opportunity to go through the earnings presentation, which is available on the stock exchanges and our website as well. Let me first begin with as a customary, the economic outlook and the mutual fund industry update.

The global economy is facing increasing expectations of rate hikes. Of course, as I speak, yesterday 25 basis point additional rate hike came due to sustained growth and high inflation, and policymakers in these regions remained hawkish . Even though the headline inflation has softened , core inflation, however, remains stubborn. The global economic landscape is witnessing diverse trends with the different regions facing unique challenges. While some central banks are adopting a hawkish stance in response to inflationary pressures, others are exploring measures to bolster their economies amid uncertainties like China.

The macroeconomic outlook for India remains promising. India has thrived and continues to stand tall as one of the world's fastest -growing economies and forecasts from both global and domestic experts project a robust growth of 6% to 6.5%. This positive sentiment is underpinned by the strong fundamentals. Notably, India has boosted a healthy GDP print for FY23, a narrowing current account and fiscal deficits, well-controlled inflation, stable interest rates, impressive tax collections , and growing foreign exchange reserve. Additionally, the manufacturing sector has shown stability with a steady PMI and improved capacity utilization, leading to lower NPAs. The credit culture has also seen a positive shift reflected in higher repayment intent and rising tax collections.

And these factors collectively point to the economy's ability to sustain its growth momentum. Moreover, the government's focus on infrastructure development, digital transformation, and sectoral reforms augurs well for the economy's future. The intrinsic strength of our economy

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can be attributed to its reliance on domestic demand, favourable demographics, political stability , and a progressive reform agenda set by the government. Additionally, the domestic manufacturing sector has received a boost through the China +1 strategy.

While the overall economic situation, as I just mentioned is phased with respect to mutual fund industry, the Indian Mutual Fund Industry Quarterly Average Assets Under Management grew by about 14% YoY to ₹43.08 lakh crores as of June 30, 2023.

They represent an increase from the previous year of ₹37.70 lakh crores.

In Q1 FY24, the mutual fund industry witnessed inflows across equity, liquid , and ETF schemes. The industry's SIP book grew by about ₹12,276 crores in June 2022 to ₹14,734 crores in June 2023, indicating a growth of about 20% YoY. During the quarter, the total NFO collection was about ₹5,500 crores, which includes fixed income schemes. The total number of mutual fund investors stood at 15.10 crores as on June 30, 2023, an increase of 11% YoY compared to 13.64 crores on June 30, 2022. The industry witnessed net equity sales of around ₹30,900 crores in Q1 FY24, through new fund offerings and existing funds. Within the existing equity and hybrid categories, most of the inflows are coming to arbitrage, small -cap, mid -cap, large and mid -cap, and multi -asset allocation funds saw the highest inflows during the quarter. During the quarter, the industry witnessed inflows. However, there was a decline in net inflows, when compared to the previous quarters in equity. During the quarter, individual average AUM grew about over 26% YoY , contributed to 57% of the total industry average

AUM. The mutual fund average AUM for June 2023 from B30 cities accounted for about 17%, where there was also a marginal dip compared to the previous quarter.

Coming to the ABSLAMC performance, as we commence the journey of FY24, we at ABSL AMC are pleased to announce a promising start, which is, of course, representing in the form of average assets under management, which has grown compared to the previous quarter. In fact, in Q1 FY24, our total assets under management (AAUM), including alternate assets have surpassed ₹3 lakhs crores to touch ₹3.08 lakhs crores. This noteworthy accomplishment signifies considerable progress, exhibiting a meaningful increase on the previous quarter's figure of ₹2.86 lakh crores, and an impressive QoQ growth of ~8%. Mutual Fund AAUM has reached ₹2.97 lakh crores and equity AAUM has crossed ₹1.19 lakh crores.

During the quarter ending June 20, 2023, we added ~1.2 million new folios as a part of the broad strategy to continue to focus on customer acquisition. As a result of that, the overall folio count remained at 79 lakhs. SIP book size has increased by 10% YoY at ₹987 crores.

Our multichannel market initiatives designed to deepen our presence, have yielded positive results. We have strengthened our sales ecosystem and distribution network by bringing together the key levers like Virtual Relationship Manager, Sampark, Service to Sales, Direct HNI channel, and Digital distribution in order to provide greater support to the overall retail initiatives that as a fund house we are driving it.

Regarding our overall mix between retail and institutional customers, retail investors account for ~49% of our AUM. As part of our overall strategy, we are focusing on building the retail

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portion in both B30 and T30 cities as our contribution from B30 today stands at about 16%. Over the past few months and quarters, our business has been actively pursuing strategic initiatives that have yielded positive outcomes.

Let me just quickly elaborate on the significant measures that we have taken to improve the overall performance of the organization, which I'm sure as we progress further, will start reflecting. One, on the investment side, we continue to lead in Fixed Income Funds with our robust performance and consistently strong market presence that we have created. On the equity side, our funds have witnessed a performance turnaround over the last few quarters. I expect the same momentum to continue in the coming quarters. And most of our schemes barring a few have not only beaten the benchmark in the respective category on a one-year basis, also have beaten the peer average with a higher margin compared

to the last few quarters,

which I believe that would help in terms of building our equity as we move forward with the recent improvement, we are witnessing which will start reflecting in the long-term performance as we move forward.

We have further strengthened the investment team with process enhancement and bolstered the team's capabilities. We have also added sector specialists and realigned fund management responsibilities in order to give them higher responsibilities. Playing to their strength, while enabling the necessary resources has also brought in sharper focus, and we have started to witness the green shoots of such change in the investment team, which is reflecting on the overall improvement in the performance.

Our decision to implement the Focused Fund Offer (FFO) in order to drive our equity sales in retail, as a targeted campaign has seen result, garnering favourable outcomes, and generating considerable traction within the market, which we measure in the form of gross sales volume improving in some of these funds offers that we have created. And hopefully, shifted the ball rolling for the subsequent period as well.

We have developed a specialized segment, which caters to the High Net Worth Individual (HNI) segment. Through this, we provide a comprehensive range of services and sales offerings tailored specifically to meet the needs of our valued HNI clients. Our dedicated CARE facility ensures that HNI investors receive personalized attention and exceptional service to optimize their investment experience.

Furthermore, we've extended our range of Value-added products to include offerings such as Sampoorna SIP and Turbo STP in order to build our retail as well as increase the overall customer base.

Over the past financial year, we have been dedicated to expanding the size of the Passive and Alternate Investment Fund. In fact, our passive product offerings grew by over 2x to around ₹28,700 crores. The expansion of our passive bouquet has been equally noteworthy, now encompassing about 40 products and attracting a growing customer base of around 5 lakh folios.

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On the PMS and AIF front, we have raised commitment of ₹893 crores in the current quarter by launching the CAT III Indian Equity Services Oriented Fund by leveraging our multi-channel distribution footprint that we have established. During the quarter, we launched ABSL India Special Opportunities Fund CAT III AIF and ABSL India Equity Service portfolio under the AIF category. We also received a SEBI clearance for launching an ABSL India Equity Services Funds Series 2 in CAT III AIF as well.

There's, in fact, the renewed focus we are giving on building our alternate business has already started yielding results, where we collected the first ₹893 crores. I'm sure the subsequent pipelines will also help in building further augment our asset class in this space.

After setting up of GIFT City, we are pleased to announce the launch of ABSL Global Emerging Equity Fund, an industry first fund domiciled in GIFT City which is in Gandhinagar, Gujarat. This fund will strategically feed into the ARGA Emerging Market Equity fund, allowing our investors to access and benefit from emerging market opportunities.

In fact, as we have taken this price to the market, we have seen reasonably good response in terms of the innovative product that we're offering as a solution to the investors in India under the LRS category as well as NRI investors, who can potentially part in an emerging market through our GIFT City product. This is the first product, we have launched in the mutual industry space, and I'm sure, more such products will come in the pipeline in the next few quarters.

On the real estate front, we have successfully deployed two investments for the Aditya Birla Real Estate Credit Opportunities Fund.

We're also seeing the pipeline of upcoming proposals are many. At the same time, our efforts to build our engagement with the BGO should start delivering result soon.

In light of our performance, the overall improvement that we are witnessing in equity, we acknowledge the positive outcomes but also remain ever cognizant of the business dynamic one must steer through all the time. The markets we operate in are ever-changing and dynamic in nature. And the industry landscape is also bound to encounter fluctuations and transformation in the foreseeable future. With that in mind, the only thing that we can speak with certainty is our steadfast commitment to our vision and long-term objectives and we shall diligently adapt to the evolving circumstances and proactively navigate potential challenges. Our unwavering dedication to excellence and strategic foresight that will be instrumental in charting the course that aligns with the stakeholder interest. I just want to mention that as a fund house keeps making the course correction, what was needed to build our overall client to the next level.

Moving on to the financials for the quarter. Our earnings for Q1 FY24 was at ₹388 crores versus ₹273 crores in Q1 FY23 up by ~42% YoY. Profit after tax for Q1 FY24 was about ₹184 crores in Q1 FY24 versus ₹102 crores last year in Q1 FY23 which is again up by 79% YoY. Of course, this number includes other income numbers. With this, I would like to conclude and open the floor for any questions that you may have.

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Moderator: Thank you very much. Our first question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Sir, firstly, on the SIP book, if I look at all the fact that are given on Slide 11. So, with the number of outstanding live outstanding SIPs, new SIP registration or the SIP book for that matter, all have been on a declining trend in a sequential basis. Even for the industry, we saw some stagnation in the month of June with respect to the overall SIP volumes.

So is there a challenge in that sense to get new SIP registrations or how do we kind of change this value that we always talk about penetration being very low in the country. And so -- but how do you kind take this forward going so...

A. Balasubramanian: I think thanks, Prayesh for this question. The SIP in general, the trend that we have seen since the time the market started getting into the completely different zone. We generally have seen the registrations versus cancellations versus expire SIPs in general, have seen some rise in the cancellations and expiries.

And that primarily reason why not only for the industry, the gross number, which is around ₹14000 crores number that you saw for the industry is generally the net inflow as a result of these expiries, generally number is low. This again, for the whole industry and for us as well, we saw some kind of stagnation as a result of that.

Second, which also, of course, came in the last 3 months, I think there are certain regulatory changes which came especially on the SIPs, which you need to get triggered in the form of OTP-based verifications which is more operation-related issues, but also would have -- though I don't know the data for this, but I'm saying from more from behavioural point of view also

have resulted in some of SIPs getting dropped as a result of that. These were two primary reasons as a result of that is something which I would say. And in terms of registration, which is about ₹14,000 crores number is I always feel proud about that. I think while expiries and cancellation are not in our control, but getting new customers in our control, that's what something has been rising. And for us, whilst it has remained stagnant at close to about ₹1,000 crores, so our vision has been to take it ₹1,200 crores. Some of the efforts t

hat we take is in the form of launching new goal based SIPs, convenience -based SIPs, like Sampoorana SIP I mentioned about, Turbo SIP I mentioned about. Some of these initiatives we are taking are more with the intention to make customers to look at SIPs as a long-term investing not for short term. And then the last piece that I want to say is while the digital platform has been, I think, a good amount of SIPs in terms of new customer addition. But as I must also mentioned that those SIPs generally get registered for low ticket, small ticket. And second is that it come for sometimes 3 months, sometimes 1 year. So, the drop rates in that segment is little higher than what one generally pursues to be. I think the combination of multiple things. But clearly, from a longer -term point of view , for us, especially having built the business in the last 10 -12 years where we take pride in building a strong retail franchisee through the SIP
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book. I think that continues to remain as a big focus area, though we may face some temporary challenges, but that's not something is being taken away from our radar.

Prayesh Jain: Got that. And on the yield front, like there's been a drop both sequentially and Y-o-Y. Could you explain that? And how -- what kind of trajectory do we anticipate for the rest of the year?

Parag Joglekar: Hi Prayesh , good afternoon just on the yield side, on the asset class wise yield remain more or less same like equity remains in the range of around 70 basis , debt in the range of around 22 to 25 basis and liquid remains in the range of around 12 to 13 basis. So those numbers more or less remain same, but change has happened due to the mix, which has changed and entered within the asset class.

And there is a growth in liquid and liquid plus scheme, which we have seen in the last quarter , resulting in a slight drop in the mix of equity, which has resulted in a drop in the overall blended yield for the company. Otherwise, the overall yield remain at asset class more or less similar.

Prayesh Jain: Okay. Great. And lastly, Bala sir, any thoughts on new formidable player getting into the market in the likes of Blackstone with the kind of expertise that they have globally, especially on the passive side, via their platforms, Aladdin or iShares for that matter. What is the kind of growth or challenges that you might anticipate? I know it's too early days, but any initial thoughts that would be great to hear from your side.

A. Balasubramanian: Yes. Thanks Prayesh. Of course, given the fact, I'm a firm believer of Indian Mutual Industry, passing ₹100 lakh crores size in the next years to come. And I also firm believe r that we personal households will have a mature fund investment in India. So going by that, I think there is a space for more people to do the hard work for expansion of the industry. I'm sure as the industry expands as a wallet shares increases, and that will, of course, go to established players in the mutual fund industries like ourselves.

Just to give you an analysis to give you. When of course , when we started 25 years back, 30 years back, we were close to about 3 or 4 fund houses. Today, we have 44 mutual funds and 80% of the mutual assets under management coming from the top 10 and top 5 contributes about 53% of AUM. So therefore, I would assume a similar trend will emerge as we move forward. But of course, more players coming in, establish player coming in will bring in new practices, no doubt it'll bring in new product offerings that could come will also bring in some competitive space and only strengthen our alertness to actually, both in terms of product offering as well as an expansion of the customer base. Those will become more than a challenge; we need to also probably be more aggressive on that space as well. But otherwise, I would only assume it w

ill only help in expanding the market.

Prayesh Jain: Great. Thank you and all the best.

Moderator: Our next question is from the line of Lalit Deo from Equirus Securities.

Lalit Deo: Sir, I have two questions. So firstly, like during the quarter, we have seen some increase in our employee expenses. Anything to read into that? And also, could you also qualitatively talk

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about like how has been the gross inflows in our equity schemes during the quarter as compared

to the previous 2, 3 quarters?

Parag Joglekar: So, Lalit, on the employee expenses. Employee expenses actually are more or less than around that number only. In last quarter, there was a slight drop due to some provision -- true down in the provision of variable pay and bonus and that is why there was a slightly drop in last quarter. Otherwise, the people remain slightly in the similar range. Obviously, there are some recruitments and backfills which we have done which has slightly increased the number, plus we are strengthening our team on the alternate asset side, which is also increasing costs slightly.

A. Balasubramanian: Yes. With respect to your second question on gross sales. I think we divide this into two parts. Though we don't disclose the numbers broadly. But I think the way I see the trend, the focused fund, which I just mentioned about, which are driving it more with intention to drive those schemes which are relevant from the ownership point of view. At the same time, the sales team point of view, they remain focused in building volumes.

In those focus funds, we are seeing actually increasing gross volume going up as is about 7% to 7.5% kind of range from a normal range of about 4.5% to 5% to which we have dropped there. And which I see is some sense of improvement in the overall productivity, which should gain the momentum with the reasonably good backup of equity performance, which I just mentioned about the earlier comment also is now supporting. The feel is now, is also being felt in the ground level. I think all combination put together; we should see that improvement now getting set.

Lalit Deo: And sir, just last question on the alternate side, like we are share, growing it well. So, like what is our vision over the next 3 to 5 years, like where do you see the overall AUM size in the alternate side? And how much of it should it contribute to our overall revenue and earnings?

A. Balasubramanian: Yes. Broadly, this one area where we are keeping our focus Lalit, as you have seen this ■ 893 crores we rise after briefing up the team in the AIF side. We've seen a first success, in fact, this has helped in two ways: one, reaching out to all the market players and we could communicate both on the mutual fund progress that we are making. And second, our vision for the AIF and that has helped in terms of raising ■900 crores. If they don't have confidence on either from AMC, even the ■900 crores would not have come. So that I see is a reflection of confidence of people to give their money on the AIF side. We have created, of course pipeline of product within AIF within the equity, we have a pipeline of product on the credit side. And just to put there given the fact this segment will also help in improving our overall profitability as a contribution is something has remained as a big area of focus.

Right now, we are working with what seven -member team in equity. We have time to beef up our fee income capability in terms of managing credit -oriented funds in this space. I mean these two-combination put together, I think the road map is being kept to bring in a sharper focus on this piece. In fact, we have given a separate KRA for entire existing sales teams to promote our AIF product because the team is one, but at the same time, they can actually sell multiple products as it suits for the customers.

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So, the very clear vision we are setting in for want of this thing, I'm not giving the number per se. But clearly, sharper focus we are bring on this space.

Moderator: Next question is from the line of Devesh Agarwal from IIFL Securities.

Devesh Agarwal: First question, if I heard it right, you said on equity side, our yield is around 70 basis points. versus last quarter, you had mentioned of around 74 basis points. So, there's a good four basis point decline, while our equity AUM remains flattish on a QoQ basis?

Parag Joglekar: So, Devesh, the yield was in the range of around 70 -72 basis, it is a mixture of various schemes within the equity, which we are promoting and depending on the size of the scheme which we are growing, including arbitrage or tax relief and the other scheme. That change, but there is no big drop. It was in the range of around 72 -70 odd basis.

A. Balasubramanian: There is a no big drop, Devesh. More or less the same, except on a few schemes, would have gone for drop for that too very minor drop would have been there. Otherwise, broadly the number remains the same.

Devesh Agarwal: Understood. And sir, on the passive side, what is the yield that we are making?

Parag Joglekar: So, on passives, generally on ETF, it will be in the range of around 10 odd basis, and on the index side, it will be slightly higher. It will be in the range of around 20 odd basis.

Devesh Agarwal: Okay. So at least on a passive portfolio, it would be closer to 15 -16 basis points.

Parag Joglekar: It is depending on how it moves.

A. Balasubramanian: But of course, we also have a product within the passive where we charge higher expenses given the fact that we are bringing in some value added in terms of frequent monitoring of portfolios as well as reshuffling the portfolios depending upon index, right, which lies such as Nifty 50 equal weight index, we charge higher expenses. Then smaller mid -cap index we charge higher expenses.

Though the expenses are higher as it stands today, therefore any volume increase could help in increasing the revenue, but we have been pushing it like NASDAQ fund, we do have, I think as it starts seeing the volume increase on this product, we'll probably see the margins improving on that basis. Though we are currently charging higher than the normal ETF, our passive funds will charge us roughly about 10-12 basis points. This product, we are positioned like that and with the intention to improve their contribution as well in the future.

Devesh Agarwal: And sir, when we see the passive AUM numbers, we were seeing QoQ growth until last quarter, and it was a very healthy growth, especially in the index fund. But if we see the June quarter on a sequential basis, the number looks very flattish. So, was there any particular product like a target maturity, which was doing very well until last year or last quarter? And this quarter, there was some moderation in the flows into those categories.

A. Balasubramanian: Sure. I think you rightly pointed out, Devesh. One, in the ETF equity category, we have seen growth, we have seen participation arising both in terms of customer additions as well as on Aditya Birla Sun Life AMC Limited
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institutional customers coming in, in view of our plan, both in the NIFTY and index and the banking ETF. As far as the target maturity fund is concerned, it comes into a passive category, those AUM got closed from the passive, but they have come to the actively managed debt funds. It was shifted there because it came for maturity. They all have to get rolled over. In the rollover, we can't do it in the target maturity space unless the customers want to go for it. So those rollovers actually got shifted to the mutual fund to an extent about 50% to 60%. And that's the reason why in the map

ping, they would have gone out of the passive space.

Devesh Agarwal: So, you're saying that is now getting into the actual debt funds of fixed-income funds?

A. Balasubramanian: In fact, we saw a shift from the Target maturity fund to a floating rate fund in the mutual fund space.

Devesh Agarwal: Okay. And sir, lastly, if I see the distribution channel mix, especially on the equity side, the share of the Bank channel is kind of continuously coming down. If you compare on a YoY basis, it has come down from 13% to 10%. So, is there any specific reason with some bank who has stopped selling a product or it's a general fall?

A. Balasubramanian: I think, it was largely because of the mix actually. I must admit that this quarter, we saw significant momentum on our fixed income space in terms of growth, which we saw in the last quarter of last year, we saw a dip. Basically, we gained back, and we gained more. That's primary I think, otherwise, the banking channels more or less remain adjusting for that. In terms of product being part of the recommendations, there are certain channels where the product were part of the recommendations, but of course got dropped. But again, that keeps going up and down because some of the people have changed their model of not more than recommending two products kind of things or three products kind of things. Therefore, it all comes in bits and pieces, but otherwise the relationship engagement with the entire banking channel remains very, very strong both as a brand, as a people as well as the product relevance. Therefore, that is not something which I see as a gap area.

Devesh Agarwal: Okay, sir. Thank you so much.

Moderator: Thank you. Our next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Hi, good evening, sir. Two questions. First, on the cost side, you've been mentioning for a few quarters of investment in alternates and employee additions or expanding your distribution capabilities. So, just wanted to get some sense of, let's say, from a medium-term perspective, how should one think of the cost ratios from here onwards, the core prospects of ESOPs?

Second, on your overall flow trajectory, you mentioned that you're trying to push some of the select schemes and equities where you feel that the flows can be better. So, if you can give some colour in this preferred scheme, what would be your flow share or how that has been shaping over the past few quarters? Has this been on an increasing trend or a downward trend? And lastly, two data-keeping questions, if you can quantify your ESOP expense for the quarter and your outstanding SIP AUM?

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A. Balasubramanian: On the first question on the cost front, I think only in the case of alternate space and direct space, these are the two areas where we are looking at the beefing up the team. We're also carving out the people from our existing retail team to all the larger responsibility on building Direct. Therefore, they'll have a little increase in cost, otherwise not significant. As for the AIF concerns, of course, you have to increase our team strength in the fixed-income space. We're looking at adding one or two Individuals who could help us building our feature on the credit related funds where we see it as a great opportunity, both in terms of building size and customer

segment is also quite hot on this space and third, of course, the margin could have to be high. As far as the investment concerns, while we have done all the beefing up on the investment side, both in terms of restructuring the current responsibilities of team and given growth for the existing team of senior analysts to become a fund manager that also because the status is changing from senior portfolio manager to the fund manager. Therefore, also a marginal increase in cost because the

you have to be map to the market. These are the three areas which I see as a driver for the cost increase, which is not anyway significant, but broadly these three items would lead to marginal increase in cost. Though, I can't quantify in number, but that's why I see it.

And the second is gross sales, we have chosen four funds, which is basically frontline equity in the large cap and the Balanced Advantage Fund in the hybrid category and the third one is Multi-Asset allocation and Balanced advantaged funds. These are the three funds we have put. And even as the fund house we started promoting multi-asset allocation fund, given the fact we are reasonably that's come in the top three in terms of AUM size, which we believe that in the current market condition, the multi-asset allocation fund could be one of the drivers and that's something we are pushing. We are seeing these three funds on a month-on-month basis, improving gross sales volume.

Even I talk to my sales guys, I ask him how is the business going, he will say my focus fund offerings, we are seeing an improvement in gross sales, which is nothing, but the language of people is coming in, I'm saying. Under the last, which I think I'll ask Prakash to answer.

Prakash Bhogale : So, Dipanjan the SIP AUM for this quarter is ₹57,543 crores, and ESOP is ₹6.6 crores.

Dipanjan Ghosh : Sure. Thank you, sir and all the best.

Moderator : Thank you. Our next question is from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.

Abhijeet Sakhare : Hi, good evening. Sir, you mentioned on SIP front, you mentioned some sort of stagnation at an industry level, so is it possible to share some colour maybe for ABSL or at an industry level in terms of what is the nature of the SIP closures or the slowdown that you're seeing, whether it is really the recent additions that have happened in the last one or two years that is now sort of seeing some redemptions or is it really the old book, which is sort of booking some gains because of market gains and sort of relatively more healthy in nature?

A. Balasubramanian : So, two trends. One, what has been coming in the last one or two years, especially the millennials, where we have been seeing some deep margins for the industry as a whole. The Aditya Birla Sun Life AMC Limited
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old book generally, they don't redeem, they stay invested for long term, given the fact they have gone through the cycles, the experience is good and in SIP, generally, there is no tendency to book profit. Therefore, that, I think, is more or less continues. So, mostly the online platforms whatever as you have seen in the case of demat closures, right, in the demat market. Yes, similar trend is assuming witnessed as far as the millennials are concerned, that's been the general trend that we have witnessed. In fact, the AUM that has been coming through the MFs and generally, their tendency for long-term is high. The third area where we have seen general drop even for us, we've seen a marginal drop in SIPs in terms of cancellation, only on one or two schemes where, maybe the performance will not have been to the satisfaction of the investors, despite they being invested for long term. We saw some kind of closure on that which I see is something which is not unique to us, general industry trend, we always seen even in the past as well. That's something we drive it through it. We have a system called SIP Win Back and how we actually call back the customers, make them understand this SIP, nothing to do the performance. It is something to rupee cost average we take care, if you go with the principle of SIP we are investing, that's something we make people understand again and again. If performance is bad and therefore redeemed, that doesn't mean you'll be able to catch up rather, we're saying stay invested, you know, the same thing, you'll be

able to catch

up, given the fact we all put an effort to turn around on the performance also on those schemes as well. So that's something we try and do it through the call win back kind of strategy that we have.

Abhijeet Sakhare : Got it sir. Thanks a lot.

Moderator : Thank you. We have a follow-up question from Mr. Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain : Thank you for the opportunity again. Firstly, it's more of a strategic question. Is there a customer behaviour change over the past, say two or three years in the B30 where with the advent of the tech driven like we have seen even online brokers or discount brokers kind of getting into the distribution more aggressively. So, is there a different approach that even the

AMCs, like you guys can adopt, and direct reach can help you scale up AUM there? Is there a different customer behaviour that is expected here, that has been seen in the last couple of years?

A. Balasubramanian : Prayesh. I think B -30, when I go back to history B -30 special attention was given by giving extra incentives to the markets. Since the time the extra incentive has been stopped, we have seen a reduction both in the increased customer addition as well as an increase in AUM from the B30 market. That's something which we have witnessed as a change in trend, whether it is the large fund houses, small fund houses, that's there.

As far as the digital platform concerns, of course, technology usage is not today restricted only to the urban cities, even rural India, a semi -urban India or maybe most of the cities, which are well penetrated, the usage of technology platforms have been rising and some of the platforms we have come have been increasing their reach to the market. Naturally, the digital onboard or transaction coming from the deeper part of location, B30 cities also have been rising.

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One of the trends that, of course, normally witnessed in these platforms is they normally give higher weightage for the decency of performance and also they don't look at which schemes that they do buy even in our own case, I have seen a large flow is coming in our Digital India fund about 6 month to 8 months back when the performance was extremely good, and that is all coming through the online platform. We saw inflows coming in our infrastructure fund because the performance are very good beating benchmark by the substantial margins. And I think I see online platform provides their own differentiate between thematic versus the regular schemes. That's something is a trend I see. In fact, we identified firepower schemes which fall in thematic category, but diversified equity portfolio, but the performance has been extremely good. Then we also felt that maybe as a fund house, we can actually position this kind of product as part of allocation of investors and making it available in the online platform. But this is something which I see as a trend in online platform and also behaviour of buyer behaviour, I would probably say giving more importance for this kind of thing. But otherwise, I don't see a significant buying behaviour changing or maybe selling behaviour also changing.

Prayesh Jain : Got that. And sir you mentioned that there is a movement from target maturity funds to floater funds. So, how does that impact our yields? And do you think that this could further move to longer duration asset, say, possibly 3 months to 6 months down the line once the trajectory of interest rate is more clear?

A. Balasubramanian : Yes. Basically, the way it works Prayesh is one is even the FMP days we have seen this, whenever these gains come for maturity, we give the rollover facility to investors as for the regulation is permitted where the investment can continue for long term. In fact, we tell most of the investors. If you don't need this money in order to

avail the longer -term tax benefit, which otherwise you'll lose it if you redeem and put the money back again. So, we always encourage investors to stay invested in whichever scheme to which they switch and stay for longer term as much as possible to postpone your tax, unless you need this money. This is something we normally advise we always give to the investor, rather we give this insight. Basis is, when the money moved from target maturity fund which gives me about 20 to 25 basis points into the floating rate fund or any other funds, but naturally anything than liquid, liquid plus the target that we have is little higher than the target maturity fund. Therefore, ideally speaking, it should lead to an increase in margins on such kind of switches. We also encouraged the switch should be ideally speaking, should be 100% unless until the investors need the money during that period of maturity. This is what we normally do, but in our case, we see roughly about 60 to 65 % success in terms of that money moving to the funds, which we ideally position for the switch.

Prayesh Jain : Okay got that. Thank you so much.

Moderator : Thank you. Our next question is from the line of Mohit from BoB Capital. Please go ahead.

Mohit : Yes. Thank you for the opportunity. So, just one question. If you look at the market share, we have reversed the trend and now we have seen an increase in the market share of the overall AUM, but if I look at equity, we have seen a little bit of decline and there is a trend that is going on. So, any special steps that we take to see that equity AUM also increases going forward?

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A. Balasubramanian Sure. Thanks, Mohit, for asking this question. In fact, we did go through some period of continuous decline, especially in few of our schemes, where the performance did have an impact on our growth. There's no doubt on that. In fact, the steps that we have taken in the last

six to nine months, as I mentioned earlier, both in terms of the shuffling of responsibilities on the team within the existing team and giving emphasis on more opportunity actually to manage the fund. And change of responsibility for some of the fund manager is going to take some other responsibilities, basis which has brought some changes that's definitely reflecting on the performance improvement that we have seen on the one -year and two -year, and three -year basis.

Both with respect to the competition, peer group as I call it, as well as to the benchmark. And that change as the impact has created some kind of positivity in terms of our first level of discussion, which ideally speaking should help us in getting in more momentum on the equity space, which is what gives me confidence that the changes that we've brought in. The level of communication that we have to step up and more level of push on the ground level, which currently is being done unless we sound positive in the market, definitely, the overall momentum cannot be built. I'm quite happy in the first quarter business, momentum that we have built, ideally speaking, should help us in more in that direction.

Mohit: Great. Yes, perfect. Sir, secondly, what are the schemes that you are intending to launch in FY24, specifically on the thematic side, is there any pipeline or if you can name a few of them?

A. Balasubramanian: There is one fund where we already got an approval which, of course, we have to look at the timing of the launch, which is the logistic fund under the thematic category. We got the approval, and we'll have to, of course, plan the launch may be in the second quarter if everything goes well. But in addition to that, we have of course, few products on the AIF side, as I mentioned earlier, the AIF side, perhaps there has been a good experience in buying our PMS products and those products are now also being offered under the AIF

side that we see

some momentum coming in. And third, which I mentioned in my opening remarks, we have launched first time ever in the country as a fund in Gift City, where all of us, under individual can put under LRS limit is USD 2,50,000 and all of us individuals can put in India and that's something we are now going aggressive in terms of promoting it, to invest in global markets using the LRS limit, which also should see some traction. The initial pillars are very good, and I don't have to put a number at this point of time. Going with the feel, it looks like, it may also see somewhat of good traction, both in terms of the customer base as well as the AUM, except that we have a constraint here that the minimum ticket size has to be ₹1 crore 20 lakh. This is the minimum ticket size, one has to put, therefore, predominantly helping building HNI base in this space there.

Mohit: Lastly, anything on the branch expansion in this year, do you intend to increase your branches?

A. Balasubramanian: See, incremental branch expansion, we are doing it jointly with Aditya Birla Capital, which we call it as One ABC branch. So we have to start prolonged strategy, one, existing branches, how we can collaborate with One ABC branches. Therefore, we all become one, as One ABC as a strategy, that something has been working quite well in terms of getting more customer Aditya Birla Sun Life AMC Limited

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traction, in terms of doing cross sell, upsell. I'm sure, more you will hear that as we start seeing the real outcome of that.

And second is, wherever we have identified an emerging market about 85 locations that we have, some of the branches are matured in terms of size. We're also looking at opportunity of converting them into a full-fledged branch. As we convert them into full-fledged branch, we'll actually add more emerging market, which we are doing as an on-going process.

Mohit: Thanks and wish you all the best.

A. Balasubramanian: Thanks.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

A. Balasubramanian: Thank you, everyone, and thank you for tuning in. And with this, we conclude our Q1 FY24 earnings call and do feel free to reach out to our IR Head, Mr. Prakash Bhogale for any queries that you may have. Thank you.

Moderator: Thank you. On behalf of InCred Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

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Call: Nov 2023

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Ref. No.: ABSLAMCL/PS/102/2023 -24 November 1, 2023

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor
Dalal Street Mumbai -400 001 Plot No. C/1, G Block ,
Scrip Code: 543374 Bandra Kurla Complex
Bandra (East), Mumbai - 400 051
Symbol : ABSLAMC

Dear Sir / Ma'am,

Sub: Transcript of the Earnings Conference Call on Unaudited Financial Results
(Standalone and Consolidated) for the quarter and half year ended September 30, 2023

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call on Unaudited Financial Results (Standalone and Consolidated) for the quarter and half year ended September 30, 2023, held on Friday, October 27, 2023. The above information is also available on the website of Company at <https://mutualfund.adityabirlacapital.com/shareholders/financials>.

We request you to kindly take the aforesaid information on record and disseminate the same on your website.

Thanking you.

Yours Sincerely ,

For Aditya Birla Sun Life AMC Limited

Hemanti Wadhwa
Company Secretary & Compliance Officer
FCS No. 6477

Encl.: As above

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“Aditya Birla Sun Life AMC Limited
Q2 & H1 FY24 Earnings Conference Call ”
Friday, 27th October 2023

Management : Mr. A Balasubramanian – Managing Director
and Chief Executive Office
Mr. Parag Joglekar – Chief Financial Officer
Mr. Prakash Bhogale – Head , Investor Relations

Aditya Birla Sun Life AMC Limited
Friday, 27th October 2023

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '24 Earnings Conference Call of Aditya Birla Sun Life Asset Management Company Limited, hosted by InCred Equities. As a reminder, all participants lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jignesh Shial from InCred Equities. Thank you, and over to you, sir.

Jignesh Shial: Thank you, Michelle, and good evening, everyone. On behalf of InCred Equities, I welcome all to Aditya Birla Sun Life AMC 2Q FY '24 Earnings Conference Call.

We have along with us Mr. A. Balasubramanian, Managing Director and CEO; Mr. Parag Joglekar, Chief Financial Officer; and Mr. Prakash Bhogale, Head - Investor Relations. We are thankful to the management for allowing us this opportunity.

I would now like to hand it over to Mr. A. Balasubramanian, Managing Director and CEO of Aditya Birla Sun Life AMC, for his opening remarks. Over to you, sir.

A. Balasubramanian: Thank you, and good evening to everyone, also for the introduction for this call. I hope you all had the opportunity to go through the earnings presentation, which is available on the stock exchanges and our website.

Let me quickly give you the broad economic outlook and the mutual fund industry update before I give an update on our performance for the Q2 FY24. Broad economy, the growth story for the country remains intact and resilient despite global macro uncertainties. The latest quarterly GDP release at 7.8% was robust and broad based and economic conditions remain favourable with various high -frequency macro indicators, including capex gaining ground and strong GST collection and PMI numbers and better capacity utilization and credit activity, all of them leading to a reasonably good positive outlook.

And, what led to more credence to the strong growth outlook is that it is unfolding while maintaining macro stability parameters and strong global headwinds. The Indian markets have experienced a widespread recovery, which was demonstrated by the NIFTY 50 recently achieving a significant milestone, and the inclusion of India in the JPMorgan Emerging Market Bond Index has further elevated India's global perception and signifies substantial progress for the economy on bond flows as well interest rate and rupee gaining strength.

The festive season has started in full swing, and on a cheerful note, which is poised to drive higher consumption in India and uphold the strong positive sentiment in the market. The domestic economy is structurally strong with sound fundamentals and is expected to withstand the recent geopolitical volatility as well as the market volatility assessed recently.

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With respect to the mutual fund industry, as of 30th September 2023, the Indian mutual fund industry quarterly average AUM grew by 20% on a year -on-year basis, reaching ₹ 46.98 lakh crores versus ₹ 39 lakh crores as on 30th September 2022.

During the quarter, the industry witnessed net equity sales of about ₹ 90,000 crores through new fund offering and through existing funds. And within the existing equity and hybrid categories, arbitrage, small cap, sectoral, thematic funds, multi asset allocation funds, multi -cap, and mid -cap funds, are the highest to get net inflows. The mutual fund industry also witnessed good inflows coming from NFO collections to the extent of about ₹ 22,000 crores. The industry SIP flows grew by about 24% year -on-year from ₹ 12,976 crores in September 2022 to ₹ 16,042 cro

res in September 2023. The total number of mutual fund investors also stood about ₹ 15.9 crores investors with an increase of 14% on a year -on-year basis. The individual average AUM grew by 24% on a year -on-year basis and contributed to 59% of the total AUM. And B -30 cities accounted for an average of about 17.5% of the total industry AUM.

Coming to the ABSL AMC performance. In Q2 FY'24, our overall average assets under management, including alternate assets, reached around ₹ 3,24,000 crores, growing by 10% year-on-year compared to last year. The mutual fund quarterly average AUM has crossed ₹ 3 lakh crores, and equity quarterly average assets under management crossed ₹ 1.3 lakh crores size.

SIP flows have increased from ₹ 931 crores last year to ₹ 968 crores in September 2023 with an overall folio count of around 80 lakh folios. In our overall mix between individual and

institutional customers, individual investors account for about 52% of our total assets. In the recent months, our business has been proactively pursuing many strategic initiatives in order to drive, one, the future growth; and second, the broad market share loss that we have seen, in order to arrest that, there are certain steps that have been taken. In fact, the steps that have been taken have also been yielding positive results, which I would like to highlight as follows.

On the investment side, most of our equity funds have not only beaten the benchmark in their respective category on a 1-year basis, but also the peer average with the higher margins compared to the last few quarters, which gives me confidence that our equity fund performance, which was bit lagging behind are coming back, with changes that we have made. We also strengthened our team by bringing in Co-CIO Equity, very recently and who has come on board, and will drive the broader investment processes as well as work along with the team to take the AMC to the next level.

And furthermore, we've also given growth to our internal talent who have been part of the system for a good number of years and handled large responsibilities, now take on a greater responsibility in the fund management side, while they continue to serve as senior analysts for a few large sectors, which are key to the overall economic growth.

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Under the guidance of our CIO Mr. Mahesh Patil, these changes have brought in new vigour, confidence, new energy, and poised to infuse momentum into our efforts to expand our equity assets further.

On the fixed income side, the team led by Kaustubh and Sunaina, have always remain committed to lead the fixed income at pace with robust performance and also create a strong presence in the fixed income market.

With the global bond yields reaching their highest levels, in over a decade in developed markets, US bond yields are about approx. 5%, which offer for an attractive entry point for investors looking to invest in US dollar assets. And to seize this opportunity for investors, we have, as I speak, launched a fund-of-fund investing in US Treasury ETF, providing a powerful tool for diversification and investment. Additionally, on the domestic front, addition of global bond index by JP Morgan also provides an opportunity to investors to consider fixed income as an asset class for them to invest. We identified certain products in this space given the view that interest rates remain higher for longer. Therefore, we continue to keep a high focus on building the fixed income space and identify new opportunities to build our retail participation in the fixed income product offering.

Our strategic efforts across various channels to enhance our market presence have delivered favourable outcomes in this quarter. In fact, we have started a campaign called "Focused Fund offer", basically combining the existing funds, which has

got a greater acceptance in the market, at the same time, those products also have got for long-term performance to back it up and has yielded positive results and gained good traction in the market place. As a result, we have seen an upswing, in those fund, "Focused Fund" what I call it, in key numbers on various parameters, especially gross sales we have seen good improvement, which is again a reflection of the focus that is bringing in on building our retail that is something which should yield results.

At the same time, the sales ecosystem is created to support the entire retail initiatives such as the virtual relationship manager, Sampark and service to sales RM's and digital distribution has also been yielding results as the time progresses.

Coming to alternate and passive business, our passive business offerings grew by about 68% on a year-on-year basis to around ₹ 28,400 crores as of September 2023. We have also been growing our customer base to about 5.4 lakh folios. Our current product offering in this category runs almost about 40 products as it stands today.

On the AIF front, fundraising is underway for ABSL India Special Opportunities Fund (Category III AIF), which has recently launched on the lines of success that we had launched in the AIF product with service-oriented funds. On the back of that, we have product in pipeline to launch in this area as well.

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After setting up of GIFT City, as we all know that we are the first one to take initiatives in the mutual fund industry to create our presence in GIFT City. In fact, we have launched the industry -first ABSL Global Emerging Equity Fund. This strategically feeds into emerging market equity fund of global boutique investors, enabling our investors to access and benefit from emerging market opportunities. We have closed first tranche of this fund and garnered close to about \$11.2 million assets in this fund. Of course, now it's open for subscription for the getting incremental money.

Our upcoming product pipeline include ABSL Structured Opportunity Fund in the Category II AIF, as well as Index -Linked Fund in the Category III AIF. That's something the product pipeline we have created in order to build the alternate business, want to get more customer base as well as improve the overall profitability coming from that alternate business as well, including PMS.

Moving on quickly to financial number for the quarter.

Our revenue from operations for Q2 FY '24 was at ₹ 3,350 million versus ₹ 3,111 million up by 8% on a year -on-year basis. Operating profit for Q2 FY'24 was at ₹ 1,811 million versus ₹ 1,728 million in Q2 FY '23, up by about 5% on a year -on-year basis.

With this, I'd like to conclude and open the floor for any questions and observations that you may have on our current strategy as well as future strategy. Thank you.

Moderator: Thank you very much sir. We will now begin the question -and-answer session. We'll take the first question from the line of Dipanjan Ghosh from Citigroup. Please go ahead.

Dipanjan Ghosh: Hi, good evening Sir . Firstly, two data keeping questions. If you can give the SIP AUM number for Q 2 and Q 1 and also the overall employee base for Q 2 and Q 1?

Second, if you can just give some color on what is the current payout in the market and your net yields in equities on the blended versus the incremental yields that you're getting on fresh business? If you can give some color on that.

And lastly, you mentioned some points on strategies that you've adopted to kind of stabilize the SIP market share. So, if you can give some color on incremental trends in October and November and what are the strategies, if you can outline some of them ? Those are my questions.

A. Balasubramanian: I'll just ask the first question to be answered by Prakash. And on the margin front, I'll request

Parag to answer. The last question I'll answer.

Prakash Bhogale: Dipanjan, the SIP AUM for the Q2 FY '24, which is September is ₹ 60,814 crores. For the last quarter, it was ₹ 57,543 crores. The number of employees in September is 1,437 which was 1,449 in last quarter.

Parag Joglekar: Dipanjan, the yield on equity remained more or less similar in the range of around 70 basis.

And the yield on new flows will be in the range of around 55 - 60 basis.

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Dipanjan Ghosh: If I heard it correctly its 55 to 60 bps on fresh, right?

Parag Joglekar: Yes. So, we generally share around 65% to 60% of the total T ER. So, depending on the scheme, it comes generally, it will be in the range of 55 to 60 basis.

Dipanjan Ghosh: Got it.

A. Balasubramanian: With respect to, Dipanjan, on the SIP strategy, one, in order to support SIP strategy, we did launch a series of the SIP product such as Sampoorna SIP that we just launched, as well as few other feature that we created. In fact, the entire retail team is, one, focusing on building size in that. That's why we have also seen in our overall SIP incremental basis, there is an improvement in terms of ticket size as again coming from the Sampoorna SIP that have started to grow. It's just a small number is coming in, that's something we have done.

Second is having seen improvement in performance, we're also, of course, working closely in terms of the schemes that one can get upgraded from external rating point of view, we have already seen one of our large cap funds have moved up in star rankings, which essentially reflects on improvement in performance, which also, of course, get featured in various platform, uses this data point for pushing the product.

And second, we're also engaging with the online platform, which, of course, have been quite aggressive in terms of building SIP book recently. We have been having engagement with them and see the improved performance of the equity schemes, where all you can fit in on various categories, done some analysis and basis which we're also engaging with them, which I think gives me confidence that, yes, we'll see some improvement coming in that space.

And third, of course is given a fact that the markets have been quite volatile recently, I think SIP is something which we continue to believe that the best way to participate is SIP, therefore, increase the engagement level with all our partners, especially MFD partners who have been also contributing quite well as well as some of the national distributor partners more than the

banks that have been contributing quite nicely on the SIP book.

These two engagements that we have done in the recent past. I think all the three of these activities that I just mentioned about should help in actually improving the overall, one, the registration, therefore, the gross number improves; as well as the net number that currently are about ₹ 970 crores, then targeting the number should cross ₹ 1,000 crores kind of a number to start with and then move up in the rank. So that is way we are doing it.

Of course, we also launched one NFO as I speak, I just added today, which is Transport and Logistic Fund. And normally, what happens is NFO, one not only give the incremental AUM, it also gives a new customer base. It also helps in getting new SIPs and that's something should help. Even the US bond deals that have started, of course, it's in the mutual fund platform. It does not have any restriction in terms of what the minimum ticket size and we can participate. We're also seeing some really good participation coming in the fund also from retail side. So all these initiatives makes me feel that I think we will see the combined efforts should see that improvement coming on the SIP space.

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Dipa

njan Ghosh: Bala, sir, if I can just squeeze in one small question. You know if I just look at the industry and where incremental SIPs are coming from and if I look at your market share losses, can you give some color on what would be your counter shares across all the major channels like you mentioned that you're working closely with a digital partner?

So, if you can give some color on what the mix would be internally or where you're probably seeing some pressure or where your kind of probably higher than your blended market share?

If you can give some color on that from a channel perspective.

A. Balasubramanian: Just on a broader basis, there are five channels. One, of course, IF As, second is the bank, and third is the NDs, and fourth is the digital, and fifth is the direct. In terms of the channel-wise contribution, the significant contribution on an incremental basis is coming from the digital platform. That's something we are seeing. Of course various strategies that we apply and discovered and basis which we can engage with them, give them some kind of input in terms of where our product can feature basis which we can actually get some incremental market share. That's something we have already been working on, which includes Groww, Paytm, PhonePe, Kuvera and so on and so forth.

The other channel, direct as a channel, on an incremental basis also is contributing. In fact, we set up a separate team of people, of course, comprising about 30 people to drive our direct. In fact, we have seen contribution from this team on a quarter-on-quarter basis is showing good results. And also, we have set a target for each of the branch locations to also keep a high focus on direct as a business building as part of our customer expansion strategy. That's something is contributing to the industry. And even for us, is something we are keeping our focus.

Third, of course, is the IFA channels continues to remain active. But of course, incremental growth from all the traditional channels is not as high as what we are seeing on the digital platform and direct platform. So that is something, one, we can maintain in our strategy on the traditional channel. These are the two channels also we are revisiting how we can get higher market share in this space, for which we have taken some steps, as you just mentioned.

Moderator: Thank you. We'll take the next question from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Good evening, Sir. So just firstly, on your product launch pipeline. So, what are the products that can be envisaged in the, say, next couple of quarters?

A. Balasubramanian: One, of course, we already started, the fund we have launched one currently. The two funds, which are currently open. One is the US Bond Yield Fund, which is on a three-year and three to ten-year duration. We were the first one to launch this product and to provide an opportunity for Indian investors to participate in the best of the story in the world. And reasons are of course, know largely the yields are high and the other benefit that could come in terms of any potential appreciation that come next year is that something we have done.

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And this product is going to be open-ended product, though, which is new fund we have launched now. And after the closure, it will be open for subscription. And as you know that total limit that's available for this product for the whole industry is about \$800 million. And we have limit about \$200 million in this space. And hopefully, we should be able to utilise this

space quite extensively.

The second is the Transport and Logistics Fund. We already been having a roadshow across the country. And we were the third or fourth one to launch this product in the space. Again, we see purely on the basis of India story. This product has g

ot longer -term shelf life therefor e we

launch ed this product, which again started today, is likely to close on 10th of November.

And third, of course, we have AIF product pipeline we have created given the fact that we had good success on the first AIF launch that we have done, currently close to about ■ 900 crores.

We have created two pipelines, the Phase 1 Structured Opportunity Fund in Category II as well as Index Linked Fund for Category III funds. And these two we are doing.

And fourth, of course, – subject to, of course, getting clearance from SEBI , We have plan

Quant fund with Head of equity coming in with Mr. Harish Krishnan coming on board. We

also plan to have a quant -based fund, which again will be driven by the Co-CIO of Equity supported by the quant manager whom we also recruited and likely to be onboarded soon.

These are the immediate product pipeline that we have. And as we see opportunity in thematic category, we'll continue to keep that as a focus. As you know, that given the fact that we are 30-year-old fund and the various attribution of things have been given, we'll have a limited scope for a new fund offering , but still within that we'll operate in terms of looking for opportunities and launch some funds.

Prayesh Jain: Thanks. On the yield front, the yield improvement in this quarter is primarily because of the mix, and right, there's nothing else to it?

Parag Joglekar: Yes.

Prayesh Jain: Anything on the debt side where the mix has changed, th at has acted favourably ?

Parag Joglekar: Yes, there is a slight uptick in the debt side also due to mix and generally opportunity to have a little higher income. So there is slight uptick on debt side also and the other reason is the mix change towards the equity.

Prayesh Jain: What would be the debt yield in the quarter?

Parag Joglekar: Debt yield will be around 24 to 25 bps.

A. Balasubramanian: 25 basis points.

Parag Joglekar: Yes.

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Prayesh Jain: Okay. And on the SIP front, in the last couple of quarters, monthly run rate has been declining rather than industry which has been hitting new highs. Would you ascribe that to only performance? Or what else is playing out there?

A. Balasubramanian: One is mix, I would say, Prayesh. I think I'll just give you some color of the past. I think we have been pioneered in building SIP for very long in the Indian mutual fund industry, even much ahead of most of the key competitors. And building SIP is a way of building our business. Therefore, we had a huge subscription coming almost about five years back and that would have help for about five to seven years. And very ahead of time. So that's one. Therefore, the incremental AUM from each one of them would, of course, gone to some other people as well. And second, of course, we did go through on year, one and half years of equity performance lagging behind competition. They've been last one and half years that also led to significant contribution coming from some of the online platform, which I mentioned about it.

I'm only happy to say that they gave us a quick briefing on how the steps that we have taken in terms of building back the performance . Which I'm happy to say that we are seeing a significant improvement, which ultimately should lead to improvement on the overall participation from all channel partners .

Which again , I'm saying it in terms of acknowledgment, first one, that industry, the participants should acknowledge. Yes, the performance is on track or back on track. And secondly, of course, willingness to give always is there.

And these two things going well, I think we should see that coming back. As I said, the online platform always goes by certain Quant models that's why you would have probably seen the rate of growth for other than top 10 is much higher than the first 10. It's also coming

from the

fact that SIP registration also comes to the NFOs offering also contributes to overall success. It's not just coming only in existing funds. It also comes in the new fund offering. It's a combination of these three. So, net-net I think our renewed focus, we are bringing on these areas, I think, should help us in building back the momentum for that.

Prayesh Jain: What would be the trend in NFO commissions in the industry, whether you know because we've seen in the first half there was some relief. And although AMCs had been talking about some cognizance about commissions, is it inching back again or how is the trend?

Parag Joglekar: Generally, it will be slightly higher than the normal sharing, which we do in the normal sales of our existing funds. NFO, generally, you estimate some amount and generally accordingly pay the brokerages. And depending on the collection, which you do, the amount differs. But it will be slightly higher just for because it's a new fund offer. So, we need to create that traction. It's slightly higher than the existing one.

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A. Balasubramanian: Yes. One advantage we get for NFOs is your expense, of course, starts at the higher slab. And as size become bigger, it goes down. To the extent that the payout will always is favourable to the distribution community, no doubt. But still, at the end of the day, the broad principle that we have, it is to make the product more profitable in whichever way is possible. At the same time, remain remunerative for the distribution channel and yet doesn't become too costly for the investors.

These are the three -combination put together. That's remains from a strategy point of view. And anyways, we operate within the overall TER guideline under which all of us are supposed to operate there.

Prayesh Jain: Okay. Thank you so much and all the best.

Moderator: Thank you. We'll take the next question from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: Yes. Good evening, sir. Thanks for the opportunity. Sir, just a small question like. Sir, last quarter, we have highlighted that we have selected a pool of schemes where we have seen improvement in our performance. And then flow market share has been improving. So, could you tell us like what is your strategy over there? Like have we added any more schemes over there. And what is our gross flow market share in the last three months to four months over in those schemes, particularly?

A. Balasubramanian: Yes, Lalit. What we did is, one, the basket of products, which we want to build size at the same time acceptance in the market was very high, up on the longer -term performance in the style of managing these funds and relevance of this product that we have seen an improvement such as the large cap fund and flexi -cap fund as well as small -cap fund.

Even at small -cap fund we have seen inflows into the small -cap fund, though the flows will not have been as big as some of the other key competitors would have seen. But at least on an incremental basis, we have seen inflows. And that's also being reflected in the form of overall gross volume on these schemes improving, which again reflection of how the focused strategy also is working.

And even moving forward as well, we'll keep identifying the product that have got one, acceptance and at the same time, from a relevance point of view remains. And third, of course, we can also build the volume. That's something strategically applying it. And that should lead to both improving the gross sales contributions as well as net sales contribution.

Lalit Deo: Yes. Just to follow up on this, so within these schemes like currently, qualitatively what would be our gross flow market share in the last three months to four months. Like if any quantification could be helpful?

A. Balasubramanian

: Yes. generally, we do not disclose this number. That is not specifically given out anywhere. But I can only say that what we have seen in the previous quarter from there, we have seen an improvement of about 3% to 4% on an average, out of these three schemes.

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Lalit Deo: Sure, sir. And secondly, on the expenses side. So, during the quarter, we have seen that on a sequential basis it has remained in the same range. So, like, what is the outlook on the expenses for like FY'24 for the remaining two quarters and in FY '25 like?

Parag Joglekar: So, Lalit, the expenses have gone up slightly on the people side. This is mainly due to the increments, which had happened in the month of this quarter that has resulted slight increase in that. And the other expenses have gone up on the fees and commission, which was towards the AIF commission, which we had paid, which is getting amortized over the period. So, this is the main changes. On people side, it should remain in the similar range or if there are any hiring which we do, then slightly it may go up. But otherwise, should be in the similar range.

Lalit Deo: Fine, sir.

Moderator: Thank you. We'll take the next question from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.

Abhijeet Sakhare: Yes. Hi, good evening. Just one question in terms of the steps that has been taken. Any other major gaps that need to be filled in either on the talent side or on the distribution side?

A. Balasubramanian: One of the areas, we of course keep looking at improving the contribution, one of course on the retail side, we had seen some talent attritions as it always happened across any industry.

Therefore, that one part remains a high focus area. Second is beefing up the team, especially on the credit opportunities that we are seeing. We have of course one-member team. We are looking at building the team so that we can offer more product in the fixed income space, especially to invest in credit-related opportunities. That's something we are beefing up.

And third is our offshore contribution has remained somewhat flat for quite some time. Once again, given the fact that India has been the forefront in getting inflows from overseas, again, we're revisiting our strategy in terms of what are the incremental steps that we can take both on the people as well as on getting assets from some of the mandates that we already have. We have similar mandates whether we can win from others, some institutional investors that are based and how the GIFT City can help us in building the space, that's something we are working on it.

And these are the key steps that we are taking. And the skill, of course, is our ongoing thing there is no specific one that we do, the talent identifying and bringing some external talent wherever there's a need. And then both, of course, go hand in hand. And that's something which is one of ongoing stuff for our business and nothing specific to give on that.

And on the investment side, of course, the last time also have mentioned that we'll further strengthen and what we have done already giving the internal existing talent, highly skilled internal existing talent, and bring in external talent and both the combinations we have already done as far as the mutual fund investments is concerned.

Abhijeet Sakhare: All right, sir. That's helpful. Thanks a lot.

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Moderator: Thank you. We'll take the next question from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal: Thank you for the opportunity, sir. First question, sir, is slightly on a macro thing. In the past, we've been talking about financialization of household savings, and some of the recent data is suggesting that there is a reversal in that trend.

And next financial savings have seen a bit in terms of within the household. And so, in that light, how do you see although we understand that the flows have been pretty strong for equity segment over the last three four months. But going ahead with this trend that we are seeing and the interest rate on FDs has been high, do you see any risk for the inflows into the equity segment?

A. Balasubramanian: Yes. interesting, Devesh, while the view, of course, keeps getting formed linking to the market, one thing that seems to have got established for the industry, even for us, the SIP way of investing is gaining more and more strength.

If I just look at it, at the broader basis, so add up the numbers contribution coming from SIP, the number coming from NFOs and then a number coming from existing schemes, increasingly, the contribution coming from SIP has been going up. And the lump sum investments have not been growing as much as, which normally grows, which again reflects the one on the view of the market. At the same time, conviction point of equity from longer term point of view that's coming to the SIP. That I see is a trend emerging.

Second is, we still have a lot of untapped investor base. But over certain time we have only 4 crores, unique in customer base. And we as a fund have about 52 lakh customer bases. And these numbers can easily double in the next few years given the fact that interest rates have been quite high, but not as high as somebody to divert the money from equities to fixed income, FDs and other things. Therefore, the wealth creation aspiration still remains.

Therefore, I believe equity will continue to be attractive from investor's point of view. But of course, if there is a correction in the market, any sharp correction generally I have seen historically, it's put the break on the flows and SIP generally gets slowed down, which you have seen historically.

We have seen after many crises, after every crisis in the past. I would assume this time I'm not rolling out a more trend like this. But only thing in this trend could be a little better than the previous trend we have seen. Therefore, I don't see a significant dip in terms of growth. But one area where we see the household savings could potentially come into the mutual fund space despite the tax benefit not being there, which is the fixed income space.

The carry-in fixed income schemes have been pretty good, ranging from 7.5% to over 8% kind of carry. And we also have a view that interest rates will remain higher for longer. We are setting up a focus in terms of the current market conditions, if fixed income could also be one good suitable opportunity for investors. That's something we are pushing in.

Therefore, we'll probably see increased participation coming both in the fixed income space as well as the hybrid space like multi -asset allocation fund if something is invested in all the four asset classes.

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Again, people would like to use the hedge for any equity market volatility. That is what something I see is overall momentum. And lastly, today, if you look at around ₹ 47 lakh crores, a significant proportion of assets coming from equity. And any normal basis, it could be 50 - 50. It could be towards equity and debt or maybe in some conditions, it could be 45 -55 towards equity and the debt, assuming that kind of asset allocation model get set in . But naturally, other asset classes will grow a little faster if the momentum in the equity market get altered by any unknown reasons.

Devesh Agarwal: Understood, sir. Sir, you did mention that given the increased contributions coming from SIP close, the overall stickiness is kind of increasing of the net flows into the equity segments. I just wanted to understand, based on the kind of investors that we have, generally, or is the tenure for these S

IPs that gets come down and if tomorrow , this is again a hypothetical question, if markets would fall, say, by 10% -15%, do you think that the stickiness will be there or there could be some churn in terms of these investors not reopening the SIP. And to that extent, the SIP flows can also be addressed?

A. Balasubramanian: Sure. See, I think one of the areas where I think people like us who have been building SIP for quite some time with the longer -term goal in mind definitely those assets will be sticky that historically we have seen. But you must also have to accept the fact that all the incremental large subscriptions coming in through the online platform, it will be largely a good mix of millennials and first -time job kind of people who get employed.

These are the people generally opt them to move away from the market. The experience is that it doesn't meet up with their own expectations of making quick money and so on and so forth. And these are some of the trends, I think, will always evolve. My belief is these investors also learn lessons from this kind of behaviour in the market, and therefore, they become a long -term investor when they come back to the market once again for the second time. So that is the historically I have seen. And this trend, I don't think we should also rule out from SIP getting cancelled . That normally happens. But as long as the macro acceptance and the registration number keep rising, even with the cancellations, I don't think we should worry about it because those guys, again, I have seen them coming back in the market. Maybe they'll come after a delay, but of course, I see them coming back to the market also after some time. But millennial is probably what you said is right. Millennials would always test the water for some time, and they may tend to cancel it and then restart once again.

Devesh Agarwal: Sir, any number that you can share of this ₹ 15,000 crore flows that we see monthly, how much would be coming from this online channels or millennial?

A. Balasubramanian: As that I mentioned, I think, for the quarter approximate number was about 37% - 38% were coming from online platform , basically, the digital platform , roughly about 39% . Of the various channel concepts there I mentioned about it, the traditional channel and then digital channels and direct channels. The digital channel has suddenly become the larger contributor, again I see that is coming from these millennials, youngsters coming on board, ₹ 1,500 - ₹ 2,000 kind of ticket size. And they generally tend to buy and sell kind of behaviour will always be there.

That is what I see currently. Of course, one good thing is the way I see is positively new
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customer additions , definitely, ultimately, they become a permanent investor for the mutual fund as time progresses.

Devesh Agarwal: Understood, sir. And sir, we read this morning that SEBI is thinking about this high-risk fund. Any thoughts around that? What is exactly those? And what kind of assets would be? And do you think there is a strong case for investor interest in this kind of category?

A. Balasubramanian: No. The very fact that AIF fund has been created is to create a separate category for all the risk takers, which has meant for the accredited investors kind of investors. Therefore, I'm not saying currently much weightage to the article that came in, given the fact I don't think we are having a part of the discussion that is some of time to have such kind of product on the mutual fund space. Therefore, I'm not very sure how much of the weightage I have to give for this.

Devesh Agarwal: Okay, understood, sir. And lastly, sir, on channel mix. We've been seeing more or less these contributions have been steady, especially if we talk about on the equity side, the national

distributors are around 20%, banks are

around 10%, given that you said that incremental money

is coming from fintech. Do you think there would be any channel mix change that we should expect over the next one to two years? And would that have any impact on our yields?

A. Balasubramanian: From a channel mix point of view, I think, definitely MFDs continue to remain a dominant player. And they anyway focus on long-term investing and hand hold customers during all periods of market volatility and ensure they make their investors invest for longer-term goal purpose. I feel that they continue to remain, among the traditional channel, MFD will remain a dominant player, absolutely no doubt on that. Incremental wallet share will continue to come from them. Second, of course, the national distributors who have deep presence, all India presence, and continue to stay focused only on building retail will remain a powerful channel. Banking of course, again, they have a larger focus on wealth management business. They will likely remain a dominant player, no doubt on that. Of course, incremental AUM coming from the digital channel and direct, which again increased focus is coming in. Definitely, the contribution on a year-on-year basis compared to these channels will definitely be higher. Therefore, the higher the growth compared to the normal rate of growth coming from other channels if it continues, which is what I also feel will remain, then naturally the contribution will accordingly undergo change.

But it doesn't mean it will come at the cost of other channels. At the end of the day, more channels contributing to the success of industry will only help the industry to grow on an overall basis. And the wallet share of each of the channels will continue to rise, and people like us should also get to participate in this overall contribution coming from all the five channels we have mentioned about.

Devesh Agarwal: Okay. And sir, this digital online channel that you mentioned, these are booked at the national distributors or MFDs?

A. Balasubramanian: No, it comes separately. Some of them are MFDs, some of them are RIAs. If it is RIAs, it will come under as a direct.

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Devesh Agarwal: So direct MFDs?

A. Balasubramanian: That's not available in the public domain. I'm just giving you a broader sense of what we keep track for ourselves.

Devesh Agarwal: Perfect! That is all from my side. Thank you so much.

Moderator: Thank you. As that was the last question for today. I would now like to hand the conference over to Mr. A. Balasubramanian for closing comments. Over to you, sir.

A. Balasubramanian: Thank you, everyone, for joining, and with this, we conclude our Q2 FY '24 earnings call. Do feel free to reach out to our Investor Relations Officer, Mr. Prakash Bhogale, for any queries that you may have. Thank you, and happy weekend.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

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Call: Feb 2024

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Ref. No.: ABSLAMCL/PS /130/2023 -24 February 5, 202 4

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor
Dalal Street Mumbai -400 001 Plot No. C/1, G Block ,
Scrip Code: 543374 Bandra Kurla Complex
Bandra (East), Mumbai - 400 051
Symbol : ABSLAMC

Dear Sir / Ma'am,

Sub: Transcript of the Earnings Conference Call on Unaudited Financial Results
(Standalone and Consolidated) for the quarter and nine months ended December 31 , 202 3

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call on Unaudited Financial Results (Standalone and Consolidated) for the quarter and nine months ended December 31 , 2023 , held on Tuesday , January 30 , 202 4. The above information is also available on the website of Company at <https://mutualfund.adityabirlacapital.com/shareholders/financials> .

We request you to kindly take the aforesaid information on record and disseminate the same on your website.

Thanking you.

Yours Sincerely ,

For Aditya Birla Sun Life AMC Limited

Hemanti Wadhwa
Company Secretary & Compliance Officer
FCS No - 6477

Encl.: As above

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“Aditya Birla Sun Life AM C Limited
Q3 & 9M FY24 Earnings Conference Call ”
Tuesday , 30th January 2024

Management : Mr. A Balasubramanian – Managing Director &
CEO
Mr. Parag Joglekar – Chief Financial Officer
Mr. Prakash Bhogale – Head , Investor Relations

Moderator: Ladies and gentlemen, good day, and welcome to the Aditya Birla Sun Life Asset Management Q3 FY'24 Earnings Conference Call hosted by InCred Equities. As a reminder, all participants lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star , then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jignesh Shial from InCred Equities. Thank you, and over to you, sir.

Jignesh Shial: Yes. Thank you, Rayo , and good evening, everyone. On behalf of InCred Equities, I welcome all to Aditya Birla Sun Life Asset Management Company Q 3 FY'24 Earnings Conference Call. We have, along with us: Mr. A. Balasubramanian, Managing Director and CEO , Mr. Parag Joglekar, Chief Financial Officer , and Mr. Prakash Bhogale, Head of Investor Relations. We are thankful to the management for allowing us this opportunity.

I would now like to hand it over to Mr. A. Balasubramanian, Managing Director and CEO of Aditya Birla Sun Life Asset Management Company, for his opening remarks. Over to you, Sir.

A. Balasubramanian: Yes. Thank you, Jignesh, and thank you for the introduction, and good evening to everyone for attending today 's investor call. I 'm sure the beginning of the new year has been great for everyone. And I also hope you all had the opportunity to go through the earnings presentation. It's available on the stock exchange and our website.

Let me first begin with the economic outlook and mutual fund industry update. On the economic outlook, we believe the new year will be brighter , as some of the key concerns of 2023 such as the U.S. recession, inflation, rate hikes , and geopolitical tensions, have receded. The interest rate cycle has likely peaked out with an expectation of rate cycle easing across most economies at the beginning of this year . We expect a soft landing in the U.S. and a slowdown in global growth , but not an outright global recession. And 2024 will be a year when more than 60% of the world population goes for election and therefore, the fiscal policy is expected to remain loose globally. And o verall , the global macro backdrop has gone supportive of India.

India remains the fastest -growing major economy in the world and is well on track to become the world 's 3rd largest economy for the next 5 years. It has structurally transitioned to a low macroeconomic volatility regime, which will support lower risk premiums and higher valuations. The macro -outlook for India also seems to be enjoying the Goldilocks scenario with reasonable growth momentum, stable commodity prices, especially crude, slowing inflation and weakening dollar bias. India GDP is expected to grow close to about 7% and upward of 7% in FY'25.

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With respect to the MF industry. As of December 31, 2023, the Indian mutual fund industry quarterly Average AUM grew by 22% on a year -on-year basis, reaching to ■49.21 lakh crores versus ■40.25 lakh crores as on December 31, 2022.

During the quarter, the industry witnessed net equity sales of around ■91,700 crores through new fund offerings and existing funds. Within the existing equity and hybrid categories, arbitrage funds , small -cap, sectoral funds, multi -cap and mid -cap funds saw the highe st net inflows .

The mutual fund industry witnessed total NFO collection of about ■16,100 crores during this period .

The industry SIP flows grew by 30% year -on-year from ■13,573 crores as of December 2022 to ■17,610 crores in December 2023. The total number of mutual fund investors stood at 16.7 crores with an increase of 17% year -on-year basis. The individual average AUM grew by 30% on a year -on-year basis and contributed 60% of the total AUM. B -30 cities acco unted for an averag

e AUM of around 17.8% of the total AUM.

Coming to ABSLAMC performance in Q3 FY'24, our overall average Assets under Management, including alternate assets, reached around ■3,25,000 crores, growing by 11% on a year -on-year basis. The mutual fund quarterly average AUM stood at ■3.12 lakh crores and the Equity quarterly average AUM stood at ■1.36 lakh crores.

SIP flows have increased from ■942 crores in December 2022 at about ■1,005 crores in December 2023. As is stated, customer acquisition remains an integral part of our strategy. We have added close to about 4.6 lakh folios in the last 9 months and serviced around 8 0 lakh folios of investors. Our overall asset mix between individual and institutional customers, individual customers account for about 52% of our Overall Assets Under Management.

Our strategy efforts across various channels to enhance our market presence have delivered a favourable outcome in this quarter. As you are aware, we recently brought in a Co -CIO Equity to further strengthen our investment team. As we speak, we have added a new member to our

leadership team to lead and drive our retail sales, building on our strong presence and distributor network and gain further traction in the market. In the upcoming months, we even aim to make a few structural changes in our alternate assets vertical to build on the momentum which we have achieved so far in the PMS and AIF business and create robust franchises in AIF, PMS and passive business as we move forward.

Our efforts have worked well with the contribution of the retail franchise increasing to 52% and the contribution of B-30 cities has grown to 17% as of December 2023. Our sales ecosystem, which includes Virtual Relationship Manager, Sampark, Service to Sales, and Digital distribution, all of them are supporting overall retail sales growth, have seen favourable results so far.

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Coming to our alternate and passive businesses. Our passive offerings grew by 36%, to around ₹ 29,300 crores as of December 2023 and has a growing customer base over 6 lakh folios. Our current product suite consists of about 43 products.

On the AIF front, fundraising is underway for our ABSL India Special Opportunities Fund - Category III AIF. And our ABSL Structured Opportunities Funds as a Category II AIF, is also in pipeline to be launched in the current quarter.

We have launched the ABSL Index Linked Fund, a Category III AIF under the GIFT City, which is investing in METYS Index Linked Notes issued by one of the foreign banks globally, for which the fundraising is on the way. And hopefully, we should see a closure in the coming quarter.

Moving on to the financials for the quarter. Our Q3 FY'24 revenue is at ₹ 421 crores, up by 16% year-on-year and Profit After Tax for Q3 FY'24 is at ₹ 209 crores, up 26% year-on-year. For 9-months ending December 31, 2023, revenue is at ₹ 1,201 crores, up by 17% year-on-year, and Profit After Tax is at ₹ 572 crores, up by 24% year-on-year.

With this, I would like to conclude and open the floor for any questions that you may have.

Moderator: Sure. Thank you very much. The first question is from the line of Aditya Modani from Prabhudas Lilladher. Please go ahead.

Aditya Modani: I just had a couple of questions. Can you just share the blended yields for the quarter? And at what levels should we expect the same to stabilize? And what is the SIP AUMs for December 2023?

Parag Joglekar : The blended yield for like the equity is in the range of around 69 – 70 basis , for debt, it is in the range of around 24 - 25 basis and for liquid, it is more or less in the flattish on 13 basis.

A. Balasubramanian: On SIP, Prakash will answer.

Prakash Bhogale : Aditya, Our SIP AUM for December is ₹ 66,741 crores.

Aditya Modani: And at what levels should we expect the blended yields to stabilize? If you could quantify or even in a matter of years as to

how many years?

Prakash Bhogale : Yes, so equity may drop a little bit even in the future. Because as the size goes up, the accrual will drop. And the new sales will replace the old, which may have an impact on the yield. So maybe a couple of basis, we may see another 3 years sort of a drop in yields.

Aditya Modani: Okay. Thank you.

Moderator: The next question is from the line of Nemin from Motilal Oswal. Please go ahead.

Nemin: Yes, I had one question regarding , what has been color on net equity flows for the quarter? And how is this shaping up?

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A. Balasubramanian: Yes. So, I think in terms of flows, of course, overall, the sales growth in the month of December was lower than the industry. But however, we are seeing some pickup coming in the month of January. Broadly, we have seen inflows in the Small and Midcap Fund, Pure Value Fund, Digital India Fund. We have seen some bit of outflow in the ELSS scheme , which is predominantly an 80C scheme , but as it stands today, the overall momentum in the month of January, we are seeing some of our funds, which are in the top quartile performance, seeing an inflows through the online platform as well as in the offline platform, contribution has been rising, especially in the PSU Fund, Digital India Fund, Pure Value Fund and the other funds. We're also seeing some pickup in the overall SIP flows. Along with the overall pick up in the overall assets, as I speak , the numbers have crossed about 330 in the month of Jan. That is something that comes on the back of the improved performance we are seeing in the equity. And hopefully, we should see that trend continuing in the current quarter. Therefore, it reverses the trend that we have seen in the past.

Nemin: Got it. So, for October and November, how were the net flows compared to industry, if you can give us some color on that as well?

A. Balasubramanian: Yes. Normally, we don't disclose the numbers.

Prakash Bhogale : We don't disclose this number. But compared to the earlier months, we have seen a positive net sale in the month of November and December and for the quarter also.

Nemin: Okay, got it. This is helpful.

A. Balasubramanian: Also, you have to take into account that I think in the last quarter, we raised funds about ₹ 799 crores through the Transport and Logistics Fund coming from close to about a lakh of investors there.

Moderator: Next question is from the line of Amansingh Anandsingh Sahajisingh from Nuvama Wealth. Please go ahead.

Amansingh Sahajisinghani : So, as I can see, other income for the quarter has raised significantly due to the strong capital market. So, can you break down the treasury book that we have of how much percentage have we invested in equity?

Parag Joglekar : Sure. So, Hi Aman, as you rightly said, we have seen a growth in other income mainly on back of capital market doing very well plus even the debt market has done pretty well, which have resulted in a better yield on the overall treasury portfolio. Equity is in the range of around 13% of the overall portfolio, which includes one seed capital which we have to invest as per the SEBI requirement. And other is some of the seeding which we have done to the some of the themes in our equity funds, and AIF which has resulted in an overall percentage of 13 % in the treasury book.

Moderator: The next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

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Dipanjan Ghosh : Hi Sir, good evening so firstly, on the expense side, you mentioned, if I heard correctly, some structural changes on the alternate business. So just wanted to get some color on what are the changes and what sort of expenses should be related to that.

Second, when you mentioned your net flows were positive for November and December, could you give some color on which schemes this were from? And also, if you can give some color on the gross to

net, I mean, in terms of how that has been shaping up over the last few quarters or months? And lastly, you gave the yield number on the blended book across segments. If you can give for the equity segment, if you can give on the net yield on the fresh business that is current or at least what is the differential between the blended book versus the fresh?

A. Balasubramanian: Dipanjan, what is the first question that you had, on the AIF expenses, is it?

Dipanjan Ghosh : Yes, the first question was, sir, if I heard correctly, you mentioned that there are some structural changes that you're undertaking in the alternate and PMS businesses ?

A. Balasubramanian: Okay. Basically, on the AIF and PMS, one, of course, we are beefing up the team with the Head of Credit being recruited. and hopefully, the person should be onboard early with the intention to offer credit opportunities funds to the growing HNI needs. That's something we'll do. Therefore, we'll have beefing of the team.

And second, within the existing team, of course, giving some responsibility to people with the Head of Retail coming onboard. And to beef up that segment of the business, we're making some changes, does not lead to occurring incremental costs, except the credit guy coming onboard will have an incremental cost which coming in, in the form of salary. But revenue will start coming in later.

So that's something we are doing it, given the fact that the AIF/PMS both on credit and equity have got significant potential for us to grow. And given the fact that we have very good performance track record within the PMS as based, that's something we are building up. Given again the high capability that we have in running credit fund, that's also something we plan to launch it once the person is onboard. So that's something I just mentioned about it.

In terms of the sales, generally, we have been seeing flows for us coming in, Small Cap Fund and Pure Value Fund, Digital India Fund, these are some of the schemes, the PSU Fund, basically, sectoral funds we are getting money, including the Transport and Logistics Fund, I already mentioned about.

We have largely seen the redemption pressure on some of the schemes getting reduced, except on ELSS schemes, where we have seen some kind of redemption, which, of course, in general, the industry has also seen some outflow in that category. But ours was a little higher than industry, given the fact that performance is not fully backing from the overall perspective. But the gross sales are generally in the range of about 5.5% to 6% that's the range. That's something, our endeavour should improve the numbers while overall productivity increases, which we are seeing it happening in the month of Jan, in terms of improving both gross sales and net sales with increased contribution coming from the SIP as a category, which I just

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mentioned earlier. Also, we're seeing an improvement coming in the month of Jan. And then the last question is on ?

Dipanjan Ghosh : About the yield, the fresh versus blended book?

Parag Joglekar : So generally, the sharing on the fresh book is in the range of around 65 percent around. So that will be a little bit lower compared to the stock which we have. The average yield will be in the range of around 69 to 70 basis on the equity side.

Dipanjan Ghosh : Got it. And if I can have a follow-up on the second question, can you give the NFO flow that you got during the quarter?

Prakash Bhogale : We collected ~₹ 800 crores.

Dipanjan Ghosh : So even ex of that, you will have a positive net inflow for the quarter, right, on the existing schemes on equity? Is my understanding correct?

A. Balasubramanian: Yes.

Moderator: The next question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal : Good afternoon, everyone and thank you for the opportunity. Sir, just continuing the yield

d on

the new flows, you mentioned 65 percent is the sharing. Some sense if you can give, as you said, that on the book, we are earning a blended yield

of 69 – 70 basis . So, can we consider 55 – 60 basis would be the yield that we have on the new flows?

Parag Joglekar : Yes, it should be around that range, Devesh.

Devesh Agarwal : Okay. And sir, is there any possibility of this to improve the yields on the new flows based on the contracts that you have with the distributors? Is there any scope or headroom where we can reduce the payouts to them from, say, 65% to any number? Is that a possibility or very difficult?

Parag Joglekar : So, it will be more in line with the market because it's a very competitive market. So, we will have to be in line with the market and it's the behaviour based on how the market has behaved.

But obviously, as we have been saying that the mix will be the longer the AUM, the sharing may drop. So that may help us a little bit. But otherwise, the sharing will be more market-driven rather than individual scheme .

A. Balasubramanian: One of the areas, Devesh, we are trying to build is we already built about a 30 -member team on the direct channel. We are seeing, whenever we can service customer directly , offering our products across PMS and AIF fund and fixed income and equity that we are seeing a pickup in volume. So as that size starts growing continuously may lead to a bit of better margin range protected. Though the overall margins remain the same between the distribution -driven channels and direct channels because anyway, the expense is calculated only after the distribution payouts are calculated. But however, that volume increasing would lead to

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marginal improvement on the profitability as time progresses. As the volumes starts coming in, we'll see that contribution coming in.

Devesh Agarwal : All right, sir. And sir, in terms of your distribution strategy, you did mention that you are focusing on creating direct channels. But at the same time, we also see that you have added almost 10,000 distributors to your MFD network. So, any particular strategy that you can share in terms of which could lead to a higher flow market share for us?

A. Balasubramanian: Yes, of course, one, the traditional channel engagement remains our core contribution to the business, which is your banking channels, ND channels and MFD channels. And MFD channel is very large for us. Therefore, one, activating them continuously. Second is reaching out to the emerging market in smaller locations and ensure a contribution from MFD increases. We have a separate channel to do that. And third is the verticals that we've created, which is called the virtual RM model and sales to service model. These two combinations, we have set a separate target for both the teams to ensure that we actually bring in higher contribution coming from the channel partners.

While doing that, we are also, through our internal brainstorming, we've come out with a strategy called sales excellence model, which is nothing but identifying high-potential people who have been dealing with us for many numbers of years . For some reason , their growth participations may not be up to the expectations. That's something we have put a separate strategy, wherein 80% of AUM come from, say, 20% of the people. How do we ensure that those 20% of people contribute to the success . We brought in a different level of engagement program with the channel partners and showcasing the change that we have brought in the last few months and also the improved performance we are seeing in the equity with respect to the competition as well as respect to the benchmark. That something , we are going aggressive in terms of engagement program, which are my own belief is starts contributing to the overall incremental growth.

And last but not the least is the direct channels, which I mentioned about.

This, of course, will

keep increasing the team size each year so that we are able to calibrate the cost involved nicely and at the same time, build a channel that can contribute to the overall business. And finally,

the online channel platforms are purely driven by the performance. I think whoever comes the top three, they get recommended. In fact, I'm happy to share with you in the month of January, three of our funds are figuring in the list of the online channels. It's also leading to a significant increase in purchase volume from the online channels compared to the December quarter. Am assuming this trend continues, then we'll probably see increased participation coming from the online channel partners. Again, we do it with the purpose of engaging with them very closely, looking at their way of looking at fund selection and then see how we are actually figuring in their fund selection processes and therefore ensure that our funds, who are actually coming closer to their recommendation process, we ensure that it comes onboard. And that's something we've been engaging for quite some time. And you have seen the result of that as it stands today.

Devesh Agarwal : Right, sir. And sir, what could be share of online channels in the new flows?

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A. Balasubramanian: Yes. I think on an outstanding basis, we have around 7.5% contribution in terms of market share in the online channel. On incremental basis, probably the number would have gone up.

So, I don't have the exact number right now, I mean, compared to the last month, this one number, if I have to take up, the number would be up, maybe I can share with you separately.

Devesh Agarwal : Sure, sir. And sir, in terms of product, are there any gaps which we are targeting? Or right now, we have a complete product suite and there will be limited opportunities for NFOs?

A. Balasubramanian: We have limited option as far as the options of product is concerned. We have filed one product, which is quant -based product. Given the fact that our Head of Equity has got very good capability running these quant -based funds, given his background, that's something which are there in the pipeline. I think once the team is ready, they are actually planning to do one all -day event with the distribution community in Mumbai, it's called Investment Voyage.

And post that, we'll launch this product either at the end of March or beginning of April. The product is already approved and in place. And that's something we have seen as a product gap.

And other product gaps right now, there is nothing which is being visualized. We'll probably have more product launches in PMS. We'll have more product launches in passive with smart beta kind of ETFs that we will start, so we're able to charge the higher expenses.

And third, we'll have some product launches in the GIFT City. One is building volume in the fund already launched that predominantly invests in Asian equity. And we'll have one or two more product launches for the GIFT City. As far as domestic concerns, we'll have very limited, one or two options could be there. One is already there in pipeline. One or two options, we have to figure out what kind of product that we can launch it as we move forward.

Devesh Agarwal : And sir, one final question. Within the categories that we are present, we see that in mid -cap and small caps, which are the categories which have seen a sharp growth over the last 6 to 8 months, our market share is significantly lower than the overall market share. So, any strategy to improve our market share in these categories?

A. Balasubramanian: Yes. So, while I'm happy to say that we have seen inflows in our Small Cap Fund and, to some extent, Midcap Fund, but Small Cap Fund has received close to about 5% of the flows for the industry. While that is a case in our fund, but of course, given the momentum that we have seen in the industry, huge flows

have come in the return. That, of course, we take note of it.

But at the same time, having internal capability on the mid - and small caps, there some changes that have happened in the investment team.

Of course, some more beefing we'll do on the investment side, getting one external person on the mid -cap side. That's something which is in the pipeline. It is just to ensure that space, where we have internal talent and given the fact that one of the exits that has happened sometime back, we are able fill that vacancy in the mid -cap manager, then it will actually complete the boutique of fund management capability on our side. As a result of that, we are able to build size across all our categories.

Moderator: The next question is from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.

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Abhijeet Sakhare : Hi good evening, everyone. Sir, first question is again color on the channel. So, if you could provide some color in terms of across different channels, where have you seen maximum redemption pressure? And similarly, in terms of the new inflows that is coming in, is there a specific skew that you're seeing where one or two particular channels are driving bulk of the inflows?

Prakash Bhogale : So, on the new channel side, the MFD is the one who contributes the higher, then comes the NDs and banks.

A. Balasubramanian: See, in picking order, roughly about 54% comes from IFAs, MFDs, roughly about 14% will come from NDs, roughly about 12% comes from the banking channels, about 16% come from

the direct channel, direct includes RIAs as well. In terms of steady state of flows that come from MFDs first, and then comes in NDs and banks. We're also seeing increased flows. It was not so much in the month of December. But I see it coming in the month of January, which is the increased flows coming from the RIA channel, which is predominantly the online platforms, which is the digital platform.

We have seen an increased volume coming from that. That they can purely on the back of the schemes are being part of the recommendation list, are part of the algorithm that they may use. Some of the funds have been coming in there quite continuously. Of course, we see traction coming in that space. And definitely, I think MFD channel being one of the largest channels for us and the ND channels would be the major driver of the overall growth momentum perspective.

Abhijeet Sakhare : Got it, sir. Sir, I mean, your comment on the January sort of improvement is good to see. But generally, given the changes that you have seen, or you are anticipating in the investment team, do you see any impact of that in terms of how the channel will react to it? Or will there be like a lagged impact of these changes in terms of improvement in flow market share that you'll see maybe going into the next financial year?

A. Balasubramanian: I think actually, people have appreciated the changes that have come. I think people have given good feedback on the changes that we have made. And in terms of product recommendation, it remains the same. It's not affected, given the fact that we always have the continuity factor. Irrespective of the movement of people, we always kept the continuity factors, one of the big strengths of our AMC, by way of the structure that we have created in the investment side. That has been ensuring that the product recommendation part of the channel partners remains good.

Even improvement on the performance that is being seen, also being noted. Therefore, it can only lead to an incremental volume growth coming in. But having said that, I think whenever we see any changes that we're bringing in, the resultant impact of that, it takes about 1 to 2.5 quarters, I can probably see it. Or else that is the normal trend that we are seeing, but giving the push in the market, engaging with people aggressively and warming the market is key to

the success. That's something we are currently driving it. While, of course, all these such efforts will lead to improvement in the numbers and so on and so forth, but having now made changes, having created a positive impact and the feeling is also pretty decent from the distribution

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community, that's something that should result in as we move forward in terms of numbers improving.

Abhijeet Sakhare : Okay, sir. One question for Parag Sir, was any outlook that you can provide on the expense growth for next financial year?

Parag Joglekar : So, expenses mainly will be may be inflation plus something. So, the majority cost for us is on the people side. So, people will be inflation plus something. And any growth on the alternate asset side may lead on increasing fee and commission line but which will be obviously compensated by the top line growth on the income side also. Otherwise, even the admin expenses will remain more or less inflation range only. See, what we are trying to do that, the branch expenses, we are trying to reduce by one ABC branches that may help us to a certain extent.

Abhijeet Sakhare : Got it. And one comment I missed, I think, opening remarks by Bala, sir, did you mention that you hired some senior resource on the distribution side of the business, if you could repeat that, please?

A. Balasubramanian: Yes. With the banking experience and also having the experience on both managing HNIs and family offices with the wealth management experience, worked in part of the bank and building retail. That's something we thought that, given the fact that we need to take business to the next level, some bit of rejig that we are doing in terms of taking into account the internal talent and aspirations as well as the external talent that can come and help in building this to the next level. There's been few areas where we need to see the next level of momentum, especially retail. So that is where we have made some adjustments. And the person that come onboard, comes with that experience of building retail and comes from the banking background.

Moderator: As there are no further questions, I would now like to hand the conference back to the management team for closing comments.

A. Balasubramanian: Yes. Thank you everyone for joining. With this, we conclude our Q3 FY'24 earnings call. Do feel free to reach out to our IR Head, Mr. Prakash Bhogale, for any queries that you may have. Thank you.

Moderator: Thank you very much. On behalf of InCred Equities, that concludes the conference. Thank you for joining us, ladies, and gentlemen. You may now disconnect your lines.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

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Call: May 2024

Ref. No.: ABSLAMCL/PS/3 1/2024 -25 May 3, 2024

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor,
Dalal Street Mumbai - 400 001 Plot No. C/1, G Block,
Scrip Code: 543374 Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051
Symbol: ABSLAMC

Dear Sir/ Ma'am,

Sub: Transcript of the Earnings Conference Call for the quarter and financial year ended
March 31, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call on Audited Financial Results for the quarter and financial year ended March 31, 2024, held on Saturday , April 27 , 2024.

The above information is also available on the website of Company at
<https://mutualfund.adityabirlacapital.com/shareholders/financials> .

We request you to kindly take the aforesaid information on record .

Thanking you.

Yours sincerely ,

For Aditya Birla Sun Life AMC Limited

Prateek Savla
Company Secretary and Compliance Officer
ACS 29500

Encl: as above

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"Aditya Birla Sun Life AM C Limited
Q4 & FY24 Earnings Conference Call "
Saturday , 27th April 2024

MANAGEMENT TEAMS :

MR. A BALASUBRAMANIAN – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICE – ADITYA BIRLA SUN LIFE AMC LIMITED

MR. PARAG JOGLEKAR – CHIEF FINANCIAL OFFICER – ADITYA BIRLA
SUN LIFE AMC LIMITED
MR. PRAKASH BHOGALE – HEAD, INVESTOR RELATIONS – ADITYA BIRLA
SUN LIFE AMC LIMITED

Aditya Birla Sun Life AMC Limited
Saturday , 27th April 2024

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY24 and FY24 Earnings Conference Call of Aditya Birla Sun Life Asset Management, hosted by InCred Equities. As a reminder, all participant lines will be in listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jignesh Shial from InCred Equities. Thank you, and over to you.

Jignesh Shial: Yes. Thank you, Yashashree, and good morning, everyone. On behalf of InCred Equities, I welcome all to Aditya Birla Sun Life AMC Q4 and FY24 Earnings Conference Call. Along with us, we have Mr. A. Balasubramanian, Managing Director and CEO; Mr. Parag Joglekar, Chief Financial Officer; and Mr. Prakash Bhogale, Head - Investor Relations. We are thankful to the management for allowing us this opportunity.

I would now like to hand it over to Mr. A. Balasubramanian, Managing Director and CEO of Aditya Birla Sun Life AMC for his opening remarks. Over to you, sir.

A. Balasubramanian: Thank you, Jignesh, and good morning to everyone. I hope you all had the opportunity to go through the earnings presentation, which is available on the stock exchange as well as on our website.

Before highlighting the broad economic outlook and providing an update on the Mutual Fund industry and ABSLAMC performance for the quarter ending March 2024. I'm happy to share that Aditya Birla Sun Life Mutual Fund, being one of the oldest private sector mutual funds in the country established in 1994, is gearing towards the completion of three decades of its presence as one of the pioneers in the Indian mutual fund industry. We feel proud to serve the growing needs of investors in the country and contribute to the largest success of the mutual fund industry as one of the highly committed, well -governed mutual fund players. On the 30th year of our operation, we have set aside our growth path to achieve new milestones in respect of all our business verticals and make this year as one of our memorable years for our employees, investors, stakeholders, and shareholders.

Let me now begin with the economic outlook and mutual fund industry update. We are in a dynamic global landscape with elections happening in numerous nations and territories, collectively representing over half of the world population. The global macro picture in the early 2024 presents a cautiously optimistic outlook with underlying dynamics influencing growth on one side and interest rates on the other side. We believe India will continue to remain in a bright spot with strong government funding in building infrastructure, and increased investment coming from the private sector, ably supported by high domestic consumption. As is known, the Indian economy continues to exhibit resilience with a healthy projected growth rate of over 7% in FY '25 supported by stable inflation, interest rates, currency, and rising forex reserves. The Indian equity market has consistently outperformed its global counterparts reflecting strong fundamentals of the Indian economy and the earnings potential of the companies across sectors.

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One should not be concerned with the recent market volatility which largely stems from the regulatory and mutual fund industry initiatives on small and midcap segment disclosure, which are aimed at enabling investors to make informed decisions. India's strong structural drivers and economic fundamentals remain intact, encouraging investors to continue participating in growth potential. We also believe that widespread growth will

continue to be the driver of our
market sentiment.

With respect to the mutual fund industry, as of 31st of March 2024, the quarterly average AUM reached ₹54.11 lakh Cr., growing by 34% on a year -on-year basis as compared to ₹40.49 lakh Cr. as of 31st March 2023. During the quarter, the mutual fund industry witnessed equity net sales of around ₹1.16 lakh Cr. through new fund offerings as well as in existing funds. The total NFO collection was around ₹18,900 Cr. and the balance coming from existing equity schemes as well as hybrid funds, sectoral, thematic, arbitrage, and multi-asset allocation funds.

The industry SIP flows grew by 35% year -on-year from ₹14,276 Cr. in March 2023 to ₹19,271 Cr. in March 2024. The total number of mutual fund folios stood at around 18 Cr. with an increase of 22% year -on-year with a unique customer base of around 4.5 Cr. The individual average AUM grew by 43% year -on-year from ₹23.27 lakh Cr. to ₹33.31 lakh Cr. and contributed 61% of the total AUM. B -30 cities with an average AUM of ₹9.83 lakh Cr. Accounted for 18% of the total AUM.

Moving on to ABSLAMC performance , standing on our strong foundational pillars, our focus has been to strengthen our main levers of growth in the organization by bringing in the right talent and making strategic changes in current leadership roles. Infact o ur momentum in the last quarter is on the back of an uptick in equity performance coupled with well -established fixed income franchise, a robust growth in sales engine close to the ground connection, tech -enabled services, and a growing digital business ne twork. Building on this synergy and energy, the business is on a meaningful momentum , and our team is geared to make the most of it. This has been witnessed during our annual investment conclave, which we called "Voyage", attended by over 2,000 partners in Mumbai in the month February 2024.

In Q4 FY24 , our overall average assets under management encompassing alternate assets, reached ₹3.46 lakh Cr. size, reflecting a 21% year -on-year growth. Notably, our mutual fund quarterly average AUM reached ₹3.32 lakh Cr., with equity quarterly average AUM standing at ₹1.52 lakh Cr. I'm happy to say that our SIP numbers during the quarter have witnessed good uptick moving from ₹1,005 Cr. in the month of December 2023 to ₹1,252 Cr. in March 2024, making a 25% quarter -on-quarter increase.

We have added around 6 lakh new SIPs with approximately 2.5 times increase compared to the previous quarter. As part of our endeavour to acquire new customers, we 've added approximately 11.5 lakh folios in a year. Of these, around 7 lakh folios were added in Q4 FY '24, bringing our total serviced folios to around 86 lakhs. Individual investors with an average AUM of ₹17.3 lakh Cr. Now constitute 52% of our assets. Additionally, the contribution from B -30 cities stands at 17.5% as of March 2024. We have seen good momentum buildup in our sales numbers, reflected in our hea lthy retail growth. The impact of Aditya Birla Sun Life AMC Limited
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building a robust sales support ecosystem that consists of virtual relationship managers, Sampark for onboarding distributors, direct channels to service HNIs and family offices, digital distribution, and service to sales is coming to its full potential gr adually.

Our enhanced engagement at the relationship manager level, increased satisfaction with service effectiveness, positive sentiment towards the fund performance, and an improved digital transaction journey have all led to positive sentiment and improvement in overall AUM momentum . I'm also happy to share that our MFD NPS score, Net promotor score around performance, and sales engagement have improved significantly during the quarter from 3 in Q4 FY23 to 28 in Q4 2024. On the alternate business front, to meet t he growing needs of HNIs and family offices we have strengthened our

team to enhance our PMS and AIF offerings both

in equity and fixed income. We currently offer over 13 products in PMS and AIF. Our good investment performance experience across our curren t offerings in PMS helped us in getting our products being sold in some of the organized channels through the launch of ABSL India Special Opportunities Fund, which is a category 3 AIF where we are seeing traction coming from the HNI investors.

In order t o further expand our AIF product offering, we have brought in a senior manager investment professional to offer Fixed Income credit related AIF to cater to both Institutional and HNI customers. We believe both equity and fixed income AIF product offerings will further strengthen our alternate business vertical business line.

Our GIFT City operation has gained momentum with the launch of a few products to invest in overseas markets under the LRS scheme. We launch ed the industry -first ABSL Global Emerging Equity Fund which strategically feeds into the 'ARGA Emerging Market Equity Fund,' enabling our investors to access and benefit from emerging market opportunities. We are now in the process of launching the CAT III AIF Feeder Fund in GIFT City, which will feed into ABSL AMC mutual fund scheme in India.

On the passive front, as of March 2024, our passive asset stands at around ₹28,900 Cr., and has built a strong customer base of around 6.85 lakh folios. To drive our passive business to the next level of growth, we have finalized a senior investment professional with extensive international experience to manage our passive business growth a nd he will be onboarded very soon.

Moving on to the financials. We are happy to inform you that we achieved our highest -ever probability in FY 2024. Profit before tax is at ₹1,008 Cr. up 27% year -on-year and profit after tax is at ₹780 Cr. up 31% year -on-year. For FY '24, our total revenue is ₹1,641 Cr. up 21%

year-on-year. In Q4 FY '24, total revenue is ₹440 Cr. up 34% year -on-year. Q4 FY24 profit before tax is at ₹268 Cr. up 48% year -on-year and profit after tax is at ₹208 Cr. up 54% year -on-year. We are pleased to announce that the board has proposed dividend of ₹13.5 per share for FY2024. So, with this, I would like to conclude and open the floor for any questions that you may have.

Moderator: Thank you very much. We'll now begin the question -and-answer session. We will take our first question from the line of Swarnabh Mukherjee from B&K Securities. Please go ahead.

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Swarnabh Mukherjee: Thank you sir , for the opportunity and congrats on a good set of numbers. Three questions from my side. First, on the top line yields that we have recorded. So, there is a sequential expansion. I wanted to understand the levers for the same, is it product mix or anything else that we can read into it from that expansion? Simultaneously, you can give some cuts on how are the yields in these specific product segments and maybe flow versus stock , how the numbers are panning out. So that would be the first question.

Second is the monthly SIP flow that has kind of seen a good jump in this quarter, wanted to understand in which schemes you were seeing the incremental flows and if you could also give some colour on what kind of distributors these incremental flows are coming from. And thirdly on the cost structure. So, this quarter vis -a-vis last quarter there was an increase in both employee expenses and other expenses. So, if you can guide us on how we should look at this number panning out in the next year and any on e-offs in this, that would be helpful.

A. Balasubramanian: Sure. I'll ask Parag to take the first and the third questions.

Parag Joglekar: Yes. Sure. So, on the revenue side, the increase in the revenue is in line to a greater extent with the AUM growth that we have achieved and the mix of over a

ll equity AUM and debt AUM.

So that has resulted in growth plus the growth is also on the total revenue has been higher with the increase in the overall other income also. Those are the main reasons on the revenue side.

The other thing on the yield which you have asked, the yield on the equity is in the range of around 68 basis, and on the debt is in the range of around 23 to 25 basis. Liquid is around 12 to 13 basis. So that is on the yield side.

On the expense side, people's costs have slightly increased mainly due to some true -up on the V Pay (variable pay) or the bonus which has resulted in a slight increase on the V Pay side. On other expenses, the main increase is some of the , generally in the last quarter you will see some uptick in the other expenses in most of the last quarter of my earlier years also. The event in which we conducted the Voyage was a one -off in the other expenses that happened in the last quarter. So those are the main reasons for the uptick in expenses.

Swarnabh Mukherjee: Yes. Understood, sir. So, if I could just follow up on these couple of responses, and other expenses next year how should we build this I guess Voyage would be an annual event. So, should we then also factor in that it will again come in a similar cost will come in the fourth quarter of next year?

Parag Joglekar: Yes. So, the voyage will be annual, and it will come mostly – most probably we 'll do in the same – similar quarter next year. I don 't know what the format will be, but if it comes in the same format there will be a cost in mostly in the last quarter slightly jump up.

Swarnabh Mukherjee: Okay. And the cost inflation between this year and next year should we kind of build in a similar run rate as we have seen in FY '24?

Parag Joglekar: Yes, people side, it will be more of an inflation plus maybe if some of the recruitment which we do on the sales side or the passive which we are or alternate side which we are trying to

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build , there may be. But mostly, it will be inflation plus something a couple of the percentage up, yes.

Swarnabh Mukherjee: Thank you.

Moderator: The next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: Thank you for the opportunity.

Moderator: Yes, please go ahead.

Lalit Deo: Sir, I was asking about SIP flows. So, we have seen some material improvement during the quarter on the flow side. So just wanted to understand which of the schemes we are seeing a higher growth also could you comment on the channel -wise growth on the SIP side?

A. Balasubramanian: Sure. So, one -- the uptick that we have seen in the quarter is one the renewed focus that we've brought in to build SIPs given the fact our performance, the improvement that we have seen across most of our schemes that gave the aggregation to build SIPs in the last quarter. Second, the increased flows have come through our mix of products such as Flexi Cap Fund, Pure value

fund, Digital India fund, PSU equity fund, small and mid -cap funds, and other mid -cap funds. These are the schemes in which largely we have seen flows coming into the SIP segment through the mix of both online platforms as well as on the IFA channels. I think IFA channels and MFD channels have seen a significant improvement over the previous quarter with the monthly registration going roughly about 2,20,000 kind of numbers which used to be somewhere around 75,000 to 80,000 for quite some time.

So, we have seen now an increase of about 2,20,000- 2,30,000 is that range. In that roughly about 45% to 50% have come through the online channel platforms and the rest have come from the distribution channels which is our traditional distribution channel. And within that, the dominant portion came from the MFD channel.

Lalit Deo: Sure. And sir like last quarter we highlighted that there

were some redemption pressures in

some of the core equity schemes. So, like how has that trend been in those particular schemes?

A. Balasubramanian: I think one of the things that I've seen is I think gradually the redemptions which to be a little higher for us at the beginning of the year. That has been coming down in some of the schemes which of course saw outflows because of the category generally not seen much inflows.

Second, performance issues are also there.

With the narrowing of performance vis-à-vis the peer group, we've also seen a reduction in the redemptions pressure in most of our schemes. And improved performance in some of the categories, where flows have been coming in, is also compensated further as well. I think we are seeing both. I think, a reduction in the redemptions and increased the flows coming in a few of our schemes. That's been getting netted off.

Lalit Deo: Sure sir. And sir, just last one data -keeping question. Could you give us the SIP AUM at the end of the March number?

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Prakash Bhogale: It is around ₹69,168 Cr.

Moderator: The next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: First data -keeping questions. If you can give your ESOP expenses for the year? And how do you forecast it for, let's say, FY'25 and FY'26? Second, your employee count as of March 31st. The third will be, that you've given your SIP flows for March, would be great if you can kind of give it for the past two, or three months also, will give us some colour of the traction and the pace of traction we are seeing in the channel. And lastly, in terms of the product pipeline, how does it stack up for the next few quarters?

Parag Joglekar: On the ESOP side, the expenses are in the range of around ₹23 -24-odd Cr.

Dipanjan Ghosh: This will be for FY24, right?

Parag Joglekar: Yes.

Dipanjan Ghosh: And how should we think of it for the next year?

Prakash Bhogale: Head count is around 1,449.

Parag Joglekar: Head count is in the range of around 1,400 plus, 1450.

A. Balasubramanian: 1,450, right.

Dipanjan Ghosh: Sure

Prakash Bhogale: What was the other question?

Dipanjan Ghosh: Sir, the other was on SIP flow for the last one or two or three months?

A. Balasubramanian: Yes. On the SIP flows, Dipanjan, while the number for the full quarter is close to about 6 lakh registrations, the monthly run rate is somewhere around 1.95 to 2.2 roughly, the range, I think each month there is an improvement. I think we are seeing each month the number is showing improvement. Even though I'm not -- even in April, too, we are seeing the trend is continuing. I think earlier the focus used to be somewhere around 2 lakhs to 3 lakh kind of number that we used to target which is now falling in place in the last quarter, and that momentum continues now.

Dipanjan Ghosh: So, sir, the thing that I'm trying to understand is here. If I look at your March SIP market share, that's around 6.5% on a flow basis compared to around 5.7% in December '23. So, you can give some colour on this movement between 5.7% to 6.5% broken up Jan -Feb? Or in case if you don't have the data, if you can at least shed some colour on how April is shaping up? It would be higher than 6.5 or we should expect a stable or lower range in terms of the flow market share on the SIP side?

A. Balasubramanian: Yes, the way we approach SIP is given the fact that this is to the agnostic performance, and it is also something that goes very well in terms of adding a new customer base as well as on

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goal-based investing. The idea is always to have somewhere in the range of about 8% to 9%

kind of market share that's what we gun for it . Infact t he peak though it's true -- was in the year 2019 -2020. We used to hav

e almost about 13% to 14% kind of market share in SIPs.

So that what little bit higher number tha t to expect now. Going by the renewed sales focus that is being pushed and also being agnostic to the market fluctuations, we'll definitely will continue to work towards making these numbers better each month. That's the whole endeavour.

Dipanjan Ghosh: Sir, you can give some colour on the product pipeline going into the next two to three quarters on the equity side?

A. Balasubramanian: In terms of the pipeline of products, we have a quant fund, we already have approval and plan to launch it post -election. We would have launched it in the current quarter in the beginning itself. Given generally the vacation month in the month of May, an d plus election is also there, I think we will launch it before 30th June if possible that one product we have. It 's going to be managed by the Co -CIO and Head of Equity, Harish Krishnan, along with one support person internally.

And we 're also looking at filing one product, which is of course under the drawing board. And hopefully, that as well, but more in the thematic category. On the AIF and PMS side, we have seen some kind of increased traction, given the fact that our performance has been pretty good on the PMS side, and that is being noticed compared to the other peer groups in the same segment. We're also seeing onboarding of our PMS products in some of the alternate channel s., I think should see some kind of increased flow s on the PMS side.

Dipanjan Ghosh: Got it. Sir, if I can just squeeze in one more question on this particular point? You have previously also highlighted at the start of the year or the last year, that you expect your alternate and PMS business to become a meaningful portion of your revenue maybe three, or four years out. And probably today, you're laying the ground stone for that.

So, in terms of that, I mean, in terms of your investments on the alternate and PMS space, what should one expect that to be kind of elevated looking for a medium to long term and maybe in that sense your employee additions or your employee's headcount additions or your new fund launch -related expenses can kind of be a little high at least for the next, let's say 12 to 18 months?

A. Balasubramanian: On the AIF, our focus has always been to leverage the existing salesforce and relationship that we've built over a period of time as a franchisee to build our alternate business. While that strategy continues , each of the sales teams has a separate target to drive the PMS and AIF business, including fixed income -oriented products.

In terms of team strengthening, we already have about seven people in PMS sales as the main anchor. And they will, of course, work with entire salesforce under the Head of Retail as well Head of Institutional Business to build as part of the overall business. But we've also been building a direct HNIs team which is now close to about 30 people that we have. We intend to have close to about 40 -50 people will have this year. That also will help us reach ing out to the Aditya Birla Sun Life AMC Limited

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direct customers, including family offices. Again, we are creating a vertical under the sales team to cater to the growing needs of the family offices. All this put together, we believe the AIF and PMS segment should see incremental growth coming better than what you have seen in the last two to three years. That's something we are thinking but they do not have an incremental significant cost coming from people, but the benefit that will be accrue from the existing team would be the large focus.

And lastly, what we are also doing. Finally, this year, there are two areas where we're looking at building size, one is on the fixed income -oriented credit opportunity, which also is pretty big. We are now brought in a person , who ha ve experience of having und

erwriting capability

and managed assets for the last almost 15 years with a successful track record. He has come on board, and he comes with a high passion of building credit portfolios that can be offered to family offices, HNIs, and pension funds g lobally. That's one which I feel that we'll be able to build. Second, the Real Estate AIF, we have seen a reasonably good track record in terms of not only, of course, performing well, even giving back the money to the investors close to about 16% kind of range of returns that investor got over the last three years. We want to build on the base of this succ ess that si de as well this year.

Dipanjan Ghosh: Got it. Sir, just one small question. If I look at your SIP flow share now, that, as I said, has improved from around 5.7% to 6.5% between December and March. Can a similar assumption be made about the improvement in net equity flow market share, including SIPs and all other sorts of flows, lumpsum, and everything?

A. Balasubramanian: Yes. I think the SIP momentum will continue. I think that can be assumed, I will try and of course, build more momentum on SIPs. See, one of the things is the widespread acceptance

for the entire sales team to drive on a single -minded focus on building this as a category is very much alive and that's being pushed accordingly.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Hi Good morning , Sir. Just a follow -up on the previous question. How been the trend on the overall equity sale on a net basis? What has been the trajectory SIP has been doing well for us, but what has been the trend on the overall sales like equity sales for us and in the current quarter versus the previous quarter?

A. Balasubramanian: Yes. Overall sales, Prayesh, is improving on a quarter -on-quarter basis. This quarter we have net equity sales. Earlier, we used to have the redemption of equity equally used to be high, which as I mentioned earlier, that trend is changing. And in March quarter sales and net equity flow though we don't have the numbers disclosed generally, but that's something I've seen in the last quarter .

Prayesh Jain: In the last quarter again positive.

A. Balasubramanian: The flows are largely through a mix of our thematic funds as well as one or two actively managed funds, including funds like Flexi -cap, and Pure Value kind of funds and we're also seeing inflows coming in the arbitrage fund.

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Prayesh Jain: Got that. And, sir, the momentum in SIPs that we witnessed, where is it coming from the online distributors, or is it across channels, could split that for us?

A. Balasubramanian: Yes, Prayesh, I just shared the number earlier in one of the questions. Broadly, it comes from -- roughly about 40% to 45% comes through the online channel platforms. About 55% to 60% comes through the traditional channels, within that dominant component comes from the MFD channel.

Prayesh Jain: Okay. Got that. And sir, on the yield front, you mentioned I think the yield would be about 68, 70 basis points on equity. And what is the trend in the equity yields in this quarter?

Parag Joglekar: So, yield is -- Prayesh, is 68 basis on equity, pure equity. The slight drop as telescopic pricing is there as the AUM goes up, there will be a slight drop, so there is a slight drop in the yield on equity also.

Prayesh Jain: Okay. Got that. And on the -- under the debt side, do we see any improvement in yields given possibly from the next couple of quarters or six months, or from year perspective that we could see some movement towards the longer duration effects?

Parag Joglekar: Yes. So, if the movement happens for a longer duration, the yields are generally high in those products. So, we should be able to see some uptick on that side. So currently, it is slightly

showing some improvements, but still, there is a little long way to go , maybe another couple of quarters.

Prayesh Jain: Last question on my side. For FY24 , what will be your revenues from the PMS and AIF segments?

A. Balasubramanian: Just hold on Prayesh.

Parag Joglekar: So, PMS and the alternate asset revenue overall will be in the range of around ■ 100-odd Cr.

Prayesh Jain: ■100 Cr. This alternate includes PMS, AIF, and...?

Parag Joglekar: Offshore.

Prayesh Jain: And offshore as well. Okay. Got it.

Moderator: The next question is from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.

Abhijeet Sakhare: Good morning, everyone . So, the first one on the yield, like for some of the peers, there's been some year -end adjustments true -ups as well. Has that also played into our yield moment for this quarter?

Parag Joglekar: So, Abhijeet, our yields remain more or less flattish. There is no per se any -- I understand what you are asking, but no, there is nothing of that sort. An increase in the overall AUM, which has increased if you are specifically asking about equity, is an overall increase in the AUM.

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Abhijeet Sakhare: Yes. Got it. And sir, the second was the 40% - 45% contribution from online channels that you mentioned, could you just elaborate on whether this is on an count basis or flow basis, and are these like the Groww, and Zerodha, type of channels or are there any other digital online channels that are contributing?

A. Balasubramanian: Yes. Is on the -- on an account basis, I think value -wise will be a little lower, and value -wise the traditional channels that would have given higher. And in terms of online channels, mostly it's coming from of course, anyway, as you know, today the large volume generator is only about the top 3 -4, which is Groww, Zerodha, ETMONEY, Kuvera, and Angel these are the large. So, these are the ones that gives the large flows. In this case, I think the large contribution

would have come from top 3 platforms.

Abhijeet Sakhare: And Bala sir, generally qualitatively speaking on the next year, given that the redemption pressure is sort of easing off, do you foresee products getting included in some of the larger distribution channels and that sort of creating a stronger run rate of flow? And how close are we to kind of getting that done, so that the next year's flow run rate is probably substantially better than last year?

A. Balasubramanian: Sure. That's the endeavour. I think if you look back at some of the steps that we have taken to strengthen our -- on the people side, right, from investment to sales to rest of the functions.

That definitely brings in a new vigour and commitment to focus on every segment of the business model. Investment performance is of course a key, which, of course, under the change that we have made and the existing team members who also got high responsibilities, performing quite well is being now noticed.

The gaps are narrowed quite significantly that used to exist maybe about 1 - 1.5 years back with respect to the peer group. And even in terms of upgrades of our teams from a ranking point of view, also we are seeing a quarter-on-quarter improvement. One of the reasons we've also seen pickup and higher recognition is also coming, which I just mentioned in the NPS score which I mentioned about. All this is a reflection of that.

I think one of the things that I witnessed, a big positive change, when we did our annual investment Voyage event in the month of February, we not only had more than 1,800 people turn out for that, but we also saw the reaction from the partners who came on board. They have been witnessing us growing substantially well. Then they have seen our period of challenge, our share of challenge period, I would say, and they have seen everything. And this time around

and, the feel-good factor which came on that event that we had also was quite promising.

Moderator: The next question is from the line of Madhukar Ladha from Nuvama Wealth. Please go ahead.

Madhukar Ladha: Hi, morning and sir, 2-3 questions. First, can you give the number of what is the average SIP flow for the quarter? You've given for March, but can I get an average number?

A. Balasubramanian: Sure.

Parag Joglekar: So, it's around ₹2 lakh, Madhukar, on average.

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Madhukar Ladha: No, I mean the flow number.

Parag Joglekar: Okay.

Madhukar Ladha: Not the registration number.

A. Balasubramanian: Give me a second, Madhukar.

Prakash Bhogale: Around 1,143 on average and the total is around 3,429.

Madhukar Ladha: Okay. Got it. Sir, on our equity market share, that is at 4.9%. It seems that still on a flow market share basis, we are probably lower, right, than what our stock market share is because the market has been positive, our schemes have been performing well, and yet we are losing market share. We've lost sort of 10 basis points Q-o-Q. Is that reading, correct?

A. Balasubramanian: Yes. From the number point of view what you're saying is right. I think the way I see Madhukar is one when you look at the past trend and how it's come to the March quarter, while we are seeing a narrowing of fall -- earlier the rate of fall was a little higher and that's now getting narrowed and increased traction coming on SIPs will start reflecting in terms of not only stabilizing the market share movement and it also, ideally speaking, start giving at least an uptick on the market share. So that's the way it has to be seen. The number that you're saying is right, but that's the way it must be seen.

Madhukar Ladha: Right. So obviously, what you're saying is that trends are improving. And I think first half we had net outflows and now we are seeing some inflows. And we've, in the past, highlighted that certain channels we don't have access to, and those are some of the disadvantages, right? Now given this context, how do you think that and over what timeframe do you think you can go back to this -- at least this 5% sort of flow market share?

I know it's -- and apart from performance on the distribution side, what else can we do or what are we doing? I also noticed that you've done well on the direct side because we're seeing in equity the direct contribution has picked up meaningfully, 200 basis points on a Q-o-Q basis is quite good. So maybe some colour there will be helpful?

A. Balasubramanian: Yes, sure. See, as you rightly said, Madhukar, one is -- investment performance is only one part of it. I think sales, productivity improvement, which we call the sales excellence model that we have set aside and making some core changes within the sales team structure to bring in sharper focus, identifying the location in which -- where we have a huge potential, identifying the channel partners where we have huge potential in terms of improving further, looking at the active business that they generate versus the contribution that they give it to us, bringing in sharper focus on each of these areas under the head of retail who has just joined us very recently, also have been driving the whole team and bringing necessary changes in order

to increase these sales productivity. Ultimately, the idea is to increase the output from every location in which we operate. So that's one agenda.

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The second is building SIPs. We've always been quite successful as a fund house building SIPs in various markets, volatile periods without -- based on the gold -based investing and bring that back as part of your narrative to the entire sales team as you go out in the market with high conviction both on the steps that we have taken

on the investment side and improve

performance that we're seeing in and the product being relevant from the customer point of view, and therefore have the high engagement for increasing the productivity. So that's something we are doing.

The support channel, I just mentioned in my speech, the support channel that you have created, earlier we used to run this as a silo channel. We felt that some of these channels, which can be attributed to the sales team directly from the retail sales team point of view, they are clubbing under the sales team so that there will be a higher synergy that can be created to make each of the channels contribute to the overall success of the retail AUM. And last is actually digital platform engagement is also essential, given the fact they help in terms of getting new customer additions. So that we have a strategy to ensure that we are able to highlight some of the products that can come as part of the recommendation list on ongoing engagement and show them the work that we have done and how the performance of the schemes is coming, how those engagements to ensure that we can participate in the new customers addition . In fact, in the quarter of March ending, we added close to about 3.5 lakh new customers that we have added during the quarter.

Madhukar Ladha: Understood. And anything special to read into the direct contribution increase in the equity AUM mix?

A. Balasubramanian: Yes, that's basically as you rightly pointed the exclusive team that we have created and then we branded under the name of CARE, which is basically to ensure that we provide a better service to those customers and hand hold them on a continuous basis, over a asset allocation pattern. We are seeing the high engagement that the team has been creating and where we are further strengthening the team to close to about 50 -member team this year, and that renewed focus and high engagement would help in terms of increasing manufacturing. The ultimate idea is to make the direct team, he is more like a wealth manager kind of concept, helping in building a holistic experience for the customers and thus increasing the share of their wallet share to both our equity schemes and other products including PMS.

Madhukar Ladha: So, on the passive side, there has been some reduction in AUM, not a lot, but there has been some small reduction. So, any comment on there? And second, I wanted to ask again on the passive side, is there any possibility of the EPFO money being given to additional set of asset management companies? So, yes, would it -- at what time -- what is your expectation over there?

A. Balasubramanian: Sure. See on these -- on the passive side reduction was largely on account of the maturity of some of the debt -oriented index funds that we had. Of course, the money has gone into the mutual fund schemes, got shifted from index funds to mutual funds. On the equity side, we have seen growth both on AUM as well as customer additions. As far as the EPFO is

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concerned, of course, we do have participated in the bidding process, and we are keeping our fingers crossed, whether we would win the mandate.

Madhukar Ladha: So, when is the decision expected on that? And how many companies is the EPFO office expected to select now I think Nippon was the last addition. And then you're talking that again, they've sort of invited bids, so just wanted to understand what frequency does it happen?

A. Balasubramanian: We have no idea in terms of how many people. Of course, I'm sure they will shortlist for 5, 6 names, but right now, no public information is available on this.

Madhukar Ladha: Understood. Okay. Thank you. That's it from me, all the best sir.

A. Balasubramanian: Thank you.

Moderator: Thank you. We'll take our next question from the line of Abhishek Saraf, an independent Investor

. Please go ahead.

Abhishek Saraf: Hi. Good morning, everybody, thanks for taking my question. So, sir, I just had a few questions regarding -- if I heard right, that in the call, somewhere you mentioned that our SIP shares during 2019 -20 used to be around 14%, and 15%. Is that right, sir? Have I heard it right?

A. Balasubramanian: Yes, on the SIP, Abhishek.

Abhishek Saraf: Yes. If you can help us understand why the SIP shares slip from there to where it is currently 6.5%? And given that you are targeting around 8% to 9%, how we will reach there, and within what duration? Secondly, on the equity redemption side, it is very heartening to see that the redemptions are not happening, or it has come down, which is somewhat counterintuitive as well because at the high level of market people may want to book profits. How is -- so what is changing fundamentally, if you can help us understand?

And if I tie this with something which was said by an insurance company, in the ULIP funds they saw a decent redemption happening in the later cohorts in the -- after 5-year cohorts. So somewhat, there's a bit of dichotomy as well, and maybe something is changing fundamentally. So, if you can help me understand and share your thoughts on these 2 questions, sir, it will be very helpful.

A. Balasubramanian: Thanks, Abhishek. As far as the SIP is concerned, of course, we took early mover advantage of pushing SIPs as a fund house, having seen market cycles. As we felt that SIP was the best way of building our equity size, that's way we built our leadership position till about 2019-20. For a variety of reasons, a volatile period and then more and more competition coming in and a few large AMCs have underpenetrated in the industry, which all of us know that the large fund house may not have major assets till 2019-20. They upped the game in the overall business growth. Therefore, the growth for some of them was exceptionally higher than even the market average because they were underpenetrated. So that led to some fall in share.

And of course, there are certain schemes where we have built huge size where we got done with the performance and there was, of course, the level of performance lacking for some time

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which I must admit for a brief period, also led to a drop in SIPs, which I feel that we can get back. SIPs are something that we've always been promoting independent of performance. That's the only way we can build SIPs from a longer-term goal perspective. That narrative is completely driving to the team that irrespective of that we must build SIPs. Ultimately, investors do get benefits in the long term and there is not much difference you'll find between a good-performing fund or a bad-performing fund, if the investment is made in SIPs for the longer term. That's something communication we are making more strongly and making them realize in terms of building size. That's something I did want to highlight.

The other part is, in terms of growth, I think as I mentioned, I think if we keep pushing our -- the renewed engagement that we have on the investment side, engagement at ground level, sales productivity focus that is bringing in. All put together should only help in getting renewed participation coming from some of our existing channels who have always been loyal to us. Secondly, new customer additions continue to remain that big area of focus, all put together like we put a strategy that renewed focus on the emerging market expansion. All of them put together, it should help. Also, the ABC expansion that they are doing across the country should help sales in getting money coming from some of the other customers for overall financial service business, all put together I feel that the overall improvement will keep progressing.

Abhishek Saraf: Thanks for that sir. Sir, on the redemption

side, you can help me understand what is holding

back customers from redeeming? It's a good sign, but are you feeling some change in the customer behaviour at the customer's or the investor's end?

A. Balasubramanian: Generally, redemption is largely in the nature of profit booking and then comes back. I mean the more of right timing. At the same time, I think historically I've seen the trend, whenever the market either become stagnant or volatile, we see that as a trend emerging. But otherwise, I only see incremental participation, would be a good mix of existing customers or new customers. It is very difficult to find any kind of trend on that. And given the fact that the broader acceptance for MF and the renewed aggression that we as a fund house bring on the table, all put together should only help in looking at the improvement in sales rather than just looking at the redemption numbers.

Abhishek Saraf: Sure. That's helpful, sir. Sir, one last question, I can just squeeze in? So, as you mentioned the equity yields are around 68 basis point handle, and given that there will be a telescopic effect on the yield and assuming the normalized market, what kind of yield one can expect, especially in equities, one can expect over the next year?

A. Balasubramanian: I think, we have said in one of the other questions as well. As it stands today, we'll be able to maintain the overall margin expectation coming from both an equity and fixed income. Maybe on the fixed income side, we'll see there is scope for that to improve a little bit given the fact the product mix within the fixed income could also change here.

Abhishek Saraf: Okay sir. Thanks for this I am done with my questions.

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Moderator: Thank you. The next question is from the line of Janavee Jare from Kaizen Partners. Please go ahead.

Janavee Jare: Yes, I just wanted to ensure that during -- like there has been a sudden increase in the influx of the passive mutual funds gaining like a predominance in the market. So, how do you believe that in the next 5 to 7 years people would be shifting to passive mutual funds, but there would be very less opportunities for market share and everything? So how would you like to envision yourself in the next 5 years in comparison to these mutual funds, like passive mutual funds as compared to active, and most of the inflow will be -- has been predicted will be in the vertical only?

A. Balasubramanian: As a fund house, I think we look at offering products to customers across the segment of the market will remain the active manager both on fixed income and equity. At the same time, we will also build our capability, rather product offering, in the passive space. As we know, passive in the last one year, if you see active funds have done far better than passive. And before that passive was doing better than active. Given the fact that the Indian market has huge potential to outperform the market, I think active will continue to be a focus area. But in our case nice to say for 4-5 years, we are building our capability on the passive side. Hopefully, we should see higher momentum coming in the passive as well. Within the passive, we'll bring in fine focus between products, which can be more profitable as well by looking at the product differentiation in this space. But I think from an industry point of view, we will see growth on active will continue to be the driver for some more years, while along the side, passive also will also get built.

Janavee Jare: Thank you.

Moderator: Thank you. We'll take that as a last question for today. I now hand the conference over to management for closing comments. Over to you, sir.

A. Balasubramanian: Thank all of you for taking time out on a Saturday to attend this call. And with this, I'll conclude Q4 FY24 earnings call. Do feel free to reach out to o

ur IR Head, Prakash Bhogale for any queries that you may have. Thank you.

Moderator: Thank you, sir. On behalf of InCred Equities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

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Call: Jul 2024

Ref. No.: ABSLAMCL/PS/ 70/2024 -25 July 31, 2024

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor,
Dalal Street Mumbai - 400 001 Plot No. C/1, G Block,
Scrip Code: 543374 Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051
Symbol: ABSLAMC

Dear Sir/ Ma'am,

Sub: Transcript of the Earnings Conference Call for the quarter ended June 30 , 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call on Unaudited Financial Results for the quarter ended June 30 , 2024, held on Thursday , July 25 , 2024.

The above information is also available on the website of Company at
<https://mutualfund.adityabirlacapital.com/shareholders/financials> .

We request you to kindly take the aforesaid information on record .

Thanking you.

Yours sincerely ,

For Aditya Birla Sun Life AMC Limited

Prateek Savla
Company Secretary and Compliance Officer
ACS 29500

Encl: as above

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"Aditya Birla Sun Life AM C Limited
Q1 FY25 Earnings Conference Call "
Thursday , 25th July 2024

MANAGEMENT TEAM:

- MR. A BALASUBRAMANIAN – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICE R – ADITYA BIRLA SUN LIFE AMC LIMITED
- MR. PARAG JOGLEKAR – CHIEF FINANCIAL OFFICER – ADITYA BIRLA

SUN LIFE AMC LIMITED

• MR. PRAKASH BHOGALE – HEAD, INVESTOR RELATIONS – ADITYA BIRLA

SUN LIFE AMC LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Aditya Birla Sun Life Asset Management Q1 FY25 Earnings Call hosted by InCred Equities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jignesh Shial from InCred Equities. Thank you and over to you, sir.

Jignesh Shial: Hi and good evening, everyone. On behalf of InCred Equities, I welcome all to Aditya Birla Sun Life AMC Q1 FY25 Earnings Conference Call. We have along with us

Mr. A. Balasubramanian, Managing Director and CEO, Mr. Parag Joglekar, Chief Financial Officer, and Mr. Prakash Bhogale, Head -Investor Relations. We are thankful to the management for allowing us with this opportunity. And I would now like to hand it over to Mr. A. Balasubramanian, Managing Director, and CEO of Aditya Birla Sun Life AMC, for his opening remarks. Over to you, sir.

A. Balasubramanian: Thank you, Jignesh, for the introduction. Good evening, everyone, and thank you for joining us on today's investors call. I trust you all have had the chance to review our earnings presentation, which is available on both the stock exchange and our website.

Let me begin with the economic outlook and an update on the mutual fund industry first before I give an update on our quarter-one performance. The global economy has performed better than expected, even as uncertainty on the geopolitical front continues. There are looming political uncertainties with some critical elections yet to play out. The risk of recession appears to have decreased, and the global economy has shown resilience to higher interest rates as well. The macroeconomic outlook for India remains broadly positive. The Indian economy grew by about 8.2% in FY24, higher than expectations with the RBI projecting the real GDP growth for FY25 anywhere between 7.2% to 7.5%. The key contributors to the economic growth include significant government spending on infrastructure, driving manufacturing sector and a strong domestic demand, as is known to all of us.

To reflect specifically on the union budget announced earlier this week, we feel it is in line with the vision of building a self-reliant Bharat, focusing on the critical drivers such as the MSME sector, agriculture, manufacturing and a strong impetus to job creation and skill development that can propel the country to the next level of growth.

The focus has been to keep the fundamentals strong, catalyse the pockets of opportunity, and not deflect from the fiscal glide path as well. The budget did not have any specific announcement for the mutual fund industry, except the marginal tinkering that has been done in the capital gain tax.

The increase in capital gain taxes may not dampen my belief in market sentiment or also have significant negative impact more than the market on the mutual fund industry. The rationale is

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that the substantial wealth that has been created in the country over the recent years makes the additional tax burden relatively minor for most investors. Moreover, investors typically base their decisions on potential returns and economic growth rather than solely on tax considerations. And the Indian equity market has consistently outperformed global counterparts, reflecting the strong fundamentals of the Indian economy and the earnings potential of the companies across sectors.

There will be some earning consolidations going ahead, but with the country's strong structural drivers and economic

fundamentals remaining intact, there will be continued participation in Indian equities. Given India's fiscal health, one can expect rating upgrades for the country, which will also be advantageous for the Indian bond market.

With respect to the mutual fund industry, as of 30th June 2024, the mutual fund industry Quarterly Average AUM reached ₹58.96 lakh crore as compared to ₹43 lakh crores last year around the same time, growing 37% on a year-on-year basis.

During the quarter, the mutual fund industry witnessed equity net sales of around ₹1,42,000 crores through new fund offerings and existing funds. In fact, the NFO collection in the Equity

Fund was a round ₹ 26,200 crores majorly coming from sectoral /thematic funds. The industry's SIP flows grew 44% year -on-year from ₹14,734 crores in June 2023 to ₹21,262 crores in June 2024. The total number of mutual fund folios stood at 19 crores with an increase of 28% year -on-year with a unique customer base of around 4.7 crores. The individual average AUM grew by 46% year -on-year from ₹25.67 lakh crore to ₹37.47 lakh crores and contributed 61% of the total AUM. B30 cities with an Average AUM of ₹11.13 lakh crores accounted for 18% of the total AUM.

For us at Aditya Birla Sun Life Mutual Fund , FY25 has a special meaning as it marks a milestone for our company as we celebrate 30 years as an asset management company and a key player in the Indian mutual fund industry . Anchored by our unwavering values, rich legacy, and exceptional team, we have built on our strong foundation and endeavour to be a formidable force in the industry. We have navigated market dynamics with agility and innovations , focused on our core strengths and made strategic moves to address areas of enhancement in order to build the business further .

The efforts have come together to build momentum, which was quite visible from the final quarter of last fiscal and has further gained pace as we move to the current quarter. This is reflected in the strong momentum of our AUM numbers and growth in SIP numbers , and a healthy retail growth. We posted the highest -ever quarterly profit and witnessed a substantial increase in investor's folios across various channels during the current quarter.

We had a successful NFO collection of Aditya Birla Sun Life Quant Fund mobilizing assets of around ₹2,400 crores. It is now one of the largest funds in this category. And for us, also, it was one of the highest collections we have had in the last so many numbers of years. We also witnessed improvement in contribution from B30 cities. We have not just seen an increased growth contribution of corporate through institutional sales, but also a rising trend in contributions through digital platforms and distributors in general.

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Our business verticals in the alternative segment has also showcased healthy growth driven by AIF and PMS product launches and the AUM growth thereon. Passive business has also grown progressively through new product launches and scaling up the existing products. This progress is a result of building a robust sales ecosystem . Enhanced management at the relationship manager level, increased satisfaction with service effectiveness and positive sentiment towards fund performance and an improved digital experience, have all contributed to a positive sentiment and overall improvement in the AUM numbers.

Moving on to our business numbers , Overall Average Assets under Management including alternate assets , reached ₹3.68 lakh crores, reflecting a 19% year -on-year growth. Our Mutual Fund Quarterly Average AUM reached ₹3.53 lakh crores , with Equity quarterly average AUM about ₹1.62 lakh crores . SIP numbers during the quarter further moved up to cross ed ₹1,300 crores mark, showing a 39% year -on-year increase , from ₹987 crores in June 2023 to ₹1,367

crores in June 2024. We added around 8.39 lakh new SIPs, mainly we have seen a 3x increase from the previous year. We have witnessed healthy growth in our investor's folio . Have added around 9 lakh new folios during the quarter bringing our total serviced folios to 94 lakhs. Our quarterly folio growth was 9% compared to the industry's 7% growth.

In the alternative segment, PMS /AIF remains our key focus area. But as part of our alternate business building exercise , we have strengthened our team and appointed a Head of Fixed Income Credit and aim to offer a variety of products including category II and category III Alternative Investment Funds and fundraising is underway for the ABSL India Special Opportunities Fund, which has been one of the growing funds in the PMS category, along with other several products that we have in the pipeline. By establishing our presence in GIFT City, we aim to manage and attract overseas investments into India to meet the growing needs of NRI and foreign investors. We are using GIFT City to launch a variety of innovative financial products, including a product which is ESG Engagement Fund for Sustainability, index -linked funds, and thematic funds. These products are designed to meet the evolving preferences of global investors and tap into niche markets .

We have launched and are currently under a fundraising plan for funds for ABSL Global Emerging Market Fund which invests in emerging markets . We have already touched the size of close to about ₹400 crores. We will soon be closing the fund in the next few months . ABSL Index Linked Fund that we are launching for inward remittance in India. At the same time, we are also launching a fund ABSL India Opportunities Fund for providing opportunity to NRI investors to invest in India. We are also preparing to launch funds in GIFT City including ABSL India ESG Engagement Fund. This I had highlighted in the past , the ESG Engagement Fund , but finally, we are seeing the seed capital coming in and this fund will take off in the next quarter in order to drive funds from the rest of the investors in India.

In the same way, the Flexi Cap Fund and Global Blue -chip Fund , a Fund of Fund is been created to attract NRI investors in India through the GIFT City. On the passive front, as of June 2024, our passive assets total approximately ₹29,900 crores. Our customer base has grown to about 7.53 lakh folios and have a diverse product portfolio of about 44 products. We at ABSLAMC are focused on driving growth in the passive segment. We have enhanced our

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passive core team, by bringing in a Head of Passives with international experience, having worked with some of these funds in the U.S. which focused only on passive. We are also looking at further expanding our product offering to capture the opportunities in the thematic segment both with the passive route as well as the mutual fund route.

Moving on to financials, we at ABSLAMC are happy to inform you that we have achieved our highest-ever quarterly profit in Q1 of FY25. This has been driven by improvement in the asset mix, overall asset mix and a strong focus on cost management. Our total revenue is about ₹481 crores vs ₹389 crores in Q1 of FY24, up 24% Y-o-Y. Our profit after tax is at ₹232 crores vs ₹185 crores in Q1 FY24 up 26% Y-o-Y. The impact is also driven by the improvement in overall operating profit that we have witnessed during the current quarter, which is due to the mix of assets that are changing.

With this, I would like to conclude and open the floor for any questions that you may have. I will be joined by Parag Joglekar, who is our CFO and Prakash Bhogale who is our IR in charge to take any other questions that we may have.

Moderator: Thank you very much. The first question is from the line of Lalit Deo from Equirus Securities.

Please go ahead, sir.

Lalit Deo: Congratulations on a good set of numbers. Sir, my first question is on the SIP flows. So, we have seen a good ramp-up in our SIP book as well as in registrations. So, could you highlight the channels from where we are receiving the increased interest with the same? And also I wanted to understand that this SIP flow also includes systematic transactions. So, could you just give us the breakup between the SIP and STP flows?

A. Balasubramanian: Thanks, Lalit. I think with respect to the SIP flows, largely we are seeing the flows coming from one Mutual Fund Distribution (MFD) channel, which is our traditional channel, then the digital channel, and then come from the rest of the channels, including direct. We have seen contributions coming from all of them and I think the majority of the contributions have been coming from MFDs and digital channels.

With respect to the breakup, though I do not have that breakup. But predominantly large proportion of the flows for us are in the form of an SIP, less number of transactions coming to the STP. That a gain, we see that as one of the opportunities for us to push aggressively in terms of improving the overall number further to a higher level. But a large contribution coming from the SIP route.

Lalit Deo: Sure, sir. And sir, apart from the SIP, how has been our trend in the lump sum flows also on the equity side?

A. Balasubramanian: Lump sum flows, of course, we got reasonably good lump sum flows in our NFO that we did. Predominantly there we would have got roughly about ₹20 crores in the form of SIPs and the rest of the flows came through the lump sum. In the existing funds, there are few funds where we are seeing flows purely on the basis of the acceptance both in the large-cap category as well

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as the thematic category. There, the lump-sum flows have been improving. But predominantly large flows have been coming through the SIPs.

Lalit Deo: Yes, sir. On the Opex side, despite launching the NFO in this quarter, our other Opex has remained broadly flat on a Q-o-Q basis. So, like for the next two years, how are we looking on the expenses side? And can you also give us guidance on the ESOP expenses for FY25 and FY26?

Parag Joglekar: So, the expenses, mainly we have been generally projecting that the expenses will grow in the inflation plus something. So maybe the cost of employees will be in the range of around 10%-12%. Other than that, other Opex will grow in the range of around 10% -12%, which is the administrative Opex. So that is what generally our target will be and that we will be tracking.

A. Balasubramanian: As Parag mentioned, Lalit, as far as the Opex is concerned, one, we, of course, continue to do branch expansion, we will keep that as one of the drivers especially in the emerging markets, we are expanding further. Second, with respect to the people, whatever I have been communicating, most of the recruitment related at the senior level, they are more or less done.

And we might still further strengthen the team in a few areas, especially in the direct as well as the alternate business. These two areas we will further build. And even offshore, since we are seeing some kind of momentum coming back, especially towards India as well as even we are also seeing some kind of green shoot as far as offshore business is concerned. However, these are three areas where we may have to fill. Some people-related expenses we will have to take. But broadly, this is an approach that we will take. But as Parag mentioned, we will keep a close watch in terms of productivity. Therefore, increased productivity will keep the Opex under control.

Lalit Deo: Sure Sir. Thank you Sir.

Moderator: The next question is from the line of Dipanjan Ghosh from Citi. Please go ahead, sir.
Dipanjan

Dipanjan Ghosh: Good evening, Sir. Firstly, you can give some colour on the net flow movement for your equity assets, excluding the sectoral funds. I mean, you have a large chunk of sectoral funds. And obviously, the industry has seen strong momentum in that. But if I were to see the net flow movement, excluding the sectoral funds, how that would be? And from a quarter-on-quarter perspective, how has the trend been in terms of market share on that particular chunk of the business, excluding sectoral funds?

Second, you mentioned that you had growth in other Opex and per cost, employees will be around the 10%-12% ballpark number. Sir, is this for FY25 or do you expect this to remain a steady state guidance going ahead also? Lastly, three bookkeeping questions. You can give your ESOP expense for the quarter, and employees for the quarter. Yes, that was the last question.

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A. Balasubramanian: Yes. With respect to your first question in terms of flows, largely, of course, net sales between the thematic funds that I just mentioned, that is something PSU Equity Fund, Pure Value Fund as well as on the Quant fund that we have raised. As far as the diversity equity fund is concerned, predominantly the flows are more in to the main categories such as large-cap and flexi cap kind of funds. But again, the large component of the flows, I would say, is coming to the thematic funds as it stands today.

But overall, though, of course, net sales numbers generally, we do not disclose it. But otherwise, broadly, the trend has been improving. But however, the market share is a function of significant money that has come into the industry, especially in the current quarter, which I mentioned about ₹1,42,000 crores and also the differential product performing differently, depending upon where you have a large presence. And given the fact that a certain segment in the market has been giving a significant outperformance, in that segment, we as a fund house do not have a dominant presence.

To the extent that we have seen the market share improvement is not coming as much as we would have desired to be, but however various steps that are being taken, such as the successful closure of one NFO, the successful push in terms of SIPs with a clear target to take higher numbers. And there is one area where I'm seeing an improvement in terms of addition is the new customer additions. Now our share has been improving. And the same way on the SIP new addition as well and compared to the industry, I am seeing an uptick as well as an increase in the gross volume as a percentage, which is a reflection of productivity.

All these things my belief is would eventually lead to improvement in the market share, not necessarily a significant move unless we see very large flows coming in a few of the NFOs. Of course, we do gun for it. But given the operating model that we have, I think these are some of the steps that we are taking in should help in terms of moving up in the overall contribution of the growth.

With respect to the Opex, I'll ask Parag to give a sense and ESOP.

Parag Joglekar: So Dipanjan, the ESOP cost is in the range of around ₹3-odd crores which is already a part of the employee benefit cost. The Opex, guidance is more or less 10% to 12%. That is what we are looking at over the period. As Bala also mentioned, there may be some recruitment and there may be some activity on branch expansion will happen. But we will try to keep a close watch on the overall expenses to ensure that it is under control.

Prakash Bhogale: And number of employees as of June is 1,520.

Dipanjan Ghosh: Okay. So, Parag sir, just a follow-up question is the guidance of cost, is it for FY25 or in terms of, let us say, when the market kind of stabilizes a bit in FY26 or FY27, assuming it stabilizes, what sort of flex

ibility do you have in terms of them because obviously, you will be adding employees. I mean if I understand correctly, last quarter you added around 70 employees. So suddenly if markets were to stabilize, what sort of ability would you have to control your overhead? Just wanted to get some sense on that. And just one more question if I can chip in,

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you can give some understanding of your yields on equity for fresh versus back book and how the payouts are shaping up?

Parag Joglekar: Especially on expenses, some of the expenses are variable, obviously. But the majority of expenses will be fixed like employee salaries, rentals and all that stuff. But there are expenses which are variable in nature. And depending on the growth of the overall AUM and overall business, that can be tweaked to a certain extent. But the majority will be on the fixed side of the expenses. On yield, equity is in the range of around 68 bps. And new, generally, depending on a scheme to scheme, but we generally share around 65% of our DTR with the distributors. So, the yield on the new will be lower than the overall yield on the old stock.

Dipanjana Ghosh: Got it Sir. Thank You and all the best.

Moderator: The next question is from the line of Devesh Agarwal, IIFL Securities. Please go ahead, sir.

Devesh Agarwal: Good afternoon Sir. Thank you for the opportunity. My first question is the tax changes that have been made in the Budget, how do you think this would impact the inflows into the mutual funds of different categories? And do you see that post-March '25 the AUM that is there on the debt schemes can that see a churn to others schemes?

A. Balasubramanian: Yes, I think the way we have seen tax changes as far as the equity is concerned has no negative impact. The increase in the capital gain tax should not have much impact as well as on the flows concerned because largely the flows have been coming keeping in mind the longer-term investment needs of people.

Therefore, plus again being pushed through the SIPs for all coming to goal-based investing. Therefore, I don't see as far as equity is concerned -- unless we see the equity market turn volatile therefore is a slowdown. But nothing related to the budget I would say. As far as fixed income is concerned it's status quo. Nothing major, though we have been expecting some steps will be taken to promote fixed income schemes in order to develop bond market on one side as well as create alternate products for significant equity flows that have come as a cushion. But I have not seen it, but it does not have any negative impact. But at the same time, there are certain asset classes are now coming into the long-term capital gain tax such as REITs and InvIT, gold which is now attract equity taxation. I think these are some of the products that potentially could emerge, may not be necessarily immediately, but can potentially emerge including hybrid products could potentially emerge to get the retail investors as part of our onboarding exercise. That is something internally we see could be an opportunity. As for the fixed income concerns as the expectation of interest rates starts setting in, which I think we would probably see they are coming in, and the equity market volatility if it fits in then we'll see the fixed income flows also would begin. But at the same time what we are doing is within the fixed income space well of course in the mutual fund space we continue to keep our dominant position.

We are also building our product offering on the alternate side with the fixed income-oriented schemes with higher yield, and return expectations than your traditional investment

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expectation in the alternate space by way of credit opportunities fund as well as real estate

ate

yield fund. These are the two that we are doing mainly to cater to the HNIs and family office needs.

Devesh Agarwal: Right sir. And the same cost, a recent consultation paper that SEBI has floated in terms of a new category of investment which is the ₹10 lakh and above. What are our thoughts on that?

A. Balasubramanian: If there is something new there is a segment of people who otherwise play in the market directly using the options in the market, or the F&O fund market can potentially the new product can be created by a mutual fund. This will take some time, but definitely, it's something innovation is coming in which SEBI has been thinking about such kind of product with any merit to be part of the mutual fund. Having a scenario if this comes and of course, we will have to build capability in terms of using the derivative market to have this kind of product and also help in reaching out retail investors. It is something, there is a space, but needs to be dedicated, the way we have done for other products for one to get higher participation there.

But as it comes to the fund house, the way we have been building capability in various other product segments, we will do a similar one as well. But right now, too early to take a call in terms of what is the real impact that one can visualize on this, but this kind of product will become one of the customer acquisition tools so that eventually they become part and parcel of the main mutual fund scheme.

Devesh Agarwal: Right sir. Even I was saying it on similar lines. So, for this scheme if at all this comes to mutual

funds, would we need to have a completely different distribution channel that can kind of force such high per-client AUM?

A. Balasubramanian: Not necessarily, I think. I think ultimately one of the areas, the MF industry has beautifully adapted and articulated this asset allocation model. And it is like the way we are now seeing thematic funds also now drawing the attention of investors as part of asset allocation. I think it will fall in the same approach so to speak.

Devesh Agarwal: Right sir. And sir, can you also share the yields on your debt and liquid funds?

A. Balasubramanian: Sure. Parag.

Parag Joglekar: Debt is in the range of around 25 -26 basis and liquid is in the range of around 12 -13 basis.

Devesh Agarwal: Perfect sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Kunal from Carnelian Asset Management. Please go ahead.

Kunal: Thank you for the opportunity. I had questions about our scheme returns. So basically, we are seeing improvement in 1-year returns across our main equity schemes. If you can help elaborate, more on the series and what you have done on the investment team side, how do we add and in our interactions with distributors now since 1-year scheme performance has improved? How do you see the traction also building upon that, that would be really helpful.

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A. Balasubramanian: Thanks, Kunal. The way we have done is one I think if you have to look at the investment side. One is the new additions that we have made to the team and the second is the existing team members who have been extremely passionate about managing funds and therefore create success. So, as we speak today about 65% of funds have been in the Q1, and Q2 performance funds across the various categories.

And second is the way I look at vis-a-vis the competition how we are also in the peer group, how we are also performing in relation to this. As you rightly pointed out the performance improvement was not just coming in 1-year. Now it is even coming in the longer term. That is something has been being one of the mandate investment teams is working on.

Second is the Quant fund NFOs also when we did our complete roadshow across the country did have

a positive impact. One is communicating what we have done and what is being done and the investment team both from a team processes and whatever step that has been taken by the investment team to deliver successful investment performance that is being well appreciated.

And the second in terms of communication on the same thing is also being done effectively by identifying four or five products that can get scaled up for us given the fact we have a longer-term track record in terms of performance, existence, long-term track record, people have made presumably good money in each of those schemes. How do we get that communication done effectively to increase the level of engagement?

And the last, of course, is the capital retail focus that they have brought in, in terms of increasing the productivity of every RM in every location. That's also being monitored very closely. The SIP improvements that we are seeing, new customer acquisition we are seeing an improvement always an outcome of the increased efforts that are being put in by the team on the retail side.

And the process has begun and with respect to investment wherever the gaps are there in terms of individuals having the capability to manage certain segments of the market cap that also we identified we will probably have somebody onboard for the mid-and small-cap category where we felt probably have to further strengthen our team, that also we have taken steps to get somebody onboard.

So those are some of the things that are also being appreciated internally as well as by the sales team so that they can embrace the changes and have a little bit of better engagement at the marketplace. And that's something I see as a change and second, we also had all India employees meet, being the 30th year, just to reenergize the team, communicate very clearly in terms of what we are doing and how we are planning to do. And so that entire team members embrace the changes that we are bringing in order to go to the next level of growth. We are also, of course, being appreciated by the entire employee force, that is something we had to do to ensure that the strength of the ABSLAMC, is built over a period of time, and is understood by people. At the same time, the plan that we have to grow to the size is also being adapted by people across the board so that we get the contribution coming from every employee from every location.

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Kunal: Got it. All right. That is helpful. Also, if I understand correctly, we have made a few changes in the sales team as well and hired a few people over there as well. If you could help a little bit understanding how is that panning out? And if you want to share the new hires what's the focus engagement? Any changes out there also could help.

And one more question to this. I am not too sure how meaningful it will be in the total scheme of things. But we were also talking about cross-selling within the ABG Group itself, right, at the parent level. So, are you seeing any traction there? How is that panning out? And if at all, it will be very meaningful in terms of ABSL AMC in the overall scheme of things.

A. Balasubramanian: With respect to the sales, of course, we did some rejuggling generally in terms of more people movement. That is something we did with the external person coming in with experience in managing on the wealth side as well as customer connect. And that is something is done. And of course, incremental changes more would be at the support function. We have created presumably good strength in terms of our digital platform and the product and business development side.

We have identified a few areas of opportunities to further strengthen. One such opportunity we have been driving is emerging market opportunities. When we set it up about a few years back, we saw a significant

contribution coming from the deeper parts of the location, where we had a specific focus. The team was driving it with 100% energy going only towards building that business. That's something we have reset it up as we have been factored.

Second, direct sales. While we have about a 35-member team, we, of course, have also been thinking of an exclusive, sharper focus that we can bring by having people who would drive it with 100% rigor and start to reach the thing. And third is within the institutional business, we've been extremely successful in building our institutional business to have a higher market share. The institutional business team is always highly capable of reaching out to the family offices as well as ultra HNIs. That's something, again, we have filled up as a separate target that they should take in order to further expand the relation that we have in the institutional business. Therefore, we'll be able to leverage that benefit. That's something we are doing on, a few other changes that we are looking at them.

Definitely, it's working quite well in terms of having a sharper focus on execution. And last but not least, the NRI one segment where having created space in the GIFT City as well as created a presence in Dubai and other UCIT platforms we created. We also feel that we can bring in a more sharper exhibition focused on NRI customer acquisition. Through it will be too early from an output expectation point of view. But definitely, we can expertise that in that area could also help in getting NRI customers as we start setting up a fund of funds in GIFT City. That's something we do work in terms of expansion of the business there. With respect to the other question, the second question was on the?

Kunal: Selling within the ABG Group.

A. Balasubramanian: Yes. On the cross-sell, and upsell, there are two opportunities. One, of course, is PIFA and the second is ABCD. We have with in the existing team the special drive that given to the PIFA.

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In fact, we are seeing traction coming in that, I'm seeing month-on-month the number showing an improvement on the basis of two things: one, a clear target setting both on customer base as well as the AUM growth coming from PIFA. Second is the leads that come from the rest of the businesses, in the direct customer business, and looking at that conversion ratio from the individual AMC business point of view.

What we have seen, is some of the attraction in terms of conversion of that into our AMC customers. At the same time, the ABCD which is the one digital platform super app that has been created by ABC. Also, we are seeing some of the product positions that we have. In fact, we are seeing visibly good traction coming on our Quant fund NFO that we did and a similar promotion is also being done in some of our existing products. So as the traction increases on ABCD app, we are seeing increased participation coming in that. So, I can only say that we have a number on a month-on-month basis and we review each month, we are seeing an improvement, which itself a sign that you can contribute in addition to the push that we are giving at the AMC level.

Kunal: Got it. Cool. I mean, wishing you all the best and also congratulations on your reappointment, sir.

A. Balasubramanian: Thanks, Kunal.

Moderator: The next question is from the line of Abhijeet from Kotak Securities.

Abhijeet: Hi, Good evening everyone. My first question, I wanted to clarify the equity yield, I missed that number. Was it 68 basis points or 60 basis points?

Parag Joglekar: 68 basis, Abhijeet.

Abhijeet: And then just on this point, again, like how do you see the distribution commissions evolving

given that some of the players have talked about some scope for rationalization? So, in that scenario, what would be our thought process given

that we are now in the process of getting

some of the existing larger funds to capture a higher share of flows? How would we deal with a situation like that?

A. Balasubramanian: The approach we are taking, Abhijeet, we have two agendas in front of us. One of course builds a scale further. And second, is to improve the overall customer business strategy with respect to equity. So therefore, for us, we can't go to the other extreme, while paying too much, given the fact we also have a responsibility to deliver reasonably good profit. At the same time, we also cannot go down. They take a call that we have completely rationalized it and focused on improving the profitability. I think we'll take that middle part at this point of time. And that's the course we have been taking as a fund house given the fact that we need to, one, work with distribution partners very closely to ensure both of us grow.

And second, we also build our direct channel, and other channel partners, including RIA channel partners where potentially the money could come where the cost of acquisition could be relatively low. But at the same time keeping in mind the overall aspiration that we have.

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We will probably take that middle path. And whenever, of course, we have to give a specific drive which may need some spending we will have to do, also we'll undertake it given the fact that funding it could be seen as an investment. And therefore, in the longer term, it benefits that call also. We have been taking, you would have seen in this quarter, we did give an advertisement of some of our funds. But we did feel that while we are doing a lot of things right with respect to improving overall AMC growth. I mean we also spend the money on the brand building that also we have undertaken as some of the exercise there. Therefore, that's an approach we'll take, Abhijeet.

Abhijeet Sakhare: And a question on flows. So outside of thematic funds, would it be fair to say that on a net basis, let's say, the overall trajectory is improving month-on-month in terms of net flows that we are getting across some of the larger 5 - 6 mainstream categories?

A. Balasubramanian: Yes, definitely, we are seeing improvement, Abhijeet. Of course, we still have to do a lot more to be satisfied. So the improvement is coming no doubt. But definitely, the trend is changing in terms of customer acquisition and of course, there is gross sales improvement, net sales improvement on few schemes.

SIP number improvement. So, all these things I think will keep on improving and therefore it led to higher net sales on our quarter-on-quarter with that's what we aim for. But definitely, the trend is changing, which is what we keep driving the team from a larger creation of success point of view.

Abhijeet Sakhare: Got it. And lastly, sir, you mentioned a few fund categories amongst the thematic ones. So, I remember value is one that you mentioned apart from Quant which is an NFO. Are there any other major thematic categories where you are getting good flows?

A. Balasubramanian: See Digital India Fund has been a rock star for us, done very well, PSU Equity Fund, we are seeing good flows. We are seeing good traction on that. Banking and Financial service Fund has done extremely well. Even GenNext fund where we've been officially going and telling that consumption theme could be the one area. We are even seeing some flows on the manufacturing front though the flow is not as big as what you see in the NFO segment but we are seeing some flows in that.

Abhijeet Sakhare: And sorry, one last thing. Are there any other fund launches in the pipeline?

A. Balasubramanian: We already have 2 approvals. One approved we already have, is the Innovation Fund approval that we already have. We have one fund approval for a defence fund on the index side which

we intend to launch very soon. And we have a few pipeline products for immediate launches.

At the same time, we also have some products that have taken approval from the Board, which will be filed with the SEBI very soon. And so that we can have one or two least products additional to help us raise funds, while of course, pushing the existing products on the other side. So that's the current pipeline.

Yes. Of course, we also have a product pipeline for our GIFT City both for outward remittance as well as inward remittance. For outdoor remittance, we already started one fund. The one

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that already started is coming to a closure by September end, where we already done about **■**400 crores from the LRS side. That fund will give me about 40 to 50 basis points of additional revenue. And when this stops, we have actually one more product which we are launching it,

which is a global blue -chip fund that is something which we have already taken approval from IFSC. That's something we are launching for both LRS as well as for ODI investment that can happen to the overseas investment. And the one fund of fund that we are creating for Indian flows, that's something again , we are pushing in addition to what we are doing on the domestic side. All the products are meant for both HNIs and Retail. Therefore, it could have an above rub off effect on either side.

Abhijeet Sakhare: Got it, sir. Thanks a lot, and all the best.

Moderator: Thank you. The next question is from the line of Dipanjan Ghosh, Citi. Please go ahead.

Dipanjan Ghosh: Sorry, just one more question from my side. If you can give the SIP flows for the quarter.

A. Balasubramanian: For the month, it's 1367.

Dipanjan Ghosh: Would we have the data for the quarter by any chance ?

A. Balasubramanian: Yes, Sure.

Prakash Bhogale : It's around 3,700, Dipanjan.

Dipanjan Ghosh: Yes, sure. I got. So, sir just on that, if I do back calculation it seems for April and May, your SIP flow market share is around 5.7%, which is obviously lower than your March exit. So normally, what we are seeing again for Jan and February your SIP flow market share was around 5.7%. So just towards the last month of the period , it seems that the SIP market share is kind of jumping in the last 2 quarters. That's the trend we have seen. So how should one read into this?

A. Balasubramanian: We look at it from 2 angles. One is the registration of SIPs from a customer base which is coming where the average ticket size would be roughly about ■3,000 - ■3,200 kind of thing, where we are seeing continuous improvement. And second , within that, new customer acquisitions, which I mentioned about the online platform, where new customer acquisitions also come through that MFD platform, that is something we see as one. These two components are the one that is a focus in terms of building it up.

I think clearly, within the SIP on an incremental registration basis compared to the competition the new customer acquisitions, now the share comes to close about 8.5% -9%, that's the kind of number we are seeing. I think we have to look at it from a combination point of view. I think 1 or 2 quarters of such improvement ultimately will make it more sustainable from an overall momentum perspective.

Dipanjan Ghosh: And sir, just on Abhijeet's question, you mentioned that your trends in thematic funds have been on an improving trajectory. But the gross sales number for the industry had also jumped multifold in the last few months on an absolute basis. But if I just lo ok at relative basis rather

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than absolute because, I mean, the industry is doing, I'm assuming absolute basis everything is going up for every manufacturer. But if I just look at it relative to peers, would you say that your ex-thematic f

unds are kind of improving in terms of trend relatively rather than on an absolute basis?

A. Balasubramanian: Yes, the trend is definitely showing an improvement. Only with respect to thematic, you must also keep in mind all the NFOs that have come into the market are thematic. And we have a fund house having created a presence for the last so many numbers of years. 30-year-old players have got plus or minus as well. And we have a presence in the them atic. We do get the rub-off effect as thematic funds come into the market. Definitely , NFO collections have been far higher in the thematic category compared to the earlier days.

So, to the extent , that you may probably see the flows in them atic, while it is good lower than percentage to the industry gross sales will be lower. But I think the way I look at it is a trend change. I think, what's most important is the trend change that we witnessed in all parameters that we are looking at building is something, which is encouraging.

Dipanjan Ghosh: Got it . Thank you and all the best.

Moderator: Thank you. Ladies and gentlemen this will be the last question. The next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: Sir, just one data-keeping question. Could you also give the SIP AUM as of June end?

Prakash Bhogale : It is ■77,000 crore Lalit.

Lalit Deo: Thank you so much.

Moderator: Thank you very much. Ladies and gentlemen, I would now like to hand the conference over to the management for closing comments.

A. Balasubramanian: Thank you, everyone , for joining. And with this, we conclude our Q1 FY25 earnings call. Do feel free to reach out to IR Head, Mr. Prakash Bhogale for any query that you may have. Thank you.

Moderator: Thank you, sir. On behalf of InCred Equities that concludes this conference. Thank you for joining us and you may now disconnect your lines.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

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Call: Nov 2024

Ref. No.: ABSLAMCL/PS/ 122/2024 -25 November 5 , 2024

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor,
Dalal Street Mumbai - 400 001 Plot No. C/1, G Block,
Scrip Code: 543374 Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051
Symbol: ABSLAMC

Dear Sir/ Ma'am,

Sub: Transcript of the Earnings Conference Call for the quarter and half year ended
September 30, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call on Unaudited Financial Results for the quarter and half year ended September 30, 2024, held on Tuesday, October 29, 2024 .

The above information is also available on the website of Company at
<https://mutualfund.adityabirlacapital.com/shareholders/financials> .

We request you to kindly take the aforesaid information on record .

Thanking you.

Yours sincerely ,

For Aditya Birla Sun Life AMC Limited

Prateek Savla
Company Secretary and Compliance Officer
ACS 29500

Encl: as above

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"Aditya Birla Sun Life AM C Limited
Q2 & H1 FY25 Earnings Conference Call "
Tuesday , 29th October 2024

MANAGEMENT TEAMS :

- MR. A BALASUBRAMANIAN – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICE R – ADITYA BIRLA SUN LIFE AMC LIMITED
- MR. PRAKASH BHOGALE – HEAD, INVESTOR RELATIONS – ADITYA BIRLA

SUN LIFE AMC LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Aditya Birla Sun Life Asset Management Q2 FY 25 Earnings Conference Call hosted by InCred Equities.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference call is being recorded.

I now hand the conference over to Mr. Jignesh Shial from InCred Equities. Thank you, and over to you, sir.

Jignesh Shial: Yes. Thank you, Sidharth, and good evening, everyone. On behalf of InCred Equities, I welcome all to the Aditya Birla Sun Life AMC Q2 FY 25 Earnings Conference Call.

We have along with us Mr. A. Balasubramanian – Managing Director and CEO, and Mr. Prakash Bhogale – Head of Investor Relations.

We are thankful to the Management for allowing us this opportunity. I would now like to hand it over to Mr. A. Balasubramanian – Managing Director and CEO of Aditya Birla Sun Life AMC for his opening remarks. Over to you, sir.

A. Balasubramanian: Yes. Thank you, Jignesh, for the introduction, and good evening, everyone, and thank you for joining us on today's Investor Call. I trust you all have had the chance to review our earnings presentation which is available on both the stock exchanges website and our own website.

Let me begin with the economic outlook and update on the mutual fund industry. The global economy continues to be resilient and is expected to grow by a healthy 3% in 2024. The global inflation has moderated in major economies, leading to the easing of monetary policies. We believe that this trend of easing of monetary policy will continue as we move forward, embraced by most central bankers.

In India, the macroeconomic outlook remains solid, with the consensus expectation of approximately 7% growth in FY 25. Recent GDP data indicates a pickup in private consumption, supported by a pickup in the Agri economy. India continues to be the fastest-growing major economy in the world, supported by progressive economic policies and healthy macroeconomic stability parameters. The abundant and well-distributed monsoon rainfall has fostered a positive outlook for agricultural output, enhancing rural income, a stabilizing food inflation, which will contribute to a more resilient economy.

With the overall inflation momentum moderating, the RBI Monetary Policy Committee recently changed its stance from Withdrawal of Accommodation to Neutral, opening the door for a potential rate cut in the second half of the current fiscal year. The government's fiscal position remains robust, supported by strong revenue receipts. The external account continues to be stable marked by a low current account deficit and foreign exchange reserves scaling new heights.

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The Indian market for the quarter ended September 24 was marked by a period of volatility and uncertainty. The resurgence of China with meaningful easing of policies has further added to the volatility in the Indian market. We have witnessed the FII flows being negative, and increased participation from domestic institutional investors and retail investors has brought in the much-needed stability in the market with the market moving in a narrow range. At the same time, if one goes by the current quarter corporate earnings, we might see a slight moderation in the overall growth expectation, therefore, reducing the expectation of returns in the time to come.

With respect to the mutual fund industry, as of 30th September 2024, the mutual fund industry quarterly average AUM reached ₹66.21 lakh crores as compared to

₹46.98 lakh crores as on

30th September 2023, growing 41% on a year-on-year basis. During the quarter, the mutual fund industry witnessed net equity sales, excluding Index Funds of around ₹1,43,000 crores through new fund offerings and inflows in existing funds. The total NFO collection in equity funds, in fact, was around ₹36,800 crores majorly coming from sectorial and thematic funds. The industry SIP flows grew by 53% year-on-year from around ₹16,000 crores in September 2023 to ₹24,500 crores in September 2024. The total number of overall mutual fund portfolios stood at around 21 crores with a year-on-year increase of 34%. The individual average AUM grew by 50% year-on-year from ₹28.1 lakh crore to ₹42.1 lakh crore and contributed 62% of the total AUM. B-30 cities with an average AUM of ₹12.59 lakh crores accounted for 19% of

the total AUM.

At Aditya Birla Sun Life AMC, our overall assets under management including alternate assets reached ₹4 lakh crores, reflecting 24% year-on-year growth. In fact, we just crossed ₹4 lakh crores for the first time ever in the history of the Aditya Birla Sun Life Mutual Funds. Our mutual fund quarterly average AUM reached ₹3.83 lakh crore, growing 23% year-on-year. The quarterly equity average AUM stood at ₹1.81 lakh crore, growing by 39% year-on-year. The SIP booked during the quarter crossed ₹1,400 crores a 47% year-on-year increase from ₹968 crore in September 2023 to ₹1,425 crores in September 2024. We also added around 11.55 lakh new SIPs, a 5x increase compared to the previous year. I am also happy to share that our total investor's folios have crossed 1 crore, with around 19 lakh new folios being added during the last quarter.

On the investment side, during the quarter we have witnessed an uptick in the performance of our equity funds. A higher number of funds are beating the respective benchmarks and also the peer averages in the respective categories. This has in fact created a positive perception, among our distribution partners and investors at large, leading to an increase in overall net promoter score. We are expanding our fund management team, which will enhance our capability of managing our core equity funds effectively further. I would also like to mention that the increased level of engagement at the ground level, supported by the return of strong investment performance is helping us narrow the dip in the equity market share on a quarter-on-quarter basis.

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On the Fixed income front, we continue to deliver robust returns across most categories and be the preferred choice of investors. We have also taken some steps in offering products to meet the investors' expectations by planning to launch a number of target maturity funds as well as promote our duration funds. As interest rates start falling, duration funds also we believe will start picking up. As we have been highlighting about our commitment to building our Alternate Assets and Passive business, we are making good progress on this segment of our business vertical. The alternate segment, PMS and AIF remains a key focus. Our PMS/AIF assets grew by 66% from ₹2,300 crores to ₹3,900 crores in the current quarter. Our offshore assets also had witnessed some flows during the current quarter, which grew by about 31% from ₹9,700 crores to ₹12,700 crores.

Our Gift City operation, the gateway for inward and outward remittances has also gathered momentum. We will be closing soon our first emerging market products under the LRS scheme by February wherein we already have collected \$50 million. The ESG fund created for inward remittance, we got the first collection of \$25 million, and more fund raising is currently underway. On a similar line, we also created the ABSL Flexicap fund for inward remittance for NRI investors. Further, we also taken approval

from the Gift city authorities to launch yet another product called the ABSL Global Blue chip Fund under the LRS scheme, ODI and OPI schemes.

During the quarter, we have also launched the Performing Private Credit Opportunity fund, under AIF. In order to build size in this category, both from domestic and global investors, we also committed our own capital to support growth of this fund out of our treasury portfolio. On this passive front, as of 30th September 2024, our assets total to approximately ₹30,000 crores. Our customer base has also grown to over 9.5 lakh folios, and we also have a diverse product portfolio of over 47 products. We are also planning to launch new funds in the coming quarters to expand our passive offering for investors.

I am also happy to share that during the quarter, we also won the ESIC mandate under the advisory route and documentation is under progress to get the actual funds into our account so that we can start managing the portfolio effectively very soon. In the current quarter on the people front, we have made a few changes to further strengthen our leadership team to drive some of our core support functions for growing our business. We have added a new Head of Digital and Data Analytics, and a new Head of Marketing. These strategic additions will drive innovation and enhance our customer engagement and service, helping us expand the customer wallet share as well as mind share, ensuring that we stay ahead in a rapidly evolving market. Moving on to the Financials for the Quarter, our total revenue is about ₹520 crores versus ₹391 crores in the Q2 of FY24, up 33% year-on-year. Our profit after tax is at ₹242 crores versus ₹178 crores in Q2 FY24, up 36% year-on-year. And our first half of FY25, our total revenue was about ₹1,001 crores, up by 28% year-over-year, and profit after tax was at ₹478 crores, up 32% year-on-year.

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With this, I would like to conclude and open the floor for any questions that you may have. I will be joined by Prakash to answer any of the questions that you may have related to the financials and other numbers that you may have. Thank you.

Moderator: Thank you, sir. We will now begin the question-and-answer session. Our first question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Hi Sir, good evening. So, first, a few data-keeping questions. One is if you can give the overall employees for the quarter as in the period ending, the second is SIP flows for the quarter. And third, is the revenue from the non-MF businesses since they have been doing quite well. And apart from the data-keeping question, I have two more questions which are, if I look at some of your peers, especially some of the leading ones, they have undergone certain changes or are undergoing certain changes in terms of the payout structure to the distributors, either on the back book or an incremental flow in certain cases. So, I just wanted to understand, have you taken any such exercise or envision taking any such exercise in the near future. And my second question is on the non-MF businesses, what sort of incremental investments be it on the investment team, sales team, or other teams that one should kind of factor in going ahead?

A. Balasubramanian: Sure. Overall employees including off-role, Prakash will answer this question in a while. In terms of SIPs, we have got ₹1,425 crores inflow per month. That is something we ended in the month of September. With respect to the alternate asset's revenue, how much is the increase?

Prakash Bhogale: So, Dipanjan, I will answer the data-keeping questions which you have asked. So, the number of employees as of September is around 1,552, our SIP flow for the quarter is around ₹4,171 crores, and the last question which you asked is alternate asset income for the quarter, it is in the range of around ₹44 crores.

Dipanjan Ghosh: Okay. So, SIP was of 1,071 or 1,172?

Prakash Bhogale: ₹4,171 crores, for the quarter.

Dipanjan Ghosh: Yes, ₹4,171 crores.

A. Balasubramanian: For the full quarter, yes. The alternate asset revenue what is the incremental revenue?

Prakash Bhogale: It's around ₹25 crores to ₹26 crores incremental revenue we have got in this quarter because our AUM has increased in the alternate space, mainly in the PMS and AIF segments.

A. Balasubramanian: Yes. Okay, with respect to the question that you asked about commission structure which you referred to about competition. See, in our case, we keep evaluating it on an ongoing basis wherever we need to moderate keeping in mind the growth expectation that we have set, we have two tasks in our hands, one is growing the pie continuously, and that is on us high priority in terms of increasing our market share as well as increasing our overall equity assets and management. And given also the fact that we have been increasing, working towards improving overall employee productivity by increasing the sales. Therefore, keeping this in

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mind, whenever we feel the appropriate time for us to revisit this and looking at overall the corporate landscape, we will consider suitable steps at that point of time. As it stands today, right now we have not thought about anything or that kind of reduction. But anyway, there is an ongoing exercise that we keep doing, looking at the overall profitability contribution combined with the growth expertise that we have.

With respect to the non-mutual fund, the sales team, of course with respect to the overall people management as far as investment is concerned, I have been highlighting for quite some time that change we have made. In fact, the last addition that we have done is getting one person on board with really good experience in managing mid-and-small cap domain of the market. So, he is coming on board by the middle of November. So, with that, we will complete the addition as per the investment concern. Given the fact that SEBI also has given the new idea of the new fund category created using the derivatives will build some capability, getting some talent pull on that space if at all we have to manage some assets in the same space, we will ask readymade talent pool available for that space.

The other areas where we will further beef up on the alternate space, of course with respect to selling alternate business as key sales people, we have roughly about some of our team across the country to coordinate the sales force. We will probably look at increasing that by whenever there is a need. At the same time, direct sales team we have roughly about 45 people currently and we keep thinking about that number can actually go up a little higher. This year, we have of course accounted for about 50 people in addition, which we have talked about out of this we currently have 45 people. And if we think that segment, we will have to improve further, we will probably beef up the team depending on which part of the year we must do it. And lastly, of course, to bring the overall alternate space to the next level, we are also of course evaluating people who could help us in building the alternate business, not just only in the domestic market, but in reaching out to global investors given the fact that we are also

looking at seeing some kind of momentum coming in our offshore business. We will probably look at a talent pool who can actually work with both domestic investors, institutional investors and family offices as well as global investors, that is something we are on the process of finalizing somebody, and hopefully should come on board by January or February time.

Dipanjan Ghosh: Got it, sir. Sir, just one follow

-up, if I look at your SIP discontinuance rate, that seems to have kind of gone up meaningfully whereas your overall quarter-wise SIP flows have been broadly stable or marginally improving. How should one really reconcile this?

A. Balasubramanian: Yes, the SIP cancellation generally what happens is, generally in the thumb rule for the industry is roughly about 40% to 50% kind of cancellation happens. Of course, it also gets reregistered.

The way I look at is the registration number, if you look at our presentation, the SIP registrations numbers from 2.13 lakh to gone about 1.15 lakh number you see. That is one way to measure the success, I keep looking at the new customer additions that should actually help in improving the overall base. The 19 lakh new customer folio that we have added is all actually with the intention to increase the overall gross pie. While we have a great opportunity to retain customers, they have redemption stopping, etc. We actually formed a small set of teams given the fact that, we have strengthened our analytical capability, wherein we can create

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a predictive model basis, which we can withhold the customers before they are cancelling the SIPs, which you call a win back. So, we have put a separate team of people to drive the win-back initiatives as well as the people who are looking at market volatility, were re-deeming unknowingly, therefore how to actually reach out to those customers instantaneously so that before the money gets credited to the account, we can highlight to the investors how important for them to stay invested for long term and how important is to continue the SIPs. Therefore, that is something we are driving into the service to sales RM activity that we have as well as the data analytic person who has come on board, he of course came on board from one of our ABC units only and who understands the entire customer behaviour using data analytics. He is also of course going to help us in terms of improving the return ratio by way of win-back strategy. So, that is the way we are looking at it. Of course, broadly, the way I look at it is the top-line number should keep improving which is one of our task. At the same time, returning of assets both should help simultaneously, we do it effectively, and should help in improving the overall momentum.

Prakash Bhogale: Dipanjan only one clarification the alternate asset which I had told you ₹34 crores, which was increased by around, was ₹21 crores last quarter same year.

Dipanjan Ghosh: So, ₹21 crores in 2Q 24, and this compares with for 1H, so you are telling 2Q of 1H?

Prakash Bhogale: No, I am telling last year same quarter was ₹21 crores. So, in the current quarter, it is ₹34 crores.

Dipanjan Ghosh: Okay. And then 1Q, 25 will be around the same number as in the previous quarter?

Prakash Bhogale: Yes, it is around ₹30 crores.

Moderator: Thank you. Our next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: Hi Sir, good evening. So, just two questions. So, I just wanted to ask if we exclude the revenues from the non-MF business, then broadly our yields have remained stable and at the same time, our share of equity AUM has slightly inched up. So, just wanted to understand the segment-wise revenue yields over there.

A. Balasubramanian: Sure. I will ask Prakash to answer this question.

Prakash Bhogale: So, Lalit, as you rightly pointed out, because of the increase in our mix, our yield has remained stable compared to last quarter. So, as you can see in our presentation, our mix has increased from around 42% to 47%. This is one of the reasons for maintaining the margin, even though the size in the equity assets has increased. So, on the asset class-wise yield in the case of equity, it is around 67 basis points. On

the debt, it is around 24 to 25 basis points, and on liquids it is around 12 to 13 basis points.

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Lalit Deo: Sure. Sir second question was that on, in the SIP flows, so while the industry has grown at a much faster pace and like we have grown on an absolute basis, but in terms of market share, we have lost some market share over there. And at the same time, where we are seeing some improvement in the scheme performance. So, what would be the reasons for us that is lower growth as compared to the industry growth in the SIP flows?

A. Balasubramanian: Yes, if you divide the SIP flows into two parts. One is the online digital platform sales; it currently contributes about 50% to 55% of the sales come from the segment. The traditional channels other than direct contribute roughly about 35%. In fact, in the traditional channel other than MFDs, there has been a bit of a slowdown in terms of the SIP contribution, with large contributions coming from the online channel customer additions. As you know online channels come in on the basis of the top three performances among the competition, in fact, we have seen some of our funds which are performing well, being part of the online channels wherein we have seen good momentum coming in, both in terms of SIP, the customer addition as well as the overall number of folios rising in that space, of course they don't contribute to the significant in terms of value. Most of the value comes from both the direct and as well as the traditional channel. I think that is one of the reasons why you would have seen our absolute number has been rising, our folio number has been rising, but the rate of growth in terms of value compared to the end of Q 2, is marginally lower. But the way we look at it is, while that is the case so far, we also of course there is a separate target for each of the channels to measure the success of sales productivity and therefore focus on average ticket size sales coming from the traditional channel, which remains of course the key. The performance improvement that is being, which I mentioned about, and the general perception is also moving quite significantly on the upside. It should also lead to another getting a sufficient backup from the SIP ticket size is also rising. Of course, in terms of count is one part of it, ticket size also should come, we have increased participation coming from the traditional channel.

Lalit Deo: Right, sir. Sir just one clarification, when we say that 50% to 55% comes from the online channels, is it for us or is it for the overall industry are you talking over here?

A. Balasubramanian: No, it is for the industry as well. The industry also is more or less similar numbers for us also would be roughly about 45% to 50% will come from the online channels. And it can gain momentum in terms of giving new customer additions, it can definitely give you momentum. But of course, they all go by the whole industry, there are so many funds are there, they will collect only the top three - four on a base of one year - three years performance. There were some who will get, some will not get, that's why you look at the industry-wide, if you look at numbers, there has been a significant growth is coming from non-top 10 players as well. And this all thing is a function of this dynamics.

Lalit Deo: And just two data-keeping questions. One, could you give us the SIP AUM as of September 24? And just wanted to understand, that in this quarter we have seen some increase in our other expenditures, other OPEX. So, any particular reason for that?

Prakash Bhogale: SIP AUM is ₹83,900 crores as of September '24 and the increase in the other OPEX is mainly on account of the software charges, plus database research, there are some expenses on the Aditya Birla Sun Life AMC Limited
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CSR and there is some increase in travelling cost. So, these are the main heads wherein the cost has increased.

Moderator: Thank you. Our next question is from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.

Abhijeet Sakhare: Hi good afternoon everyone. So, my question is again, coming back to flows, which funds are leading the revival inflows for us, if you could name the top three - four funds which are doing well last few months?

A. Balasubramanian: Yes, sure. So, one we are seeing increased traction in some of our key main funds, fuel on the back of the one is performance improvement as well as the general acceptance of these funds have got over the long years of track record, which is the frontline equity and flexi cap fund, multi asset allocation fund we are getting flows. Of course, till last month we used to get reasonably good flows from a thematic fund, especially in the PSU funds, we used to get the reasonably good flows till last month. Even this month too we have seen inflow, but there is a margin reduction given the fact that segment of the market has seen some bit of hit. We are also seeing some flows coming on the balance advantage fund, given the fact that this is one segment where we are seeing increased traction given the market volatility. And of course, arbitrage fund continues to see inflows they are also counted as an equity that continues to see inflows. Among the thematic category, of course, the quant fund, which we launched recently, we continue to see some flows coming in. As well as, we also see flows coming in the thematic fund which we launched about a year back which is the transportation logistics fund, also have seen flows.

Abhijeet Sakhare: And again, from a channel point of view, fairly direct will be most responsive to start with. But are you already seeing a response from some of the traditional channels like MFDs or IFAs or that is still to come through?

A. Balasubramanian: MFD I am seeing the improvement that I mentioned about the perception on performance improvement which I mentioned about, which largely is coming from the distributors' voice

across the country, wherever the team has been traveling, I myself has been traveling at least there is an increased acceptance recognition. It is also leading to the activation number that I talked about, the IFA activation number that we are talking about is also a reflection of participation coming from MFD which is an additional channel, they are close to us, and we have a lot of loyal distribution community with whom we work with, in multiple areas and improving their knowledge levels, work closely with them, helping them improving our overall businesses. That is something we are seeing an uptick. Banking channel, of course one of the banking channels which is traditionally a large bank for us, of course we go by one or two products as part of the recommendation. While some of the products are on hold, one good thing that I am seeing, some of the products that are already a part of recommendation in some of these channels versus our product, we are already seeing some of our products are doing better than the product that are the part of the recommendations in these channels. And hopefully, as we review and revise, and as we start seeing our product getting incorporated

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with the cost of somebody else is going out should actually lead to an increase in contribution coming from this large banking channel.

Abhijeet Sakhare: And sir, again last one clarification on the banking channel. Is it true that that channel actually puts much more weightage on the three-year returns or one-year strong performance is good enough to drive flows there as well?

A. Balasubramanian: See, we look at both, weightages for one year's improvement performance and also CPR

ranking is done well with 20% weightage for the one-year performance and balance is given for three-year performance, in the same order they rank. But at the moment, you see a similar and same line some of the funds that are already a part of recommendation as they move out, and then they bring in new funds that traditionally I have seen them doing this. And of course, definitely they recognize the improvement in performance in the one-year and 18-month periods. It helps them to put on the top of the consolidation to get them on board faster.

Moderator: Thank you. Our next question is from the line of Mohit from Centrum India. Please go ahead.

Mohit: Hi, thanks for the opportunity. My first question is, what are the NFOs that we are targeting over the next two to three quarters?

A. Balasubramanian: We have taken approval from SEBI, one diversified equity fund, with a thematic nature. That is something we will plan to launch sometime post this current festival season. Second, on the passive side, we also taken approval for launching one fund again on the thematic category resembles close to the sectors that drive the Indian economy. That is something we have taken approval. And these two funds we have, as part of the pipeline. On the fixed income side, of course, we have planned the launch of a few products, as I mentioned in my opening remarks, target maturity fund, a series of funds that we have planned, that is again a draft of some bit of market as well-fixed income goes down. On the Gift City side, we have of course taken approval and we already have a product in place for inward remittance, which is a Flexi cap fund that will fit into my existing funds. That is something we have already set it up, we should see some bit of momentum coming in that space, though the minimum ticket size is still higher, is not meant for retail, it is actually more than \$100,000, somebody can put in from overseas. That is something we have set it up. We also have a plan to launch one fund for outward remittance, which we just mentioned about from India to overseas under the LRS, ODI and OPI. That is something also we have set it up and hopefully, that fund we should launch in sometime in the month of January or February, upon closing the existing funds, which is coming from a closure in the month of February. But these are the plans that we have. In addition to that, on the AIF side, we are in the process of fundraising on the private credit opportunities fund, which again I mentioned about in my remarks.

Mohit: Okay, that is great. And then basically, any idea as to how this NFO as in the size of NFOs maybe a lot more passive as well as on the fixed income and equity any indication on the size of that?

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A. Balasubramanian: Too early to give you the size, Mohit given the fact that we have to play it as we start launching this fund. But definitely, our endeavor would be to create the high level of engagement that we have at the ground level, and add to the overall outcome of these funds in terms of collections.

Mohit: Thank you and wish you all the best.

Moderator: Thank you. Our next question is from the line of Bhavin Pande from Athena Investments. Please go ahead.

Bhavin Pande: Hi, would it be great if you could shed some light on how funds as a percentage of AUM are

outperforming vis-à-vis the benchmarks and also in terms of bucket for three months, six months and one year.

A. Balasubramanian: Sure. So, Bhavin the way we keep looking, of course on a quarterly basis, and we keep reviewing it. Roughly about 60% to 65% of our funds today not only beating the benchmark, they are also performing better than the peer average in the respective category. We look at the peer average, both the funds that are comparable to us. Sec

ond, we also have to look at the

broadier, all funds are put together and both the categories and peer average of performance are roughly about 60% of our assets. The other good thing is the funds which generally, since we have many funds that we are managing it, the funds which of course sometimes for a variety of reasons, could be in the bottom of the quartile. In fact, we don't have any funds in the bottom of the quartile, which also change s in the overall improvement that I am saying. The number which I am saying is, it is both on the six-month and one-year basis. In fact, even on a three-year basis, the number of funds which is outperforming the index is almost now coming close to about 45% to 50% on a three-year basis, also reflecting on the overall improvement. As I always believe that as we start improving in a very short-term performance, moving from three to six, six to nine, nine to one, and one to one and a half years, naturally it pulls up the long-term performance as well. That is why we are seeing it happening.

Bhavin Pande: Okay. And you shed some light a bit on the digital channel mix. But if you look at the participants across the industry, everybody has seen robust flows of contribution via digital channels. So, when do you think, our digital channels would start picking up and would start contributing meaningfully?

A. Balasubramanian: See, we already started to see the momentum in the last two quarters, if you have listened to my earlier, some of the narratives that I have given. In the last six to eight months, we have seen started from the March quarter ending, and we have seen it sustaining in June as well as the current quarter. In terms of increased participation coming from our digital channel, both in terms of the fully getting added as well as new customer addition. And as I mentioned, with the current improvement and performance that we are seeing in the key categories, we would also of course take enough steps to ensure these products are being highlighted in this platform, and therefore, it comes as a part of the recommendation list. Therefore, we get some incremental AUM from this segment going forward in some of the product that we are confident of getting more money. But we are already seeing that the engagement that we have with the digital channel partners has been reflected in terms of momentum. In fact, the last few

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quarters improved traction that we are seeing on the SIPs. It is a combination of digital channels as well as MFD channels.

Bhavin Pande: Okay. And sir across channels, are we seeing that flow market share harder, it is higher than the stock market share? So, let's say we have XYZ market share in terms of AUM to the incremental flows, I am talking about that.

A. Balasubramanian: Flows market share, at this point in time, from industry market share flows versus us, we are of course below the industry shares. Attempt is of course to improve the number further, the way industries is also growing so fast as long as we get our deserving market share. Not necessarily it has to be higher than the market as long as we have deserving market share, which is what our attempt is, that itself will be sufficient to bring in incremental further growth.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

A. Balasubramanian: Yes. Thank you, everyone, for joining and with this we conclude our Q2 FY 25 earning call, I will also take the opportunity to wishing you all a very Happy and Prosperous Diwali and do feel free to reach out to our IR Head, Prakash Bhogale for any queries that you may have.

Thank you.

Moderator: On behalf of InCred Equities, that concludes this conference. Thank you for joining us and you may now di

sconnect your lines.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

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Call: Feb 2025

Ref. No.: ABSLAMCL/PS/157/2024- 25 February 1, 2025

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor,
Dalal Street Mumbai - 400 001 Plot No. C/1, G Block,
Scrip Code: 543374 Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051
Symbol: ABSLAMC

Dear Sir/ Ma'am,

Sub: Transcript of the Earnings Conference Call for the quarter and nine months ended
December 31 , 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call on Unaudited Financial Results for the quarter and nine months ended December 31 , 2024, held on Tuesday, January 28, 2025 .

The above information is also available on the website of Company at
<https://mutualfund.adityabirlacapital.com/shareholders/financials> .

We request you to kindly take the aforesaid information on record .
Thanking you.
Yours sincerely ,

For Aditya Birla Sun Life AMC Limited

Prateek Savla
Company Secretary and Compliance Officer
ACS 29500

Encl: as above

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Q3 & 9M FY25 Earnings Conference Call "
Tuesday , 28th January 2025

MANAGEMENT TEAM:

- MR. A BALASUBRAMANIAN – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
- MR. PRADEEP SHARMA – CHIEF FINANCIAL OFFICER
- MR. PRAKASH BHOGALE – HEAD, INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to Aditya Birla Sun Life Asset Management Company Limited Q3 & 9M FY25 Earnings Conference Call hosted by InCred Equities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Jignesh Shial from InCred Equities. Thank you and

over to you, sir.

Jignesh Shial: Thank you, Manav. Good evening, everyone. On behalf of InCred Equities, I welcome all to this Aditya Birla Sun Life Asset Management Company Limited 3Q FY 25 Earnings Conference Call.

We have along with us Mr. A. Balasubramanian – Managing Director & CEO, along with the Senior Management Team of Aditya Birla Sun Life AMC.

We are thankful to the Management for allowing us this opportunity. I would now like to hand it over to Mr. A. Balasubramanian – Managing Director and CEO of Aditya Birla Sun Life AMC for his opening remarks. Over to you, Sir.

A. Balasubramanian: Thanks, Jignesh. Good evening, everyone, and thank you for joining today's Investors Call. I hope you all have the opportunity to see the Earnings Presentation, which has been posted on the exchange as well as on our website. Let me begin with the economic outlook very quickly and give an update on the MF Industry as well.

The current global macroeconomic landscape presents a mixed picture of challenges and some bit of cautions to outcome with optimism. Global growth is expected to remain stable, with most forecast placing it around 3% - 3.2%. Central banks are now likely to maintain a cautious stance on monetary policies, and continuing their gradual normalization of interest rates after a period of tightening. Global markets have experienced increased volatility, leading up to new administration of US taking power. We expect this volatility to subside in Q1 CY2025, once there is a greater clarity on the policies of the new administration.

Against this backdrop, India is expected to maintain its position as one of the fastest-growing major economies, with a GDP growth for 2025 estimated at about 6.5% and India's economic outlook remains though its positive, supported by strong domestic fundamentals and favorable government policies, they might also participate in the recent volatility of the international global market. Inflation is also showing signs of moderation, with the RBI actively managing it through effective monetary policy measures. We expect a balanced recovery, with a moderate uptick in both private investments and consumption.

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The Indian equity market is currently witnessing significant volatility, driven by a mix of global and domestic factors. Rising inflation, potential trade-related issues, and global market turbulence due to geopolitical tensions and economic uncertainties are fueling price fluctuations and despite global uncertainties and domestic challenges, India's economic resilience, policy reforms, and growing retail participation should continue to fuel investor's confidence in the market.

Coming to the Mutual Fund industry. The industry has witnessed a record-breaking growth in 2024, reaching an all-time AUM high of over ₹68 lakh crores. As of 31st December 2024, the Mutual Fund Industry's Quarterly Average AUM reached ₹68 lakh crores as compared to ₹49 lakh crores as of 31st December 2023, growing by about 39% on a year-on-year basis.

During Q3 FY25, the Mutual Fund industry witnessed Equity net sales of around ₹1,63,000 crores through

new fund offerings and also inflows in existing funds. The total NFO collections in Equity Funds were around ₹19,400 crores, majorly coming from sectoral and thematic funds.

The industry's SIP continued to show good growth with 50% year-on-year growth to around ₹26,500 crores in December 2024 with 5.26 crores unique customer base. The total number of mutual fund folios stood at around 22.8 crores with a year-on-year increase of 37%.

The individual average AUM grew by 39%, year-on-year from ₹30.70 lakh crores to ₹42.58 lakh crores, and contributed 61% of the total assets under management. These are also on the back of institutional AUM have remained somewhat flat for the last two years for a variety of reasons including the withdrawal of tax which we saw last year. B30 cities with an average AUM of ₹12.83 lakh crore accounted for 19% of the total AUM.

At Aditya Birla Sun Life AMC, our Overall Average Assets under Management, including alternate assets stood at ₹4 lakh crores plus, reflecting 23% year-on-year growth. Our Mutual Fund Average AUM reached ₹3.84 lakh crores, growing by 23% year-on-year. The Quarterly Equity Average AUM stood at ₹1.79 lakh crores, growing by about 32% year-on-year. The uptick in equity investment performance, driven by improved perceptions and strong narratives, has helped us gain traction in equity net sales during the current quarter. Our SIP book grew by 38% year-on-year from ₹1,005 crores in December 2023 to about ₹1,382 crores in December 2024. We also added close to about 6.70 lakhs new SIPs, which again increased by 3x compared to the previous year around the same time. Our total investor folio crossed 1 Crore, now it is about 1.05 Crore investors folio with around 24 lakh new folios added during the 9M FY25. During the quarter we launched the ABSL Conglomerate fund which is a unique fund with a different concept and garnered about ₹1,375 crores. We also conceptualized and launched the industry's first 3-6 months index fund which also garnered close to about ₹715

crores during the current quarter.

The retail sales team which is dedicated to driving higher engagement and establishing strong mindshare in a deeper market through a series of impactful initiatives. We are running programs like “Yashaswi”, which is nothing but empower and groom women MFDs, fostering inclusivity and leadership within the sectors and providing the necessary training program in order to gain higher engagement, higher mindshare, and higher market share. “Fulcrum” - which is to focus on equipping MFDs with the tools and strategies to build high-performing teams, driving sustainable business growth and improve the overall productivity of the team as well as the distribution partners. Third is “Legacy Leap”, which is designed to cultivate the next generation of MFDs by sharpening and enhancing their skills. Together, these initiatives we believe will help us create a long-lasting impact across the retail channel improvement that we are trying to bring to the overall business.

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On the alternate business front, to meet the growing needs of HNIs and family offices, we continue to strengthen our team and enhance our PMS and AIF offerings, both in Equity and Fixed income. In fact, our PMS assets including AIF equity grew by 44% year-on-year from ₹2,671 crores to ₹3,853 crores. We are seeing momentum picking up as far as our PMS and AIF tractions are concerned. On Offshore business, we grew by about 2.8% from ₹9,894 crores to about ₹12,686 crores. In fact, during the current quarter, we have seen some inflows coming from offshore investors into India-dedicated funds that we have created, both in Europe and UCITS platforms as well as on the GIFT City to get money into the country. In line with our vision

to scale the Passive business, we continue to offer a diverse product portfolio to our investors, delivering strong returns. As of December 2024, our total passive assets stood at approximately ₹31,600 crores, and our customer base has grown to over 10.68 lakh folios. Our diverse product offerings currently about 52 and we plan to launch additional funds in the coming quarters to further expand our passive investment options.

Moving on quickly to the Financials - Our quarterly Revenue from Operations was at ₹445 crores v/s ₹342 crores in Q3 FY24, up 30% year-on-year. Our quarterly Operating Profit also has shown a significant improvement in the current quarter to ₹262 crores from ₹184 crores in Q3 FY24; up by 42% YoY. In fact, our Operating Profit grew by 42%, which is higher than the overall revenue operations of about 30% growth. For the nine month period, our Revenue from Operations was about ₹1,256 crores v/s ₹988 crores for 9M FY24, up by 27% year-on-year. For the same nine month period, our Operating Profit was about ₹710 crores v/s ₹528 crores again for nine month FY24, up by 35% year-on-year.

With this, I would like to conclude and open the floor for any questions that you may have. Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wish to ask a question may press “*” and 1 on their touchtone telephone. If you wish to withdraw yourself from the question queue, you may press “*” and 2. Participants are requested to use handsets only while asking a question. Ladies and gentlemen, we wait for a moment while the question queue assembles. We have our first question from the line of Dipanjan Ghosh from Citigroup. Please go ahead.

Dipanjan Ghosh: Hi, good evening, sir. First, maybe I will just start off with a few data keeping questions and

then I will move on to my generic questions. So, if you can point out employee number, SIP flow for the quarter, ESOP expense and non-mutual fund revenues? Aditya Birla Sun Life AMC Limited
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A. Balasubramanian: I will ask Prakash to answer. Prakash Bhogale: So, the employee count as of December 2024 is 1,627. The SIP flows for the quarter is around ₹4,000 crores. The ESOP expense for the quarter is around ₹28 lakhs and the non-MF revenue is in the range of around ₹34 - ₹35 crores.

Dipanjan Ghosh: Got it. So, sir, just moving on to the question front, first starting off from this employee number

only. It seems that sequentially there has been a significant uptick in your employee base from around mid-1,500 to 1,627.

So, I just wanted to get some sense of, has the entire employee cost

has been absorbed in the base or should one see it kind of overflowing into the next quarter. And also in this line, you know, given the way the markets have been going into, let's say, the next year, if you were to remain choppy, how do you expect the overall OPEX trajectory, how do you expect that to really shape up? The second question is on the mutual fund yield or rather the overall yield part. If I understand correctly, there has been a significant sequential improvement in yields. So, can you just explain that? And lastly, just qualitatively for January,

how are you witnessing your net sales redemptions and maybe for the industry if you can give some color out there? A. Balasubramanian: Yes. So as far as the employees' concerns, of course one, wherever we are building up our

team, especially in the passive, direct, as well as emerging markets where we are opening locations, and especially places like Mumbai, where we are further strengthening our team considering the distribution, front-facing sales team. Largely, the increase is on account of them. There will not be any significant additions at the top level. These are all at the operating level. That, I think, more or less this year, whatever you have taken as a

budget, we thought

before we start the year next year, we'll complete the recruitment this year. So, the next year, we do not need to increase the headcount on an overall basis. That is broadly the principle in which we function. That is something I would say the increase in headcount is on account of that.

As far as in the month of January is concerned, I think broadly the trend remains the same. We have not seen any significant change in the trend that you have witnessed in the previous quarter. I think we are seeing a net sales improvement for us is coming in gradually in some of the schemes already identified as there are schemes to be pushed from a broader perspective where we are seeing some bit of improvement. The SIP focus continues to remain, so again no major change. However, the current volatility will have to be watched out. There is one trend which will have just watch out. In general, what happens when the market turns volatile, the lump sum generally normally comes, they don't come as aggressively as it generally is supposed to be. Second SIPs, while the top SIPs continue to come, normally the cancellation rate from 50 %-55% average, that goes to say 60 -65% again comes back. But right now, going by the January trend, it is difficult to make many assessments in a significant deviation that we are witnessing currently.

Dipanjan Ghosh: And sir, on the mutual fund yield part, what happened during the quarter?

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Prakash Bhogale: So, Dipanjan, on the mutual fund yield, the improvement which you are seeing is mainly account of 2-3 reasons. One is that on a few debt schemes, we have increased T ER that has resulted in the increase in the yield. The other one is the mark-to-market, because of the lower AUM we are able to charge some higher T ER and there some yield has been improved. The third reason is on account of marketing and distribution expenses have been realigned based on the current market conditions. So, these are the 2-3 reasons because of which you can see the improvement in the yield.

Dipanjan Ghosh: Sir, I couldn't understand the last part of what you mentioned in terms of marketing and distribution getting realigned. So, is it on the incremental flows where the commissions are getting realigned or is it like your overall distribution expense that you are spending for the franchisee is getting reduced or is it on the back book that you have taken some kind of repricing? Can you give me some color?

Prakash Bhogale: So, based on the current situation we have projected a few marketing and distribution expenses for the year. Okay, so those expenses have been realigned which has resulted in the increase in the yield.

Dipanjan Ghosh: Sure. And on the debt book, you have kind of replaced a few schemes, sorry I missed that part.

Prakash Bhogale: Few debt schemes we have increased the T ER which has again resulted in the yield increase.

Dipanjan Ghosh: Got it. Thank you Sir and all the best.

Moderator: Thank you. We have our next question from the line of Prayesh Jain from Motilal Oswal Financial Services. Please go ahead.

Prayesh Jain: Hi, good afternoon, sir, and a decent set of numbers. Just your thoughts on how aggressive or what kind of growth aspirations you have on the non-MF businesses. Probably if you could give us some 3 – 5-year aspirations or targets for the AUM size of PMS, AIF, or GIFT City, any of these things that can be significant contributors to your revenue and top line, that would be much help.

A. Balasubramanian: Thanks, Prayesh. As far as alternate business is concerned, the last 3 years' investment that we are making both in building PMS, AIF, and AIF fixed income credit and real estate fixed income credit and offshore and lastly is the passive. These are the 5 different verticals we covered under the alternate.

We are giving a good push as far as the PMS, AIF, and AIF credit funds are concerned. Given the fact that it can easily fit into our family offices and HNIs across different parts of the country. Right now this PMS and AIF put together we have roughly ₹4,000 crores kind of size and the overall scheme of thinking that we put aside this year for the next five years roadmap we have been assuming the rate of growth in the alternate business has to be faster than the mutual fund and given the fact that the customer segmentation here is different from the mutual fund and that we are seeing already both in terms of AUM growth as well as on the profitability contributions.

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Though I cannot give any specific number per se otherwise we have put a KRA for individuals across the country from a sales team point of view, 20% of the KRA goes towards building our PMS business. AIF credit fund, we already committed some seed capital from AMC business, and basis which a few commitments already started coming in, some underwriting of instruments started happening. And initially, our idea was to collect close to about ₹ 750 to 1000 crores kind of size. Upon building the first issue and then closure of the first issue, we start building up the second launch. So that's something which we have put in place. And ideally speaking, in the PMS and the AIF equity side, we would be gunning close to about ₹20,000 crores kind of size over some time. In the case of AIF, the credit fund would be gunning for close to about ₹5,000 crores of size over the next three years. And in the case of the real estate fund, where we have already given good experience, wherein we manage roughly ₹750 crores of money that we are already managing it, whatever efforts we have put in, in terms of reaching out to global investors, we are seeing some traction in that. There also we will be looking at the first bigger closure, in the next 1.5 years close to about ₹ 5,000 crores in size, and then keep building it as we start making progress on the number which I am just mentioning. Clearly the idea is to build this space on an overall basis.

Offshore infact, I'm seeing some kind of traction. Infact in the last quarter we saw some success coming from two of the Canadian-based investors with whom we have a tie-up for the India-dedicated mandate, we saw some flows coming in, with whom we also have tied up from India to invest in the overseas market. We have seen some success which also now starts giving me revenue through the GIFT City. We will see volume picking up in this space and subject to, of course, emerging market attraction for overseas investor's points of view continues to remain. As far as the passive is concerned, right now we are roughly about ₹ 32,000 crores kind of size. Clearly we are keeping an eye on how we make our passive business verticals which include index, ETF, fixed income, and target maturity funds to reach a size of about ₹1 lakh crore size over the next few years. That is happening in a particular part of the business plan and work towards that.

Prayesh Jain: That is quite interesting but one aspect which I wanted to understand also was what are the kind of costs that we are incurring today on a run rate basis in the non-MF businesses. The reason why I am asking that is as these businesses scale up, the profitability improvement can be significant because if your teams are in place and no further hirings or no major hirings would be needed then the AUM growth coming in and then following up with revenue growth, the profitability of the entire company can improve significantly. So just if you can give some color on them, what is the cost of non-MF businesses, or at what level they are operating today?

Prakash Bhogale: So Prayesh, it is difficult to give you the cost because

we have not disclosed the cost as such

for the particular business as such. But as we have already spoken the alternate asset business used to contribute around 14 %-15% of our total revenue. So currently it is in the range of around 7 %-8%. So, our target is to you know take it further to around what we were there in the earlier period.

A. Balasubramanian: Just to add to that Prayesh, see the cost has more or less remained the same, whatever team we have added, we have already done that except we will only do the replacement of people who

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left. So that means incremental cost as far as people are concerned, mainly is investment function and that we are already full, so that is unlikely. There is one cost which anyway I mentioned in the last call also I mentioned that we will add somebody to head the overall alternate business to drive this separate vertical, which is senior recruitment will do who would take the entire responsibility of the building alternate business. That cost will be added. But beyond that, what we are trying to leverage is the distribution strength which has been created. That is what I think comes in the form of a KRA of people to add to the overall growth which essentially means existing people in the sales will only add to the success of the alternate business which will come as an add-on business rather than adding, coming along with the incremental cost. Even this quarter, the last two quarters itself, we have seen the addition of revenue contribution coming from the alternate business, improved by almost about ₹16 - ₹17 crores. Additional revenue came because of the increase in assets in alternate business.

Prayesh Jain: Is it fair to assume that these businesses are profitable today or they are still breaking even?

Prakash Bhogale: Yes, these businesses are profitable today.

A. Balasubramanian: In fact, all my offshore businesses also, everything is profitable today. The only question is the scale.

Prayesh Jain: Sir, the last question is on the mutual fund business here. So, Fund performance is one element where we are seeing some green shoots for you. The other element to grow the AUM is the distribution machinery. At the time of the IPO, we were talking about a lot of growth coming in from cross sell to the group company. Or apart from that, any other drivers that you are

putting in the business model to kind of really take up this momentum further stronger because we are just at the cusp of fund performance improvement. And if the distribution machinery also kind of picks up more momentum, then you have a great runway ahead.

A. Balasubramanian: With respect to the distribution, of course, we have an established distribution model as far as retail is concerned, which is basically divided into T30 and B30, and then beyond that, the emerging market. And then within that, we created a five-step vertical that we created. One is the VRM model to activate growing IFAs in the country. We are seeing good success, we keep adding more people to the VRM model, via the virtual RM model and we keep increasing the number of team members. As each period passes, we also learn from the experience and then keep improving on contributing to overall success. We are seeing some success. I must mention the conglomerate fund that we had in fact had close to about ₹70 - ₹80 crores got added from the VRM channel itself in addition to the traditional distribution channel. So that is something we are seeing as a success.

Second is the operation team beyond a point when it becomes a well-oiled engine. The operation team, which is a service-facing team, can also contribute to the overall success of the sales. We have got a service to sales. We are stepping up the focus and each year we keep on increasing the target to ensure their contribution increases. Wh

ile these are the established

models that we have, the emerging market is one where as a fund house, we had great success coming from creating our presence in smaller locations and improve our presence in those

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markets, therefore increasing our market share. The country remains one of the big areas. Currently, we have about 95 locations in which we operate. While 95 may remain at 95, but then some will go to the branch level. Some new branch locations will be added there. That something remains in our big area of focus. Having built that, I think the last one year, given the fact that we need to step up our engagement on distribution activities and also get higher output, the team got together and identified about 25 locations in the country, which gives roughly 80% of the overall sales volume for the industry, including ourselves. And what are the steps that we can take to ensure? These 80% of the market gives me higher contribution by way of engaging at the ground level. That is something we are doing. One of the initiatives that we are taking this year is we normally do an annual voyage event. This year we are converting that into a voyage event, we are continuing, but we are doing it only with the cream of people with whom our market share is less but subject to our high engagement and they are getting convinced, as you rightly mentioned about the perception and performance improvement is coming, also being noticed. Therefore, we can get incremental AUM from them. That is something which they are now doing. Upon doing so, we will probably do this across different parts of the country to ensure the distribution engagement increases quite significantly, as we are currently putting in the effort.

Prayesh Jain: Got it. Just last booking keeping can we get the yields on each of the asset classes for this quarter?

Prakash Bhogale: So, Prayesh, the yield for this quarter on the equity side is in the range of around 70-71bps. Debt is 25 bps, Liquid is 13 bps and ETF is around 7 to 8 bps.

Moderator: Thank you. The next question is from the line of Abhijit Sakhare from Kotak Securities. Please go ahead.

Abhijit Sakare: Sir, question on yields again. If you could quantify what was the increase in debt tiers that we have seen in the previous quarter?

Prakash Bhogale: Abhijit, but I don't have that data to quantify the yield increase on account of the debt side. But on a few of our debt schemes we have increased the TER which has increased the yield.

Overall, it is around one basis point.

Abhijit Sakare: And then going forward, are you anticipating any further tweaks to the overall TER numbers in the 4th Quarter or going ahead both on the equity and debt funds?

A. Balasubramanian: Equity will remain more or less the same. I don't think sometimes you must also remember these numbers keep changing depending upon which bucket in which AUM moves. But otherwise, broadly equity should remain the same. As far as the fixed income is concerned, one can expect marginal improvement on the yield given the fact that as the interest rate gets stabilized and then starts coming down, we will have to give some kind of room for growth in the duration assets wherein the expenses are generally higher than the liquid fund or liquid plus fund. So, to the extent, one can expect that segment to improve. And third is, we are also pushing very aggressively our hybrid funds, like multi-asset allocation funds, balance

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advantage funds, and equity savings funds. We are giving a push in terms of sales. And as we start seeing the overall improvement in terms of sales activities there, once again the revenue

contribution coming from that segment will also rise. Given the fact, again the size is relatively

lower

compared to the large industry size. Therefore, to the extent we could see an improvement in the contribution.

Abhijit Sakare : So again, coming back to the growth front , now that we have seen some performance improvement , especially in the short-term buckets , have you seen any improvement as far as the products getting included in the overall recommendation list or any material change in how the products are perceived in the major channels?

A. Balasubramanian: See, that keeps coming on and off. I think the major channels, in the organized channel, except 1 or 2 , have been part of the recommendation in most places. In fact I must mention that our large-cap funds, front -end equity, and flexi -cap funds, both of them are now coming as part of the recommendation list on the organized channels. We are seeing progress in the current quarter. Even our balanced advantage funds, which has again been improving on overall performance, we are seeing being recommended in the organized channel . Third is the multi-asset allocation fund which is of course about 1.5 years of track record and has done exceedingly well, also being included as part of the recommendation list by the organized channel piece.

As an online channel concerns , we did have huge success in the last quarter. A few of our funds came as part of the recommendations. And those recommendations keep moving up and down, depending upon the ranking which they calculate from the overall basis. But a few of our funds

are part of the core list, which is basically front line equity, flexi cap and multi-asset allocation fund, and balance advantage fund. These are some of the funds that have been part of the recommendation list. We are seeing some kind of progress in this space, but of course in order to, for this to get converted into a visibly higher AUM contribution coming from this segment, we need to continue to work towards it. The number keeps improving on a quarter -on-quarter basis.

Moderator: Thank you. The next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: I just wanted to confirm, firstly, on the debt side, could you classify the overall yield on the debt size? Was it 23 basis points?

A. Balasubramanian : 25 basis points.

Lalit Deo: Sure sir. Also , one more data-keeping question was asked, could you quantify the SIP AUM as of December end?

Prakash Bhogale: Sure. It is around ₹78,000 crores , Lalit.

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Lalit Deo: Sure sir. So just on the SIP flows, what we have been seeing is that for industry , there has been an uptick in their monthly SIP flows. Whereas for us there has been a decline and discontinuation rates have also increased. So, what could be the major reasons for the change?

A. Balasubramanian: Broadly in SIP the trend remains the same, in terms of registration numbers except we saw , especially in the lumpsum ticket SIPs. As mentioned about normally during a market volatile period, lumpsum is the one that generally gets stopped and then they again come back, which I call high -ticket SIPs. We saw some reduction in that. Therefore, we saw overall numbers marginally lower than the previous quarter. Otherwise, the retail pure SIP that we tried to drive, both the idea of adding new customers and the new registration coming from the larger channel partners, that focus remains. But otherwise also, from a cancellation point of view, generally the ratio is about 50% - 55% especially month of December we saw the number going up to almost about 55 % - 60%, and at times when that number suddenly improves rather goes up, it does have an impact on the overall number, but otherwise I would attribute this to the market volatility that we are currently witnessing which normally I've seen historically that happens for industry even for us also

number can vary from fund house to fund house . But otherwise, once things settle down, we should see this number coming back to normalcy. Generally, for SIP we try to position as agnostic to the market and that acceptance generally is high. Therefore, we go back to the basics and keep pushing that SIP is something agnostic to the market and fluctuations and sentiments. That something keeps harping on it should only help in terms of maintaining it and improving .

Lalit Deo : Right. So based on this question, on the net sales, when we are saying that we are seeing some improvement in the net sales, so particularly in which channel, probably we are seeing more improvement or seeing some improvement in our market share probably .

A. Balasubramanian: I think it is generally spread across all channels Lalit , mainly the IFA contribution on an incremental basis is improving , ND channel, which is the second largest channel for us. So, their contribution is improving. In fact when we did that the Conglomerate Fund, we did have participation in our funds coming from also about 22,000 IFAs contributing to the

Conglomerate Fund, which also helped us in activating a lot of the IFAs during this period. We are also seeing online channels selectively contributing on the SIPs. I think broadly the order of MFDs and NDs and direct and banking and then online channels.

Lalit Deo: And sir, just last question. Are any products in the pipeline on the active equity side?

A. Balasubramanian: Of course, we have already taken approval, we didn't launch of the fund which is the innovation fund, we have taken approval, we gave a preference to the Conglomerate fund over the innovation fund and then when we feel it is right, either in the current quarter or in the subsequent quarter next year, we will have this product launched. Otherwise, we have a series of product pipelines on passive side, both on passive equity, ETF, and index fund, equity fund, as well as the target maturity fund on fixed income. Both we already have a pipeline of products.

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We have one pipeline of products for GIFT City. Upon closing the first fund that we launched, a special opportunity fund we created. Now we have created another fund to invest in global blue chip. That is something we have already launched and we will go aggressive in terms of promotion as we move forward in the current quarter. We also have announced the Fund of Funds launch from GIFT City. But also, there will be an official launch maybe in the next few months we will do. These are the number of product pipelines that we have as of the offshore concern. Domestic concern there is only one product pipeline that we have kept as of this time today.

Moderator: Thank you. We have our next question from the line of Mohit Mangal from Centrum Broking. Please go ahead.

Mohit Mangal: So first is in terms of SIP AUM. I think you said that it is around ₹78,000 odd crores. So, if I look sequentially, I think there is a 7% decline. Is this number, right?

Prakash Bhogale: Yes, because of the equity market-to-market, Mohit. The industry has also decline.

Mohit Mangal: Understood. And secondly, basically in terms of the industry, so there is a lot of talks of these ₹250 SIP, that is there. So, if you could, Bala sir could just help us understand the dynamics of it and how you intend to kind of use this situation to further improve your SIP thing?

A. Balasubramanian: Yes, ₹250, of course, we were one of the fund houses that also take lead in this space as the regulator announced some time back. So, we have put things in place, but even otherwise as well, we do offer ₹100 rupees SIP for people who can't afford more than that through the online platform. So, we already have that in place. And once, if it becomes an industry-wide push, of course

, we would participate in that, but otherwise in general SIP is something, my own belief is ₹250 or ₹100 SIP, in general, has gained acceptance and momentum and the average ticket size is also improving. I think our focus would be to use this product more to get new customer acquisition rather than focusing on ticket size. I think we will have both strategies go simultaneously. All the ₹100 - ₹200 for customer acquisition and then increase the average ticket size of their contribution as they come on board. So that is the way we, I see it normally. But otherwise, I don't think this will have something unique for one to benefit big time given the fact that SIP itself now is becoming the widely accepted instrument in the country.

Mohit Mangal: Alright, understood sir. So lastly, in terms of, I mean, your peers are kind of rationalizing the distributor commission. And any thoughts that you would be doing the same or what are your strategy on that?

A. Balasubramanian: Of course, we do have a scope, no doubt. But however, we need the right balance between growing the business on one side, and the other side, growing the distribution channel and the other side and ensuring we also able to maintain our overall leadership in the industry.

Therefore, we will have to just see when to do and how to do and kind of things but otherwise, we do have a scope but not in the current junctures, we would rather focus on growing the book size and customer base and expanding the business.

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Moderator: Thank you. We have our next question from the line of Bhavin Pandey from Athena Investments. Please go ahead.

Bhavin Pandey: Congratulations on a good set of numbers. Sir, I just wanted to understand one thing on how do we look at managing fund performance in a down cycle, specifically thinking from a scenario of us just being on a cusp of turnaround and maybe garnering more flows so how do you look at it?

A. Balasubramanian: It's interesting, Bhavin, I think we all also in the managing money business will witness. I think all of a sudden this down cycle comes and the only way we can manage the risk is what we keep harping all the time. The drawdown, especially in market volatility happens. The number of stocks that pull you down should be the least and the number of stocks that are in the portfolio that gives you some bit of either the index performance or a little better index performance component should be high. So that is the principle on which we normally work

sometimes, most of the time we get it right, and sometimes we don't get it right but this time I must mention the last 2-3 weeks of volatility, most of our funds could actually withstand this current market volatility and do better than the market or the competition. That is the only way we manage the risk. Second, of course, the sizing between large-cap, mid-cap and small-cap. In fact, as a fund house, we have a reasonably good domination in the large-cap and mid-cap space and less of a small-cap space. To the extent, that the drawdown could also be less. I think that is the only way we keep a close track which is the investment team keeping a very close track on that in terms of portfolio management operating style.

Bhavin Pandey: Okay, that's helpful sir. And sir, when we look at the behaviour of an IFA partner, let us say maybe he is not seeing the discontinuation of SIP right away, but the customer is reducing the size of the SIP he or she is doing. So, when it comes to picking order, do you think does that fund performance come into account in terms of allocation?

A. Balasubramanian: Yes, definitely of course people do pay attention. I think there are two ways I look at it. One is of course improvement performance; the second is the perception of improvement in performance; and the third is the irre-

pective of whatever it is how well we are committed to engaging with partners and continuing to provide top-of-the-mind service. In my talk, I mentioned about 3-4 initiatives that you have taken such as Yashasvi and Legacy Leap kind of things. These are all shows of our commitment to the distributors.

And third of course is the direct customer engagement by way of guiding, giving insight, and giving our narrative and our confidence. It is not about getting your calls right or wrong. It is about being on the front foot and engaging with the marketplace. All those things do matter. And of course, fund performance is one part of it. If fund performance is there, it becomes much, much easier for the front sales team naturally to go and bat it that much more aggressively. If the fund performance is there but in the borderline case, then you must also replace that with a high level of engagement at ground level. This is the combination in which we work. And as I stand today, I would say performance improvement vis-à-vis the peer group. Not only is there an improvement, but it's also being recognized and noticed by people. Therefore, leading to the gradual conversion of that into numbers.

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Bhavin Pandey: That's very helpful sir, wishing you all the best.

Moderator: Thank you. We have our next question from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.

Madhukar Ladha: Good evening, sir. Congratulations on a good set of numbers and thank you for taking my questions. First, sir, you know sequentially our yield has increased and that has particularly come from equity yields doing better, where you also mentioned that we have changed some distributor payouts. Now, what I wanted to understand is whether this is recurring or is one-time in nature. Second, on the market share bit, our equity market share sort of continues to slide despite we have done two NFOs this quarter. And if I am not wrong, we collected almost ₹1,410 plus crores. So, if I adjust for that, what is your sense on net inflow market share, ex-NFO, in continuing schemes, like what is our market share, and are we sort of improving on a QoQ basis? And in your opinion, is this decline in market share more because of performance needs to catch up or more because our market share in net inflow need to catch up? So that is my second question. And third, on the current trends, like SIP cancellations have picked up, also given this volatility, I know the industry will probably witness higher SIP cancellations, but maybe you could talk a little bit about what are we seeing in our current trends in terms of SIP numbers holding up so far or cancellations actually picking up even more in this month so far? And how do you see investor behavior in this sort of situation over the next 2-3 months, if let's say the markets were to sustain in this way? So yes, those would be my broad three questions. Thanks.

Prakash Bhogale: So, Madhukar, on the yield side, marketing, and distribution expenses which we have realigned based on the current market situation, is in the phase where you may see some impact in the next quarter also. And the yield will more or less remain in the same range.

Madhukar Ladha: So, this is not a one-off?

Prakash Bhogale: Yes. So, we are doing it in a phased manner, Madhukar.

Madhukar Ladha: Okay. So, the yield will probably sustain at about 71 bps as you mentioned earlier in the call.

Pradeep Sharma: Madhukar, so what Prakash is saying, these current yields may be there for maybe next quarter. These are one of a case for 1 or 2 quarters.

Madhukar Ladha: Understood. Then you are likely to come back to the 67-68 basis?

Pradeep Sharma: Yes.

Madhukar Ladha: Okay. And what is causing this? I didn't understand what caused this.

Pradeep Sharma: So, as Prakash exp

lained, this is the realignment of certain marketing and selling expenses, which is the regulatory guidelines.

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Prakash Bhogale: So, Madhukar, we have made some provisions that we have realigned.

Madhukar Ladha: So that we will not be incurring anymore because we are cutting back on that, is it?

Prakash Bhogale: Yes.

A. Balasubramanian: And second on your other two aspects. See, as far as the sales numbers are concerned, of course , the market share, the way I see is the overall market share as far as the equity is concerned on a QoQ basis , the fall in market share is now getting better that's one way of looking at it and second is incremental net sales in some other funds where we are only seeing outflows for a variety of reasons , some of our traditional funds we are seeing net is improving, which includes Arbitrage fund, as well as the large-cap fund and few other funds which are in the main category like Multi -asset allocation funds, including our thematic funds such as Birla Dividend Yield Plus, G ennext Funds we are seeing continues flows . These are categories are getting inflows . In those categories , the net sales would be in the range of about 3% - 4% kind of things. There are certain schemes, of course , ELSS is a category we see as overflow and that is largely on account of the category itself has not getting any big inflows and on top of it the performance-based outflow that we have witnessed given the fact that we have a large size. But there we are seeing outflow but that is something getting reduced each month -on-month basis.

Our idea is actually to identify as mentioned earlier focus ed funds we call it. The five funds we have taken focused on the diversified nature and three funds on the them atic we have identified and then driv ing it across the country to improve our numbers, that is something we should see it being driven from a sales point of view. From the calculation of SIP's other things point of view, as it stands today, anyway in the last 2 -3 months, in general , the SIP's top line numbers keep rising. The cancellation numbers are generally in the range of about 40% - 50% and t his number may even go up a little bit to 60% - 65% and again it's a function of the market trend that we are seeing. But that's something that should not necessarily bother anyone, given the fact that these numbers can come back by way of gross numbers. and then new custom ers additions coming in. We still have only about 5.5 crore unique customer base. We have about 75 lakhs unique customer base. So given the fact that unique customer base can continue to rise, these numbers should not ultimately lead to any different kind of output except the ratio could change given the current market volatility if it sustains for say 1 or 2 quarters as we move forward.

Madhukar Ladha: I just want to follow up. O n a quarter -to-quarter basis, like from quarter 2 to quarter 3, I wanted to understand if we were to exclude the NFO flows. Is our market share improving in net inflows?

A. Balasubramanian: Yes, on this scheme certain schemes are improving.

Prakash Bhogale: So, Madhukar, in quarter three we have seen an improvement in the net sales ex-NFOs which has resulted in the improvement in the market share.

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Madhukar Ladha: Thank you, sir. All the best.

Moderator: Thank you. Ladies and gentlemen, due to time constraints , that would be the last question for today and I now hand over the conference to the management for closing comments.

A. Balasubramanian: Thank you, everyone, for joining with this we conclude our Q3 FY25 earnings call , and do feel free to reach out to our IR Head, Prakash Bhogle, for any queries that you may have. Thank you.

Moderator: Thank you. On behalf of InCred Equ

ities that concludes this conference. Thank you for joining us and you may now disconnect your lines.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

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Call: May 2025

Ref. No.: ABSLAMCL/PS/ 19/2025-26 May 2, 202 5

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor,
Dalal Street Mumbai - 400 001 Plot No. C/1, G Block,
Scrip Code: 543374 Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051
Symbol: ABSLAMC

Dear Sir/ Ma'am,

Sub: Transcript of the Earnings Conference Call for the quarter and financial year ended
March 31, 202 5

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call on Audited Financial Results for the quarter and financial year ended March 31, 202 5, held on Monday , April 28 , 202 5.

The above information is also available on the website of Company at
<https://mutualfund.adityabirlacapital.com/shareholders/financials> .

We request you to kindly take the aforesaid information on record .

Thanking you.

Yours sincerely ,

For Aditya Birla Sun Life AMC Limited

Prateek Savla
Company Secretary and Compliance Officer
ACS 29500

Encl: as above

MANAGEMENT :

- MR. A BALASUBRAMANIAN – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – ADITYA BIRLA SUN LIFE AMC LIMITED
- MR. PRADEEP SHARMA – CHIEF FINANCIAL OFFICER – ADITYA BIRLA SUN LIFE AMC LIMITED
- MR. PRAKASH BHOGALE – HEAD, INVESTOR RELATIONS – ADITYA BIRLA SUN LIFE AMC LIMITED

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Moderator : Ladies and gentlemen good day and welcome to Aditya Birla Sunlife Asset Management Q4 and FY25 Earnings Conference Call hosted by In Cred Equities .

As a reminder all participant 's line will be in the listenable-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Meghna Luthra from In Cred Equities. Thank you and over to you ma'am.

Meghna Luthra: Thank you, Manav. Good evening, everyone. On behalf of In Cred Equities, I welcome all to Aditya Birla Sun Life AMC 4th Quarter FY25 Earnings Conference Call.

We have along with us Mr. A. Balasubramanian – Managing Director and CEO , along with the senior management of the company. We are thankful to the management for allowing us this opportunity.

I would now like to hand it over to Mr. A. Balasubramanian for his opening remarks. Over to you, sir.

A. Balasubramanian : Thanks , Meghna , for the introduction. Good evening, everyone , and thank you for joining today's investors call. I trust you all had the opportunity to review our earnings presentation , which is available on both the stock exchange and on our website.

Let me begin with the economic outlook and an update on the mutual fund industry :

The global macroeconomic outlook for the new financial year, suggests a continuation of moderate but uneven growth, with projections around 3.3% for the global economy . Inflation is expected to moderate further , with global headline inflation potentially falling to 4.2% and key risks still persist including geopolitical tensions, the potential for increased trade restrictions , and macroeconomic volatility stemming from unexpected economic shifts or policy changes. Central banks are expected to remain vigilant, calibrating monetary policy cautiously especially in the US , while fiscal policy will need to focus on long -term stability and growth -enhancing measures.

India's macroeconomic outlook remains strong, with GDP growth projected at about 6.5%. This robust expansion is driven by sustained domestic demand, rising government capital expenditure, and gradually easing of inflation. While global risks, particularly from US trade policies, could affect exports, India's limited reliance on external markets provides significant insulation. Inflation is expected to average 4.1% for the fiscal year, giving the RBI flexibility for potential rate cuts. The fiscal deficit is targeted to decline to about 4.4% of GDP, reinforcing the Government's commitment to fiscal consolidation. Overall, India is poised for continued growth, though global risks and the need for sustained private investment warrant careful

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monitoring . The recent positive turnaround in the Indian stock markets, with indices like the Nifty 50 and Sensex rebounding in March 2025, faces significant headwinds due to the potential impact of newly implemented Trump tariffs. However, domestic optimism, returning foreign investments, reasonable valuations, and signs of economic recovery provide the necessary support for the market . Additionally, India is actively pursuing a trade deal with the U.S. to secure favourable terms and minimize potential disruptions and hopefully it will happen soon for the benefit of our economic growth .

Moving to the Indian Mutual Fund Industry, the Quarterly Average AUM of Mutual Fund Industry as on 31st March 2025 stood at Rs. 67.42 lakh crores as compared to Rs. 54.1 lakh crores as of March 2024, growing by 25% on a year-on-year basis. Due to recent volatility in the equity markets, Q4 FY2

5 saw a slowdown in equity net sales compared to the previous quarters. Equity net sales for Q4 FY25 were around Rs. 1,21,000 crores v/s Rs. 1,62,000 crores in Q3 FY25. The total NFO collections for Q4 FY25 also experienced a decline, totaling to around Rs. 12,700 crores, with Rs. 8,500 crores coming from equity funds and rest of the money is coming from fixed income and mainly the equity flows are from sectoral/ thematic funds and small -cap funds especially in the NFO collection .

While the industry's SIP inflows registered a year -on-year growth of 35%, with 10 crore accounts contributing to approximately Rs. 25,900 crores in March 2025, it witnessed a marginal decline on a quarter -on-quarter basis. The total number of mutual fund folios stood at around 23.8 crores with a year -on-year increase of 32%. The individual average AUM for March 2025 grew by 21%, year -on-year, from Rs. 33.31 lakh crores to Rs. 40.31 lakh crores and contributed 60% of the total AUM. B30 cities with an average AUM of Rs. 12.17 lakh crores for March 2025 accounted for 18% of the total mutual fund AUM.

At ABSLAMC , I am pleased to share that we have observed positive momentum in sales, driven by improved investment performance and strong on-the-ground engagement from our sales team. This has also resulted in a quarter -on-quarter increase in our AUM and market share. As part of our ongoing engagement, this quarter, we also hosted an exclusive event - Vantage Point 2025 - which brought together the country's top MFDs. The event was pivotal in strengthening our relationships and fostering deeper collaboration with these key partners in order to increase our engagement as well as market share . It has in fact enabled them to better advise their investors with tailored investment solutions suited to the evolving market dynamics.

Our Overall Average Assets under Management, including alternate assets , stood at Rs. 4.06 lakh crores, reflecting a 17% year -on-year growth. Our Mutual Fund quarterly average AUM reached Rs. 3.82 lakh crores , growing 15% year -on-year. The quarterly Equity average AUM stood at Rs. 1.69 lakh crores , growing by 11% year -on-year.

Our SIP book for March -25 stood at Rs. 1,316 crores and we added around 5.43 lakh new SIPs in Q4 FY25.

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Our total investor folios stood at 1.06 Crore with around 27 lakh new folios added during FY25.

On the alternative business front, we are continuously enhancing our PMS and AIF offerings across both Equity and Fixed Income, to better serve the evolving needs of HNIs and family offices.

Following the receipt of the ESIC mandate, we commenced management of debt portfolio, and its AUM stood at Rs. 7,456 crores for the quarter ended March 31, 2025. Consequently, our PMS/AIF assets witnessed a year -on-year growth of 268%, rising from Rs. 3,075 crores to Rs. 11,330 crores. Additionally, we are also preparing to launch the ABSL India Equity Innovation Fund under the PMS category .

Our Offshore assets grew by 14%, from Rs. 10,545 crores to Rs. 12,070 crores. Under the GIFT City platform, we had our final closure of ABSL Global Emerging Market Equity Fund under LRS scheme, with AUM of about USD 65 million. Fund raising underway for India ESG Engagement Fund, ABSL Flexi Cap Fund for inward remittance and ABSL Global Blue -chip Fund under LRS scheme for outward remittance.

Aligned with our vision to scale Passives business, we continue to offer a diverse and performance -driven product to our investors. As of March 2025, our total passive assets reached approximately Rs. 34,700 crores, with a growing customer base exceeding 11.60 lakh folios.

Our current product suite comprises 53 distinct offerings designed to meet varied investment needs of customer with a mix of equity and fixed income in dex funds .

Moving on to the financials, we at ABSLAMC have achieved

a profit after tax of Rs. 931 crores

in FY25, which is up 19% Y -o-Y. For FY25, our Operating Revenue is at Rs. 1685 crores; up 25% Y -o-Y and Total Revenue is Rs. 1986 crores; up 21% Y -o-Y. Operating Profit before Tax is at Rs. 944 crores; up 31% Y -o-Y and Profit before Tax is Rs. 1245 crores; up 23% Y -o-Y. In Q4 FY24, Operating Revenue is at Rs. 429 crores; up 17% Y -o-Y, Total Revenue is Rs. 501 crores; up 14% Y -o-Y. Q4 FY24, Operating Profit before Tax is at Rs. 233 crores; up 21% Y -o-Y and Profit before Tax is at Rs. 305 crores; up 14% Y -o-Y.

We are pleased to announce that the board has proposed a dividend of Rs. 24 per share for FY25, which is up from the last time what we have declared.

With this, I would like to conclude and open the floor for any questions.

Moderator : Thank you, sir. We will now begin the question -and-answer session. We have our first question from the line of Swarna bha Mukherjee from B &K Securities. Please go ahead.

Swarna bha Mukherjee : Hi, sir. Good afternoon and thank you for the opportunity. I have 3 -4 questions from my side.

The first one is on the employee expense part. So, this quarter , the employee expenses increased sequentially. So, I wanted to understand what factors broke these expenses and if there was a higher variable payout baked into this, how do we account for it? Do we do it on a quarterly

basis , or is it that we account for it on an actual basis in a particular quarter? So, if you could
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give some color on that and how should we think about this number in the upcoming quarters as we move into FY26? That is the first question. The second is on the ESIC mandate that we have got, could you give some details on what would be the realizations on that , and is this primarily a debt-oriented mandate that we have , institution -driven ? If you could highlight that. And thirdly, when I look at your SIP data, I think what I see is that you know the number of live SIPs has also come off. So, I just wanted to understand that last year we had significantly increased our share of the direct channel, particularly the online -oriented channel. Is this leading to some number of closures in our S IP book , or if could you highlight what the trends are ? And given that SIP flows have also come up from what it was in December , what is our approach towards that? If you would expect this number to now move northwards , as the market has started to also improve. This will be my question , sir. And I have a couple of bookkeeping questions , which I will ask after your response.

A. Balasubramanian: Thanks, Swarnabh a Mukherjee . I will take the second question , which is the ESIC mandate. This is a debt-oriented mandate advisory under the portfolio management service. Of course, as you know , this government mandate comes with the lowest possible rate. It is more of a prestigious mandate for us. While we have been in this market for a long time and for a variety of reasons , we have not been participating in this segment. But given the fact that we have people , who can actually provide related services to manage this fund. So, this year what we bid for it, and we got qualified and therefore we w on the mandate. And ideally speaking the amount could be in the range of about Rs. 44,000- 45,000 crores , on the base of the sharing formula that they have with all others. So that is something of course . here we are building up and we believe winning this kind of mandate can only help us expand this advisory service to many others, both government and private institutions. And that is something which we have won in this market. I am happy to share that we have already got the money and started investing in that. As far as the SIP data is concerned , I will leave the exact number to Prakash. With respect to the SIPs while we have be

en clearly focusing on increasing S IP as I would have seen in the last few quarters each quarter, we keep improving the number. We touched about Rs. 1, 400 crores kind of S IP number , and then we saw a bit of dip . I think largely on account of two things. One of course, during the current quarter we have seen S IP, both registrations and the net additions have come down for the industry and we are also in more line with that . Also given the fact that STP is generally where money comes in and in the form of SIP. And during the current volatility period some of the S IP transactions also got stopped as a res ult of that number being a little lower. But otherwise, our focus in terms of building SIP remains paramount to us even though some of these promotions that we are doing. The "Sabse Important P lan is S IP" that we are going aggressive in terms of promoting it. And incentivization also actually sets the target. And incentivization is also large ly on the bas is of that. And in fact, our fund performance is showing improvement across the major categories. We are also quite confident that S IP, we should start seeing the improvement coming in. Of course, with SIP, I do not want to give the target number given the fact that it becomes a projection. But otherwise , clear ly, the focus is there to build our equity thro ugh the S IP that stays constant. As for the employee expenses concerns, I will ask Pradeep.

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Pradeep Sharma : Yes. So, Mr. Swarnabh a Mukherjee's actual employee count , if you see from a quarter -on-quarter basis , has not increased much. It is only in the same range , 1,627 to 1 ,628 only. However, we are in the process of building our direct team to 30 to 40 additional people. But that is not going to actually impact much on the cost part.

Swarnabh a Mukherjee: Sorry, I missed the 1 ,620-1,630 number. Sir, you must be talking about the overall expenses. If I have this correctly, the employee expense will move up from around Rs. 88 crores to almost Rs. 99 crores. So, I just wanted to understand that Rs. 10 crore s increase.

Prakash Bhogale : Yes, Swarnabh a, the employee expenses for the quarter on quarter have increased by Rs. 11 crores from Rs. 88 crores to 99 crores. Which is largely on account of the bonus provisions and the staff welfare expenses. You wanted to know about the bonus provision. So, because it is a formula on a year-end basis for the performance of the entire organization, we make the provision for the bonus , and that has increased a little bit because of which you can see some increase in the overall employee expenses.

Swarnabh Mukherjee: Okay , sir, underst ood. So then next quarter it will again normalize a little bit.

Prakash Bhogale : Yes. Again, from the next financial year the new provisions will start basis the achievement of

what we will have at that time.

Swarnabh Mukherjee: Okay. And is it fair to build in, like maybe 10% odd kind of inflation in the fixed cost.

Prakash Bhogale : Yes.

A. Balasubramanian: And broadly just to give you a sense of this employee expense. Generally, we have the fixed cost-plus variable cost. And variable cost is largely linked to the performance of each of the functions as well as the company's overall functions, overall achievement. And therefore, these provisions will keep changing. And I think wherever, in fact last quarter was better than the previous quarter. Therefore, as a result of that we have to make a little higher provision.

Otherwise sometimes it is a good problem to have.

Pradeep Sharma : So basically, just to add actually there would be some quarter-on-quarter fluctuation but on if you see on a year basis it is largely in line.

Swarnabh Mukherjee: Okay sir, understood. Very helpful. A couple of bookkeeping questions. If you could provide the SIP AUM number and y

ields with the different assets that would be very helpful. Thank you.

Prakash Bhogale : SIP AUM is Rs. 75,600 crores.

Swarnabh Mukherjee: Okay sir. And if you could give the yields by the different asset classes.

Prakash Bhogale : So, equity is in the range of around 68 -69, Debt is in the range of around 24 -25 and liquid is in the range of around 12 to 13 basis point.

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Swarnabh Mukherjee: Okay sir, this is very helpful. Thank you so much sir and all the best.

Moderator: Thank you. We have our next question from the line of Prayesh Jain from Motilal Oswal Financial Services. Please go ahead.

Prayesh Jain: Hi, good afternoon, everyone. Just a few questions. Firstly, if I look at your yield this quarter sequentially, we basically divide the revenue by your MF AUM that's come off in this quarter.

That is primarily because of the share of equity going down or what would you attribute that to?

That is first. Secondly you mentioned in your opening remarks that the flow momentum has been strong given the fund performance has improved. Could you just help us understand what has been or directionally what your flow of market share into market share in the last few months has been. Thirdly, in our earlier interactions on the Analyst Meet I think you mentioned about an agency to evaluate the funds and where we are in that process right now. Yes, those would be my questions. Thanks.

A. Balasubramanian: Yes, I think with respect to the revenue drop was on account of equity mix. The equity mix has dropped by about 1.5% compared to the previous quarter. As a result of that equity mix getting reduced the revenue has dropped. Therefore, the number what you are saying is derived from that. As far as the final performance impact, across all over the main categories, right from Frontline Equity, Flexicap Fund, Balanced Advantage Fund, Multi Cap Fund and some of these thematic funds, we are seeing improvement coming in and in fact our sales on these funds in fact seeing it today only generally how the numbers are even coming in month of April, these numbers are now getting positive. Normally the way we have been addressing in the last one, one and half years, our rate of fall has to come down to the level that we have witnessed in the last quarter. The rate of market share lost has been coming down quarter-on-quarters on a basis. Second, performing funds should also come as part of the recommendation list that we are now seeing some of our funds which are performing well now are coming as part of the recommendation list in some of these organized channels. In fact, the sales team is also driving five focused product and all five focused products are in Q1-Q2 that's being not only being seen, people are also talking about it in terms of our fund performance coming back is something making our partners to contribute more for the AUM success in the current financial year. That is something we are already seeing it. In the last quarter we have seen some kind of flow coming into those funds and the last question is around which is your third question.

Prayesh Jain: Sir I was asking about the consultant that you had hired to improve to evaluate the funds and...

A. Balasubramanian: I got it. No, we engaged Mercer about 2 years back when Harish Krishnan joined as head of equity. They have already initiated discussion with Mercer to help us to understand the current processes and what are things that need to be improved. In fact, those inputs have been taken by the new head of equity and implemented some of the process changes that they implemented in the fund house in terms of tracking of our ownership, stock selection and ownership of stocks and sizing of those opportunities in the portfolio reflection and also monitoring the performance very closely where we have also pu

t a target that we should not have any funds which is a Q4.

We should try and keep all the funds in Q1-Q2 performance. And not necessarily everything has

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to be in Q1. In fact, 65% of our funds are delivered Q1 -Q2 performance for March ending on a one, one and half years basis. So, I think this has come largely on the back to the Mercer engagement that we did which has now been built in as part of the overall process. Of course, in addition to that whatever traction came, the new team which is, not new team except Harish and additional one more gentleman we recruited for a small and mid cap along with the other portfolio managers. The restructuring of team from the fund management responsibility point of view allocating to individuals the portfolio responsibilities and each one of them, of course have taken it with a lot of enthusiasm and to deliver better performance, better engagement. So that is something which is reflecting, and this is something which is learned from Mercer suggestion, as well as the team themselves have derived in addition to that recommendation, what they need to do and implement which is being driven by our head of equity and now it is reflecting on both the discipline that they are supposed to maintain in the investment processes as well as focusing on delivering consistent investment performance.

Prayesh Jain: Just a couple of more questions. One is where does the ESIC and PMS sit in? Is it in parent or consol, standalone or consol. And secondly, the other income has seen a significant improvement despite the weak market equity just because of the debt part or what else is there that is helping that the income improve d?

Prakash Bhogale : Yes Prayesh, the PMS income is mainly into the standalone also and in console also, because it is not a separate subsidiary for us. And as you rightly pointed out, the increase in other income is largely because of the debt funds. Because of some rate cuts we had a benefit from that and because of that only there is an increase in the other income.

Prayesh Jain: So basically, just clarifying, PMS and ESIC both sit in standalone and in terms of consolidation also appears in consolidation, right?

Prakash Bhogale : Yes.

Prayesh Jain: Got that. Thank you so much and all the best.

Prakash Bhogale : Offshore is a part of our subsidiary which is not there in this standalone.

Prayesh Jain: No. So, could you clarify that in the sense the part of income is booked in standalone part is booked in a subsidiary, how would that happen?

Prakash Bhogale : The difference between the standalone and the consolidated is the offshore part.

Prayesh Jain: It is only the offshore part?

Prakash Bhogale : Yes.

A. Balasubramanian: Domestic is included. The PMS is included in that because it is a division, it is not a separate company.

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Prayesh Jain: Okay. Thank s.

Prakash Bhogale : Thanks, Prayesh.

Moderator: Thank you. We have our next question from the Lalit Deo line from Equirus Securities. Please go ahead.

Lalit Deo: Hi sir. I have two questions. Firstly, as in the previous quarter we have highlighted that in some of the focus ed funds we are seeing that the market share in net flows was in the range of about 3% to 4%. So just wanted to understand how those net sales have fared in those particular schemes in the last 3 to 4 months. That was my first question. And the second question is with respect to the alternative side. So, like last quarter we had revenue of about Rs. 34 crores from the alternate assets. So just wanted to understand how much revenue comes from this alternate asset in 4Q FY25?

A. Balasubramanian: I will just ask the second question to answer by Prakash.

Prakash Bhogale : So, Lalit, the revenue on the

alternate side is around Rs. 32 to 33 crores, same as last quarter which is mainly because of the volatility in the equity market.

A. Balasubramanian: As far as your first question concerned, Lalit, the focus ed fund, we are seeing an improved gross sales number, both in terms of daily transaction volume coming in as well as an SIP coming in.

We are seeing an uptick in the gross sales volume. That is where we measure as one of the parameters for measuring the productivity of individuals. Even the team communications focus as well as engagement with the channel partners all around the focus funds and also from fund management point of view also they have also very clear those five focus ed funds is agreed between the fund management team and sales team, also is quite conscious of these funds should grow in size and these are the funds it deserves to be bigger than what we are today. So, which is basically Frontline equity, Flexi cap fund, a Multi Cap Fund, Balance Advantage Fund and Gennext fund among the thematic category. So that is something we are seeing, gross volume improving and net sales also in these funds are improving. But I am sure continuous engagement can only help in improving, both gross sales numbers and net sales numbers.

Lalit Deo: Last question, what will the ESOP cost for this quarter be and how should we look at FY26 and

FY27?

Prakash Bhogale : So, ESOP cost for this quarter is around Rs. 1.3 crores and next year there will hardly be any ESOP cost because most of the cost has been absorbed now.

Lalit Deo: Thank you, sir .

Moderator : Thank you. We have our next question from the line of Mohit Mangal from Centrum Broking Limited. Please go ahead.

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Mohit Mangal: Thanks for the opportunity. My first question is that during Quarter 3 you said that you know the debt funds actually had an increase in TER so just wanted to know in Q4 also did we increase TER enough in any of our debt schemes or even equity schemes? I mean if you can just throw any color on that.

Prakash Bhogale : No more or less whatever increase we have seen in Q3 now it is the same for Q4.

Mohit Mangal: Okay, so it is basically static, right? Nothing has changed.

Prakash Bhogale : Yes.

Mohit Mangal: Okay. Next is basically in terms of the sir saying about the Equity Innovation Fund. So, if you can just tell me something more about it as to in case of any size or something , that would be helpful .

A. Balasubramanian: That comes under PMS, Mohit basically, we have about 6-7 products in that , as a flagship fund. One focusing on large cap , as well as , already we have an innovation fund. We are relaunching one of the Innovation Fund , both under the AIF as well as in the PMS . That is something we will be rolling it out this year , and PMS, we are not focusing on new fund launches all of last year. Our focus was largely on building the size in exiting funds. And then we felt that given the good performance that we have delivered and also given the good credibility that built the PM S as compared to the competition, there is a merit for us to launch own fund which is basically innovation fund , companies that invest a lot of money , like R&D, make a lot of investment they make in innovations for future sustainability purposes . Those would be largely the focus areas. That is something we are planning to launch this year.

Mohit Mangal: All right, that is helpful. Just a last question in terms of the branch expansion if I may, if I look at '26 and '27 any particular plans to expand the branches ?

A. Balasubramanian: See the broader vision that we have Mohit is, create a presence in about 543 MP locations. That is a broader vision. Today we have a presence in about 300 locations out of which 86 roughly the emerging market location and roughly about 180 our

own branches , roughly about 50 or 60

are the branches shared with Aditya Birla Capital branches . The idea is actually to keep increasing the emerging market . As the emerging market the 85 locations as we start growing . Currently we have about 5% -5.5% market share, sorry around 6% market share that we have in those markets . As we keep increasing the size we normally convert them into a branch and from there we will again look for new markets. We identified roughly about 30 markets , emerging market already identified this year being our 30th year of operations and those 30 markets will be present in the emerging market and existing market we also set a target for each of our location in the current rolling out of exercise for the coming financial year in terms of expectation from the team , each branch location , we are keeping a target in terms of improving the market share or improving the ranking in each of the location. That is something we monitor internally. Just ensure these markets start contributing. Our historical market share in the B30 market generally has already been very good and even today our B30 contribution is very good. But given the

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potential , given the brand recall that we have in this market , we have identified 30 locations which we will expand this year. But this will be a one-man location .

Mohit Mangal: Okay, understood. That is helpful. Thank you and wish you all the best.

Moderator: Thank you. We have our next question from the line of Madhukar Ladha from Nu vama Wealth Management. Please go ahead.

Madhukar Ladha: Hi, good evening. Thank you for taking my question . First just on the yields part , there seems to be a Q -o-Q sort of pretty sizable decline. I just wanted to get a sense , have our equity yields remained stable and could you also give us some sense of what is the yield on the alternate and offshore equity and the alternate and other offshore asset classes are . For those two asset classes what is the rough yield that we make of that? Second, in this alternative and other offshore segment there is a pretty good jump in AUM this quarter. So, I am not sure maybe I missed this. But if you could help me understand what is driving that growth and finally regarding staff cost, we are seeing like sort of a 10% growth , sorry about a 13% growth Q-o-Q basis. I wanted to get a sense as to, how should we look at it going into next year and for the full year I believe staff

cost is at about Rs. 365 crores ? So even if I were to look at it on a full year basis, maybe you could help us understand what the fixed cost and variable pay is like in this and then what sort of growth should we assume in fixed. Yes, those would be my questions. Thanks.

A. Balasubramanian: So, on the yield question I will ask Prakash to answer.

Prakash Bhogale : So, Madhukar, if you see quarter-on-quarter there is a marginal decline in the yield which is mainly because of the equity mix has gone down. So, from around 47% and we are around 45 %-46%. That is the main reason for the yields going down because equity mix has changed.

A. Balasubramanian: But otherwise, contribution remains the same.

Prakash Bhogale : Contribution is more or less same, contribution is same. You spoke about alternate assets. On the PMS and AIF side we earn around 1% plus. On the offshore side from GIFT City the yields are in the same line, which is 1% plus and on the overall offshore business, range of around 30 to 40 basis points. Coming to your staff cost question. Currently whatever hike which you have seen in the current quarter is largely as we have explained previously, it is because of the year-end bonus provisions and some increase in the staff welfare cost.

A. Balasubramanian: Plus, also just to add to that, Madhukar is especially this year we had also built our team which

was budgeted at the beginning of the year in terms of beefing up our direct sales team. Now we have almost about 80 people are working in the direct sales team. And that something is also increased the headcount when it comes to the question of direct, which is again investing in business building in addition to what Prakash mentioned about it. But in terms of our alternate assets offshore we won one mandate. Of course, it was in the last quarter in fact one of the Canadian Pension Fund we won mandate roughly about \$52 million. And there we are getting some decent contribution, and that amount will likely go to higher number as and when they feel

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more comfortable putting money in emerging market, especially in India. That's something we are working. And second is this quarter we also added the ESIC mandate which we have won about three quarters back. And finally, the money started coming in the last quarter. Therefore, the number when you look at it shows a 268% increase. We could have shown this separately in the advisory but otherwise it has come under the PMS manage itself. Therefore, you have to add it to the PMS itself. But otherwise, the PMS and minus it, if you take, PMS has remained static whereas the ESIC mandate has added to the overall AUM growth.

Madhukar Ladha: Understood. And this you mentioned that the yield for the PMS is about 1%. And that is the gross yield or is that the net yield which is getting accounted for?

A. Balasubramanian: That's net yield.

Madhukar Ladha : Net yield on the revenue.

A. Balasubramanian: Yes.

Madhukar Ladha: Okay. Understood. Got it. Sir. Thank you. All the best.

A. Balasubramanian: Thank you.

Moderator: Thank you. We have the next question from the line of Abhijit Sakhare from Kotak Securities. Please go ahead.

Abhijit Sakhare: Good afternoon, everyone. My first question was if you could share what would be the mutual fund revenues for financial year FY25 and a comparable number for last year as well?

Prakash Bhogale : For FY24, it is in the range of around Rs. 1,300 Cr and currently it's in the range of around Rs. 1,600 Cr.

Abhijit Sakhare: Okay. And again, and on the yield front if it's possible to give any indication on the what's the number on the fresh flow versus the older book?

Prakash Bhogale : We don't give the yield on the fresh versus the old book. But on a consolidated basis on equity we earn around 68 to 69 basis points.

A. Balasubramanian: We keep the benchmark, Abhijit. Even normally new assets come little higher cost initially and then gets over a period of 2 to 3 years it's adjusted. So, we normally keep a benchmark. I think the ultimate contribution from equity should be in the range of 69-70 basis point. That's something we keep as a benchmark and accordingly price it. We probably may give intermittent push to improve the overall sales numbers, but broad principle on a collective basis, that's what we will target.

Abhijit Sakhare: Got it, sir. And then the last one you mentioned about five focused funds. So, these are Frontline, Balanced, Multi Cap, Gen Next and there's one more, right?

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A. Balasubramanian: Which is a Balance Advantage Fund, Multi Asset and Balance Advantage Fund, yes.

Abhijit Sakhare: Okay, got it. And sir, fair to assume that all of these funds are now in a positive net flow zone?

A. Balasubramanian: Yes, See the way, I see is I must also admit that all of last year we did see some kind of

redemptions coming in some of the funds, very few funds are getting inflows on overall basis. Gross volume is used to always be good, but in terms of flows, that was getting bit restricted. But that is now, both gross flow and net sales, now improving on the

ese funds backed by

performance, communications, narrative, and high level of engagement. And in fact, I must mention that last one year 80% of the funds have beaten the benchmark. All these things are now getting recognized, noticed, and in fact some of the segment in which we have a very strong relationship is also coming as a part of the recommendation list as well. And therefore, this engagement would only help. Second, we have kept the five focused products, but these are the products where anyway 70% of flows for the industry also comes. And so that's why we kept these five products as a focus ed product in addition to other thematic products we already identified, those will be in addition to that.

Abhijit Sakhare: Got it. This is super helpful, sir. Thank you.

A. Balasubramanian: Thank you. We have our next question from the line of Dipanjan Ghosh from Citigroup. Please go ahead.

Dipanjan Ghosh: Good evening, sir. Just a few questions from my side. First, I will start with the data keeping question. If you can give your SIP flows for the quarter and your employee count as of March 31st. Now, coming to other questions, while you have mentioned incrementally sales turning positive or net sales turning positive in few of the equity fund categories. Just trying to understand direction for fourth quarter direction, were you in the green or red in terms of overall flows and in terms of flow market share when you look at your SIP market share for the month of March, it's little bit down compared to December marginally. So, when you say that directionally your reduction in market share losses has narrowed down. Is that a fair assumption that on the lump sum side you are seeing better performance be it on gross sales or lower redemption. And the last question is on the cost trend. So, you mentioned that you will be expanding the direct sales team. You have ambitions to further scale up the alternates or the non-MF business out there. So, let's say for the next 1 or 2 years how should one think of the overall cost trajectory?

A. Balasubramanian: On the first question, SIP book and

Prakash Bhogale: Dipanjan, the SIP collection for the quarter is around Rs. 4,000 crores. Employee count as of March '25 is 1,628.

A. Balasubramanian: With respect to the SIP book concern ed, of course in the quarter was as I mentioned earlier, there is a general dip in the registration for the industry and for us also there was a dip and as I mentioned STPs some are getting cancelled this quarter. The cancel dates were a little higher
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than the previous quarter but having said that anyway we have been having a big push with respect to SIPs. The idea is actually to continue to keep the high level of focus so one or two quarters here and there can go here and there. I don't think I should get worried given the fact that focus on building SIP, remains during the volatile period. That's where we are pushing it. For the longer-term outlook in fact this year itself we have kept a target of Rs. 1,500 crores SIP for the full year but we did about Rs. 1,320 crores. Therefore, we keep a little bit of higher aspiration terms building the number and with the performance improvement coming in, I would also expect online platform also start contributing their SIP success. So that's something that will remain as big area focus. And with respect to your last questions, direct team. The direct team is right now we have about 80 people I think ideas actually have about 100 people in direct and in fact what we are also doing is the sales team in general and the retail sales team as well institutional sales team, they do have a main mutual fund target as the main focus area for them and alternate is one of the additional assets they sell. In fact, we have identified for family offices, pers

on to come on board and we also have a separate team of ICs for building our alternate business. We are also increasing the KR A deliverables for the senior RMs across different parts of the market. We are dividing the sales force into a sales team into three parts. Somebody who is like a wealth manager can sell all products. Somebody who is not a wealth manager but can sell only the mutual fund product. Therefore, accordingly we were dividing the deliverables for each of the individuals, each of the team and market, and basis which will build a lternate assets. In alternate assets my own belief is that it could become one of the big areas focused, for two reasons. One is we have launched two products in addition to PMS. PMS is directly linked to the equity whereas fixed income credit-oriented funds is something with the yields coming down, we believe credit driven fund could be one of the credits what we call the performing credit what you call it. That's something we have set aside some targets, and we have been running around the team has been r unning around family offices, getting size including offshore investors. Second is credit related real estate fund also, so far, the performance has been very

good and now that is also being recognized investors are also now willing to accept it. Therefore, the team that we have built increasing the KRA weightage for individuals and renewed focus in terms of high level engagement on the basis of targeted engagement with the customers basis their wallet share. I mean these are the activities that should help in terms of improving the alternate business for over the next 2 to 3 years. And last but not the least is offshore side as in the last call also I mentioned, we would be taking the Sun Life help to have somebody on Sun Life board coming very soon, it has come who could help us open the door of the overseas market to help us reaching out to global pension funds for winning some mandates that also is there on the card. And we will be able to give you more details in the second quarter if not before.

Dipanjana Ghosh: So, my question was more, does that add up to your cost pressure be it on sales expansion or scaling up alternate business.

A. Balasubramanian: No. It's optimizing the existing team for delivering higher numbers.

Dipanjana Ghosh: And one of the questions which had asked was, net flows for the quarter, has it turned into the positive? I mean is it in the positive category or

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A. Balasubramanian: It was positive for the last quarter. In fact, last quarter we had a net sales positive both on equity arbitrage fund, debt of course was the whole quarter it was there except the last few days there was an outflow, again it came back in the month of April.

Dipanjana Ghosh: Got it. Thank you, Sir and all the best.

Moderator: Thank you. Ladies and gentlemen, that would be the last question for today and I now hand the conference over to the management for closing comments.

A. Balasubramanian: Thank you everyone for joining and with this we conclude our Q4 FY25 earnings call. Do feel free to reach out to our IR head, Mr. Prakash Bhogale for any queries. Thank you.

Moderator: Thank you. On behalf of In Cred Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

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Call: Jul 2025

Ref. No.: ABSLAMCL/PS/ 52/2025-26 July 30 , 202 5

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor,
Dalal Street Mumbai - 400 001 Plot No. C/1, G Block,
Scrip Code: 543374 Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051
Symbol: ABSLAMC

Dear Sir/ Ma'am,

Sub: Transcript of the Earnings Conference Call for the quarter ended June 30 , 202 5

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call on Unaudited Financial Results for the quarter ended June 30 , 202 5, held on Thurs day, July 24 , 202 5.

The above information is also available on the website of Company at <https://mutualfund.adityabirlacapital.com/shareholders/financials> .

We request you to kindly take the aforesaid information on record .

Thanking you.

Yours sincerely ,

For Aditya Birla Sun Life AMC Limited

Prateek Savla
Company Secretary and Compliance Officer
ACS 29500

Encl: as above

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Q1 FY26 Earnings Conference Call "
Thursday , 24th July 2025

MANAGEMENT TEAMS :

- MR. A BALASUBRAMANIAN – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICE R – ADITYA BIRLA SUN LIFE AMC LIMITED
- MR. PRADEEP SHARMA – CHIEF FINANCIAL OFFICER –

ADITYA BIRLA SUN LIFE AMC LIMITED

• MR. PRAKASH BHOGALE – HEAD, INVESTOR RELATIONS –
ADITYA BIRLA SUN LIFE AMC LIMITED

Aditya Birla Sun Life AMC Limited

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Moderator: Ladies and gentlemen, good day, and welcome to Aditya Birla Sun Life AMC Limited Q1 and FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Meghna Luthra from InCred Equities. Thank you, and over to you, ma'am.

Meghna Luthra: Thank you, Hamshad. Good evening, everyone. On behalf of InCred Equities, I welcome all to Aditya Birla Sun Life AMC's First Quarter FY26 Earnings Conference Call. We have along with us Mr. A. Balasubramanian, MD and CEO; Mr. Pradeep Sharma, CFO; and Mr. Prakash Bhogale, Head of Investor Relations. We are thankful to the management for allowing us this opportunity.

I would now like to hand it over to Mr. Bala sir for his opening remarks. Over to you, sir.

A. Balasubramanian: Yes. Thanks, Meghna. Thank you for the introduction. And good evening, everyone, and thank you for joining today's investor call. I hope you have had the opportunity to review our earnings presentation, which is available on both the stock exchange and as well on our website. Let me quickly begin with outlook on economy and an update on the mutual fund industry. The global economy is undergoing major changes in policy framework, which could have significant implication for global growth, trade and capital movement.

Rising trade tensions and heightened policy uncertainty is expected to weigh on global economic growth and performance. However, the situation is still developing and despite notable policy disruptions, particularly around tariffs, global growth has experienced only a mild impact so far.

As far as India is concerned, the macroeconomic outlook remains strong. The economy expanded by about 6.5% in FY25, aligning with the long -term growth trajectory. And the Reserve Bank of India has maintained in FY26 a growth forecast of 6.5%. And this is a commendable achievement given the global volatility . And current economic indicators suggest a steady momentum and favourable monsoon conditions are also expected to support agriculture production, rural consumption and also keep the inflation in check.

Now according to both the IMF and World Bank, India is projected to be the fastest -growing major economy in 2025 . And key drivers of growth include increased government spending, robust construction activities and revival of rural demand.

In addition to strong growth, India's macroeconomic fundamentals are stable. Headline inflation has dropped significantly, averaging 2.7% in Q1 FY26 and is expected to remain below 3.5% for the full fiscal year, under RBI 4% target. The country's fiscal position is sound with the government on track to meet its FY26 fiscal goals. Aditya Birla Sun Life

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India's external sector is also stable with large current account reading showing a surplus and foreign exchange reserves nearing a record \$700 billion and the Indian rupee remaining one of the most stable currencies globally, thereby enhancing India's appeal to international investors. With inflation under control, the RBI has shifted its focus towards supporting growth and has adopted a more accommodative monetary stance. And given the favourable inflation outlook and current yield levels offer attractive real returns, and easing of monetary policy expected to positively influence the market performance as we move forward.

Despite some global trade uncertainties, we remain optimistic about Indian market

, given the

stable domestic growth outlook, healthy corporate profitability and strong macroeconomic fundamentals and supportive pro- growth policies.

Moving to the Indian mutual fund industry. The quarterly average AUM of the industry as on June 30, 2025, stood at INR 72.13 lakh crores compared to INR 58.96 lakh crores as of June 30, 2024, which is a growth of about 22% on a year -on-year basis. During the quarter ended 30th June 2025, the industry witnessed strong net equity sales of INR 134,000 crores.

The total NFO collection during this quarter were about INR 6,500 crores, primarily coming

from equity funds, mainly driven by sector al, thematic funds , multi -cap funds, multi -asset funds, which are launched by some of the key competitors in the industry.

The industry SIP contribution for the June 2025 stood at INR 27,269 crores, growing by 5% on a quarter -on-quarter basis. The total number of mutual fund folios stood at 2 4.5 crores as of June 2025. The individual average AUM for June 2025 grew by about 21% year -on-year from INR 37.47 lakh crores to INR 45.38 lakh crores, contribute around 61% of the total industry AUM size and B30 cities with an average AUM of INR 13.8 lakh crores for June 2025 accounted for about 18% of the total industry AUM.

Coming to Aditya Birla Sun Life AMC performance , we have witnessed a healthy business momentum in Q1 FY26 . In fact, the net sales for the Q1 FY26 delivered strong growth, exceeding the net sales of the entire FY25 of last year, reflecting a strong overall positive business momentum driven by improved fund performance across all categories and various ongoing initiatives that we have been engaging w ith the market to also maintain our overall market share over the last 2 quarters.

In fact, this is in line with what we have been highlighting for the last 2, 3 quarters, the steps that we have been taking from building the business to the next level and how it's paying out. I'm also pleased to share that during the quarter, we achieved a significant milestone of crossing INR 4 lakh crores in mutual fund AUM, demonstrating our unwavering commitment to the growth that we have laid out in the past.

Our overall average AUM, including alternate assets, stood at INR 4.43 lakh crores growing by 21% year -on-year basis. Our mutual fund quarterly average AUM reached INR 4.03 lakh crores, growing by 14% year -on-year. The quarterly equity average AUM stood at INR 1.8 lakh crores, growing by 11% year -on-year. Aditya Birla Sun Life

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Our SIP contribution in June 2025 stood at INR 1,140 crores with 38. 6 lakh crores account -- 38 lakh accounts. Our SIP AUM contributes around 45% of our total AUM, represent stickiness of the assets. In fact, I must also mention the SIPs we have moved to the contribution model, that's something which I do want to highlight that.

The total number of investors folio for June 2025 stood at 1 .06 core, witnessing 14% year -on-year growth. On the equity investment front, we are seeing consistent improvement in the investment performance, strong returns delivered across all multiple schemes, reflecting enhanced performance driven by the process that we ha ve implemented across the equity schemes and fixed income schemes.

On the fixed income side, the performance remains robust across all categories. We're also expanding our product offering with innovative launches to better serve the diverse needs of our growing investor base with one or two funds that are being planned i n the overall pipeline of product.

After hosting an exclusive event called Vantage Point in last quarter of last year , which brought together the top MFDs across the country, we are now also hosting regional growth summit for deeper engagement and mind share with our distribution partners, empowerin

g them to

amplify our market reach and strengthen our positioning for sus tained growth ahead. In fact, we have covered all the key markets which contribute about 80% of the AUM in the last 3 months by way of the engagement that we have rolled out .

On the alternate business front, we are also continuously enhancing our PMS and AIF offering across both the equity and fixed income to better serve the evolving needs of HNIs and family offices. During our growth summit event that we have been doing, the interest evinced towards our AIF product offering have been very encouraging thus improving the scope for scaling up this business through MFD's contribution also in this business growth opportunity.

Following the receipt of the ESIC mandate which we won last year, we commen ced managing the debt portfolio. And the AUM stood now about INR 24,260 crores for the quarter ended June 30, 2025, and consequently, our PMS / AIF assets witnessed impressive 8x growth, including ESIC mandate, rising from INR 3,368 crores in Q1 FY25 to about INR 28,657 crore s in Q1 FY26.

As we present, we have completed the first close of ABSL Structured Opportunities Credit Fund Series 2 (fixed income - credit fund) and We are also preparing to launch the ABSL India Equity Innovation Fund, positioning us to build a robust and comprehensive product portfolio that effectively addresses the evolving investment needs of our clientele while accelerating growth momentum across our PMS and AIF business.

Our offshore assets stood at about INR10,588 crores for Q1 FY26 . Under the GIFT City platform, we have a fundraising underway for the India ESG Engagement Fund, ABSL Flexi

Cap Fund for inward remittance and ABSL Global Blue -Chip Fund for the outward remittance. Aditya Birla Sun Life AMC Ltd. ADITVA BIRLA
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While on the one side, we continue to build this piece through our UCITS and GIFT City platform, we have also witnessed fee withdrawal from a few large customers in view of the portfolio restructuring, which they have undertaken taking into account the emerging global political uncertainty as well as other challenges on the basis of their own portfolio allocations. We have seen some reductions and withdrawals on the overseas portfolio. However, it does not have much impact on overall AUM as well as on the overall contribution to profitability. On the passive front, our focus remains on building our AUM by launching innovative products in ETF's, index funds and fund of funds while driving customer acquisition through our digital platform and distributors. As of June 2025, our total passive assets reached approximately INR 36,400 crores, growing 22% year -on-year with our customer base reaching 12.3 lakh folios. Our current product suite comprises 52 distinct offerings designed to meet varied investment needs, so that various fund of funds that can be launched in the future can use any of the product that is available as part of our bouquet in the passive platform.

Moving on to the financials. Q1 FY26 revenue from operations stood at INR 447 crores, up 16% year -on-year. Q1 FY26 operating profit is at INR 254 crores, up 21% year -on-year and Q1 FY26 profit before tax is at INR 372 crores, up 22% year -on-year and profit after tax for Q1 FY26 is at INR 277 crores, up 18% year -on-year.

With this, I would like to conclude and open the floor for any questions. I'll be joined by Pradeep Sharma, who is the CFO; as well as Prakash, who is our IR head. Thank you.

Moderator: Thank you very much. The first question is from the line of Yash from Citigroup. Please go ahead.

Yash: Sir, Thank you for taking the question, just a few data -keeping questions from my side. One is if you could share the operational revenue from the non -mutual fund business and also the ESOP expense for the quarter.

Prakash:

A. Balasubramanian: So, Yash, Prakash is answering.

Prakash Bhogale: So, Yash, the other than MF, non -operational income from the alternate asset is around INR 32 crores for this quarter, and the ESOP expense is around INR 1.6 crores.

Yash: Sorry, 1 point?

Prakash Bhogale: INR 1.6 crores.

Yash: INR 1.6 crores. Okay. And sir, the SIP AUM share, if you could please repeat? I know you mentioned it in the opening remarks, but I think I missed it.

Prakash Bhogale: SIP AUM is around Rs 84,000 Crores .

Yash: And lastly, just on the market share, if you could share the divergence between the flow and the stock market share for net equity and equity -oriented flows? Aditya Birla Sun Life

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A. Balasubramanian: On the overall market share, we remain more or less flat compared to the last quarter. I think, as you all know, for last year, quarter -on-quarter the fall was continuing. At the same time, the fall was getting narrowed as we progressed and various steps that we have taken. And in this quarter, more or less the market share remains somewhat flat backed by the focused equity funds that you have identified where we need to get our rightful market share.

That's something we are working. And as a result of that, the first quarter net sales though we don't disclose the number per se. But otherwise, when I look at the number, first quarter net sales number is equivalent to our last year net sales numbers, which is an increasing trend that we are seeing and hopefully we are able to maintain this on the basis of strategy that I just explained.

Yash: Okay. Thank you Sir, that's last question from our side

Moderator: The next question is from the line of Lalit Deo from Equirus Securities.

Lalit Deo: Hi Sir, good evening. Firstly, on the yield side, could you give us the segment -wise yields across equity, debt, liquid and passive side? Second question was on the employee expenses. So, like this quarter, we have seen some sequential decline. So, could you tell us the reasons why there has been a decline in the employee's expenses?

And how should one look at it for the whole year? And lastly, just a clarification, when we say that the overall net sales in this quarter have been higher than the full year -- has higher than

FY25. So, this is only for the equity segment, or this is for all the segments?

A. Balasubramanian: Last question, of course equity, what I mentioned. And other 2 questions in terms of yield, I'll ask Prakash to answer.

Prakash Bhogale: So, Lalit, the yield on the equity is around 67 - 68 basis points. It is in the range of around 24 - 25. And liquid, it is in the range of around 13 - 14 basis points.

A. Balasubramanian : And employees then.

Prakash Bhogale: And the employee cost is mainly on account of the variable pay. It was a little bit on the higher side in the last quarter.

Lalit Deo: So how should -- when we look at it like for the whole year, sir?

Pradeep Sharma : No. So, Lalit, actually, so this -- on a yearly basis, we see this variable pay basis of business performance and all. So what numbers, normally, if you see the Q4 number, you will have to annualize it for the full year. So that will be the normal trend.

A. Balasubramanian: I think on a broad basis, just to add to what Pradeep has mentioned, the employee cost that is at what we have earlier guided, one, building our team as far as the HNI team concerns. Now we already have about 95 team members. And anyway, right now, we have taken a call, we'll go up to 100 team members. We'll restrict to that and see the outcome of this broader business outcome point of view. Aditya Birla Sun Life

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Second, the alternate s

ide, we have been having in mind that to have somebody to build as a business in addition to the existing team of people who could be the driver of this business for the larger growth. That's something we have been seeing. Of course, this headcount would come partially a little bit in our role, a little bit come in the -- mostly will come in the Sun Life role. That is, we are planning. So, headcount will increase, but not actually a significant increase in the cost as a result of that .

And then as and when the GIFT City this year, once we convert that into a subsidiary company for which we would take some steps in the current financial year. That may warrant some bit of marginal capital investment, which is not very significant. But however, may have to have the right set of people at least to carry out the compliance -related work as well as if you have to have somebody to build the business, that point will take Anyway, that will take about 6 months for us to crystallize it.

Moderator: The next question is from the line of Tanmay Choudhary from Mentor Securities.

Tanmay Choudhary: Hi Sir, Thanks for the opportunity . Sir, my first question is on the equity AUM side, like we have seen 7% sequential growth. So I just want to know like was it majorly driven by M to M, or we have seen good traction in the net sales also because as per -- and you also -- can you also comment here on the market share over the net sales.

A. Balasubramanian: Yes, after I explained earlier, Tanmay, on this. One, of course, net sales largely, I mentioned about its net sales with adding to the overall AUM. Market share remained somewhat flat.

That's actually largely on account of, one, of course, net sales are improving on certain segments. There are certain schemes, which, of course, not been favourable from an overall investors' point of view.

So therefore, the market share remained somewhat flat. But overall number, if you have to look at it, given the large size, of course, the industry itself so large, we still have to go further in terms of showing that in the reflection of the overall market share. But other way, the path is towards that.

Tanmay Choudhary: Okay. Got it. Sir, one more question on the liquid flow side incoming , like as I see like around more than 60% of flows or AUM comes from the corporate in T30 cities, right? So how do we see that corporate flows on going ? And are we penetrating more corporates and...

A. Balasubramanian: Sure. So the way we always approach the institutional business as the only institutional business predominantly is a direct to customer business. And we currently handle roughly about 9,000 corporates across the country, covering the large 8 cities. Given the fact that we have an established track record in fixed income space and also given the fact that our engagement at the ground level is extremely good when it comes to question of treasury solutions by the institutional team about 55 people.

And that team now hitting an additional responsibility to expand the market in the next 12 locations, taking the coverage about T20 locations. That's one we already planned. And we Aditya Birla Sun Life

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also planned where the team -- each of the companies about 9,000 companies, we target to take it about 12,000 companies.

And each companies have also got the family offices and promoters driven investment opportunities. We also hold additional responsibility to reach out to the family offices using that relations that they have built in order to sell some of the other product segmentations, including alternate solutions. That's the approach we have taken. That's the way we also aligned the KRA with each of the teams to take full advantage of the presence that we have in the segment.

And this opportunity, which will be

provided to the investors will not only be in the fixed income solutions, we've also seen flows coming in our index funds that we launched last year, which is like old maturity kind of things, where we have seen new traction. We also launched equity taxation debt-oriented funds after a 2-year period. We have aligned all of our funds in order to serve the needs of those customers.

We are educating these customers in the current low interest rate regime, which are the least - the minimum risk that they can take. However, they can get relatively tax advantage kind of return over a period of time, such as balanced advantage fund. Also, we are actually positioning them -- for them to consider investing.

Last but not the least is from a family offices' point of view, we are targeting, AIF an asset class could be the right asset class within the fixed income space with interest rate being very low. But as we go down the credit line, credit rating, the yields are better. And there are people who actually seek those investment opportunities but also something we are doing in the AIF sector that we have seen recently -- of closure of fixed income opportunity AIF fund is largely coming from the participant coming from this kind of family offices.

Tanmay Choudhary: Okay. Fair enough, sir. Sir, just one last question. In the last PPT, the SIP contribution number is a bit different from the latest PPT. So, is that restated? Or like can you just correct me over that.

A. Balasubramanian: Sure. I'll just ask Prakash to highlight on this.

Prakash Bhogale: So, Yash, earlier, we used to report SIP book in our presentation that methodology we have changed to SIP contribution from this quarter onwards, which is in line with what AMFI has also started disclosing on their website and which other players have also started reporting in the presentation. So that is the only difference. Otherwise, from the flow side or on the AUM side contribution, it remains the same.

Moderator: The next question is the line of Abhijeet from Kotak Securities.

Abhijeet: So, the first question is on yields. If I recall correctly, I think equity yields are now down 1 basis point sequentially. despite about 7%, 8% equity AUM growth. So just wanted to double check if there's been any tweaks with respect to commissions or this is just the normal slab movement? Aditya Birla Sun Life

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A. Balasubramanian: Yes, Abhijeet, I'll ask Prakash to answer.

Prakash Bhogale: Abhijeet, this is largely on account of increase in the AUM only. If you see our AUM has increased to around INR 180,000 crores from last year -- last quarter is INR 1,69,000 crores.

So, there is no tweak in the -- on the brokerage structures. It is mainly because of the increase in the AUM.

A. Balasubramanian: Let's say, if you look at the bottom line, the yields more or less remain the same, especially in the operating profit level, if you take, the yields are a little better than the last quarter as well.

Abhijeet: Yes, sir. Sir, secondly, in terms of net flows, I think, again, going back to last quarter, I think we had highlighted that you're seeing some traction in 2, 3 funds like frontline, balanced, multi-cap and maybe a couple of other thematic funds as well. Anything specific that you want to highlight with respect to the flow movement that we are seeing over the last few months as well?

A. Balasubramanian: Sure. So, the way we said the entire team right from investment to the sales team and also with the distribution partner partners, given the fact that we have large funds in our bouquet, but we have to identify 7, 8 products in consultation with the investment team and position that as a product where we need to get flows in terms of -- with respect to the competition. So that's why we have Large Cap

Fund, Flexi-Cap Fund and Multi-Asset Allocation Fund, Balanced

Advantage Fund and GenNext funds.

These are the 5 focused products that we kept. In addition to that, we also kept 2 other products

on the thematic side which is the conglomerate fund and some other long-term solution product that we have is the Bal Bhavishya Fund, Retirement Fund. So, this is way we have positioned the product, and the entire sales team is also encouraged and in order to have the engagement. From fund management point of view, in order to get a higher mind recall, uniform push is also being given from the fund management side also, right, from Mahesh to Harish the entire team, talks only on these 5, 6 products so that we are able to get a higher market share. This is what we are seeing in terms of traction, whether it is the flows, whether it is SIPs, that's why we are seeing actually increased flows.

It will take some time for it to see a significant change in numbers, but at least trend is the positive. In addition to that, despite doing well, Arbitrage fund is one category where the industry was also growing their size. Our growth was a little less. But we also ensure -- we also taken some steps internally as to how we manage these funds very effectively, efficiently so that we can meet the expectation of investors as well as the large allocator of money in the segment, also have been addressed.

So therefore, a holistic growth in those segments of the market where the flow is coming. At the same time, we can get our rightful mind share or market share rather. There's one segment where right now, we are not positioned enough, which is the mid and small cap segment. We thought let us focus on reviving the performance on these funds with respect to the competition. And then when the time comes right, we'll start pushing these funds. Aditya Birla Sun Life

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Abhijeet: Got it, sir. Super helpful. Just one last question on the industry side, sir, this recent consultation paper with regards to scheme classifications and a couple of other additional points regarding one additional scheme apart from the current one. Any broad thoughts that you can share from an industry perspective?

A. Balasubramanian: Sure. So, this was -- of course, it's come as a draft paper at this point of time. In fact, is also discussed in the committee and one of the CIO committees then the operation committee. Some of the draft proposals with respect to the one aligning of the schemes, which already the industry has accepted it. As a frontline equity, which is a 23 years track record that we have, just creating a brand as front line equity as the name. Now that has become history. Now we've made a large cap. So, the uniformity has come across the industry. We used to call a blue chip, now it is no more a blue chip. It's a large cap. That's something we all have got aligned and fully done with that. The second is the fund size has become larger than whether we can launch one more fund, the discussion was there at the AMFI level as well.

In fact, AMFI themselves wrote back to SEBI that then we will completely take away the purpose of classification, and it can probably create more confusion of people than how the portfolio will be constructed, how the expense will be charged and then it goes back to the old system of multiple schemes coming from the same category, this confusion will come. Therefore, there is no -- not even -- I mean, majority of people have agreeing with that. But however, SEBI felt, let us put to the public opinion and by way of draft, the reform it has come. My own assumption is given ultimately why the classification has come, not one in the interest of first the customers to have better clarity in terms of what product he buys and single product from e

ach fund houses.

I can say that we are one of the old fund houses. We used to have 2 liquid funds in the past. And because it is size and various things that we used to do. And today, I can't have 2 liquid funds. And it was done -- it was a conscious decision, which was taken by SEBI. Therefore, why that should get reversed now will remain a question mark.

But having said this, I think SEBI is also looking at various thematic funds that is being launched. You do have an opinion that how many thematic funds we can create unless until you are able to get at least about 60% differentiation between the existing funds, the thematic fund.

This also over a period of time would get curtailed. So therefore, this needs to be seen as to how market in general people react. But at this point of time, members of the industry, majority of them, I would say, 99% of them or 95% of them were especially on the same category were not fully fulfilled, but still another draft report has come, all of us will respond to that.

Abhijeet: Got it, sir. This is super helpful

Moderator: The next question is from the line of Meghna Luthra from InCred Equities. Aditya Birla Sun Life AMC Ltd. ADITVA BIRLA

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Meghna Luthra: Hi Thank you. A couple of questions. One, what is the yield on the ESIC mandate? And two, have we taken any cuts on the distribution commission in recent quarters? So, do we plan to take some like our peers have done? And what is the pipeline on the specialized investment fund look like?

A. Balasubramanian: ESIC ma ndate, anyway, the government mandate, it only use the headline number, no doubt, but it doesn't give us the much profit. But we'll barely -- we'll, of course, we will have some cost we'll incur, which I call it as the investment that we have to make to serve gove rnment of India. So, we are happy to do that. With respect to the SIF, we do have a plan. We already taken approval from our Board to have a separate brand, which I can, of course, share, which is called Apex, internally already named, and we'll come with a press release on this very soon. At the same time, we have already identified a product opportunity that we can create in the SIF space, covering fixed income, covering credit, covering arbitrage plus equity as well as long short. So, while w e have internal capability to manage rest of the -- most of the product innovations.

We don't have internal capability to manage the large -- sorry, what we call long short kind of fund -- arbitrage kind of fund -- we are in the process of finalizing rather looking for people in the process of finalizing it very soon, that I think should come on board . And the second question was on the...

Pradeep Sharma : On distributor commission.

A. Balasubramanian: On the distributor commissions. In fact, we not have taken the call given the fact that one as fund house we have the longer term vision of building scale further which really means as long as I'm able to maintain the current margin and the growth aspiration, then we must also have a balanced approach with respect to the revenue that we can get as well as the distribution commission t hat we can pay to build our si ze.

Therefore, we are taking the -- while we do have a room, I can't say we don't have room. But at the same time, we don't want to take the call at this time given the need of the business to grow the business, the next level of growth and build scale.

Meghna Luthra: Thank you Sir.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

A. Balasubramanian: Thank you, and thank you, everyone, for joining. And with this, we conclude our Q 1 FY26 earnings calls. And thanks for all your support.

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Moderator: Thank you. On behalf of Aditya Birla Sun Life AMC Limited, that concludes this conference. Thank you for joining us, and you now disconnect your lines .

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

----- End ----- Aditya Birla Sun
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Call: Oct 2025

Ref. No.: ABSLAMCL/PS/ 87/2025-26 October 30, 202 5

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor,
Dalal Street Mumbai - 400 001 Plot No. C/1, G Block,
Scrip Code: 543374 Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051
Symbol: ABSLAMC

Dear Sir/ Ma'am,

Sub: Transcript of the Earnings Conference Call for the quarter and half year ended
September 30, 202 5

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call on
Unaudited Financial Results for the quarter and half year ended September 30 , 202 5, held on
Friday , October 24, 202 5.

The above information is also available on the website of Company at
<https://mutualfund.adityabirlacapital.com/shareholders/financials> .

We request you to kindly take the aforesaid information on record .

Thanking you.

Yours sincerely ,

For Aditya Birla Sun Life AMC Limited

Prateek Savla
Company Secretary and Compliance Officer
ACS 29500

Encl: as above

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Q2 & H 1 FY26 Earnings Conference Call "
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MANAGEMENT TEAMS :

• MR. A BALASUBRAMANIAN – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICE R – ADITYA BIRLA SUN LIFE AMC LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Aditya Birla Sun Life Asset Management Company Limited Q2 & H1 FY26 Earnings Conference Call hosted by Rik Capital.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ' * ' then '0' on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Richa Singh from Rik Capital. Thank you , and over to you, ma'am.

Richa Singh: Thank you. Good evening, everyone. I welcome you all to Aditya Birla Sun Life Asset Management Company Limited for their Q2 and H1 FY26 Earnings Conference Call.

Along with us, from the management , we have Mr. A. Balasubramanian – MD and CEO, Mr. Pradeep Sharma – CFO.

We are thankful to the Management for allowing us this opportunity. I would now like to hand over the call to Mr. Balasubramanian for his opening remarks. Thank you , and over to you, sir.

A. Balasubramanian: Thank you, Richa. Let me begin by extending my Diwali greetings and a prosperous New Year to everyone. And good evening to everyone , and thank you for joining us in the call today.

I am sure all of you would have had a chance to review our earnings presentation, which is accessible on both the stock exchanges and on our company website.

Let me begin with a quick commentary on the economic outlook and an update on the mutual fund industry .

The global economy, as you all know, continues to show resilience despite trade tensions and policy uncertainties. And global growth remains stable at around 3%, with the trade expanding significantly in the first half of 2025. However, tariff -related volatility has prompted countries to reassess supply chains and trade alliances.

India, of course, stands at a pivotal moment, transitioning from merely participating in the global growth to becoming a pivotal force in shaping the world's economic future. The economy grew by about 6.5% in FY25, with growth accelerating to 7.8% in Q2 FY26, the highest in five quarters. For FY26, the RBI projects GDP growth at 6.5%, maintaining India's position as one of the fastest -growing major economies globally.

Inflation has moderated significantly, with CPI falling by 1.5% in September 2025, the lowest in the last 99 months. The CPI inflation forecast for FY26 has been revised down to 2.6%, with inflation expected to remain below the RBI 's target for most of the year.

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Key policy initiatives, including GST 2.0 and the RBI's accommodative stance with the repo rate at 6.25% underscore the focus on stability -led growth, while India's fiscal position remains solid and on track to meet the deficit target s. Merchandise exports grew by 6.75% year -on-year in September 2025, while service s exports surged 14% in Q4 FY25, driven by IT and business services, reinforcing India's strengthening global competitiveness and emergence as a service hub.

Indian equity markets are positioned for sustained momentum over the medium term. With recent corrections, valuation of large -cap stocks and the broader markets are now closer to their long -term averages, with earnings growth in the medium term estimated in the range of 12% - 15%. Strong domestic flows continue to support the markets, making up for outflows from international investors, with the domestic mutual fund s' ownership share reaching new highs. India's long -term structural themes, including advanced manufacturing, infrastructure investment, rising discretionary spending, and digitalization , position the economy well for sustained growth and emerging investment opportunities.

Coming to the mutual fund industry update:

The quarterly average AUM of the mutual fund industry as of 30th September 2025 stood at Rs. 77.13 lakh crore s as compared to Rs . 66.21 lakh crore s as of 30th September 2024, growing by 16% year -on-year. The industry SIP flows for September 2025 stood at Rs . 29,361 crore s,

growing by 8% quarter -on-quarter. The total number of mutual fund folios stood at 25.7 crore s as of 30th September 2025. The industry saw a total NFO collection in Q2 FY26 of around Rs. 35,200 crore s, coming from both equity and some debt fund launches , with the equity side primarily driven by sectoral /thematic and multi -allocation funds. Individual average AUM for September 2025 grew by 12% year -on-year, from Rs . 42.11 lakh crore s to Rs . 47.21 lakh crores , contributing around 60.7% of the total AUM. B30 cities, w ith an average AUM of Rs. 14.5 lakh crore s, accounted for 18.6% of the total AUM.

Coming to the ABSLAMC performance highlights:

At ABSLAMC, I am pleased to announce that we have sustained and crossed the remarkable milestone of Rs . 4.25 lakh crore s in average AUM. This achievement is a testament to our team's dedication and commitment to growth. Our overall average assets under management, including alternate assets, stood at Rs . 4.61 lakh crore s, growing by 1 5% on a year-on-year. Our mutual fund quarterly average AUM reached Rs . 4.25 lakh crore s, growing by 11% year -on-year. The quarterly equity average AUM crossed Rs . 2 lakh crore s, including alternate assets.

Our SIP contribution for September 2025 is about Rs . 1,100 crore s, with 39 lakh folios contributing to SIP accounts. Our SIP AUM contributed around 44% of our total equity AUM, reflecting the stickiness of our assets. The total number of investor folios for September 2025 stood at 1.07 crore, witnessing 5% year -on-year growth. Our consistent investment performance and improvement s are driving robust momentum across our Focused funds, along

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with Fixed income and Arbitrage funds, highlighting the diversification and strength of our product suite.

We continued our engagement with our distribution partners by hosting Growth Summits across India during the quarter , to strengthen our market positions and drive sustained growth. And t hese strategic events showcase our investment philosophy and thought leadership , while empowering our distribution partners and expanding our market footprint. In fact, this engagement at ground level has enhanced the flows in our focus ed equity funds that we are promoting as part of the push, compared to the last few quarte rs.

Our Alternate business represents a cornerstone of our growth story. We have built a high -calibre team with deep -domain expertise, underscoring our commitment to building future -ready capabilit ies. The Equity segment of our Alternative s platform has gained significant momentum, complemented by our expanding suite of credit offerings. We continue to refine our PMS and AIF products across Equity and Fixed Income to address the sophisticated requirements of HNIs and family offices.

Our results demonstrate the success of this strategic focus. PMS and AIF assets grew significantly from Rs . 3,852 crores in Q2 FY25 to Rs . 30,250 crores in Q2 FY26, representing an increase of about 8 times . The ESIC mandate accounted for about Rs . 25,800 crores as of September 30, 2025, while our PMS and AIF AUM, excluding ESIC, has achieved a strong 15% year -on-year growth, reflecting solid organic momentum in our core alternat ives business. In fact, we are seeing increased participation coming from MFDs to sell our PMS products.

I am delighted to announce that we have been selected by the EPFO to manage its debt portfolio over the next five years , as disclosed by the Central Board of Trustees during their press conference . We are cu

rrently awaiting the formal confirmation letter from the EPFO office.

And this is a significant milestone that reinforces the trust placed in our capabilities.

We successfully completed the first close of ABSL Structured Opportunities Fund II during the quarter and are preparing to launch ABSL India Equity Innovation Fund. Our real estate business has built significant momentum and gained traction , driven by strong investors' interest and a robust pipeline of opportunities. Our real -estate book has grown by ~23% YoY and we are on track of doubling our book size by the end of this financial year, backed by the strong performance and track record that we have create d of giving back the money to the investors and the experience that we are creating gives us the confidence that real estate business of us will also continue to see a growth momentum.

We are focused on scaling this vertical by deepening our stakeholders' engagement and leveraging strategic partnerships to drive execution excellence. And these collective efforts aim to build a resilient, high -quality alternative platform , positioning us for sustained growth and a well-diversified product portfolio across the alternative s space. With new leadership and dedicated teams now in place, we are well -equipped to elevate our Alternative business, broadening our product suite and deepening investor engagement.

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Our Offshore Average AUM stood at Rs . 4,795 crores for Q2 FY26. During the quarter, we have witnessed withdrawals from a few customers , in view of the portfolio restructuring, more in favour of other Emerging Market economies , compared to India. Under the GIFT City platform, we have a fundraising underway for the India ESG Engagement Fund, ABSL Flexi Cap Fund and ABSL Global Blue -chip Fund, which are created for outward remittance as well as for inward remittance into domestic mutual funds .

On the Passive front, during the quarter, we have launched ABSL BSE 500 Momentum 50 Index Fund and ABSL BSE 500 Quality 50 Index Fund, with the aim of building our passive AUM. As of September 30, 2025, our total Passive Quarterly Average Assets reached Rs. 36,000 crores, growing by 20% year -on-year, and the customer base reached 13.5 lakh folios . Our current product suite comprises 53 distinct offerings designed to meet varied investment needs.

Coming to the financial performance:

Q2 FY26 revenue from operations stood at Rs . 461 crores , up 9% year -on-year. Q2 FY26 operating profit stood at Rs . 270 crores , up 13% year -on-year. Profit Before Tax for Q2 FY26 is at Rs . 316 crores , and Profit After Tax stood at Rs . 241 crores. Our H1 FY26 revenue from operations stood at Rs . 909 crores , up by 12% year -on-year. And H1 FY26 Operating Profit stood at Rs . 525 crores , up by 17% year -on-year. H1 FY26 Profit After Tax stood at Rs . 518 crores , up by 8% year -on-year.

At ABSL AMC, we will remain committed to leading this transformation by building innovative products, robust platforms, and strategic partnerships . Backed by a dynamic team , we continue to drive momentum that democratises wealth creation and empowers investors to achieve their financial goals.

With this, I would like to open the floor for any questions. I will be joined by Pradeep Sharma, who is our CFO, to take some of the questions as we feel appropriate. Thank you.

Moderator: Thank you. We will now begin the question -and-answer session. The first question comes from the line of Dipanjan Ghosh with Citi. Please go ahead.

Dipanjan Ghosh: Good evening, Sir. A few questions from my side. First, if we were to see your SIP flow trajectory, despite the improvement that we are seeing in some of your schemes, the SIP market share has been kind of declining. Just two questions on this front. One is, if you can give colour on your overall flow trajectory, that

will give us some understanding of your redemption and lump sum trends on the equity side of things. And secondly, if I were to dissect this SIP market share decline, let's say, over the last 12 to 18 months across channels, which channel has been the biggest drag out there?

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My next question is on the ESOP expense , if you can quantify the number for the first half.

And with this ESOP 2025 scheme, assuming it gets approved, what can be the ESOP cost rate over the next, let's say, FY2027 -2028?

And the third question is on the other expense that has been controlled quite well. So, is there any one -off out there , or is this the normal run rate that we should think of?

And lastly, a data -keeping question : if you can give the SIP AUM for the quarter .

A. Balasubramanian: Coming to your first question on SIPs, of course we have been seeing while we have been adding new registrations ; that month -on-month our new registrations have been rising. That is one area of focus that we have. Of course, given the fact that SIP growth for the whole industry has been quite very, very strong, and also given the fact that we have always been one of the large players in the SIP book, and overall share look slow, but otherwise we have been maintaining close to about 1,180 crores. And a clear focus has been brought in to drive the SIPs across our channel partners. In fact, one of the targets that we have set for the entire sales team is to increase their focus on SIP numbers by way of increasing registration. We are seeing month -on-month improvement on that.

In fact, the largest contributor to the SIPs is coming from the online platform, then second is MFDs, third is the NDs, and fourth is the banks, and then direct. An online platform largely based on the basis of the funds coming as part of the recommendation. In fact, the one or two quarters before we had reasonably good flows coming from the online platform. And with the improvement of the performance that we are seeing across our equity schemes, our products are also coming as part of the recommendation list of some of our partners. In fact, a few of our banking partners have approved our products , such as Flexi Cap and Frontline Equity, as well as a few of our other products , which are coming as a focus product. That is reflecting today on our net sales improvement coming from products like Frontline Equity, Flexi Cap, GenNext Fund, and Conglomerate Fund. Even in smaller mid -cap too , we are seeing some kind of flows, which I see is a trend reversal compared to the last 2 -3 quarters. Therefore, that focus is there. Even for employees, we have rolled out incentive plans to step up the focus on

SIPs, and therefore, the overall numbers should get better. So, clearly, I am seeing some turnaround on this. And also given the large size that we have built in the past, definitely the SIPs expiries also come along the way. That's something we cannot help. At the same time, we continue to focus on building our book. And the silver lining would come by way of the performance improvement. Now it's reflecting on a two- and three-year basis, which ultimately should help us in getting recognition of this improvement in performance coming in the form of numbers as well. That we are already seeing it in the Focused Equity product.

In fact, where we have seen significant redemptions in the past due to a variety of reasons, we have seen declining redemptions on all those schemes, given the improved performance they are seeing. I think both combinations should go well. On the expenses part, I'll ask Pradeep to answer.

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Pradeep Sharma: So, Dipanjan, just to add, you also asked SIP AUM, which is around Rs. 82,000 crores. Which is around 44% of our total equity AUM. As far as expense

s are concerned, you asked for other

expenses. By and large, this depends on the various engagement activities we undertake in the market. So, a few crores here and there on quarter-to-quarter, volatility would be there. But this is normal, and there is nothing one-off case in this quarter. Employee count is around 1,719 people for the quarter.

Dipanjan Ghosh: Also, the question on ESOP expense for the first half of the year and how it will be for the next two years.

Pradeep Sharma: So, in the current quarter, there is no major ESOP expense because the last ESOP scheme got over last year. Today in the Board Meeting, our Board has approved a new ESOP scheme, which is subject to the shareholders' approval, maybe in the next three to four months. And then once it is approved, we may have the impact, and we will communicate with you.

A. Balasubramanian: Dipanjan, we will come back once it is approved.

Dipanjan Ghosh: Got it. Thank you and all the best.

Moderator: Next question comes from the line of Harshit Toshniwal from Premji Invest. Please go ahead.

Harshit Toshniwal: Thank you Sir. Happy Diwali. I have two questions. One is on the SIP piece itself. So, I got some part of your explanation, but if I look at the SIP just in terms of the market share, then we see a sharp dip versus last quarter. It has moved from 4.1% - 4.2% to 3.6% - 3.7%. Now, it's probably the older, the redemptions might be lower, but do you think that in the newer SIPs getting created, our market share is negligible compared to the 3.5% we have on the overall flow? What can that be done to address that? Because despite the performance has started to improve, but that reflection in the SIP number is not there.

The second one was on the yield, sir. On a like-to-like basis, if I look at the equity yields, then probably I think we would assume that, around at least, back calculations suggest around 2 to 3 basis points yield decline. If you can help us know that, is there anything particular which has changed in the distributor commission or the slabs which has led to that number? So, these two questions.

A. Balasubramanian: As far as the SIP is concerned, we did have some maturities of SIPs which have come in the form of STP form, largely on account of that. Otherwise, SIPs coming from retail continue to show a strength. And again, SIP new registration, something which we keep track of. Wherever incremental market share is coming from SIP registration has also have been on the rise. But sometimes when we get SIPs by way of an STP, which largely come into fixed income, and then they do an equity STP, we have seen that something is getting expired. But this thing, in any way, is quite common. And that's something that doesn't make me worry. At the same time, the renewed focus that we are bringing in terms of driving the numbers on the improved performance on one side, with the product getting approved by the leading channel partners on the banking side. So, all of them should only help in terms of improving it. But overall, gross

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volume market share has been improving. But ultimately, this will lead to improvement in the overall numbers.

In fact, we even have a focus on existing SIP investors and how we can increase the ticket size from the existing SIP investors. By way of drive to the existing SIP investors, increase the number of products for customers from 1.42 to 1.56. That's something we are actually doing, a drive. All such initiatives should only help in improving the numbers.

In fact, even from the industry point of view, while the numbers, I keep tracking it. Again, some of the accounting, which I think comes at different channel partners, even daily SIPs have grown, that also gets counted. And different types of SIPs are being driven by different sets of people, also being counted. As long

g as we are present in those segments, for example,

daily SIP, we are not fully present, given the cost of acquisition of customers on these pies is high, and at the same time, ticket sizes are low. Those are some of the things which we keep evaluating on a time-to-time basis. And then we will, of course, push it as we see merit for pushing our SIP growth.

Harshit Toshniwal: Sir, if I can just ask one thing on this. If I understand correctly, you are saying that on a gross basis, our share is improving, but there are certain redemptions which have been keeping the net share low. If I can also ask, are these redemptions from, say, more than a 5-year holding category, or are these redemptions from any particular channel? I am just trying to see that; do you see a sunset period by which, probably that higher redemption class will lower?

A. Balasubramanian: Largely, it is coming from the digital platform, Harshit. I think on a digital platform where we also had significant volume pick-up, and there are also experts that generally there. But this is a function of every market. We have to switch from one to another, because the digital platform is generally low. Otherwise, MFDs and traditional banking channels are high, but some of the partners with whom we have enjoyed a high market share in the past and they all have signed up for a good number of years, and that's something which we also see as SIPs getting expired; more than cancellation, it gets expired, we have to win them back. So, there is a separate strategy called SIP win-back, through the proactive communications, and also predicting that which are the customers are the potential to redeeming, and this exercise that is being carried out, all should ultimately add to the overall improvement of the numbers.

Harshit Toshniwal: Sir, if I may ask, like I think two Quarters back, we got a significant bump-up in SIP because of the digital platform.

A. Balasubramanian: Yes.

Harshit Toshniwal: Will it be right to say that what we got at, say, half year back, that is only creating redemption, and in that case, if you can also give some colour on the mix which is coming through these online channels, say if I take Groww, Zerodha, Angel, these three-four large direct online channels, how much of our SIP would be incrementally coming from these channels?

A. Balasubramanian: Roughly about 34% of the new SIP subscriptions is coming from digital channels.

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Harshit Toshniwal: This 34 % would be on the volume term ?

A. Balasubramanian: It is on the SIP amount.

Harshit Toshniwal: 34% of the incremental is from these online platforms.

A. Balasubramanian: In the online platform. Sometimes, of course, as I mentioned, these channels are very dynamic.

Within the online platform, there are platforms that are more ERM-based platforms, where we are seeing an improvement in the numbers. I think it is quite mixed. We can't generalize it by saying that online platforms everything is getting everything cancelled or giving volume. Some give volume. Somebody else, of course, increases the market share. This is a moving number, Harshit.

Harshit Toshniwal: Got it. And any online marketing or online promotion of our performance, does that help in retention? Because I am trying to understand that if on the gross basis, we have been continuously improving, and if I look at our performance also, that has picked up a lot in the last 2-3 quarters. But just wanting to see that, probably a place where we can maintain that 4% SIP flow share and grow from there on a net basis, is where I am thinking that, is there a timeline which we should look to? Or it is very difficult to predict that way.

A. Balasubramanian: One thing is that it remains a high-focus area. I think that something is there. And whatever we ought to do on an ongoing basis, either

through engagement, through the communications,

or highlighting our product improvement on performance and making it a part of the recommendation list, so that is a continuous exercise. And wherever, of course, we have to spend money in terms of promotion. For example, we are already rolling out a drive called SIP Sabse Important Plan drive that we drew last quarter. And this quarter, too, we have already planned some more initiatives to drive the SIP across India. And this will remain as an ongoing regular exercise, rather than that we ought to do it once time. From a sales team point of view, of course, while they have been improving their overall productivity, which is what I mentioned about gross sales market share, has been showing an improvement. At the same time, improving the overall SIP subscription in terms of adding a new customer base will remain one of the keys. That something is also being driven by way of encouraging through the incentive plan to the sales team. So, this is going to be an ongoing exercise, Harshit. Coming to your question on the margin, yields.

Pradeep Sharma: Yields for equity are in the range of 64-65 basis points. Yes, there is a drop of around 1-2 basis points. That is from earlier quarters because of the telescoping prices mainly. Because our equity AUM has grown from around Rs. 1,80,000 crores to around Rs. 1,92,000 crores. So, I think going forward, it should remain in the same range, around 64-65 basis points in equity.

A. Balasubramanian: And then the marginal drop is on account of the offshore AUM dip that has led to a 0.4 basis points kind of drop.

Harshit Toshniwal: And one last thing on the EPFO debt money , which we plan to manage. Do you think this will be a profitable thing altogether , or this will it be a marginally loss -making business?

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A. Balasubramanian: I would say cost-neutral . I'll not say loss -making neither profit -making. It's a cost-neutral . We have a team dedicated for managing a large pool of money across different segments. The team's strength will be leveraged to manage this money. I think we also need to look at it. This is a prestigious mandate and improve the overall credentials of our existence of 30 years in managing money. Ultimately, this will have a rub -off effect as we move forward.

Harshit Toshniwal: Got it. Thanks a lot Sir.

Moderator: Next question comes from the line of Mohit Mangal from Centrum.

Mohit Mangal: Thanks for the opportunity. My first question is on the employee expenses. If I look, employee expenses grew 6% YoY in Q2. And if I look at Q1, the YoY growth rate was around 4%. And you said that the ESOP won't ideally come this year. Do you think it will remain in single digits at around 6% - 7% or will it grow in higher double digits for the entire year?

Pradeep Sharma: So Mohit, in this quarter, we had some reversals of around Rs. 6 crores on our payroll provision of last year after we disbursed all the amounts based on the employee's performance. So, if you see on a normalized basis, it should be higher by around 12% instead of 6%.

Mohit Mangal: Understood. So, for the entire year , basically 10% -12% is something that we can expect, right?

Pradeep Sharma: Yes.

Mohit Mangal: My next question is in terms of the new pipeline of schemes that can be expected in H2.

A. Balasubramanian: We have one product approval already in place for us. And that's something we've been debating when to launch it , given the fact that too many holidays are there. We want to plan it carefully so that we have a good number of working days for us to have the NFO within the mutual fund space. And second, we also planned a launch of a new product under the alternate AIF side , which is on the PMS side. Plus, on the GIFT City , we also have a product which is currently running for investing ove

rseas markets. And then the last piece, of course, we are preparing ourselves for the SIF launch. We already got approval from SEBI for the brand , which is called Apex. We already filed two products with SEBI for launching them, which is the Arbitrage Plus kind of product. That's something w e will start with that to begin with. We will start with Arbitrage Plus , a kind of product. And then , as we finish the first launch, we will go for a long sho rt once we have a talent in place , which we are currently in the process of getting on board. Once it is done, then we will go for a long-short fund product also.

Mohit Mangal: Understood. So basically, we have a team in place for this SIF, and we will basically be there in the financial year 2026 . We could see some impact of that in P&L, right?

A. Balasubramanian: Yes. The only thing, a team we don't have in the long sho rt. Though we have a team, but they have not been in a position to manage the long sho rt fund using the derivatives big time , only to generate alpha over the index. That's something we thought we will have one dedicated person to drive that. That's something that should be in place , maybe within about 1 -1½

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months' time. Otherwise, the rest of the product, like a hybrid kind of product, they already have internal capability.

Mohit Mangal: Understood. And Sir my last question is towards AUM. With that , we have seen a lot of growth , although sequentially there was a degrowth , but in terms of yield, do we make around 0.6% on average AUM on this?

Pradeep Sharma : Actually, our average is around 0.8%.

A. Balasubramanian: We get roughly about 80 basis points we get . In fact, in the last 2 -3 Quarters, we are seeing the contribution coming from PMS to the overall revenue. We are seeing an upward trend. In fact, I must also mention in addition to Equity PMS and AIF, we are also seeing the Credit Opportunities Fund and Real Estate Cr edit Fund, both have not only stabilized, they have also now done the first closure. And investments have also been more or less done. With this , the revenue from contributions coming from this segment will also keep improving.

Mohit Mangal: So, out of this Rs. 461 odd crores, how much would be the PMS and AIF for this thing?

Pradeep Sharma: So, this would be around Rs. 31 -32 crores.

Mohit Mangal: Thanks and Wish you all the best.

Moderator: Next question comes from the line of Amit Singh with Investmate Insights Private Limited.

Amit Singh: Congratulations Sir. And thank you for giving me the opportunity. My question is on the growth of the Arbitrage Fund . Last quarter, you mentioned that it was behind the industry. So, how has this segment performed in this quarter , and what are the changes in your strategy to improve this performance?

A. Balasubramanian: Of course, this is one of the funds where we felt that we can grow a little faster than the industry. In fact, we had reasonably good AUM growth , going above about 20% rate of growth

compared to the industry. In order to improve the performance, of course, we have done a good mix of generating a little higher return by increasing the focus on one on the fixed income space between the selection of securities in the fixed income space for the respective maturities adding about 700 basis points total return and also the efficiency that we have brought in terms of the identifying opportunities wherever it's available to improve the overall return. That's why I think the performance of the Arbitrage Fund has also been supporting the overall growth momentum.

Amit Singh: The second question is, as you mentioned in the last quarter, the mid-cap and small-cap segments do not have a large presence. So, what progress has been made since then and what are the strategies are being implemented to improve the ma

arket share in this segment?

A. Balasubramanian: In fact, we have seen reasonably good performance with respect to the mid-cap fund, and the smaller mid-cap is also now part of the overall performance improvement strategy that we

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have. We recruited a gentleman almost about a year back, and we gave him some time to settle down and start focusing on building the performance of these two schemes and also the multi-cap fund, so that we will be able to actually get our due market share in this space. We are already seeing the silver line coming in the form of improvement in performance. In fact, our flows in both the mid-cap and small-cap is positive, though it's not to the extent of what the industry is getting. But definitely, this will probably help as we move forward to get our due market share in this space.

Moderator: Next question comes from the line of Divij Punjabi with Banyan Tree Advisors. Please go ahead.

Divij Punjabi: My question was around the offshore AUM. That has declined sequentially. Can you just maybe share the yield on that and also the reason for the decline?

A. Balasubramanian: The offshore, largely, of course, we have been managing a few mandates from some of the large funds that invest in India. As you know that India exposure by most of the FIIs has been on the reduction side. And having managed the money for almost 14-15 years, very successfully generating more than 2% alpha over the MSCI index. But due to the allocation chain that we had, that has moved out. But however, the impact of that is about 0.2%, which is roughly about 0.4 basis point roughly, is the impact on the contribution coming from the offshore asset. Nothing significant, but definitely because of the reduction that the FIIs generally have been having on India exposure, and our money also had moved out. I am sure, given our strong track record that we have given them over 14-15 years, and some of them may even come back as they gain confidence on the India coming back.

Divij Punjabi: I just have one more question around the debt fund. Can you just talk about what is driving the growth in the debt segment year-on-year and quarter-on-quarter, and seeing decent growth? So, which are the segments over there? And longer term, also, what is our strategy around active versus passive funds?

A. Balasubramanian: As far as the debt fund is concerned, largely the fixed income team have been having a very bullish view on interest rates, especially calling the RBI move on cutting the interest rates. In fact, all the moves of the RBI our team has been predicting is quite well ahead of time and positioning the portfolio to benefit investors by running a duration portfolio. That's something that helped us in building a fixed income size. And second, within the fixed income hybrid funds, which is the equity cum fixed income fund, which is a new category, we could also add assets, given the tax benefit that accrues to investors. At the same time, the way we consecutively manage between equity and fixed income both of them have helped. And that's where the money has come. A large segment of people have come from both the HNIs and corporate treasuries, as well as MSMEs.

And active versus passive, of course, passive is something we have seen some good momentum by way of launching a new product. In fact, we launched 2-3 funds last year, like the defence fund we launched, and it has done exceedingly well. We have seen flows coming into the segment. We have positioned some of the product launches in the passive side, which are more

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like unique. Something you can consider as a fund that can help in investors to diversify by choosing funds like the Quality 50 Fund and Momentum Index Fund. That's something we continue

to drive in our product innovation and structuring products.

And third, we have also seen flows coming into our Silver Fund and Gold Fund. In fact, our Silver Fund crossed a size of about Rs. 2,000 crores. And in the last two weeks, when the market turned volatile, even we also had to close the fund for subscription for some days. Of

course, we are now coming back in terms of opening the fund for subscription. One good thing is, given the fact that we had the product in place, when the time was favourable for getting flows in this fund, we could get some good flows both in the Silver and Gold Fund as well. So, this is an ongoing exercise, rather than an ongoing push that we are giving in terms of our passive funds. Active, continues to remain a focus area, no doubt, both in building SIP s as well as growing our size. At the same time, passives will also remain as an asset allocation fund from the investors' point of view. That continues to be driven by a separate team of people to keep a focus. And lastly, we are also trying to give some of these broking firms so that our product becomes part of their daily trading that they can do on ETF while creating some kind of buying behaviour in the exchange platform. These are some of the initiatives we are taking , and hopefully , it should help in terms of increasing the number of customers. In fact, as I speak, we have about 13.5 lakh customers in the ETF platform. I think that will continue to remain a focus area for building this asset class.

Divij Punjabi: Sure. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of the question -and-answer session. I would now like to hand the conference over to the management for closing comments.

A. Balasubramanian: Thank you , everyone , for joining the call. And with this, we conclude our Q2 FY26 earnings call. Thank you.

Moderator: Thank you. On behalf of Aditya Birla Sun Life AMC Limited, we would like to formally conclude this Q2 and H1 FY26 earnings conference call. We sincerely appreciate your participation in this event , and we kindly request that you now disconnect your lines. Thank you for your time and engagement.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

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Call: Jan 2026

Ref. No.: ABSLAMCL/PS/ 117/2025-26 January 29, 202 6

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor,
Dalal Street Mumbai - 400 001 Plot No. C/1, G Block,
Scrip Code: 543374 Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051
Symbol: ABSLAMC

Dear Sir/ Ma'am,

Sub: Transcript of the Earnings Conference Call for the quarter and nine months ended
December 31, 202 5

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call on
Unaudited Financial Results of the Company for the quarter and nine months ended December 31, 202 5,
held on Thursday , January 22, 202 6.

The above information is also available on the website of Company at
<https://mutualfund.adityabirlacapital.com/shareholders/financials> .

We request you to kindly take the aforesaid information on record .

Thanking you.

Yours sincerely ,

For Aditya Birla Sun Life AMC Limited

Prateek Savla
Company Secretary and Compliance Officer
ACS 29500

Encl: as above

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"Aditya Birla Sun Life AM C Limited
Q3 & 9M FY26 Earnings Conference Call "
Thursday , 22nd January 2026

MANAGEMENT TEAMS :

• MR. A BALASUBRAMANIAN – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICE R – ADITYA BIRLA SUN LIFE AMC LIMITED

Aditya Birla Sun Life AMC Limited

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Moderator: Ladies and gentlemen, good day, and welcome to Aditya Birla Sun Life AMC Limited Q3 and 9M FY'26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Meghna Luthra from InCred Equities. Thank you, and over to you, Ms. Luthra.

Meghna Luthra: Thank you, Renju. Good evening, everyone. On behalf of InCred Equities, I welcome all to Aditya Birla Sun Life AMC's third quarter and nine months FY'26 ended Earnings Conference Call. We have along with us, Mr. A. Balasubramanian, MD and CEO, and Mr. Pradeep Sharma, CFO. We are thankful to the management for allowing us this opportunity to host them. I would now like to hand it over to Bala sir for his opening remarks. Over to you, Sir.

A. Balasubramanian: Thank you, Meghna, and good evening, everyone, and thank you for joining us today. Let me begin by extending my warm wishes for a happy and prosperous New Year to everyone. I hope you all had the opportunity to review our earnings presentation, which is accessible on both the stock exchanges and our company website.

Let me start by outlining the current economic outlook and providing an update on developments within the mutual fund industry. As you know, the global economy has entered a phase of recalibration and despite persistent tariff tensions and policy volatility, growth is stabilizing toward trend levels of approximately 3.2%, as estimated. Nations are fundamentally reassessing supply chains and trade partnerships in response to these disruptions and uncertainty. Meanwhile, inflation continues its moderating trajectory, allowing central banks to pivot their focus towards supporting growth. The convergence signals a shift from crisis management to a strategic adaptation.

India continues to outpace global peers with remarkable consistency. Our real GDP is on track to expand by a robust 7.4% in FY26, while CPI inflation has moderated to a favourable 2.2%, a Goldilocks movement of strong growth paired with low inflation continues. And we maintain a positive outlook for FY27, projecting nominal GDP growth of 9.75%.

This optimism is underpinned by several factors: the transmission of monetary and fiscal stimulus, expectations of easing of tariff pressures, robust rural demand supported by strong agricultural output and continued fiscal support for rural India. We anticipate inflation to normalize around 3.75% in 2026, well within the RBI's comfort zone and preserving space for growth-supportive monetary policy. Conditions appear favourable for a capital expenditure cycle, with capacity utilization at elevated levels and healthy corporate balance sheets. While global uncertainty remains a key risk, India's fundamental position is strongly for sustained growth momentum. Hopefully, the budget should also drive the future growth more aggressively.

Indian equity markets told a tale of two forces in this quarter, external pressures testing resilience and domestic strength providing the cushion. There was intermittent volatility with global uncertainties, FPI outflows and profit-taking pressures. These downward movements Aditya Birla Sun Life AMC Limited

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were largely offset by robust domestic institutional participation. Overall, equities concluded the quarter on firm ground, underscoring the structural strength of India's equity ecosystem, despite short-term market fluctuations as we have witnessed in the last few days as well. Continuing

with the mutual fund industry update. The Mutual Fund Industry Quarterly Average AUM stood at ₹81 lakh crores as of 31st December 2025, compared to ₹68.61 lakh crores as of 31st December 2024, registering year-on-year growth of about 18%. The industry recorded SIP inflows of approximately ₹31,000 crores for December 2025, reflecting quarter-on-quarter growth of about 6%. The total number of mutual fund folios stood at approximately 26.97 crores as of December 2025. During Q3 FY26, the industry saw NFO collections of approximately ₹13,300 crores across equity and debt funds, with equity

collections predominantly driven by sectoral/thematic and Flexi Cap funds.

Individual average AUM for December 2025 stood at ₹49.28 lakh crores, contributing about 60.1% of the total AUM, and B30 cities, with an average AUM of ₹15.12 lakh crores, accounted for 18.4% of the total AUM, growing by 18% year-on-year.

At ABSL AMC, performance highlights, our overall Average Assets under Management, including alternate assets, now stand at ₹4.81 lakh crores, our highest-ever AUM achievement, growing at 20% year-on-year. Our Mutual Fund quarterly average AUM has reached ₹4.43 lakh crores, representing 15% year-on-year increase. And within this, our Equity mutual fund quarterly average AUM stands at ₹2 lakh crores, growing by 11% year-on-year.

As an AMC, we firmly believe that SIPs continue to remain a cornerstone of long-term investing in India. Our SIP contribution for December 2025 stood at ₹1,080 crores, supported by 40 lakh contributions coming from SIP accounts. In alignment with this vision, we have launched a new SIP-led initiative under our investor education program, Plan for Life. This campaign goes beyond wealth creation; it encourages investors to think long-term, plan for life's milestones, and, importantly, prepare for retirement through Systematic Withdrawal Plans.

Our total number of investor folios for December 2025 stood at 1.08 crores, witnessing 3% year-on-year growth. We are driving growth by building scale through increased market traction. Our overall fund performance has improved significantly, leading to better market perception and, importantly, stronger flows in to our core products. While the momentum gives us confidence as we look ahead.

Building on this strong foundation, one of our key priorities continues to be strengthening our core equity offerings, particularly the Flexi Cap Fund, Multi Asset Allocation Fund, and our Balanced Advantage Fund, as well as some of the thematic funds that we have been seeing flows, such as the Conglomerate Fund as well as the Consumption Fund. These are some of the key product focus that reasonably improved flows coming of this segment. Our focus remains on scaling these flagship products through a combination of consistent SIP inflows, robust contributions across all distribution channels, improved fund performance, and increased market engagement. Our drive to build scale through enhanced traction, coupled

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with improved overall performance, has led to a better market perception and rising flows in

core products, creating momentum for continued growth.

Turning to the Alternate business, the PMS and AIF Equity segments have demonstrated robust momentum, supported by a steadily expanding suite of Credit offerings. We continue to enhance and refine our solutions to address the evolving, sophisticated recruitment of HNIs, family offices and some of the institutional investors.

Our PMS/AIF/Advisory assets experienced substantial growth, expanding from ₹3,853 crores a year back in Q3 FY25 to ₹32,663 crores in Q3 FY26, representing 8 times increase in size. Of course, the AUM of ESIC mandate accounted for about ₹28,000 crores as of December 31, 2025, while our PMS/AIF AUM, excluding

the ESIC mandate, registered strong year-on-year

growth of about 17%, reflecting a robust organic momentum in our core alternate business.

And during the quarter, we received EPFO allocation letter, appointing us as one of the managers for the fixed income mandate. We are now progressing through the required regulatory formalities and expect to onboard the assets before the current quarter ending.

On the fixed income credit side, we successfully completed the final closure of our ABSL India Special Opportunities Fund Series I, with commitments of around ₹500 crores during the quarter, and currently have fundraising underway for Series II, ABSL India Structured Opportunities Fund II and Money Manager Fund. We are also preparing to launch ABSL India Select Sector Fund under the AIF category in equity.

Our real estate business has built significant momentum and gained considerable traction, driven by strong investor interest and a robust deal pipeline. And during the quarter, we launched the Aditya Birla Real Estate Credit Opportunities Fund – Series II, a Category II AIF focused on senior secured lending to post-approval, brownfield real estate projects across Tier I cities. Our real estate portfolio stood at ₹700 crores, registering year-on-year growth of approximately 44%.

The offshore average AUM stood at ₹4,847 crores for Q3 FY26. We have incorporated our new wholly-owned subsidiary company, Aditya Birla Sun Life AMC International (IFSC) Limited in GIFT City, to expand our GIFT City operations and are currently in the process of securing regulatory approvals and hopefully, before the quarter ending, we will be up and running. We continue to see flows through our current branch setup across our existing funds, such as the India ESG Engagement Fund, the ABSL Flexi Cap Fund for inward remittance, and the Global Bluechip Fund for outward remittance umbrella has come together really well, delivering globally competitive solutions to our investors.

Our Passive business has continued to demonstrate good momentum , with Quarterly Average AUM touching ₹38,600 crores, representing a year -on-year growth of about 28% , and the customer base expanding to 15.1 lakh folios. Our ETF offerings have witnessed robust traction , with ETF Quarterly Average AUM growing 40% year -on-year, significantly outperforming the industry ETF growth rate of 2 4%. We are building towards a better long -term outcome by improving on tracking difference as a key focus, while also improving tracking error. Last

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year, industry -wide, we witnessed good inflows in to precious metals like gold and silver , and our offerings in this space make an exceptional case for diversification.

As of today, our passive product suite comprises of 52 distinct offerings across Equities, Fixed Income, Commodities and Multi-Asset solutions, designed to address the diverse investment needs of our investors.

Moving to the financial performance. Q3 FY26 revenue from operations stood at ₹478 crores, up 7% year -on-year. Q3 FY26 profit before tax was at ₹358 crores, up by 19% year -on-year. Q3 FY26 profit after tax stood at ₹270 crores, up by 20% year -on-year. Our 9 M FY26 revenue from operations stood at ₹1,387 crores, up 10% year -on-year. Our 9M FY26 profit before tax stood at ₹1,046 crores, up 11% year -on-year, and profit after tax for the 9 M FY26 period stood at ₹788 crores, up by 12% year -on-year.

With this, I would like to open the floor for any questions that you may have. And I'll be joined by Pradeep Sharma to answer any questions you may have.

Moderator: The first question comes from the line of Mohit Mangal from Centrum.

Mohit Mangal : Thanks for the opportunity. So, my first question is towards the employee benefit expenses. So even if I remove that labour code extra cost, the em

ployee benefit expenses were higher by around 20% Y -o-Y. So, what explains this increase in employee benefit expenses?

A Balasubramanian : Yes. Pradeep is answering.

Pradeep Kumar Sharma : So, Mohit, actually employee benefit expenses have gone up Y-o-Y basically on two counts. One is the additional impact of gratuity based on the new labour code right , which accounts for around ₹2.82 crores that is one . Second is on the ESOP cost , this is actually of our parent company, ABCL, some ESOPs were given to our select employees. So, there is an cost of ESOP of around ₹4.66 crores for this quarter. These are the two factors which are actually increasing the cost for the quarter.

Mohit Mangal : Okay. So, going forward, we should expect this to be recurring , or is it one -time?

Pradeep Kumar Sharma : No. So, gratuity is a one -time cost. It's not recurring. And the ESOP cost would be there for the next four quarters — three more quarters on this account.

Mohit Mangal : Got it.

A Balasubramanian: Yes. That is basically post this rolling out of the ESOP option for employees in the recent Board meeting .

Mohit Mangal : Understood. And secondly, if you can share segment -wise yields?

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Pradeep Kumar Sharma : Yes. So, equity yields are around 64 –65 basis points. For Debt is around 24 basis points, and liquid is around 13 basis points.

Mohit Mangal : Understood. And in terms of PMS and AIF, can you give some revenue numbers for 9M and Q3?

Pradeep Kumar Sharma : Yes. So, the alternate revenue for Q3 FY26 was around ₹34 crores, which is around 4.5% of our total revenue.

Mohit Mangal : Understood. That is helpful. Sir, lastly, on yields, how do you see yields actually going forward for the next four to five quarters? Do you see a meaningful decline? How do we see the yields basically ?

A Balasubramanian: Broadly, Mohit I think , at this point in time, we estimate the impact of the circular would be minimal, and to that extent, a very limited impact we should see . At the same time, since we are looking at building the size , we are already seeing some kind of momentum coming in overall key portfolios in terms of traction. So, as the size of the funds increases, there will be a corresponding increase in revenue, but it may come with a marginal reduction on the other side.

But again, I don't see it as very significant. At the same time, we're also looking at building our other businesses, especially the alternate , as well as the PMS and broader on an overall basis from the AMC point of view, we should see an improved performance rather than any significant reduction in the yield.

Mohit Mangal : Right. So, sir, when you say the yield is minimal impact because of circular, do you mean to

say that we'll be able to pass on to the distributor?

A Balasubramanian: No. Will see as we come closer to the implementation date of course, we will see how best it can be optimally utilized for the benefit of everyone, keeping in mind the investor at the centre. This is a preliminary assessment is actually, and we will have to balance it out to ensure there is minimal impact.

Mohit Mangal : Understood. Sir, my last question is on SIF —your thoughts, and when will we be able to launch it?

A Balasubramanian: Yes. So, in the case of SIF, we have already filed the applications, and the approval is awaited. We had thought it would launch this month. And since we have asked for a revised structure in the portfolio, the approval is likely to come this month. I think hopefully in the month of February we should launch it. By the time the budget would also be out, and we will be the first ones to launch, our first fund will be launched in the month of February. We will also of course plan to launch the equity long -short fund. We are making applications once we are confident that we have the talent pool to manage the fund, once the person comes on board. One fund we will launch, which is a hybrid fund, will have equity taxation sometime in February.

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Mohit Mangal : Understood. That's very helpful Sir. Thanks, and wish you all the best.

Moderator: Next question comes from the line of Prayesh Jain from Motilal Oswal Financial Services Limited.

Prayesh Jain : Hi Good evening Sir, firstly, our fund performance has been improving, and you know quite a few schemes are appearing in the top quartile on a one -year return basis. And they contribute to a large portion of our equity AUM as well. But in spite of that, we kind of continue to lose market share on the equity side, as well as if I look at the SIP data that you provided, that also keeps coming down. Generally, it does take a lag effect and I understand from fund performance improvement to market share improvement. But still, it's been some time since our fund performance has improved. But we're still not seeing any you know even market share not been stable; we keep seeing a decline month -on-month in terms of market share. So, when do you see the effect of this fund performance translating into market share gains, both on SIP as well as normal market share?

A Balasubramanian: Thanks, Prayesh. See I think the way I look at it is if I look at the whole of last one -and-a-half years, the market share loss has been coming down in terms of annual basis points. That is something we are seeing now, and we have almost come to a stage where it is getting stabilized. That's one.

Second is on the fund performance moving from one year to two and three years, and we are already seeing this start reflecting across most of our funds. While we are doing very well over one-and-a-half years is now starting to reflect in the three -year performance. Normally, what happens is as short -term performance starts to reflect in long -term performance, it comes as part of the recommendation list. We have already seen that happen in the last two quarters. The number of approvals that is coming from the organized channel partners that is something should be taken as a signal of products coming as part of the recommendation list and the basis on which keeps coming in.

And second, some of the online platforms where we also saw significant flows on funds which were top-performing funds, we already started seeing some of our funds appearing in that segment as well. That is why it takes some time for all these things to reflect in performance, or in the so -called public domain.

So I think these are some of the things we are already seeing that start reflecting in net inflows coming into funds like the Sun Life Equity Fund, the Flexi Cap Fund, and the Commonwealth Fund we are seeing improvement in terms of flows. The Balanced Advantage Fund has also seen good flows, and the Multi -Asset Allocation Fund has got good flows.

So, I think that, of course, the category in which we even see an industry -wide outflow is ELSS scheme, if I knock that off and then other schemes, we are getting the flows already begun. See, SIP is driving, if I look at SIP numbers minus the STP. STP is something which comes from large ticket investors; they, of course, dynamically manage that, and therefore, minus the STP, we have to take it. I think we are already seeing that SIP numbers on equity are getting better.

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Of course, there is no question that it has to gain further momentum given the fact that the industry is also coming as a segment. I think the lastly, of course, from a sales team point of view, the high focus that we have been put in place in terms of improving the productivity of every RM across the country, with improved fund performance and a reasonably high level

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of engagement and performance of activities in the retail segment, which our retail team is doing it.

I think we should start reflecting in terms of improved performance coming on the numbers as we move forward. I'm reasonably confident the way things are shaping up. I think it should remain to improve these numbers on a quarter-on-quarter basis. See, as far as the markets are concerned, of course, if I have to look at the top 10 players versus the rest of the players, we must also, of course, remember that the overall market is expanding and more players are coming in.

I think we also keep a close watch on our absolute performance improvement. In fact, when I look at this year whole of this year nine months numbers, and close to about ₹1,600 crores of net sales we have got in some of our equity assets products. And overall, as a fund house, we have seen about ₹55,000 crores net sales.

But these numbers are actually a reflection of the confidence in the team. The team is driving the whole thing. The improved performance will only further boost the confidence of the entire team across the country and our distribution partners to bring the numbers up. And that is something I am already seeing reflected.

Prayesh Jain: Yes. So, sir, if I got your number right, you said ₹4,500 crores of flows in this year, in these 9 months?

A. Balasubramanian: No. So, the total is about ₹55,000 crores roughly overall for the fund house, including fixed income. And equity will be close to about ₹16,000 crores of inflows net sales, across all our equity schemes put together including arbitrage funds. Prayesh, just to clarify, this number is not disclosed generally. It is a number we internally track to see how we are progressing on a quarter-on-quarter basis. These numbers are not generally disclosed publicly, but I am going by the trends we are seeing, such in Flexi Cap Fund we are seeing inflows and the Multi Asset Allocation Fund we are seeing inflows. Maybe the rate of inflows could be lower, but what we are seeing is the beginning of a reversal of the trend, itself will gain momentum.

Prayesh Jain: Right. Sir, anything on the distribution side where you would want to take action, given that we are there in the top quartile performance? Any commission actions that you would want to take, where you increase commissions a bit, take some pressure on your yields, and get the volume growth which can help you? Is there anything of that sort as part of the strategy?

A. Balasubramanian: So that is something we keep doing it, Prayesh, as part of our strategy, focusing on products that can generate volume. At the same time, if we have to consider for a brief period in terms of supporting sales activities that is something we do it. Already the focus products that I am talking about it the team do have some bit flexibility to push volumes, and that is something we keep doing it.

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I think as we start seeing will keep it. Also for employee point of view. In order to motivate employees to be run around the market and improve productivity, we do incentivise them. That is something we keep doing it. I'm sure this strategy will always be ever evolving, and nothing is onetime we have to do it. This anyway, is a continuous process.

We also ran another segment-wise distribution partner, which we call the Privilege Club.

Something again, we keep driving it in order to help them improve their overall ranking and whatever we can do in terms of various activities that we undertake. That remains one of our focus areas.

Prayesh Jain: Got it. Sir, last question is your flow market share coming closer to or is it very close to your back-book market share, probably in the month of December or currently in January, how is it kind of panning out? Is it very close to your back-book mar

ket share?

A. Balasubramanian: Yes, somewhat we can say. I think the way I see it is the moment we see the rate of falling comes down, somewhere these equilibrium will start reflecting on the reverse trend.

Prayesh Jain: All the best and Thank you so much.

Moderator: Thank you. Next question comes from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Good evening, sir. So, a few questions from my side. On the expense side, if I look at your other expense run rate and not looking at quarterly volatility, but looking at it more from a, let's say, rolling 12 months sort of a thing. It seems that the run rate has meaningfully been controlled, despite your kind of growing your alternate fees, you're also kind of probably scaling up your sales personnel on the MF side, given the traction in flows.

So just wanted to get some sense of how one should think of the trajectory on the other expense side in case, let's say, you had to kind of scale up initiatives given that your performance is now back on track. The second question is on the flow share. You know I'm trying to triangulate this math that your SIP market share is like fully yet to stabilize.

But obviously, your redemptions are probably kind of narrowed down, resulting in improvement in net flow trajectory. So, just from a channel perspective, would it be fair to assume that when performance improves, maybe the MFD or the more assisted channels are

the fastest to pick up in terms of both net new money and maybe a lower churn rate? I mean, are you seeing that or maybe I can be corrected in case that's not the trajectory. The third question is on similar lines. I mean, you mentioned some number on the flow part in reply to the previous participant's question. But you included arbitrage also. I mean, is it possible to give you some idea of the quantum excluding arbitrage? And just two data keeping questions, if you can spell out the employee number and SIP AUM number as of December 31?

A. Balasubramanian: On the expense side, Pradeep, do you want to answer?

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Pradeep Sharma: Yes. So Dipanjan, actually, the expense fee in our initial two quarters, we had our vantage summit, and growth summits across the country and actually, for this, increasing the engagement of our distributors and investors. Q3 has those activities been low, and that is why you see that there was no increase on a quarter-on-quarter basis. In fact, it is flat. But if you see on a to-date basis, I think that average, I think would continue to be in the coming quarters. So, these all activities of our field engagement with our distributors and investors will keep on happening. However, there would be some quarter-on-quarter fluctuation when some few quarters will have those events, few quarters may not have. But I think the right way to look at it is the to-date average.

A. Balasubramanian: Yes.

Pradeep Kumar Sharma: Okay. And the employee number is currently it is around 1,683 to be precise. And SIP AUM is around ₹87,000 crores approx.

A. Balasubramanian: Just to answer the other question, Dipanjan. As far as the channel is concerned, definitely, the organized channel, which is a banking channel, ND channel and MFD channel, which contributes roughly about 80% of the AUM. And we do have a very strong relationship which is built historically. The performance improvement definitely improves the confidence of our partners, and we'll aggressively push it. And the MFD is one channel, which we are already seeing some traction.

Organized channel, of course, goes with the recommendation of the product, which I mentioned earlier, some of the organized channel, which sells say, 3 - 4 products of each of the category, we are already seeing it coming as part of the recommendation list barring 1 or 2 where we are in the border line case for

the product to become part of approved list. And as far as the ND is concerned, again, some of the products are now coming as part of the recommendation, as it comes part of the recommendation list, so naturally, there is a higher responsibility, ownership and the incentive to sell the product from those channel partners, part of that I see the trend is reversing.

As far as the online which is digital platform is concerned, while we do have a presence with each of these partners, which built over a period of time, a strong partner for all of us. Even the fact that goes by the criteria that apply in the selection of the funds. And some of our funds, again coming as part of their recommendation list and therefore, build a strategy around it, how do we get higher volume. We are seeing this kind of volume coming in a few quarters back on some of the funds. Based on the understanding and evolving situation, that's something we'll push.

I think largely, if I look at it, it will be a mix of all these channels, and we can't say it is one channel. We have a fund house got separate responsibility for each of the channel partners with the people around it. And therefore, with respect to the flows, I just give you a broader trend in terms of ratios, though we don't give the individual fund-wise or category-wise flows, but overall equity category, just give number as a broadly, we can take about a 60:40 kind of ratio,

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60 for arbitrage and 40 for other funds. So, we don't give individual numbers. But broadly, that's the kind of similar number we can take as a breakup.

Dipanjan Ghosh: Got it. So just to clarify, this was for 3Q or 9M this data that you mentioned, the last data point on flows?

A. Balasubramanian: I mean, 9 months correct.

Dipanjan Ghosh: And sir, if I can just squeeze in one small question, and thanks for the answers to the previous question. Your performance is improving after some time, right? And what we've seen over the last few years for some of your peers, where we saw a turnaround in performance, while AUM market share picks up, it never really recovers to the previous peaks, and maybe that's a function of market fragmentation or maybe changing industry dynamics in terms of distribution and difficult to kind of pinpoint?

Having said that, in this environment, given that your performance improvement somehow coincides with the time frame when there's a regulatory change also, would it be fair to assume

that you would want to kind of maybe take a differentiated stance with respect to payouts to your distributors, such that maybe there's a motivation to kind of aggressively push your products a little high or do we kind of follow suit in terms of passing on the hit to the distributors?

A. Balasubramanian : No. As far as seeing growing business concerns, that commitment is necessary because if you have to grow a little faster, you would apply multiple strategies, which include temporary incentives that need to be provided for pushing the sales. Normally, we do that on a select basis. It is nothing new to us. At the end of the day, again, we also, of course, have a small profitability target that we generally keep. We have to do the fine balance between profitability versus overall growth in AUM versus the revenue. That's something we keep doing it. I cannot say this will not go that I think our research is so dynamic, so it's very difficult to take a single stand and basically push it. Whenever performance improvement is coming in, recognition comes, the volume starts coming in, therefore we have to give a little bit of a higher push, that means a temporary adjustment of the pricing, which, of course, normally we are open. But again, we tried, of course, to do the balancing between growing the size and maintaining the overall profitability expectations, that

it's something we'll continue to keep.

Moderator: Next question comes from the line of Abhijeet Sakhare with Kotak Securities. Please go ahead.

Abhijeet Sakhare : Hi. Good evening, everyone. My first question was if you could indicate how have been the yields on the fresh inflows that have come up in the last couple of months compared to the overall book yields. And the context is just to kind of check this with reference to your earlier comment that the idea will be to keep the yields intact, right? I mean not just because of the telescopic decline, but also the new regulations that will set in from next year onwards?

A. Balasubramanian : Yes. On the increment price, more or less the same. There's nothing really different. We have not done any NFOs per se in this quarter. But more or less, the yield remains the same as what Aditya Birla Sun Life AMC Limited

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Pradeep mentioned earlier. The intent of maintaining overall yield, I was just mentioning, given the fact, of course, the regulatory framework might have a marginal impact. But broadly, the intention is to keep the trend on the margins more or less the same. So that's the attempt we will make through a mix of product, through a mix of momentum that you have to bring in certain high-margin asset classes.

Abhijeet Sakhare : Got it, sir. And how should we think about the expense growth for the next couple of years?

Pradeep Sharma : Yes. So Abhijeet, the expense growth would be the normal expense growth, no shockers on that account, except which will be like in line with inflation and closer to that, except we may see the impact of the new ESOP scheme, which we have rolled out in the month of January. So next few quarters, we will have an impact on the manpower cost on account of this new ESOP scheme.

Abhijeet Sakhare : And third quarter, right, sir. Sorry to interrupt.

Pradeep Sharma : So otherwise, other expenses would be in line with the normal inflationary, except in employee costs on account of ESOP cost.

Abhijeet Sakhare : And that's already kind of showing up in the third quarter employee cost, right, the impact of ESOP?

Pradeep Kumar Sharma : No, the third quarter is not completely showing, because the new ESOP scheme of ABSL AMC was rolled out in January. The third quarter actually is having the impact of the parent company ESOP given to select employees.

Abhijeet Sakhare : Okay. And what was to quantify that?

A. Balasubramanian : It will be spread over three years, for which provisions will be made.

Abhijeet Sakhare : Okay. And sir, last question, I missed the data on equity flows that you mentioned in the previous question with respect to the 9-month flows, sir, if you could please repeat that?

A. Balasubramanian : I said overall, the flows have been improving in the equity. And broadly, I said, as a fund house close to about ₹55,000 crores of inflows, which includes fixed income, equity and arbitrage. And within the equity, I mentioned close to about ₹16,000 crores of kind of inflows, roughly number, that's what I just mentioned.

And within that, the focus product that we are pushing, which is the Flexi Cap Fund, Multi-Asset Allocation Fund. In fact, we're also started getting close on the small and mid-cap funds, but though may not be in the same order as what the industry is getting it. But these are some of the trends that I'm seeing on at least about 7 or 8 products in terms of flow improvement.

Abhijeet Sakhare : Got it Sir very useful. Thank you so much.

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Moderator Ladies and gentlemen, as there are no further questions, we have come to the end of the question-and-answer session. I would now like to hand the conference over to the management for closing comments.

A. Balasubramanian : Yes. Thank you, and thank you, everyone, for joining. And w

ith this, we conclude our Q3

FY26 earnings call. If you have any queries , of course, give a call or write back to Pradeep

Sharma and Shivani Manka.

Moderator : Thank you. On behalf of Aditya Birla Sun Life AMC Limited, that concludes this conference.

Thank you for joining us. You may now disconnect your lines.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

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Call: Apr 2026

Ref. No.: ABSLAMCL/PS/ 20/2026-27 April 29, 202 6

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor,
Dalal Street Mumbai - 400 001 Plot No. C/1, G Block,
Scrip Code: 543374 Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051
Symbol: ABSLAMC

Dear Sir/ Ma'am,

Sub: Transcript of the Earnings Conference Call for the quarter and financial year ended
March 31 , 202 6

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call on
Audited Financial Results of the Company for the quarter and financial year ended March 31, 202 6,
held on Thursday , April 23 , 202 6.

The above information is also available on the website of Company at
<https://mutualfund.adityabirlacapital.com/shareholders/financials> .

We request you to kindly take the aforesaid information on record .

Thanking you.

Yours sincerely ,

For Aditya Birla Sun Life AMC Limited

Prateek Savla
Company Secretary and Compliance Officer
ACS 29500

Encl: as above

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Q4 & FY26 Earnings Conference Call "
Thursday , 23rd April 2026

MANAGEMENT TEAMS :

• MR. A BALASUBRAMANIAN – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICE R – ADITYA BIRLA SUN LIFE AMC LIMITED

• MR. PRADEEP SHARMA – CHIEF FINANCIAL OFFICER – ADITYA BIRLA
SUN LIFE AMC LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY '26 Earnings Conference Call of Aditya Birla Sun Life AMC Limited, hosted by InCred Equities . As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Ms. Meghna Luthra from InCred Equities . Thank you , and over to you.

Meghna Luthra: Thank you, Rutuja. Good evening , everyone. On behalf of In Cred Equities, I welcome you all to Aditya Birla Sun Life AMC's fourth quarter and full year FY '26 ended Earnings Conference Call. We have along with us Mr. A. Balasubramanian, MD and CEO and Mr. Pradeep Sharma , CFO . We are thankful to the management for allowing us this opportunity to host them.

I would now like to hand it over to Bala sir for his opening remarks. Over to you, sir.

A. Balasubramanian: Thank you, Meghna, and good evening to everyone, and thank you for joining our Q4 FY '26 Investor Call. I hope you all had the opportunity to read through the Earnings Presentation , which is available on both the Stock Exchanges and our company website.

Let me begin by sharing our perspective on the current macro economic environment , followed by an update on the quarter ending FY '26 for our mutual fund business. The ongoing conflict as is known in West Asia and the wave of global uncertainty are fundamentally changing the world order. Surging energy prices have changed the global macro perspective and are posing challenges for global economic growth.

For India, the disruptions in the Asian market due to the geopolitical risk have driven energy costs higher and depreciated the Indian Rupee versus the US dollar, which continues to remain a risk in the very short term. The risk -off sentiment has prompted FIIs outflow and broad -based equity market corrections across emerging market as a result of that .

The IMF now projects global growth to moderate to 3.1% in 2026, down from 3.4% in 2025, with headline inflation expected to rise modestly. The peak of tariff -related uncertainty is behind us , and potential productivity gains from AI provide a meaningful structural tailwind over the medium term.

India has demonstrated commendable resilience through this period. Domestic growth momentum remains fundamentally healthy , and we expect the GDP growth to be about 6.75% for the year, preserving India's position as the fastest -growing major economy. CPI inflation is expected to rise modestly however it remain s at a comfortable position within the RBI's tolerance band , with subdued core inflation and healthy food stocks providing additional buffers.

India's growth outlook continues to be underpinned by strong domestic demand, improving investment activity, a supportive monetary policy stance, and healthy bank and corporate balance sheets.

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Turning to the equity market, the last quarter witnessed a sharp transition from optimism to caution, with markets correcting from near record highs driven by persistent FII outflows , global risk -off sentiment and rising crude prices. Encouragingly, sustained participation from domestic mutual funds and retail investors cushioned the decline, underscoring the growing maturity of our domestic liquidity and reinforcing that disciplined , long-term investing and trusted guidance have never been more valuable.

Coming to an update on the mutual fund industry, the quarterly average AUM for the industry as a whole stood at ■81.5 lakh crore s as of 31st March 2026, compared to ■67.42 lakh crore s as of 31st March 2025, registering year -on-

year growth of 21%. The industry recorded its highest -ever SIP contribution, approximately ■32,000 crores for March '26, representing a year-on-year growth of 24%.

Total mutual fund folio stood at approximately 29 crores as of March 2026. During Q4 FY '26, the industry saw total NFO collection of approximately ■11,200 crores across equity and debt

funds, with the equity collection driven predominantly by Flexi Cap Fund, Multi Asset Allocation Fund, and small and midcap funds. And despite the equity market volatility, the industry witnessed continuous flows into various schemes, highlighting sustained investor confidence in the long-term growth potential of Indian equities. Individual average AUM for March 2026 stood at ₹47.4 lakh crore s, contributing to about 60% of the total industry size. And B30 cities, with an average AUM of ₹14.43 lakh crore s, accounted for 18% of the total AUM, growing by 19% year-on-year.

Coming to the ABSLAMC performance highlights, at the ABSLAMC, our overall average AUM, including alternate assets, now stands at ₹4.74 lakh crore s, growing by 17% year-on-year. Our mutual fund quarterly average AUM stood at ₹4.36 lakh crore s, representing a 14% year-on-year increase. With in this, our equity mutual fund quarterly average AUM stands at approximately ₹1.97 lakh crore s, growing 17% year-on-year.

Our SIP contribution for March '26 has seen reasonably good pickup to touch ₹1,204 crores, growing 11% quarter-on-quarter where we closed about from ₹1,080 crores to ₹1,204 crores, supported by 40 lakh contribution coming from SIP accounts. Building on this momentum, we are at the forefront of driving our SIP adoption through our 'Sabse Important Plan' campaign, reinforcing the value of investing through market cycles and systematically. Our ambition at ABSLAMC is to reach every household in India, making 'Har Ghar Me SIP' a reality. We are working in that direction, which will help us in improving our SIP numbers further.

Total investor folios for March 2026 stood at 1.1 crore, with new SIP registrations for the quarter approximately 6 lakhs, growing by 16% on a quarter-on-quarter basis. This is another area where we have shown improvement in the current quarter; the SIP registration is actually higher than the previous quarter, reflecting on both the outcome as well as the number of registrations happening in the quarter. Over the last year, we at ABSLAMC have made meaningful investments in strengthening the investment team on people and sharpening our portfolio construction processes and investment framework, and reinvented our investment framework in order to deliver consistent investment performance. This has, in fact, resulted in Aditya Birla Sun Life AMC Limited

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a sustained improvement in our investment performance in equity, directly translating into growing investor confidence and distributor confidence and consistent flows across our core fund offerings.

In fact, in the current quarter, we continue to see momentum coming in our flows in our Flexi Cap Fund, Balanced Advantage Fund, Multi Asset Allocation Fund, Small and Midcap funds, GenNext Fund, and Multi-Cap funds.

Market expansion has always been a key priority for us, and we continue to deepen our presence across emerging markets. And today, we are present in about 19,000+ pin codes spanning across the country, reflecting our commitment to bringing quality investment solutions to every corner of India. Building on this foundation, we plan to add several new locations in FY '27, further expanding our geography footprint.

In fact, during the current quarter, we have seen our retail productivity improving across all markets, which is reflected in the number of distributors getting added to our fund, as well as the number of distributors getting activated across different markets in order to further drive

our business.

We have enhanced our technology platform and Digital capabilities, with a clear focus on delivering a seamless experience, including the launch of our new investor app, reinforcing our commitment to simple, transparent, and accessible investing.

We have also launched the new partner app with enhanced capabilities. We remain focused on leveraging technology to drive smarter wealth creation and long-term value to our investors.

In fact, in our digital platform, we have added some of the features which will actually bring in the number of customer additions and have customers' multi-folios and so on and so forth.

Also improved the service standards in our app, which in fact helps us in terms of adding more customer base as time to come.

Moving to our alternate business, the PMS and AIF category has maintained a strong momentum, complemented by a comprehensive suite of credit offerings. Our PMS and AIF assets grew significantly from ₹11,300 crores in Q4 FY25 to ₹32,570 crores in Q4 FY26, which is again a growth of about three times. This is also supported by the ESIC mandate that we won last year.

As you all know, Sameer Narayan, who is our PMS Head Managing the Investments, is now taking additional responsibility of our offshore fund management along with building the business and expanding our global investment capability as the Head of Offshore business, both on money management as well as in building the business as Head of Offshore and PMS. With this deep commitment and passion, I'm sure these two asset classes will start building some more outcomes as time to come.

We'll continue to raise funds, in some of the funds that we launched last year, in India ESG

Engagement Fund based out of GIFT City, ABSL Flexi Cap Fund for inward remittance at GIFT City, and Global Blue -Chip Fund which has given a huge experience to investors to provide globally competitive solution to our investors. We plan to launch the ABSL Global Emerging Market Fund Series II very soon through the GIFT City.

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Karan Dave , who was part of our AB Capital talent pool, has now taken charge of the debt AIF platform in order to provide fixed income and performing credit -oriented funds , where he leads the private credit strategies with a focus on scaling our offerings in this space.

The ESIC mandate accounted for about ₹28,400 crores as of March 2026, while our PMS and AIF AUM , excluding the ESIC mandate, registered year -on-year growth of 14%, reflecting healthy underlying momentum backed by strong performance coming from our PMS funds as well.

On the EPFO mandate, which last quarter I mentioned about , we won the equity mandate, this quarter we have signed the agreements the formal agreement we have signed and are operationally ready to receive the funds inflows after fulfilling a few other formalities in the next few days. I'm sure in the current quarter, we'll get to manage the EPFO money in the fixed income space as per the mandate given to us for the next five years.

We are currently in the fundraising plan in the ABSL India Special Opportunities Fund Series II, Structured Opportunities Fund Series II and Money Manager Fund in the AIF space, along with AIF's ABSL India Select Sector Fund in the equity space. On the Real Estate front, our AUM grew to approximately ₹740 crores, registering 51% year -on-year growth. We currently have a fundraising underway for the Aditya Birla Real Estate Credit Opportunities Fund Series II, focused on senior secured lending to post -approval brownfield real estate projects across Tier 1 cities.

In our passive business, we continue to witness significant momentum with our Quarterly Average AUM crossing the ₹40,000 crores mark to stand at ₹41,200 crores in Q4 FY26, representing year -on-year growth of 25% and our customer base expanding to 16

.91 lakh

folios . ETF quarterly average AUM grew 68% year -on-year, significantly outpacing the industry ETF growth of 40%. Our passive product suite now comprises 54 distinct offerings across Equities, Fixed Income, Commodities, and Multi-Asset solutions designed to address the diverse investment needs of our investors.

During the quarter, we launched two new products in the passive segment, which is the ABSL MSCI India ETF fund. This will be based out of GIFT City, feeding into our fund in India.

Hopefully, we get about flows from FII investors in this fund , for which we have launched this fund. At the same time, we also launched the BSE Top 10 Banks ETF, wherein we have started seeing some bit of flow of investments, especially for those who want dedicated investments that they make in the financial services index.

We are happy to announce that we have incorporated our wholly -owned subsidiary, Aditya Birla Sun Life AMC International IFSC Limited at GIFT City, and have subsequently obtained the retail license to further strengthen our presence. In the earlier presence in GIFT City was in the form of a branch as an external arm of Aditya Birla AMC. Now it became 100% wholly -owned subsidiary company. With this, we'll be able to launch products for inward remittance and outward remittance as small as a ticket size of about ₹3,000, as low as about \$2,000.

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We launched our SIF vertical under the APEX SIF brand with our first offering, the APEX SIF Hybrid Long -Short Fund. With the evolving investor needs and the rapid expansion of India's affluent segment, this category represents a significant growth lever for us. Building on this momentum, we plan to introduce a pipeline of new offerings as guided by SEBI's new circular in the near term to further strengthen and scale this platform. In line with this, we have further enhanced our investment capability with the addition of two specialists bringing deep expertise in long -short as well as derivative -based strategies using options and futures market .

Moving to the financial numbers, Q4 FY26 revenue from operation is at ₹458 crores as compared to ₹429 crores in Q4 FY25. Our Q4 FY26 operating profit was about ₹252 crores as compared to ₹233 crores in Q4 FY25 . Our Q4 FY26 profit after tax was at ₹187 crores as compared to ₹228 crores. This was actually on account of an increase in reduction in other income due to the mark -to-market actions for the quarter.

Revenue from operations for the full year FY26 was at ₹1,845 crores as against ₹1,685 crores. FY26 operating profit was at ₹1,015 crores as compared to ₹944 crores in FY25 . FY26 profit after tax is at ₹975 crores as compared to ₹931 crores in FY25. We are pleased to announce that the Board has proposed a dividend of ₹25.5 per share, somewhat equivalent to about 75% of profit distributions for the current quarter, for the full year

With this, I would like to open the floor for any questions. I'll be joined by Pradeep Sharma to take any of the questions that you may have.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mohit Mangal from Centrum Broking. Please go ahead.

Mohit Mangal: Good evening , everyone , and thanks for the opportunity. My first question is on the regulatory impact. So, from the first of April , we see that there would be a 5-basis point impact on the equity AUM. So how do you intend to mitigate the impact ? And what would be the net impact on our books?

A. Balasubramanian: I think the broad impact generally post the regulatory changes is in the range of about 3 to 4 basis points , roughly. But however, given the fact that the way the industry has been operating, the way we also have been operating, we will planned, do the structures in such a manner that it does have the

least impact as far as the P&L concerns, given the fact that the reduction is actually quite marginal , and suitably making these structures that we have both on the commission structures and other expenses. Keeping all those things in mind, we'll try and make it neutral to everyone and win -win for the overall business without having any kind of deep impact either for the distribution community or for our AMC business.

Mohit Mangal: Okay . So, you intend to pass on to the distributors basically , and there will be like 1 or 2 basis points' impact . That is what you intend to say?

A. Balasubramanian: No, we have not quantified any kind of exact number. I think we'll , of course , roll it out in the current quarter. And as of now, the assumption that you are making as far as the AMC impact concerns will be very marginal. We would look at it from all angles , how do we maintain the Aditya Birla Sun Life AMC Limited

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overall profitability ? At the same time, we also look at passing on optimizing the entire thing. We'll also , of course , since it goes across the entire distribution community, we also feel , even from a distribution point of view, even if it is marginally passed on, the impact will be the least.

Mohit Mangal: Understood. So , how has the flow market share been versus the book market share this quarter?

A. Balasubramanian: In line with the market share, yes. We have seen improvement in terms of our flows. I think if I have to just give you some kind of colour , one we achieved this quarter is better than the previous quarter in terms of flow of funds coming into the funds that we have been promoting, backed by reasonably good acceptance. More and more approvals are also coming in from the banking channel. That something is good news.

Second is the way we looked at it, as we've been saying for the last one, one and a half years, we will continue to focus on reducing the fall in the market share before we start rising. That's something again has happened in this quarter too. I think the overall reduction is a very , very marginal, narrowed quite significantly. With the improved flows , broadly I would say , we should come reasonably close to the market growth momentum very soon.

Mohit Mangal: Understood. Sir, my last question is on a few bookkeeping questions. First , what is the SIP AUM? Secondly, if you could quantify the ETF AUM. So, your fixed income includes the ETF AUM . So, if you can give me the ETF AUM. And lastly, the PMS and AIF revenue for the financial year '26 and Q4 financial year '26?

A. Balasubramanian: Sure. As far as I'll take the second question, which is the ETF equity rather than out of ₹41,200 crores, in the ETF , which includes gold and silver , roughly about ₹11,500 crores. And balance is actually a fixed income target maturity fund; you can call it. As far as the other question , the SIP book is about ₹76,000 crores.

Pradeep Sharma : Yes, so revenue share from PMS and AIF alternate is around 6% on gross basis, Mohit, and on net basis, it will be around 3.5%.

Mohit Mangal: Okay, understood. So, sir, just one follow -up. You said SIP AUM is ₹76,000 -odd crores. Last quarter , it was around ₹87,000 crores. So, it's just the MTM movement, right?

A. Balasubramanian: Yes, it's purely MTM movement.

Mohit Mangal: Pure MTM o kay. Thanks, and wish you all the best.

A. Balasubramanian: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Dipanjan Ghosh from the Citi group. Please go ahead.

Dipanjan Ghosh: Hello. Good evening. Just a few questions from my side. First , you mentioned in your previous comment that your flows in the funds that we have been pushing or funds or performance is good, there has been improvement in flows quarter -on-quarter. But if I look at the overall active Aditya Birla Sun Life AMC Limited

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equities as a cohort for you and look at , let's say , 4Q versus 3Q or 4Q versus last year's 4Q,

how the quarter -on-quarter and Y -o-Y look like for the entire active equity basket as a whole? My second question is on the expense side. You mentioned in your commentary that you've kind of expanded your team on the SI F side. You also have ambitions to continue to scale up your alternates and PMS businesses, offshore businesses. So, when I look at the employee expense growth, how should one think of , let's say , for the next 1 or 2 years in terms of the growth?

Finally, I have a few data -keeping questions. One is SIP flows for the quarter. The second is the ESOP expense for the quarter and year. And third is the number of employees outstanding as of 31st March 2026?

A. Balasubramanian: Sure. As far as the flows concern, Dipanjan, I think the last quarter , which I also mentioned , and this quarter also the way I look at it , what we are trying to build in addition to the arbitrage fund, which is also considered as active equity, where we have seen a good pickup in the first half of this year in terms of our arbitrage fund. Then we have started seeing pickup coming in Flexi Cap Fund, Multi Asset Allocation Fund, multi -cap fund, and Balanced Advantage Fund. So that's why we continue to see inflows , and even we are also promoting these kinds of five - six focus products.

On the thematic side, we continue to see flows in the GenNext Fund. Now we are seeing good pickup in the small and midcap fund , so that is the way we are pushing it. And third of course , where we are also losing some assets in the early part of the year is ELSS schemes. Thanks to the significant improvement that we have seen in the performance . In fact , our outflows have come down quite a bit. Though the asset as a category is not getting flows. But we had a bit of excess outflow initially for underperformance of the schemes. That got narrowed quite significantly. This year , we have seen a significant pickup. In fact, I must also share with you the number of funds that have delivered Q1 and Q2 performance in equity now gone almost about 85%.

In fact, in the current quarter , we have almost an insignificant portion of our funds in Q4. And that something is being accepted. In fact, during the current quarter, we got our products approved as part of the banking channel , which is also one of the pieces we are working on it. Now , wherever we got one product added now two products got added from the list of funds that I just told you.

So, I think each quarter -on-quarter basis we have been improving it. And hopefully , this year we will see that momentum continuing as far as the flow is concerned . That's why we are pushing the team for improving the productivity point of view. Then , the other two questions I'll ask Pradeep to just give you insight.

Pradeep Sharma: Yes. So, the other one was on the employee expenses you were talking about. So basically , see, we launched a new employee ESOP scheme in Q4, which we had an impact in the current quarter and that will continue in the next year in coming quarters also. However, that impact is not that really visible in the Q4 numbers . If you see, there's no increase from Q3 to Q4,

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largely on account of there was some employee -related reversals because of the performance variable pay performance, that has been offset during Q4.

However, going forward, there would be an impact of around ₹8 crores to ₹10 crores per quarter in the next year. So, this would be on account of ESOP and all. As far as you said on the employee, the two new employees, I think there should not be much impact, that is only a running employee cost , and normal inflationary employee cost should be there.

A. Balasubramanian: Yes. As far as your employee cost , in addition to everything that Pradeep mentioned , I think

from a team point of view, we are more or less there, except we'll add as we have an ETF passive gentleman left. So, we'll be adding one or two member team to build our passive business. Of course, we had an existing team , no doubt . But to head that business, we have some serious plans in order to bring in higher focus on passive growth as well. That's something which we'll do.

And second , of course, some people have left and therefore some people are coming in. So largely if I look at it from an employee cost point of view, there will be a marginal increase , not big time increase there . So, simultaneously , we will also keep looking at optimizing the existing resources, what additional responsibility we can take . And therefore , this will remain somewhat under control.

As far as the ESOP concerns , while I mentioned about next year impact will come, in fact , I must mention we rolled out our ESOP plan this year , well on time at close to about ₹845 price. In fact, this also boosted the confidence and motivation of the people, who are almost about 110 employees we covered. Therefore, I would probably say that with the improvement in performance and team also got motivated post -issuance of our ESOP. And this also should add to the overall opportunity for the fund.

Dipanjan Ghosh: Got it. If I can get the data point that I asked for, SIP flows for the quarter, number of

employees, those were the two questions.

Pradeep Sharma: Yes. Sure, sure. So, SIP flows of ₹1,208 crores is for March. And if you see for quarter, it is ₹3,600 crores. And employees are 1,650 employees as of March end.

Dipanjan Ghosh: So, 1,615 you said right ?

A. Balasubramanian: 1,650

Dipanjan Ghosh: Okay. So just one follow -up, maybe. I mean, if I look at your numbers this year, you started with around 1,630 employees, you went up to around 1,700 plus, and now you're back to 1,650 , despite the business momentum picking up. So , I mean, what's really getting captured in this employee count number?

Pradeep Sharma: So, we always see this, as there would always be some ongoing vacancies at RM level , etc., at the bottom of the pyramid, as well as we always keep on optimizing our employee strength and also keep on improving the productivity levels by way of implementing the new tech

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solutions , etc . So, I think 50 employees plus or minus will keep on happening always, depending on the optimization.

A. Balasubramanian: Also, we onboard certain segments of the business off -role people, then they come onto the onboard. So roughly about 80 to 100.

Dipanjan Ghosh: Got it. Thank you and all the best.

A. Balasubramanian: Yes, thanks.

Moderator: Thank you. The next question is from the line of Swarnabh Mukherjee from 360 One Capital. Please go ahead.

Swarnabh Mukherjee : Hi sir, good afternoon and thank you for the opportunity. Three questions from my side. First one on this regulatory impact. So, I just wanted to understand. And will we be getting some clarity on what is the full extent of the impact? Because we are already in the third week of April . And, so would it be like that we will have an idea as we close April or would it be like that optimization will continue for a few months as we move in there? So, if you could give some clarity on that.

Secondly, in terms of customers , how has the movement been during the quarter? The reason why I asked you this is that in the SIP slide , the growth that we are seeing in terms of flows , as well as new SIP registration that , is not reflecting so much in terms of the contributing SIP accounts.

So, I just wanted to understand the dynamics there that are our existing customers opening incremental SIPs , or how it is playing out in terms of onboarding new customers to ABSLAMC ? And also, if you could

help us understand that in terms of this incremental SIP

flow growth that has happened during this quarter , which channels are providing that? Is this coming from an online channel or any other kind of distribution partners who we have added? If you could give some colour on that. And lastly sir , if you could share the yields by asset class, that would be very helpful?

A. Balasubramanian: Yes. So as for your first question concern with respect to the optimization, I think see this is after multiple rounds of discussion , when the first circular came , and the final circular came.

All of you would have known , and as an industry we worked with SEBI and brought it to a scenario where it would have the least impact, including the broking firm with whom we deal with on the equity side.

So, in fact , I was personally involved in working with the other team members of the industry to see to it that it has least impact. So that's a broader approach in which we did. And then whatever the final that has come, the way we have worked out at this point of time is from the AMC profitability point of view, we will try and make it neutral if not positive.

As far as the distribution concerns and we are in any case in a scenario where we have always been ensuring that the distribution partners should work with us very closely. Therefore, we

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kept the commission structures in a manner it remains somewhat attractive for them in order to grow our business. There will be some marginal reductions could come. So that's way broadly I'll see it without having too much impact as far as them concerns. The way we are currently working out is from our profitability point of view, somewhat neutral kind of model. That's the way we are working on it. That's the way we are looking at building the whole plan. And as far as the SIPs are concerned , of course, we have seen some bit of cancellations this quarter, maybe I would say increased cancellations during the period of volatility. It used to be somewhere around about 45 % to 50% for the industry I'm talking about. It went up to almost about 92% for the industry.

In fact, our SIP cancellations were actually lower than the industry , I would say. But at the same time , these normally happens any such kind of volatile period we do see SIP cancellation

increasing. But that in my view is not so much generally is in a worry part because SIP registrations have not come down quite significantly.

SIP registration remains somewhat strong. So, in our numbers for the quarter if we see it's about 6.71 lakh as against 5.4 lakh in the previous quarter. Is the trend that we see. So therefore, this is something one good, big achievement I would say, as the industry all I've done, including ourselves, making SIPs agnostic to the market volatility.

In fact, I myself was during the volatile period, keep harping on the importance of not cancelling SIPs. In fact, I came up with a mantra, it's called, if you have an SIP, continue SIP.

If you have cancelled SIP, start your SIP. If you've never invested in SIP, start SIP something like that.

We actually came out with a campaign during that period. It's also being appreciated by people because during the volatile period, giving guidance to the investors is extremely important. In fact, we as a fund house all around the place in re-emphasizing the importance of SIP. In fact, that has been appreciated by a lot of our partners and investors that Birla is actually batting the front foot in promoting SIP, which hopefully should help us in building a SIP, that's one.

As far as the channel concerns, in fact, we have seen, digital of course, remains the dominant component, no doubt. MFDs, we have seen improvement during the current quarter due to the high engagement coming from our sales team, because improvement on performance,

the

narrative gives more confidence for them to go out in the market not having a fear of reaching out.

That something is helping our sales team as we go out in the market, talk about with a lot of proud that yes, we are doing well. So, that is helping us in improving our contribution coming from MFDs. Of course, a long way to go, no doubt. Second is the product coming as part of the approved list of banking channels. Also, improving the contribution of both the flows and SIPs. And third, of course, is the ND channel. Before the ND channel, our direct team channels also we are seeing an improvement on the direct team channels, both the HNI space as well as the PF and trust. We also have channels coming in the institutional space. That space is also, we are seeing STPs now contributions coming in. In fact, last quarter, some of the even

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institutional customers who probably invest in equity as well, had done equity when the market fell. So, that is broadly I see it. As far as the yield concern, I will just give it to Pradeep to give you insight.

Pradeep Sharma: Yields in equity category are around 62 to 63 basis points. And debt side, it is around 24 to 25 basis points. Liquid is around 12 to 13 basis points. ETF is around 6 basis points.

Swarnabh Mukherjee: Okay, sir. Understood. Thank you for the detailed answer, and I think really great set of numbers on the SIP side. Sir, just one follow-up if I may. In terms of the month of April. So, just wanted to understand that how are we seeing the month of April now that the volatility has kind of reduced a bit. And the markets have also started to show some encouraging signs. So, just wanted to understand you know, how you are seeing incremental uptake in the month of April?

A. Balasubramanian: Sure. So, I think March quarter, I think there was also pressure on the fixed income side due to the volatility as well as interest rates, and banks are under tremendous pressure to raise deposits. That did have an impact as far as the fixed income flows concerned. In fact, post RBI giving more liquidity, the borrowing calendar is more key towards the short term rather than the longer end.

As again, bond markets have come back to normal, liquidity has come back to normal, flows have also come back to normal. In fact, as I speak, our number has come back now close to about 445 in terms of running number. So, that's something as an overall desire, I would say.

As far as equity is concerned, we did have a conference, normally we have at the beginning of every year we run a conference taking all our distribution partners to one location.

We lock ourselves in to talk about what we have done last year and what we intend to do next year. In fact, we got a reasonably good response coming from distributors from across the representation of India, and that's something got a feeling that everyone wants to actually add and accumulate during the fall period rather than reducing the exposure. That's one feeling I got.

So, therefore, this, in my view, assuming these about 400 distributors participate in our conference, assuming I take that as a voice of representation of the whole community, probably we should see the flow is not getting impacted, given the fact market houses come back quite nicely.

From our side, we are seeing improved contribution. This too early for me to give that number, but I'm seeing improved actions. In fact, I must mention post our conference in Hyderabad that we had last week, entire my sales force has become extremely confident in order to improve their own productivity in every market. So, that's the way I would put it.

Swarnabh Mukherjee: Understood sir. This is all very helpful. Thank you so much , sir and all the best for FY27.

Moderator: Thank you. The next question is from the line of Harshit T from P

remji Invest. Please go ahead.

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Harshit T: Hi, sir, Harshit here. Sir , I joined a bit late, maybe you got covered it, but what was the equity yields which you mentioned , sir, the equity segment yield?

Pradeep Sharma: Yes. So, equity yields were 62 to 63 basis points , debt it was 24 to 25 basis points, and liquid 12 to 13 basis points.

Harshit T: Okay. Sir , when I look at the equity yields, at least if I back calculate broadly, so there is a good around 2 - 3 basis point yield reduction which would have happened this quarter. So I think if I take every other thing constant, then probably a 3-basis point yield decline in the equity segment. Is it anything particular to do here?

Pradeep Sharma: No, so there's no specific reason. I think this is the function of telescoping pricing as well as mix of products. So, both these things will have impact on this. Versus , if you see for last year , we had also actually in the earlier calls we have said last year we had some reversal because of the regulatory changes. So, if you see from last year to this year, there is a marginal drop of two to three basis points. So, I think otherwise , there is no specific point. And this would be considered .

Harshit T: So, just on the sequential part itself, and wanted to check that probably it looked like it declined?

Pradeep Sharma: So, there is no specific reason.

A. Balasubramanian: Yes, continue Harshit.

Harshit T: So, within equity , you are saying. There could be more passives, basically index funds etc ., would have increased that would have led to that decline?

Pradeep Sharma: Yes, the product mix .

A. Balasubramanian: Yes, otherwise , in the core products , there is no fall. Of course , as I mentioned , some of the funds are also bit growing in size to the extent the telescoping pricing impact very much about that I would say that is one component of it. But otherwise , even growing our passive would also get added to that segment.

Harshit T: Got it. So, just the other point you mentioned that the impact of the TER revision s, you would want to keep the distributor also , you would want the distributor commissions not being impacted . And then you said that we also want to ensure that our business is neutral in terms of the economics. But how can that be , really, do you expect that we should be having to take some hit?

A. Balasubramanian: No just to just to clarify that Harshit, we did some kind of math, just back -of-the-envelope math we just did. Let us assume a scenario that , if we were able to make it somewhat neutral or negative , say let us assume for the distribution partners, what impact will come. Given our current broker age structure , we have. So we have the current existing distribution structure that we have. So I would say we would be in the, I would not say too high, I will not say not too low as well.

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I think we are a little above say median I can say from compared to the industry people.

Therefore , we felt that what the impact it will come, that is assuming that 2-3 basis points is actually come at the cost to the distribution side. Then we felt the impact is very marginal , right from the people who get a larger AUM versus a smaller AUM. Then , for us also, given the fact this has come, we also relooked at some of our cost structures, how we can improvise it.

Therefore , we looked at across the board how we can actually ensure that the impact is less. Is also coming from the fact that , as I mentioned earlier in the call , whatever said and done , the initial fear which was there when the first circular came and the final circular when it came, in that call also I mentioned it will be more or less neutral, if not highly positive. So, we continue to maintain that.

These have to get evolved in my view, therefore we cannot say this will exactly work. Because anyway once it is done implemented, we'll come back to normal distribution structure , which normally we keep about 65% - 70% is the distribution structure. We will come back to that model. Therefore , we should not get confused in terms of who will get the impact and who will get the benefiting. We have to ultimately come back to the distribution model.

Harshit T: Understood sir. One last question. If I look at our net equity flows across all the active funds basically . I think last year , if I assume that in the interim we had some higher redemptions from the older schemes, then we had some higher redemptions in the online basically. So are we

because of the performance now being much more stable , and a larger track record of stable performance .

Is it fair to assume that right now we are at a stage that on a monthly basis , we are getting ₹250-₹300 crore s of net inflows as a bare minimum right now? Just trying to understand that have we reached a point that net of redemptions we are right now at a point that ₹250-₹300 crore s monthly inflows are more predictable inflows which we can get every month?

A. Balasubramanian: Yes. I think the trend is there, Harshit. I think you clearly articulated nicely in terms of how we are shaping up. In fact , though I don't normally say, last year's flows actually was two times higher than the previous year's flows. In terms of our flows. So that's again nothing but an effort that we are doing it. As I mentioned in my opening remark, whatever steps we have to take in order to bring in the talent side , wherever we have to improvise it. And responsibilities are changing and so on and so forth. Each of the areas the focus that we brought in, all round have started paying even. It takes some time for people to get adjusted and start delivering. In fact, when I mentioned about 80% of the funds today is in Q1, Q2 is already existing as an outcome of what we see. When the product is coming part of the approved list, is also the function of how now is coming in the radar with respect to the competition and so on and so forth. I think we are moving in the right direction , I would say.

Harshit T: So, sir is ₹200 crore s, ₹300 crore s number which we have already now at a stage there now that is the base minimum monthly flows, we are there at? Or you think that still we are not at ₹250 crore s, ₹300 crore s, it's still maybe a few months we get it, but it's not that number which we have reached on a more steady state basis as of now?

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A. Balasubramanian: Yes, I would probably say the number would be much higher than what you are indicating. So I do not want to say it right now , but I would we would probably push for higher than these numbers.

Harshit T: Understood. This is helpful.

Moderator: The next question is from the line of Meghna Luthra from In Cred Equities.

Meghna Luthra : Hi Thank you Sir. Just one question is sir, you mentioned on the banking front , we've got some approvals from some products. So, can we get some more colour on that ? And how do we see the strategy on the banking channel changing? I understand it's a small proportion of the AUM channel mix ?

A. Balasubramanian: Yes, sure. See, I think the way we look at our banking channel is who are the large key partners for Aditya Birla Sun Life Mutual Fund. It's basically starting from HDFC Bank, Kotak Bank, Axis Bank, ICICI Bank, and Standard Chartered Bank . And the other smaller banks , we can say, IDFC Bank and others. Bank of Baroda is a large distributor . While we used to always have a presence, but I think each one of them has to generate in terms of volume coming in , and that we are seeing it across each of these channels.

Second , like HDFC Bank , they have tightened

their product recommendation after the 2019

financial market crisis. So, they don't promote more than three or four products in part of the list. In fact, I'm happy to say two of our products are part of the recommendation list. And that something is also helping us because our engagement is good, connectivity is good, and high product coming on recommendations it leads to increasing flows.

That's something we are seeing. And we have seen Kotak Bank is also part of our wealth management team and retail team of Kotak Bank to convey for us. In fact, two or three of our two of our products is part of the recommendation list. As I understand their constraints, they cannot give more than two products per fund house on the basis of their performance selection. So, I am happy to say these are some of the products coming as part of their recommendation list purely on the basis of performance improvement, engagement, their own conviction and understanding of what we are doing would deliver then the much desired outcome. So that's the way we are pushing it. And this is something that would help us in keeping that momentum continuing.

Meghna Luthra: Got it. And on the flows part, would the banking contribution be materially different than the others , specifically on the equity assets?

A. Balasubramanian: So, I would say materially different from the past. Our flows had come down quite significantly from this channel, because products were not part of the recommendation list. So now with the engagement being there, that product coming in as part of the recommendation would lead to actually increased flows. Of course, even pushing the sales team to take full advantage of high engagement with the team, which I think the team is also doing it.

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On MFDs, they have the regular flows because we have deep connections ; even MFDs when we connect, we do not look at them only as our distribution alone. We actually add a lot of

value addition , we give by providing guidance , and we run a program called Legacy Leap, and we run a program called Fulcrum in order to encourage the next generation of distribution partners who have a long association with the distribution partners for 30 years. And old generation wants to develop the next generation.

In fact, we as a fund house take a lot of leads in generating in helping the next generation to build the business. All such things we are doing it in order to ensure our traditional channel , MFD channel , improves while the organized channel continues to get better. And direct is something we have made an investment . Last one and a half years we've been making investment on direct team . We're also we bringin g more sharpness in terms of improving the number.

And then the last piece actually is the digital channel . Last year I still remember we got close to about 15 lakh new customers added to the online channels in some of our funds like PSU Equity Fund and a few others. And that segment , we are we are pushing ourselves as to how we can increase the contribution from the digital channel as well. So, all around these kind of sharper focus, I'm sure each of the channels they start contributing better than the previous year. That should help in terms of keep build ing the momentum.

Meghna Luthra: Great. And lastly , on the product pipeline, what would be on the equity side?

A. Balasubramanian: Yes, one of course S IF we have already filed, that's something which will launch very soon.

And second , under the new category , we have looked at some of the merits of having business , what you called lifecycle kind of funds , we are looking at. We're also looking at some of the REITs and InvITs fund if the SEBI gives approval. That's something we are looking at it. And that is the part of the part of our regular exercise.

In fact, we are also looking at our GIF

T City product. I must mention that we were to launch

in GIFT City product investing in the emerging market without knowing whether how the emerging market is going to do. In fact, that fund has done extremely well , giving good experience to investors, giving about 35% dollar return on a one -year basis.

That's something it was a Close -End fund, we are now looking at launching the Open -Ended fund in the GIFT City. So, we have these plan also is in place. As per the domestic concerns, in addition to the lifecycle fund , which I mentioned about, I think the Fund of Fund is also done well but we've not seen much growth, deserving growth , I would say, that 's something again we are pushing it.

Meghna Luthra: Got it Sir. Thank you that's all from my end.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand over the conference over to management for closing comments.

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A. Balasubramanian: Thank you, everyone , for joining for this call. And with this , we conclude our Q4 FY26 Earnings call . Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of Aditya Birla Sun Life AMC Limited that concludes this conference. Thank you for joining us . And you may now disconnect your line s.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

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Call: Jul 2026

Ref. No.: ABSLAMCL/PS/ 57/2026-27 July 24, 202 6

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor,
Dalal Street Mumbai - 400 001 Plot No. C/1, G Block,
Scrip Code: 543374 Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051
Symbol: ABSLAMC

Dear Sir/ Ma'am,

Sub: Transcript of the Earnings Conference Call for the quarter ended June 30, 202 6

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call on Unaudited Financial Results of the Company for the quarter ended June 30, 202 6, held on Tuesday , July 21, 202 6.

The above information is also available on the website of Company at <https://mutualfund.adityabirlacapital.com/shareholders/financials> .

We request you to kindly take the aforesaid information on record .

Thanking you.

Yours sincerely ,

For Aditya Birla Sun Life AMC Limited

Prateek Savla
Company Secretary and Compliance Officer
ACS 29500

Encl: as above

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Q1 FY27 Earnings Conference Call "
Tuesday , 21st July 2026

MANAGEMENT TEAM:

- MR. A BALASUBRAMANIAN – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICE R – ABSLAMC LIMITED
- MR. PRADEEP SHARMA – CHIEF FINANCIAL OFFICER – ABSLAMC

LIMITED

• MR. PARITOSH CHITTORA – HEAD OF INVESTOR RELATIONS –
ABSLAMC LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Aditya Birla Sun Life Asset Management Company Limited Q1 FY27 Earning Conference Call hosted by RI K Capital.

We have with us today from the Management Mr. A. Balasubramanian – Managing Director and CEO, Mr. Pradeep Sharma – Chief Financial Officer, Mr. Paritosh Chittora – Head Investor Relations.

As a reminder all participant line will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing “*” then “0” on your touch-tone phone. Please note that this conference is being recorded.

Before we proceed with this call, I would like to take this opportunity to remind everyone about the disclaimer related to this conference call:

Today's discussion may be forward-looking in nature based on management current beliefs and expectations. It must be viewed in conjunction with the risk that the business faces that could cause our future result performance or achievement to differ significantly from what may be expressed or implied by such forward-looking statement.

I now hand the conference over to Mr. A. Balasubramanian Thank you and over to you sir.

A. Balasubramanian: Thank you. Good evening, everyone. Thank you all for joining the call for Q1 FY27 Investors Call. I hope you all had the opportunity to read through the Earnings Presentation. It's available on both the stock exchanges and our company website.

Let me begin by sharing our perspective on the current macroeconomic environment. The global economy as is known has shown real resilience this quarter navigating the uncertainty from the West Asia conflict with the limited impact on activity so far. We continue to have uneasy kind of calm. The IMF projects global growth moderating to about 3% in 2026 and before improving to 3.4% FY27. As war-related disruption gives way to the strengthening of AI and technology investment cycle.

Inflation may rise modestly keeping Central Banks cautious on easing. Risk from geopolitics, commodities and trade fragmentation remains but outlook is more balanced with the resilient demand and technology-led productivity gains. India has handled this crisis better than most energy importing economies held by diversified imports, timely policy actions and strong buffers and regulated fuel pricing.

That said, the higher import costs have pressured the external account with some pass-through into domestic prices. That is why we are seeing the FCNR deposit also being announced by RBI. And growth remains supported by strong private consumption and steady services, improving investment and healthy balance sheet of companies and continuing government CAPEX.

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The key risk is the monsoon, with the IMD expecting below-normal rainfall due to El Niño.

Though comfortable foodgrain stocks, healthy reservoirs, and better supply management should soften any food prices impact compared to the past years.

Overall, the near-term challenges are real, India remains on track to be among the fastest-growing major economies.

Coming specific to the equity markets, Indian equities were volatile but broadly resilient into this quarter, with sentiment shaped by domestic strength, earnings expectations, FII flows, and global developments. And while large caps stayed range-bound amid bouts of profit booking and broader markets outperformed with the Nifty Midcap 150 and Nifty Smallcap 250 both posting gains. FII outflow at various points sustained domestic institutional flows and improving macro fundamentals helped Indian equities to close the quarter on a stable note.

Coming to update on the mutual fund industry, the quarterly average AUMs

stood at ₹83.14

lakh crore as on 30th June 2026 compared to ₹72.13 lakh crore as on 30th June 2025, registering year-on-year growth of 15%.

The SIP contribution for industry stood about ₹31,780 crores for June 2026, representing year-on-year growth about 17%. Total mutual fund folios were at ₹29.1 crores as on June 2026, growing by 19% year-on-year, with unique customers close to about ₹5.7 crores.

During Q1 FY 2027, the industry saw total NFO collection of approximately ₹4,759 crores across equity and debt mutual funds, with equity collections driven by index funds, aggressive hybrid funds, and value funds. Despite equity market volatility, industry witnessed continuous

flows into various schemes, highlighting sustained investor confidence in the long-term growth potential of Indian equities, though we witnessed marginal slowdown in the overall SIP flows. Individual average AUM for June 2026 stood at ₹51.08 lakh crore, contributing for 61% of the total AUM. B-30 cities an average AUM of ₹13.6 lakh crores accounted for 18.5% of the total AUM, growing by 13% year-on-year.

Coming to the ABSL AMC performance highlights. At ABSL AMC, we are pleased to announce that overall average AUM, including Alternate assets, surpassed the ₹6 lakh crores milestone this quarter and now stands at ₹6.28 lakh crore, reflecting robust 42% year-on-year growth. This includes the mandate received from both ESIC and EPFO. EPFO got added in the last quarter. Therefore, overall average assets for about one and a half months got added to the overall assets under management. We are pleased to share that we have been entrusted the EPFO mandate approximately about ₹6.08 lakh crore. With this landmark addition, our closing total AUM as on 30th June 2026 has crossed the ₹10 lakh crore milestone. This achievement reflects the trust and confidence our clients and partners have placed in us over the years and stands a testament to the strength of our franchise and investment capability.

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Our mutual fund quarterly average AUM stood at ₹4.28 lakh crore, representing 6% year-on-year increase. Within this, our equity mutual fund quarterly average AUM stood at approximately ₹1.99 lakh crores and growing about 10% year-on-year. Our equity mix for the quarter stood at 46.5%.

Our SIP contribution for June 2026 stood at ₹1,085 crores, supported by 40 lakh folios contributing to the SIP account. The total investors folio for June 2026 stood at 1.11 crore, with the new SIP registrations for the quarter is approximately 5.5 lakh new SIP registrations.

Our SIP book remains a corner stone of our long-term wealth creation strategy. Through campaigns like Sabse Important Plan, we continue to reinforce the value of discipline and systematic investing.

To take our SIP book to the next level, we have launched focused initiatives for both employees and partners. We expect these to drive our stronger outcome in the quarters ahead. Though we have seen this quarter a marginal reduction in the SIP book, something we continue to remain a big focus area to drive to the next level of growth momentum. Our investment performance continues to demonstrate strong consistency and meaningful improvement across both our equity and hybrid portfolios. For the past year, we remain focused on strengthening our investment capability, enhancing our investment team, and refining our portfolio construction investment framework. In fact, it is reflecting on the overall performance improvement, not just only in the short term, even in the medium-to-long term, our performance has been showing an improvement.

These efforts have translated into significant, not only performance, it also strengthened the investors' confidence and supported healthy inflows across our flagship offerings such as Flexi Cap, Balanced Advantage Fund, Mid Cap, Multi-Cap, Small Cap, Index

Fund, where we have

seen the inflows on a month-on-month basis showing an improvement. In fact, most of these funds now also feature on the recommendation list of our banking channel partners, which will further support flows in going forward. In fact, this quarter, our product got added to the two of the large banks as part of the recommendation list, which I hope to improve the overall sales numbers from these channels as we move forward. Strengthening and expanding our distribution network remains our key priority in order to improve the overall sales productivity. In fact, I have undertaken what's called Yatra across various cities in India in order to meet all our distribution partners and the investment community at large. These interactions have brought several insights from the ground, what customers are thinking and how we are perceived by the market, which has given us a great confidence that we are on the right track towards growth, building on the legacy, goodwill, and market equity that we have garnered over the decades. Technology and innovation remain at the heart of our customer-first approach. Our efforts to enhance the overall investors' experience. As part of a digital transformation journey, we have launched series of technology-led initiatives. Our Gen AI-powered chatbot is designed to engage investors early in their decision journey, understand their needs, and guide them towards relevant investment actions without requiring human intervention.

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We also launched our new distributors and investors app, enabling enhanced portfolio tracking, seamless transactions, and improved business management. In addition, our WhatsApp-enabled servicing platform helps investors and partners access services more conveniently and

efficiently. Turning to our Alternate business, we witnessed good growth during the year. Our PMS and AIF assets increased about ₹28,650 crore as of Q1 FY26 to nearly ₹2 lakh crore, which includes the EPFO flows. This growth was largely supported by ESIC and EPFO mandate, which I mentioned about it earlier. We also launched the ABSL Select Sector Fund during the current quarter. The fundraising is still underway. Along with that, we also have fund launches, which is a Structured Opportunity Fund II, a Money Manager Fund, an India Select Sector Fund. In addition to the Special Opportunity Fund Series II, in order to build our PMS and AIF portfolio.

These offerings broadly in line with the investors' demand and from differentiated portfolio and investment opportunity point of view. In our real estate business, our AUM stood at approximately ₹700 crore, reflecting a 25% year-over-year growth. Fundraising is currently underway for the Aditya Birla Real Estate Credit Opportunities Fund - Series II, which focuses on senior secured lending opportunities and post-approval brownfield real estate projects across Tier-1 cities. With the recent grant of our retail license at GIFT City, we are enabling NRIs and global investors to seamlessly access both inbound investment into India and outbound opportunities across global markets. Building on this momentum, fundraising is currently underway in our ABSL Flexi Cap Fund, which is a feeder fund. We have seen a marginal success in this space to get money from NRI investors to invest in India feeder fund through the Flexi Cap Fund.

We are also on track to launch a retail product via GIFT City in the upcoming quarter, including emerging market equity fund and India growth fund, and also launch series of index funds to invest in global markets. With a growing product suite and GIFT City global investment ecosystem, we are well-placed to build a scalable offshore franchise in the coming years. Let me now turn to our passive business, which remains one of our key strategic focus. We continue to see significant opportunities in

this segment and remain committed to building leadership position through a comprehensive product suite, a strong distribution network, and strength of our brand. To further strengthen our business in this space, we recently appointed Hemant Bhatia as Head of our Passives, along with a team of people under him. He brings more than two decades of experience in building passive and ETF business in India, we assume he will play a critical role in driving product innovation, strengthening investment capability, and accelerating growth in this segment, as well as add new customer base through this business model. During FY27, our passive quarterly average AUM stood at approximately ₹40,000 crore, representing 14% year-over-year growth. Our investor base also continued to expand, with the total folio reaching about 17.4 lakh. Within passive, our ETF franchise delivered particularly strong momentum. ETF quarterly average AUM grew by about 47% year-over-year, significantly ahead of the industry growth, about 29%. Today, our passive product suite comprises of 52 offerings spanning equities, fixed income, and commodities, the solution, enabling us to carry out the broadest spectrum of individual portfolios.

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In the Apex SIF segment, we launched our first SIF, the Apex SIF - Hybrid Long Short Fund, backed by our strong investment team. Before building our size in this space, we want to establish performance track record for six months. Now that six months is over, now we start building a size in this space. In order to build further momentum, we are also now preparing to launch two more SIFs, equity long short fund and Equity Ex-Top 100 Long-Short Fund. This additional further scale our SIF platform, tapping into the new product segmentation, which I think we can build size. Also to support this business, we strengthened this team by adding two more specialists to run these products for us.

Moving to financials, Q1 FY 27 total revenue is about ₹625 crore as compared to ₹565 crore in Q1 FY26, up by 11% year-over-year. Q1 FY 27 profit before tax was ₹406 crore as compared to ₹372 crore in Q1 FY 2026, up by 9% year-on-year. Q1 FY27 profit after tax, ₹309 crore as compared to ₹277 crore in Q1 FY 2026, up by 12% year-on-year. With this, I would like to open the floor for any questions that you may have.

I will be joined by Pradeep to take any of the questions that you may have.

Moderator: Thank you, sir. Ladies and gentlemen, we will now begin with the question-and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Our first question comes from the line of Swarnabha Mukherjee with 360 ONE Capital. Please go ahead.

Swarnabha Mukherjee: Hi, sir. Thank you for the opportunity. Two, three questions from my side. First of all, sir, if I were to calculate the yield for the, you know, primarily focusing on, you know, the active part of the business and, you know, keeping out the AUM for the ESIC and the EPFO mandate, I mean, I can, by my calculation, I am seeing some increase in yield. Just wanted to understand whether, you know, this is the right approach and, you know, the increase, how should we think about it? Is this an outcome of the TER regulation? And we have actually slightly

benefited, if you could highlight on that.

Second is also if you could call out the segment-wise yield, that would be very helpful. Thirdly, sir, wanted to understand on the employee expense part, what is the reason for the increase and is there anything one-off there? And also, if you could call out the ESOP number in that. Yes, this will be my question, sir.

A. Balasubramanian: Sure. Just ask Pradeep to answer

Pradeep Sharma: So, Swarnabha, this BER actually, now, this was effective from 1st April, 2026. So, that has been rolled out completely. And we have optimized

the commission structure along with the management of cost. And this is win-win for both, as an AMC for us, as well as for our partners. So, that has been rolled out. And the yield, what is there in Q1, reflects the true picture and will be maintained going forward in these levels.

Yes. So, coming to the yield levels for equity, it is around 63 to 64 basis points. Debt should be around 24 to 25 basis points.

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And liquid would be in a range of 12 to 13 basis points. And ETF, around 8 basis points. So, these are the yield levels.

Coming to employee cost, employee cost for this quarter has increased mainly due to the ESOP cost. If you remember, we actually rolled out the ESOP for the employees in Q1, from effective January 26. So, this is because of that.

The impact of that is around 10 crores per quarter of the additional employees cost through the ESOP. And roughly, the employee cost, which is there in Q1, should continue in the same range for coming quarters.

Swarnabha Mukherjee: Yes. Okay, sir. Very helpful. Understood that, sir. Just a follow-up on the headline yield number that you have mentioned. So, as you said that this is a true picture.

Now, how should we think about the overall dilution of the yield going forward as our AUM increases? And also, if I could squeeze in another question, more on the broader industry level that we are seeing this trend that a lot of manufacturers are focusing on the passive side and the ETF side and planning to develop that. So, over the next, say, 3-5 years, how would you be foreseeing the industry, say, from the active side as well as from the passive side? How should we expect things to develop?

Pradeep Sharma: Yes Swarnabha, so by and large the regulatory changes have been now rolled out. And now, the only thing which will come in play is the telescoping pricing, which will be based on the AUM size, which will grow, right, as you are aware. So, what we can do as a business, we would like to maintain our yields, plus, minus, few basis points. Basis the mix which we will be working on through the Alternate business. So, we feel that, going forward, the yield should be in the similar range, barring one or two basis points here and there, plus the telescoping pricing.

A. Balasubramanian: Just to add to that, in terms of passive business growth, the way, as Pradeep was mentioning, as the size improves, definitely the telescoping pricing will be coming in. But we also believe that active will continue to be the dominant asset class when it comes to the question of overall momentum growth. But having said that, the passive is something, in order to build choice to the customer, at the same time, ensure that asset allocation remains key.

So, passive is something we have now invested on people who have a passion towards building passive. The way we are looking at passive is it should help us build scale and get more. At the same time, it has to be an extremely low-cost kind of product.

So, I think the way we are looking at, it will add to the overall profitable numbers, in terms of absolute profit. Of course, the margin could be lower, given the fact that we pass on the benefits, both to the customers, as well as in the form of low expenses. But in terms of addition of profit, revenue, as well as the bottom line, that is the road map in which I think we are planning to drive.

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Even the Gift city to the product that we will be looking at doing, especially for investing in overseas markets, that also we are doing with a similar intention. Of course, the expenses could be lower than the actively managed funds. But at the same time, given the fact, it could be relatively lower.

But the absolute profit that will add to the scheme will remain high. But in terms of mix, I

think the way we see is that today, if we look at the passives, about 11 lakh crores, roughly, is the size. If you knock off mandate-based investment, the pure retail would be roughly about 2.5 to 3 lakh crores. Within that, if you take large components coming from gold and silver, again, it will remain one of asset class for us to focus, which gives reasonably good profitability

as well. So, maybe this number will keep rising. At the same time, our intent is actually to build size in the key product, which is where we believe that, given the comparable asset class in the same size if we take, given the significant improvement of performance that we are witnessing, we will focus on building a size in our core product, which is what our current focus is.

While building our base for the passive and ETF fund.

Swarnabha Mukherjee: So, this is very, very helpful, sir. Thank you so much, and all the best.

Moderator: Thank you. Ladies and gentlemen, anyone who wishes to ask a question, press star and one.

Our next question comes from the line of Mohit Mangal with Centrum Capital. Please go ahead.

Mohit Mangal: Thanks for the opportunity and good evening, everyone. Sir, you just said that the commission was restructured. So, out of five bps, how much was kind of transferred to the distributors?

Pradeep Sharma: So, Mohit, actually, we have optimized the commission structure so that it is win-win for both. So, there is no on terms of basis points. So, we have reviewed the entire whole ecosystem of commission, and we have ensured that it should remain neutral for everyone and win-win for we as an AMC as well as for our distributor partners. And then the outcome is that, by and large, our yields also remain intact, and by and large, distributors also maintain their margins.

A. Balasubramanian: See, the broad approach we have taken on this phase is, when you mean by win-win, is something neither I can make too much profit nor we can take hit at the same time from distributors' point of view also. So, when we re-looked at the whole model and looking at the account, this is already the sharing formula that we have. I think the basis which our own assessment is that there is no significant benefit or the loss. So, that's the way we approach. With the marginal here and there, some benefit would have accrued to us, some benefit would have got accrued to distributing community, but broadly we have kept it more like a neutral kind of impact.

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Mohit Mangal: Understood. So, second question is that we have kind of lost market share in SIP as well. So, just wanted to know that even your opening comments, you said that your flagship schemes have been doing well. So, where are we seeing problems within the SIP? Is this non-flagship schemes or how should one look at it?

A. Balasubramanian: No, flagship scheme, our effort has been to build. I think flagship scheme as it is, our 7-8 flagship schemes we have mentioned, we are seeing improved flows even compared to the last year as well as even this quarter too. I think largely our SIP, especially in the ELSS schemes we are seeing, generally outflow in the industry and we did have impact on some of the ELSS schemes. Even industry this time the cancellation rates are higher than the previous quarter. So, to some extent I would say that has added to the, of course sometimes some of the, we have seen some cancellation in that. But having said that, the core schemes, that is one of our intended core 7-8 schemes that we have identified, is the one where we call it the focus product, where we are seeing improvement in terms of SIP registration as well as SIP drive. So, this quarter was more or less as a result of what I just mentioned. Then secondly as far as the fixed income concerns, I think the volatility that we witnessed in interest rates, especially in

the month of May, May was actually a little panic month when it comes to fixed income and fixed income we do have large size in the non-liquid fund, liquid fund plus category which is basically duration based. We did lose some bit of money.

In fact, all the money has come back in June end and July. At least for a month, I think it affected in the month of May, that's why it got impacted in the average asset. Otherwise had it gone in the June end, it would not have had an impact.

They went in the month of May and coming back after a month gap, so it had an impact on the overall average assets.

Mohit Mangal: Okay. Data keeping questions. If you can spell out the PMS or AIF for the non-mutual fund revenue for the quarter and the SIP AUM?

Pradeep Sharma: SIP AUM is approximately 87,000 crores for quarter. And PMS and AIF contribution, if you see contribution on total revenue on gross basis is around 7% for the quarter. And on net revenue basis, post payout of commission to distributors is around 4% on overall revenue.

Mohit Mangal: So, out of 4, 63%, 4% would be PMS and AIF revenue, right?

Pradeep Sharma: Yes.

Mohit Mangal: Yes. Understood. So, thank you and wish you all the best for the entire year. Thank you.

Pradeep Sharma: Thank you.

Moderator: Thank you. Our next question comes from the line of Lalit Mohan Deo with Equirus Securities. Please go ahead.

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Lalit Mohan Deo: Thank you for the opportunity. Yes. Thank you for the opportunity. So, I have two questions. So, firstly, in this particular quarter, you just mentioned that we are seeing some healthy flows in our flagship products. So, just wanted to understand if you could give some more color into it, like in terms of the market share, how is it tracking with respect to our overall market share in flows in those particular schemes? And also, if you could also give some color on the – from a channel-wise perspective, like where we are seeing some healthy flows and where we are seeing probably some redemptions over there, probably on the distributor side or banking channels?

A. Balasubramanian: Yes. See, with respect to these core funds, though I am not tracking the exact how much is the improvement in the market. I generally look at the flows.

The core funds, such as FlexiCap, Balanced Advantage Fund, Multicap, Small Cap, MidCap, and Multi-Asset Allocation Fund – these are the generally core funds, including I am even seeing flows coming into our PSU equity fund, given the fact that good performance track record. And we are seeing flows in these core funds. And our idea is actually to ramp up the flows into these funds by keeping this as a high-focus area for the entire sales team across the country.

And wherever even I have been traveling with my sales team across the different parts of the country to push our overall engagement, I do see positive vibes coming from each one of them, acknowledging that some of our fund performance is even we are doing better than the competing funds in the same category, where the volume would have gone in the last three, four years. There is a high realization which is that. And second, with respect to the channels, I am seeing more or less steady growth, but I see MFD volumes gradually picking up.

With the banking channel, earlier, some of our products were not part of the approved list. We already started seeing products now becoming part of the approved list. Recently, HDFC Bank has approved some of our products, and Kotak team on boarded some of our schemes.

And we have seen already product approved part of HDFC, YES Securities, YES Bank sorry, as well as on Standard Chartered Bank, and also some of the other wealth management firms, including LGT Wealth, Ask Wealth, and IndusInd Bank. Some of our products were probably missing as part of their comparison, such as FlexiCap Fund, Balanced Advantage Fund, even

our equity savings fund on the fixed income category. These are now getting added to the overall recommendation list, which in my belief is given the fact that our engagement is pretty good, and also, they normally sell the products that are part of the recommendation list. I see improvement coming from sales engagement, leading to a better outcome from these channel partners. We are already seeing this coming in some of the bank channel partners. In fact, HDFC Bank added only a FlexiCap Fund only in the last two weeks, and adding to the overall AUM growth.

Lalit Mohandeo: Sure, sir. Thank you for that detailed answer. And sir, just one data-giving question too. Could you also spell out the total number of employees as of June end?

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Pradeep Sharma: So, total number of employees as of June end is 1638. Sure, sir. Thank you.

Moderator: Thank you. Our next question comes from the line of Abhijit Sakhare with Kotak Securities. Please go ahead.

Abhijit Sakhare: Hi. Good evening, everyone. So, my first question is a clarification on the data. When I look at the slide number 11, where you have the closing and the average assets under management, I just wanted to clarify that I would have thought the equity AUM, the closing AUM, would be slightly higher than the average for the quarter, given the returns from the market and we have seen with other players. So, just wanted to clarify that first. And second question is, in terms of the ESIC mandates, if you could give some idea in terms of what would be the annualized revenue from these mandates. And last question, sir, would be just a qualitative one in terms of flows. What would you say would be the top two or three funds where you expect maximum flows in the next 12 months? Thank you.

A. Balasubramanian: So, in terms of funds that we see maximum flows with respect to the competing funds, also the funds that remain relevant from the broader distribution community point of view when it comes to allocation of money. First and foremost, FlexiCap fund. Second is Balance Advantage Fund. And third is the Multi-Asset Allocation Fund. And fourth is the Small Cap Fund. Though we don't position Mid Cap at this point of time, we also wanted to do justice in showing high conviction on that space but however, we are seeing some of the flows coming in.

Among the thematic and Pure Value fund also, we are just positioned. But otherwise, largely these four, five funds. In the hybrid category, both the SIF, the new one that you have launched, as I mentioned, we want to establish performance track record before we start pushing it. Now that we have in place, again, we are driving that from an overall closed fund view. Equity

Savings Fund again comes with equity taxation from a view. The large pool of HNI investors who does not have major exposure in terms of equity return, that also we have positioned. In fact, some of the conservative investors, we have positioned that as a scheme for flows. That way, broadly we have positioned. But key schemes largely remains Flexi Cap, Multi -Asset, Balanced Advantage Fund, and Small Cap. With respect to the ESIC. ESIC mandate, of course, in terms of the revenue, very marginal. We don't earn any much on this. Of course, we do have a team of people, who actually have a separate team of people for managing both the EPFO and ESIC mandate. That's what the requirement is. Otherwise, in terms of revenue, it doesn't add much revenue to us. It doesn't give a big revenue, but definitely it opened the gate for privately managed EPFO, through which we are seeing somewhat of tractions in terms of flows coming to us. Passive funds as well as Active Managed funds though it's a small beginning, we are giving a complete re -push. Rather, we are emphasizing the need for reaching out to 1,350 EPFO to

contribute from their equity contribution to our existing funds purely on the base of the mandate that gives us the edge over others for us to get closer. In terms of closing versus average, Pradeep is just giving a clarification on that.

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Pradeep Sharma: Abhijeet, average equity AUM for Q1 was ₹198,722 crore and closing also was ₹198,969 crore. Because if you see during the quarter, there were dips in the market, that's why the average also is in the range of closing only. I think you were saying that why this is in line with closing, there should be some movement basis the market movement. If you see, however, during the quarter April to June, there were days wherein market also have dipped. That's why average is also in the similar line.

Abhijeet Sakhare: Got it, sir. Sir, last question Pradeep, sir. Any OPEX growth outlook for the year?

Pradeep Sharma: OPEX, I think, remain within the inflationary guidelines. Employee cost, as we discussed in the first call, should remain largely in the similar range as we have already factored in the ESOP cost, etc., which based on the new ESOP plan, which was rolled out for the employees. Other than employee cost, it should largely remain as per the normal inflation. There are no cost shocks, I think, as of now.

A. Balasubramanian: Yes.

Abhijeet Sakhare: Got it. Thank you so much.

Moderator: Thank you. Ladies and gentlemen, anyone who wishes to ask a question may press star and one. Our next question comes from the line of Dipanjan Ghosh with Citibank. Please go ahead.

Dipanjan Ghosh: Hi, good evening, sir. A few questions from my side. If I look at your non -mutual fund portfolio, this is excluding the large mandates from EPFO and ESIC that you have received. If I look at the AUM, ex of that average AUM, from 1Q '24 to 1Q '21, which is almost a three -year horizon or two, three -year horizon, things look largely stable in terms of the average AUMs ex of the large mandates, despite onboarding new teams, strengthening the sales franchise, etc. Just wanted to understand if I were to take a two, three -year view and given that the market space has kind of widened, your franchise has deepened. How should one aspire to either look at AUM or revenue contribution from this ex large mandate non -MS book? That's the first question. The second question comes back to the SIP market share. If I understood correctly, you mentioned that ELSS has seen some amount of rundown and maybe a little bit of pressure in terms of flows. Correct me if I am wrong, my understanding would be that ELSS contribution to SIP at an industry level might not be that relevant. Unless ELSS SIPs for you guys are a meaningful contributor, triangulating the SIP market share decline quarter -on-quarter or at least from March to June looks a little challenging. In case you can give some color on that or maybe the quarterly SIP data that would be useful, ex of maybe ELSS also. Third question would be on the fee and commission expense. Is it fair to assume that the increase that you are seeing in fee and commission expense over the past few quarters is largely attributed to the all non -MF business, basically, and that should kind of remain robust given the product pipeline that you have? Those are my three questions.

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A. Balasubramanian: With respect to the first question around the AIF side. If you look at our Alternate business , we divide them into three categories, one is the PMS long only equity, which is in the listed space, where we have roughly about ₹5,000 crore kind of size. While we have grown with the last-, that's an asset class we want to build size. In fact, we are already part of this. Some of these leading wealth management teams approved list. Definitely, we have a target to take it to anywhere

between ₹20,000 crore, ₹21,000 crore over a period of next three years. The second category, we have built where we have built internal capability as well as the team is to build AIF Performing Credit as well as the AIF Money Market Fund in the AIF category. Third is the AIF Real Estate Credit Fund.

Real estate credit fund, we have established reasonably good track record return to the investors. The same way AIF Performing Credit. So far, we have been able to deliver close to about 14% return, which again is being seen by people underwriting that we have done reasonably acceptable underwriting that we have done. With that our intention is to build the size to the next level. I think each one of them will gun for about anywhere between ₹5,000 crores to ₹7,000 crore kind of size to start with. That is one of the reasons we also given a commitment from our AMC P&L in order to provide seed capital up to 10% of the fund size. At the same time, we will provide a temporary bridging gap whenever they have a deal so that we can participate in some of the large deals at the same time get money into the fund. That is the model we applied as far as the AIF performing credit funds.

Third is, of course, the GIFT City. GIFT City is something we have now got the retail license. Clearly, we have a roadmap in building GIFT City both for inward remittance and outward remittance. In fact, the three, four gentlemen who are joining on our passive side they are quite convinced and quite bullish in terms of building GIFT City as one of the route for domestic savings to get diversified into the international equity market. Therefore, we will launch a few products in that segment. That is what I think will build the size. As well as domestic concerns, even the passive side some of these institutional investors as well as HNIs who largely chooses the passive funds as part of the normal asset allocation. That also we have put some kind of in place. In fact, the new team of people is also quite convinced and passionate about building a passive. Therefore, this is something which the fourth category will do. That is the way we are building the overall size. In fact, the way we always drive our Alternate business should not only attribute to the overall AUM growth, but it should also attribute to overall profitability so to speak. That way we build it. The second question, Pradeep is just answering.

Pradeep Sharma: SIP cumulative contribution for the quarter was around ₹3,300 crore which is actually in line with Q4 numbers also. In fact, in Q4 also, the contribution was around ₹3,300 crore. However, there have been month-on-month fluctuations. This is one. Secondly, you asked about the Alternate revenue.

A. Balasubramanian: Alternate revenue.

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Pradeep Sharma: Yes, revenue. I think largely we feel that because all our verticals, LOBs are largely we feel in coming quarters, I think the revenue or contribution for Alternate should be in the similar range except 1% or 2% here and there, I think should be there. Because all our LOBs are firing, all our LOBs are growing. We feel that in coming quarters, this should remain in the same range.

A. Balasubramanian: Yes. See, Alternate, while we are seeing somewhat of a pickup, I think increasingly we are seeing acceptance for the product. Ultimately, that should lead to a volume conversion, which is what my belief is we will start. Even PMS, there are certain markets where we have been pushing even at the MFD level, is also seeing somewhat of success there. That's something which you believe that as we move forward, we will see uptick, a gradual momentum in this space.

Dipanjan Ghosh: Sure. On the fee and commission expense increase, is that partly attributed to new launches and marketing expense in all PMS businesses?

A. Balasubramanian: Yes.

Pradeep Sharma: Fee and

commission expense is actually directly linked to the business of Alternate business because this is a commission which is paid to the distributor community. I think that is directly linked to the business which we will be garnering on the Alternate side. I think this should have the similar growth rate of our revenue for Alternate side.

Dipanjan Ghosh: Got it. Just maybe one small question if I can squeeze in. You mentioned that you normally tend to look at absolute flows rather than the market share, which looks fair. If you were to index your flows to 100, let's say in 1Q 2026 or 4Q 2026, how would the trajectory be tracking incrementally, let's say, for the quarter on a run rate basis? I mean indexing to 100 a particular base quarter.

A. Balasubramanian: I think generally I see improvement. Of course, when I would look at the number very objectively from last year's similar quarter and this year's similar quarter, the numbers are better. If you look at last year full-year run rate versus the 3 months run rate, is actually better than the last year full year run rate. However, when we began this year, just to give you some sense, April was pretty good for us. April started quite well, and May and June were relatively muted as we have seen generally in the equity market. Otherwise, the trend largely is getting better as far as the key funds flows are concerned, which is why I mentioned as in comparing with the market share right now, how the flow is improving is something. I think once it gets

established, it comes on auto mode. Naturally, we will be able to link that one to a improvement in the gap between competing from the same space. That way we start looking at it. I think we will have to give some time for that now that the products are coming as part of the recommendation list, and now that the performance longer term also now is getting better.

That's the way normally I see it.

Dipanjan Ghosh: Got it. Thank you, everyone, and all the best.

Pradeep Sharma: Thank you.

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Moderator: As there are no further questions from the participants, I would like to hand the conference over to the management for the closing remarks. Thank you, and over to you, team.

A. Balasubramanian: Yes. Thank you, everyone for your questions. With this, we will conclude our Q1 FY27 Earnings Call. If you have any questions, please feel free to contact Pradeep and Paritosh.

Thank you.

Moderator : Thank you so much, sir. On behalf of Aditya Birla Sun Life AMC Limited, we would like to formally conclude this Q1 FY27 Earning Conference Call. We sincerely appreciate your participation in this event, and we kindly request that you may now disconnect your lines. Thank you for your time and engagement. Have a great day.

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